

**SUBSTITUTE FOR
HOUSE BILL NO. 5630**

A bill to amend 1979 PA 94, entitled
"The state school aid act of 1979,"
by amending sections 6, 11, 11a, 11j, 11k, 11m, 11x, 11z, 12e, 15,
19, 20, 20d, 21b, 21h, 22a, 22b, 22d, 22l, 22m, 22r, 24, 24a, 25f,
25g, 26a, 26b, 26c, 26d, 27a, 27c, 27j, 28, 29, 30d, 31a, 31c, 31d,
31f, 31n, 31aa, 32d, 32n, 35a, 35m, 39, 39a, 41, 51a, 51c, 51d,
51e, 51g, 53a, 54, 54d, 56, 61a, 61b, 62, 67, 74, 81, 94, 94a, 98,
99h, 101, 104, 104h, 107, 147, 147a, 147b, 147c, 147e, 152a, 152b,
163, 164k, 164l, 201, 201i, 202a, 203, 206, 207c, 210b, 216e, 217a,
217b, 217f, 222, 223, 226e, 229a, 230, 236, 236c, 236e, 236j, 236s,
237b, 238, 241, 241a, 241b, 241c, 241e, 241h, 247, 248, 252, 256,
260, 263a, 264, 268, 269, 270, 270c, 275j, and 291 (MCL 388.1606,
388.1611, 388.1611a, 388.1611j, 388.1611k, 388.1611m, 388.1611x,



388.1611z, 388.1612e, 388.1615, 388.1619, 388.1620, 388.1620d, 388.1621b, 388.1621h, 388.1622a, 388.1622b, 388.1622d, 388.1622l, 388.1622m, 388.1622r, 388.1624, 388.1624a, 388.1625f, 388.1625g, 388.1626a, 388.1626b, 388.1626c, 388.1626d, 388.1627a, 388.1627c, 388.1627j, 388.1628, 388.1629, 388.1630d, 388.1631a, 388.1631c, 388.1631d, 388.1631f, 388.1631n, 388.1631aa, 388.1632d, 388.1632n, 388.1635a, 388.1635m, 388.1639, 388.1639a, 388.1641, 388.1651a, 388.1651c, 388.1651d, 388.1651e, 388.1651g, 388.1653a, 388.1654, 388.1654d, 388.1656, 388.1661a, 388.1661b, 388.1662, 388.1667, 388.1674, 388.1681, 388.1694, 388.1694a, 388.1698, 388.1699h, 388.1701, 388.1704, 388.1704h, 388.1707, 388.1747, 388.1747a, 388.1747b, 388.1747c, 388.1747e, 388.1752a, 388.1752b, 388.1763, 388.1764k, 388.1764l, 388.1801, 388.1801i, 388.1802a, 388.1803, 388.1806, 388.1807c, 388.1810b, 388.1816e, 388.1817a, 388.1817b, 388.1817f, 388.1822, 388.1823, 388.1826e, 388.1829a, 388.1830, 388.1836, 388.1836c, 388.1836e, 388.1836j, 388.1836s, 388.1837b, 388.1838, 388.1841, 388.1841a, 388.1841b, 388.1841c, 388.1841e, 388.1841h, 388.1847, 388.1848, 388.1852, 388.1856, 388.1860, 388.1863a, 388.1864, 388.1868, 388.1869, 388.1870, 388.1870c, 388.1875j, and 388.1891), sections 6, 11, 11a, 11j, 11k, 11m, 11x, 15, 19, 20, 20d, 21h, 22a, 22b, 22d, 22l, 24, 24a, 25f, 25g, 26a, 26b, 26c, 26d, 27a, 27c, 28, 29, 30d, 31a, 31d, 31f, 31n, 31aa, 32d, 32n, 35a, 35m, 39, 39a, 41, 51a, 51c, 51d, 51e, 51g, 53a, 54, 54d, 56, 61a, 61b, 62, 67, 74, 81, 94, 94a, 98, 99h, 101, 104, 104h, 107, 147, 147a, 147c, 147e, 152a, 152b, 201, 206, 207c, 210b, 216e, 217a, 217b, 222, 229a, 230, 236, 236c, 236j, 241, 241a, 241b, 241c, 241e, 247, 248, 252, 256, 260, 264, 268, 269, 270, and 270c as amended and sections 12e, 22r, 31c, 164k, 164l, 201i, 217f, 236e, 236s, and 241h as added by 2025 PA 15, sections 11z, 27j, 163, 223,

and 263a as amended by 2024 PA 120, sections 21b and 237b as amended and sections 226e and 275j as added by 2022 PA 144, sections 147b and 202a as amended by 2023 PA 103, sections 203 and 238 as amended by 2020 PA 165, and section 291 as amended by 2021 PA 86, and by adding sections 12f, 16, 16a, 18e, 27o, 31j, 32p, 35o, 35p, 35q, 36, 36a, 51i, 61w, 61x, 67d, 94f, 95b, 164m, 216c, 236m, and 239a; and to repeal acts and parts of acts.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 6. (1) "Center program" means a program operated by a
2 district or by an intermediate district for special education
3 pupils from several districts in programs for pupils with autism
4 spectrum disorder, pupils with severe cognitive impairment, pupils
5 with moderate cognitive impairment, pupils with severe multiple
6 impairments, pupils with hearing impairment, pupils with visual
7 impairment, and pupils with physical impairment or other health
8 impairment. Programs for pupils with emotional impairment housed in
9 buildings that do not serve regular education pupils also qualify.
10 Unless otherwise approved by the department, a center program
11 either serves all constituent districts within an intermediate
12 district or serves several districts with less than 50% of the
13 pupils residing in the operating district. In addition, special
14 education center program pupils placed part-time in noncenter
15 programs to comply with the least restrictive environment
16 provisions of section 1412 of the individuals with disabilities
17 education act, 20 USC 1412, may be considered center program pupils
18 for pupil accounting purposes for the time scheduled in either a
19 center program or a noncenter program.

20 (2) "District and high school graduation rate" means the
21 annual completion and pupil dropout rate that is calculated by the



center pursuant to nationally recognized standards.

(3) "District and high school graduation report" means a report of the number of pupils, excluding adult education participants, in the district for the immediately preceding school year, adjusted for those pupils who have transferred into or out of the district or high school, who leave high school with a diploma or other credential of equal status.

(4) "Membership", except as otherwise provided in this article, means for a district, a public school academy, or an intermediate district the sum of the product of .90 times the number of full-time equated pupils in grades K to 12 actually enrolled and in regular daily attendance in the district, public school academy, or intermediate district on the pupil membership count day for the current school year, plus the product of .10 times the final audited count from the supplemental count day of full-time equated pupils in grades K to 12 actually enrolled and in regular daily attendance in the district, public school academy, or intermediate district for the immediately preceding school year. A district's, public school academy's, or intermediate district's membership is adjusted as provided under section 25e for pupils who enroll after the pupil membership count day in a strict discipline academy operating under sections 1311b to 1311m of the revised school code, MCL 380.1311b to 380.1311m. All pupil counts used in this subsection are as determined by the department and calculated by adding the number of pupils registered for attendance plus pupils received by transfer and minus pupils lost as defined by rules promulgated by the superintendent, and as corrected by a subsequent department audit. The amount of the foundation allowance for a pupil in membership is determined under section 20. In making



1 the calculation of membership, all of the following, as applicable,
2 apply to determining the membership of a district, a public school
3 academy, or an intermediate district:

4 (a) Except as otherwise provided in this subsection, and
5 pursuant to subsection (6), a pupil is counted in membership in the
6 pupil's educating district or districts. Except as otherwise
7 provided in this subsection, an individual pupil must not be
8 counted for more than a total of 1.0 full-time equated membership.

9 (b) If a pupil is educated in a district other than the
10 pupil's district of residence, if the pupil is not being educated
11 as part of a cooperative education program, if the pupil's district
12 of residence does not give the educating district its approval to
13 count the pupil in membership in the educating district, and if the
14 pupil is not covered by an exception specified in subsection (6) to
15 the requirement that the educating district must have the approval
16 of the pupil's district of residence to count the pupil in
17 membership, the pupil is not counted in membership in any district.

18 (c) A special education pupil educated by the intermediate
19 district is counted in membership in the intermediate district.

20 (d) A pupil placed by a court or state agency in an on-grounds
21 program of a juvenile detention facility, a child caring
22 institution, or a mental health institution, or a pupil funded
23 under section 53a, is counted in membership in the district or
24 intermediate district approved by the department to operate the
25 program.

26 (e) A pupil enrolled in the Michigan Schools for the Deaf and
27 Blind is counted in membership in the pupil's intermediate district
28 of residence.

29 (f) A pupil enrolled in a career and technical education



1 program supported by a millage levied over an area larger than a
2 single district or in an area vocational-technical education
3 program established under section 690 of the revised school code,
4 MCL 380.690, is counted in membership only in the pupil's district
5 of residence.

6 (g) A pupil enrolled in a public school academy is counted in
7 membership in the public school academy.

8 (h) For the purposes of this section and section 6a, for a
9 cyber school, as that term is defined in section 551 of the revised
10 school code, MCL 380.551, that is in compliance with section 553a
11 of the revised school code, MCL 380.553a, a pupil's participation
12 in the cyber school's educational program is considered regular
13 daily attendance, and for a district or public school academy, a
14 pupil's participation in a virtual course as that term is defined
15 in section 21f is considered regular daily attendance. Beginning
16 July 1, 2021, this subdivision is subject to section 8c. It is the
17 intent of the legislature that the immediately preceding sentence
18 apply retroactively and is effective July 1, 2021. For the purposes
19 of this subdivision, for a pupil enrolled in a cyber school, all of
20 the following apply with regard to the participation requirement as
21 described in this subdivision:

22 (i) Except as otherwise provided in this subdivision, the pupil
23 shall participate in each scheduled course on pupil membership
24 count day or supplemental count day, as applicable. If the pupil is
25 absent on pupil membership count day or supplemental count day, as
26 applicable, the pupil must attend and participate in class during
27 the next 10 consecutive school days if the absence was unexcused,
28 or during the next 30 calendar days if the absence was excused.

29 (ii) For a pupil who is not learning sequentially, 1 or more of



1 the following must be met on pupil membership count day or
2 supplemental count day, as applicable, for each scheduled course to
3 satisfy the participation requirement under this subdivision:

4 (A) The pupil attended a live lesson from the teacher.

5 (B) The pupil logged into a lesson or lesson activity and the
6 login can be documented.

7 (C) The pupil and teacher engaged in a subject-oriented
8 telephone conversation.

9 (D) There is documentation of an email dialogue between the
10 pupil and teacher.

11 (E) There is documentation of activity or work between the
12 learning coach and pupil.

13 (F) An alternate form of attendance as determined and agreed
14 upon by the cyber school and the pupil membership auditor was met.

15 (iii) For a pupil using sequential learning, the participation
16 requirement under this subdivision is satisfied if either of the
17 following occurs:

18 (A) Except as otherwise provided in this sub-subparagraph, the
19 pupil and the teacher of record or mentor complete a 2-way
20 interaction for 1 course during the week on which pupil membership
21 count day or supplemental count day, as applicable, occurs, and the
22 3 consecutive weeks following that week. However, if a school break
23 is scheduled during any of the weeks described in this sub-
24 subparagraph that is 4 or more days in length or instruction has
25 been canceled districtwide during any of the weeks described in
26 this sub-subparagraph for 3 or more school days, the district is
27 not required to ensure that the pupil and the teacher of record or
28 mentor completed a 2-way interaction for that week. As used in this
29 sub-subparagraph:



(I) "2-way interaction" means the communication that occurs between the teacher of record or mentor and pupil, where 1 party initiates communication and a response from the other party follows that communication. Responses as described in this sub-sub-paragraph must be to the communication initiated by the teacher of record or mentor, and not some other action taken. This interaction may occur through, but is not limited to, means such as email, telephone, instant messaging, or face-to-face conversation. A parent- or legal-guardian-facilitated 2-way interaction is considered a 2-way interaction if the pupil is in any of grades K to 5 and does not yet possess the skills necessary to participate in 2-way interactions unassisted. The interactions described in this sub-sub-subparagraph must relate to a virtual course on the pupil's schedule and pertain to course content or progress.

(II) "Mentor" means a professional employee of the district who monitors the pupil's progress, ensures the pupil has access to needed technology, is available for assistance, and ensures access to the teacher of record. A mentor may also be the teacher of record if the mentor meets the definition of a teacher of record under this sub-subparagraph and the district is the provider for the course.

(III) "Teacher of record" means a teacher to whom all of the following apply:

(1) The teacher is responsible for providing instruction, determining instructional methods for each pupil, diagnosing learning needs, assessing pupil learning, prescribing intervention strategies and modifying lessons, reporting outcomes, and evaluating the effects of instruction and support strategies. The teacher of record may coordinate the distribution and assignment of



1 the responsibilities described in this sub-sub-sub-subparagraph
2 with other teachers participating in the instructional process for
3 a course.

4 (2) The teacher is certified for the grade level or is working
5 under a valid substitute permit, authorization, or approval issued
6 by the department.

7 (3) The teacher has a personnel identification code provided
8 by the center.

9 (IV) "Week" means a period that starts on Wednesday and ends
10 the following Tuesday.

11 (B) The pupil completes a combination of 1 or more of the
12 following activities for each scheduled course on pupil membership
13 count day or supplemental count day, as applicable:

14 (I) Documented attendance in a virtual course where
15 synchronous, live instruction occurred with the teacher.

16 (II) Documented completion of a course assignment.

17 (III) Documented completion of a course lesson or lesson
18 activity.

19 (IV) Documented pupil access to an ongoing lesson, which does
20 not include a login.

21 (V) Documented physical attendance on pupil membership count
22 day or supplemental count day, as applicable, in each scheduled
23 course, if the pupil will attend at least 50% of the instructional
24 time for each scheduled course on-site, face-to-face with the
25 teacher of record. As used in this sub-sub-subparagraph, "teacher
26 of record" means that term as defined in subparagraph (iii) (A).

27 (iv) For purposes of subparagraph (iii), each scheduled course
28 currently being attempted by the pupil, rather than every course on
29 the pupil's schedule for the entire term, is considered a part of



1 each scheduled course for the pupil.

2 (i) For a new district or public school academy beginning its
3 operation after December 31, 1994, membership for the first 2 full
4 or partial fiscal years of operation is determined as follows:

5 (i) If operations begin before the pupil membership count day
6 for the fiscal year, membership is the average number of full-time
7 equated pupils in grades K to 12 actually enrolled and in regular
8 daily attendance on the pupil membership count day for the current
9 school year and on the supplemental count day for the current
10 school year, as determined by the department and calculated by
11 adding the number of pupils registered for attendance on the pupil
12 membership count day plus pupils received by transfer and minus
13 pupils lost as defined by rules promulgated by the superintendent,
14 and as corrected by a subsequent department audit, plus the final
15 audited count from the supplemental count day for the current
16 school year, and dividing that sum by 2.

17 (ii) If operations begin after the pupil membership count day
18 for the fiscal year and not later than the supplemental count day
19 for the fiscal year, membership is the final audited count of the
20 number of full-time equated pupils in grades K to 12 actually
21 enrolled and in regular daily attendance on the supplemental count
22 day for the current school year.

23 (j) If a district is the authorizing body for a public school
24 academy, then, in the first school year in which pupils are counted
25 in membership on the pupil membership count day in the public
26 school academy, the determination of the district's membership
27 excludes from the district's pupil count for the immediately
28 preceding supplemental count day any pupils who are counted in the
29 public school academy on that first pupil membership count day who



1 were also counted in the district on the immediately preceding
2 supplemental count day.

3 (k) For an extended school year program approved by the
4 superintendent, a pupil enrolled, but not scheduled to be in
5 regular daily attendance, on a pupil membership count day, is
6 counted in membership.

7 (l) To be counted in membership, a pupil must meet the minimum
8 age requirement to be eligible to attend school under section 1147
9 of the revised school code, MCL 380.1147, and must be less than 20
10 years of age on September 1 of the school year except as follows:

11 (i) A special education pupil who is enrolled and receiving
12 instruction in a special education program or service approved by
13 the department, who does not have a high school diploma, and who is
14 less than 26 years of age as of September 1 of the current school
15 year is counted in membership.

16 (ii) A pupil who is determined by the department to meet all of
17 the following may be counted in membership:

18 (A) Is enrolled in a public school academy or an alternative
19 education high school diploma program, that is primarily focused on
20 educating pupils with extreme barriers to education, such as being
21 homeless as that term is defined under 42 USC 11302.

22 (B) Had dropped out of school.

23 (C) Is less than 22 years of age as of September 1 of the
24 current school year.

25 (iii) If a child does not meet the minimum age requirement to be
26 eligible to attend school for that school year under section 1147
27 of the revised school code, MCL 380.1147, but will be 5 years of
28 age not later than December 1 of that school year, the district may
29 count the child in membership for that school year if the parent or



1 legal guardian has notified the district in writing that the parent
2 or legal guardian intends to enroll the child in kindergarten for
3 that school year.

4 (m) An individual who has achieved a high school diploma is
5 not counted in membership. An individual who has achieved a high
6 school equivalency certificate is not counted in membership unless
7 the individual is a student with a disability as that term is
8 defined in R 340.1702 of the Michigan Administrative Code. An
9 individual participating in a job training program funded under
10 former section 107a or a jobs program funded under former section
11 107b, administered by the department of labor and economic
12 opportunity, or participating in any successor of either of those 2
13 programs, is not counted in membership.

14 (n) If a pupil counted in membership in a public school
15 academy is also educated by a district or intermediate district as
16 part of a cooperative education program, the pupil is counted in
17 membership only in the public school academy unless a written
18 agreement signed by all parties designates the party or parties in
19 which the pupil is counted in membership, and the instructional
20 time scheduled for the pupil in the district or intermediate
21 district is included in the full-time equated membership
22 determination under subdivision (q) and section 101. However, for
23 pupils receiving instruction in both a public school academy and in
24 a district or intermediate district but not as a part of a
25 cooperative education program, the following apply:

26 (i) If the public school academy provides instruction for at
27 least 1/2 of the class hours required under section 101, the public
28 school academy receives as its prorated share of the full-time
29 equated membership for each of those pupils an amount equal to 1



1 times the product of the hours of instruction the public school
2 academy provides divided by the number of hours required under
3 section 101 for full-time equivalency, and the remainder of the
4 full-time membership for each of those pupils is allocated to the
5 district or intermediate district providing the remainder of the
6 hours of instruction.

7 (ii) If the public school academy provides instruction for less
8 than 1/2 of the class hours required under section 101, the
9 district or intermediate district providing the remainder of the
10 hours of instruction receives as its prorated share of the full-
11 time equated membership for each of those pupils an amount equal to
12 1 times the product of the hours of instruction the district or
13 intermediate district provides divided by the number of hours
14 required under section 101 for full-time equivalency, and the
15 remainder of the full-time membership for each of those pupils is
16 allocated to the public school academy.

17 (o) An individual less than 16 years of age as of September 1
18 of the current school year who is being educated in an alternative
19 education program is not counted in membership if there are also
20 adult education participants being educated in the same program or
21 classroom.

22 (p) The department shall give a uniform interpretation of
23 full-time and part-time memberships.

24 (q) The number of class hours used to calculate full-time
25 equated memberships must be consistent with section 101. In
26 determining full-time equated memberships for pupils who are
27 enrolled in a postsecondary institution or for pupils engaged in an
28 internship or work experience under section 1279h of the revised
29 school code, MCL 380.1279h, a pupil is not considered to be less



1 than a full-time equated pupil solely because of the effect of the
2 pupil's postsecondary enrollment or engagement in the internship or
3 work experience, including necessary travel time, on the number of
4 class hours provided by the district to the pupil.

5 (r) Full-time equated memberships for pupils in kindergarten
6 are determined by dividing the number of instructional hours
7 scheduled and provided per year per kindergarten pupil by the same
8 number used for determining full-time equated memberships for
9 pupils in grades 1 to 12. However, to the extent allowable under
10 federal law, for a district or public school academy that provides
11 evidence satisfactory to the department that it used federal title
12 I money in the 2 immediately preceding school fiscal years to fund
13 full-time kindergarten, full-time equated memberships for pupils in
14 kindergarten are determined by dividing the number of class hours
15 scheduled and provided per year per kindergarten pupil by a number
16 equal to 1/2 the number used for determining full-time equated
17 memberships for pupils in grades 1 to 12. The change in the
18 counting of full-time equated memberships for pupils in
19 kindergarten that took effect for 2012-2013 is not a mandate.

20 (s) For a district or a public school academy that has pupils
21 enrolled in a grade level that was not offered by the district or
22 public school academy in the immediately preceding school year, the
23 number of pupils enrolled in that grade level to be counted in
24 membership is the average of the number of those pupils enrolled
25 and in regular daily attendance on the pupil membership count day
26 and the supplemental count day of the current school year.
27 Membership is calculated by adding the number of pupils registered
28 for attendance in that grade level on the pupil membership count
29 day plus pupils received by transfer and minus pupils lost as



1 defined by rules promulgated by the superintendent, and as
2 corrected by subsequent department audit, plus the final audited
3 count from the supplemental count day for the current school year,
4 and dividing that sum by 2.

5 (t) A pupil enrolled in a cooperative education program may be
6 counted in membership in the pupil's district of residence with the
7 written approval of all parties to the cooperative agreement.

8 (u) If, as a result of a disciplinary action, a district
9 determines through the district's alternative or disciplinary
10 education program that the best instructional placement for a pupil
11 is in the pupil's home or otherwise apart from the general school
12 population, if that placement is authorized in writing by the
13 district superintendent and district alternative or disciplinary
14 education supervisor, and if the district provides appropriate
15 instruction as described in this subdivision to the pupil at the
16 pupil's home or otherwise apart from the general school population,
17 the district may count the pupil in membership on a pro rata basis,
18 with the proration based on the number of hours of instruction the
19 district actually provides to the pupil divided by the number of
20 hours required under section 101 for full-time equivalency. For the
21 purposes of this subdivision, a district is considered to be
22 providing appropriate instruction if all of the following are met:

23 (i) The district provides at least 2 nonconsecutive hours of
24 instruction per week to the pupil at the pupil's home or otherwise
25 apart from the general school population under the supervision of a
26 certificated teacher.

27 (ii) The district provides instructional materials, resources,
28 and supplies that are comparable to those otherwise provided in the
29 district's alternative education program.



1 (iii) Course content is comparable to that in the district's
2 alternative education program.

3 (iv) Credit earned is awarded to the pupil and placed on the
4 pupil's transcript.

5 (v) If a pupil was enrolled in a public school academy on the
6 pupil membership count day, if the public school academy's contract
7 with its authorizing body is revoked or the public school academy
8 otherwise ceases to operate, and if the pupil enrolls in a district
9 within 45 days after the pupil membership count day, the department
10 shall adjust the district's pupil count for the pupil membership
11 count day to include the pupil in the count.

12 (w) For a public school academy that has been in operation for
13 at least 2 years and that suspended operations for at least 1
14 semester and is resuming operations, membership is the sum of the
15 product of .90 times the number of full-time equated pupils in
16 grades K to 12 actually enrolled and in regular daily attendance on
17 the first pupil membership count day or supplemental count day,
18 whichever is first, occurring after operations resume, plus the
19 product of .10 times the final audited count from the most recent
20 pupil membership count day or supplemental count day that occurred
21 before suspending operations, as determined by the superintendent.

22 (x) If a district's membership for a particular fiscal year,
23 as otherwise calculated under this subsection, would be less than
24 1,550 pupils, the district has 4.5 or fewer pupils per square mile,
25 as determined by the department, and the district does not receive
26 funding under section 22d(2), the district's membership is
27 considered to be the membership figure calculated under this
28 subdivision. If a district educates and counts in its membership
29 pupils in grades 9 to 12 who reside in a contiguous district that



1 does not operate grades 9 to 12 and if 1 or both of the affected
2 districts request the department to use the determination allowed
3 under this sentence, the department shall include the square
4 mileage of both districts in determining the number of pupils per
5 square mile for each of the districts for the purposes of this
6 subdivision. If a district has established a community engagement
7 advisory committee in partnership with the department of treasury,
8 is required to submit a deficit elimination plan or an enhanced
9 deficit elimination plan under section 1220 of the revised school
10 code, MCL 380.1220, and is located in a city with a population
11 between 9,000 and 11,000, as determined by the department, that is
12 in a county with a population between 150,000 and 160,000, as
13 determined by the department, the district's membership is
14 considered to be the membership figure calculated under this
15 subdivision. The membership figure calculated under this
16 subdivision is the greater of the following:

17 (i) The average of the district's membership for the 3-fiscal-
18 year period ending with that fiscal year, calculated by adding the
19 district's actual membership for each of those 3 fiscal years, as
20 otherwise calculated under this subsection, and dividing the sum of
21 those 3 membership figures by 3.

22 (ii) The district's actual membership for that fiscal year as
23 otherwise calculated under this subsection.

24 (y) Full-time equated memberships for special education pupils
25 who are not enrolled in kindergarten but are enrolled in a
26 classroom program under R 340.1754 of the Michigan Administrative
27 Code are determined by dividing the number of class hours scheduled
28 and provided per year by 450. Full-time equated memberships for
29 special education pupils who are not enrolled in kindergarten but



1 are receiving early childhood special education services under R
2 340.1755 or R 340.1862 of the Michigan Administrative Code are
3 determined by dividing the number of hours of service scheduled and
4 provided per year per pupil by 180.

5 (z) A pupil of a district that begins its school year after
6 Labor Day who is enrolled in an intermediate district program that
7 begins before Labor Day is not considered to be less than a full-
8 time pupil solely due to instructional time scheduled but not
9 attended by the pupil before Labor Day.

10 (aa) For the first year in which a pupil is counted in
11 membership on the pupil membership count day in a middle college
12 program, the membership is the average of the full-time equated
13 membership on the pupil membership count day and on the
14 supplemental count day for the current school year, as determined
15 by the department. If a pupil described in this subdivision was
16 counted in membership by the operating district on the immediately
17 preceding supplemental count day, the pupil is excluded from the
18 district's immediately preceding supplemental count for the
19 purposes of determining the district's membership.

20 (bb) A district or public school academy that educates a pupil
21 who attends a United States Olympic Education Center may count the
22 pupil in membership regardless of whether or not the pupil is a
23 resident of this state.

24 (cc) A pupil enrolled in a district other than the pupil's
25 district of residence under section 1148(2) of the revised school
26 code, MCL 380.1148, is counted in the educating district.

27 (dd) For a pupil enrolled in a dropout recovery program that
28 meets the requirements of section 23a, the pupil is counted as 1/12
29 of a full-time equated membership for each month that the district



operating the program reports that the pupil was enrolled in the program and was in full attendance or based on the number of successfully completed courses by the pupil with each course equivalent to 1/12 of a full-time equated membership. A district may claim more than 1/12 of a full-time equated membership within a month for an enrolled pupil who was in full attendance and successfully completed more than 1 required course. However, if the special membership counting provisions under this subdivision and the operation of the other membership counting provisions under this subsection result in a pupil being counted as more than 1.0 FTE in a fiscal year, the payment made for the pupil under sections 22a and 22b must not be based on more than 1.0 FTE for that pupil, and any portion of an FTE for that pupil that exceeds 1.0 is instead paid under section 25g. The district operating the program shall report to the center the number of pupils who were enrolled in the program and were in full attendance for a month not later than 30 days after the end of the month. A district shall not report a pupil as being in full attendance for a month unless both of the following are met:

(i) A personalized learning plan is in place on or before the first school day of the month for the first month the pupil participates in the program.

(ii) Either of the following is met:

(A) The pupil meets the district's definition under section 23a of satisfactory monthly progress for that month or, if the pupil does not meet that definition of satisfactory monthly progress for that month, the pupil did meet that definition of satisfactory monthly progress in the immediately preceding month and appropriate interventions, as defined by the district, are



1 implemented within 10 school days after it is determined that the
2 pupil does not meet that definition of satisfactory monthly
3 progress.

4 (B) For the first 2 months that the pupil participates in the
5 program, the pupil earns 0.25 credit by the end of the second
6 month. A pupil described in this sub-subparagraph may be
7 retroactively reported as being in full attendance for the first
8 month that the pupil participated in the program.

9 (ee) A pupil participating in a virtual course under section
10 21f is counted in membership in the district enrolling the pupil.

11 (ff) If a public school academy that is not in its first or
12 second year of operation closes at the end of a school year and
13 does not reopen for the next school year, the department shall
14 adjust the membership count of the district or other public school
15 academy in which a former pupil of the closed public school academy
16 enrolls and is in regular daily attendance for the next school year
17 to ensure that the district or other public school academy receives
18 the same amount of membership aid for the pupil as if the pupil
19 were counted in the district or other public school academy on the
20 supplemental count day of the preceding school year.

21 (gg) If a special education pupil is expelled under section
22 1311 or 1311a of the revised school code, MCL 380.1311 and
23 380.1311a, and is not in attendance on the pupil membership count
24 day because of the expulsion, and if the pupil remains enrolled in
25 the district and resumes regular daily attendance during that
26 school year, the district's membership is adjusted to count the
27 pupil in membership as if the pupil had been in attendance on the
28 pupil membership count day.

29 (hh) A pupil enrolled in a community district is counted in



1 membership in the community district.

2 (ii) A part-time pupil enrolled in a nonpublic school in
3 grades K to 12 in accordance with section 166b must not be counted
4 as more than 0.75 of a full-time equated membership.

5 (jj) A district that borders another state or a public school
6 academy that operates at least grades 9 to 12 and is located within
7 20 miles of a border with another state may count in membership a
8 pupil who is enrolled in a course at a college or university that
9 is located in the bordering state and within 20 miles of the border
10 with this state if all of the following are met:

11 (i) The pupil would meet the definition of an eligible student
12 under the postsecondary enrollment options act, 1996 PA 160, MCL
13 388.511 to 388.524, if the course were an eligible course under
14 that act.

15 (ii) The course in which the pupil is enrolled would meet the
16 definition of an eligible course under the postsecondary enrollment
17 options act, 1996 PA 160, MCL 388.511 to 388.524, if the course
18 were provided by an eligible postsecondary institution under that
19 act.

20 (iii) The department determines that the college or university
21 is an institution that, in the other state, fulfills a function
22 comparable to a state university or community college, as those
23 terms are defined in section 3 of the postsecondary enrollment
24 options act, 1996 PA 160, MCL 388.513, or is an independent
25 nonprofit degree-granting college or university.

26 (iv) The district or public school academy pays for a portion
27 of the pupil's tuition at the college or university in an amount
28 equal to the eligible charges that the district or public school
29 academy would pay to an eligible postsecondary institution under



1 the postsecondary enrollment options act, 1996 PA 160, MCL 388.511
2 to 388.524, as if the course were an eligible course under that
3 act.

4 (v) The district or public school academy awards high school
5 credit to a pupil who successfully completes a course as described
6 in this subdivision.

7 (kk) A pupil enrolled in a middle college program may be
8 counted for more than a total of 1.0 full-time equated membership
9 for any of the school years in which the pupil is enrolled in the
10 middle college program, but the total full-time equated membership
11 for that pupil for all of the school years in which the pupil is
12 enrolled in high school must not be greater than 5.00 full-time
13 equated membership if the pupil is enrolled in more than the
14 minimum number of instructional days and hours required under
15 section 101 and the pupil is expected to complete the 5-year
16 program with both a high school diploma and at least 60
17 transferable college credits or is expected to earn an associate's
18 degree in fewer than 5 years. A pupil who graduates with both a
19 high school diploma and at least 60 transferable college credits or
20 an associate degree at least 1 semester early is considered to have
21 completed the middle college program in fewer than 5 years.

22 (ll) If a district's or public school academy's membership for
23 a particular fiscal year, as otherwise calculated under this
24 subsection, includes pupils counted in membership who are enrolled
25 under section 166b, all of the following apply for the purposes of
26 this subdivision:

27 (i) If the district's or public school academy's membership for
28 pupils counted under section 166b equals or exceeds 5% of the
29 district's or public school academy's membership for pupils not



counted in membership under section 166b in the immediately preceding fiscal year, then the growth in the district's or public school academy's membership for pupils counted under section 166b must not exceed 10%.

(ii) If the district's or public school academy's membership for pupils counted under section 166b is less than 5% of the district's or public school academy's membership for pupils not counted in membership under section 166b in the immediately preceding fiscal year, then the district's or public school academy's membership for pupils counted under section 166b must not exceed the greater of the following:

(A) Five percent of the district's or public school academy's membership for pupils not counted in membership under section 166b.

(B) Ten percent more than the district's or public school academy's membership for pupils counted under section 166b in the immediately preceding fiscal year.

(iii) If 1 or more districts consolidate or are parties to an annexation, then the calculations under subparagraphs (i) and (ii) must be applied to the combined total membership for pupils counted in those districts for the fiscal year immediately preceding the consolidation or annexation.

(mm) A pupil that enrolls in a district after the pupil membership count day may be counted as 1/11 of a full-time equated pupil for each month the pupil is enrolled in the district between October and August of the current fiscal year.

(5) "Public school academy" means that term as defined in section 5 of the revised school code, MCL 380.5.

(6) "Pupil" means an individual in membership in a public school. A district must have the approval of the pupil's district



1 of residence to count the pupil in membership, except approval by
2 the pupil's district of residence is not required for any of the
3 following:

4 (a) A nonpublic part-time pupil enrolled in grades K to 12 in
5 accordance with section 166b.

6 (b) A pupil receiving 1/2 or less of the pupil's instruction
7 in a district other than the pupil's district of residence.

8 (c) A pupil enrolled in a public school academy.

9 (d) A pupil enrolled in a district other than the pupil's
10 district of residence if the pupil is enrolled in accordance with
11 section 105 or 105c.

12 (e) A pupil who has made an official written complaint or
13 whose parent or legal guardian has made an official written
14 complaint to law enforcement officials and to school officials of
15 the pupil's district of residence that the pupil has been the
16 victim of a criminal sexual assault or other serious assault, if
17 the official complaint either indicates that the assault occurred
18 at school or that the assault was committed by 1 or more other
19 pupils enrolled in the school the pupil would otherwise attend in
20 the district of residence or by an employee of the district of
21 residence. A person who intentionally makes a false report of a
22 crime to law enforcement officials for the purposes of this
23 subdivision is subject to section 411a of the Michigan penal code,
24 1931 PA 328, MCL 750.411a, which provides criminal penalties for
25 that conduct. As used in this subdivision:

26 (i) "At school" means in a classroom, elsewhere on school
27 premises, on a school bus or other school-related vehicle, or at a
28 school-sponsored activity or event whether or not it is held on
29 school premises.



1 (ii) "Serious assault" means an act that constitutes a felony
2 violation of chapter XI of the Michigan penal code, 1931 PA 328,
3 MCL 750.81 to ~~750.90h~~, **750.90g**, or that constitutes an assault and
4 infliction of serious or aggravated injury under section 81a of the
5 Michigan penal code, 1931 PA 328, MCL 750.81a.

6 (f) A pupil whose district of residence changed after the
7 pupil membership count day and before the supplemental count day
8 and who continues to be enrolled on the supplemental count day as a
9 nonresident in the district in which the pupil was enrolled as a
10 resident on the pupil membership count day of the same school year.

11 (g) A pupil enrolled in an alternative education program
12 operated by a district other than the pupil's district of residence
13 who meets 1 or more of the following:

14 (i) The pupil has been suspended or expelled from the pupil's
15 district of residence for any reason, including, but not limited
16 to, a suspension or expulsion under section 1310, 1311, or 1311a of
17 the revised school code, MCL 380.1310, 380.1311, and 380.1311a.

18 (ii) The pupil had previously dropped out of school.

19 (iii) The pupil is pregnant or is a parent.

20 (iv) The pupil has been referred to the program by a court.

21 (h) A pupil enrolled in the Michigan Virtual School, for the
22 pupil's enrollment in the Michigan Virtual School.

23 (i) A pupil who is the child of a person who works at the
24 district or who is the child of a person who worked at the district
25 as of the time the pupil first enrolled in the district but who no
26 longer works at the district due to a workforce reduction. As used
27 in this subdivision, "child" includes an adopted child, stepchild,
28 or legal ward.

29 (j) An expelled pupil who has been denied reinstatement by the



1 expelling district and is reinstated by another school board under
2 section 1311 or 1311a of the revised school code, MCL 380.1311 and
3 380.1311a.

4 (k) A pupil enrolled in a district other than the pupil's
5 district of residence in a middle college program if the pupil's
6 district of residence and the enrolling district are both
7 constituent districts of the same intermediate district.

8 (l) A pupil enrolled in a district other than the pupil's
9 district of residence who attends a United States Olympic Education
10 Center.

11 (m) A pupil enrolled in a district other than the pupil's
12 district of residence under section 1148(2) of the revised school
13 code, MCL 380.1148.

14 (n) A pupil who enrolls in a district other than the pupil's
15 district of residence as a result of the pupil's school not making
16 adequate yearly progress under the no child left behind act of
17 2001, Public Law 107-110, or the every student succeeds act, Public
18 Law 114-95. However, if a district educates pupils who reside in
19 another district and if the primary instructional site for those
20 pupils is established by the educating district after 2009-2010 and
21 is located within the boundaries of that other district, the
22 educating district must have the approval of that other district to
23 count those pupils in membership.

24 (7) "Pupil membership count day" of a district or intermediate
25 district means:

26 (a) Except as provided in subdivision (b) or (c), either of
27 the following:

28 (i) The first Wednesday in October each school year.

29 (ii) For a district or building in which school is not in



1 session on the Wednesday described in subparagraph (i) due to
2 conditions not within the control of school authorities, with the
3 approval of the superintendent, the immediately following day on
4 which school is in session in the district or building.

5 (b) Except as otherwise provided in subdivision (c), for a
6 district or intermediate district maintaining school during the
7 entire school year, the following days:

8 (i) Fourth Wednesday in July.

9 (ii) First Wednesday in October.

10 (iii) Second Wednesday in February.

11 (iv) Fourth Wednesday in April.

12 (c) If a date listed in subdivision (a) or (b) is on a day of
13 religious or cultural significance, as determined by the district
14 or intermediate district, the immediately following day on which
15 school is in session in the district or building.

16 (8) "Pupils in grades K to 12 actually enrolled and in regular
17 daily attendance" means, except as otherwise provided in this
18 section, pupils in grades K to 12 in attendance and receiving
19 instruction in all classes for which they are enrolled on the pupil
20 membership count day or the supplemental count day, as applicable.
21 Except as otherwise provided in this section and subsection, a
22 pupil who is absent from any of the classes in which the pupil is
23 enrolled on the pupil membership count day or supplemental count
24 day and who does not attend each of those classes during the 10
25 consecutive school days immediately following the pupil membership
26 count day or supplemental count day, except for a pupil who has
27 been excused by the district, is not counted as 1.0 full-time
28 equated membership. Except as otherwise provided in this section, a
29 pupil who is excused from attendance on the pupil membership count



1 day or supplemental count day and who fails to attend each of the
 2 classes in which the pupil is enrolled within 30 calendar days
 3 after the pupil membership count day or supplemental count day is
 4 not counted as 1.0 full-time equated membership. Except as
 5 otherwise provided in this section, in addition, a pupil who was
 6 enrolled and in attendance in a district, intermediate district, or
 7 public school academy before the pupil membership count day or
 8 supplemental count day of a particular year but was expelled or
 9 suspended on the pupil membership count day or supplemental count
 10 day is only counted as 1.0 full-time equated membership if the
 11 pupil resumed attendance in the district, intermediate district, or
 12 public school academy within 45 days after the pupil membership
 13 count day or supplemental count day of that particular year. Except
 14 as otherwise provided in this section, a pupil not counted as 1.0
 15 full-time equated membership due to an absence from a class is
 16 counted as a prorated membership for the classes the pupil
 17 attended. For purposes of this subsection:

18 (a) "Appropriately placed" means holding a valid Michigan
 19 educator credential with the required grade range and discipline or
 20 subject area for the assignment, as defined by the superintendent
 21 of public instruction.

22 (b) "Class" means either of the following, as applicable:

23 (i) A period of time in 1 day when pupils and an individual who
 24 is appropriately placed under a valid certificate, substitute
 25 permit, authorization, or approval issued by the department, are
 26 together and instruction is taking place. This subdivision does not
 27 apply for the ~~2024-2025 and 2025-2026~~ **2026-2027** school ~~years~~ **year**.

28 (ii) For the ~~2024-2025 and 2025-2026~~ **2026-2027** school ~~years~~
 29 **year** only, a period of time in 1 day when pupils and a certificated



1 teacher, a teacher engaged to teach under section 1233b of the
2 revised school code, MCL 380.1233b, or an individual working under
3 a valid substitute permit, authorization, or approval issued by the
4 department are together and instruction is taking place.

5 (9) "Rule" means a rule promulgated pursuant to the
6 administrative procedures act of 1969, 1969 PA 306, MCL 24.201 to
7 24.328.

8 (10) "The revised school code" means the revised school code,
9 1976 PA 451, MCL 380.1 to 380.1852.

10 (11) "School district of the first class", "first class school
11 district", and "district of the first class" mean, for the purposes
12 of this article only, a district that had at least 40,000 pupils in
13 membership for the immediately preceding fiscal year.

14 (12) "School fiscal year" means a fiscal year that commences
15 July 1 and continues through June 30.

16 (13) "State board" means the state board of education.

17 (14) "Superintendent", unless the context clearly refers to a
18 district or intermediate district superintendent, means the
19 superintendent of public instruction described in section 3 of
20 article VIII of the state constitution of 1963.

21 (15) "Supplemental count day" means the day on which the
22 supplemental pupil count is conducted under section 6a.

23 (16) "Tuition pupil" means a pupil of school age attending
24 school in a district other than the pupil's district of residence
25 for whom tuition may be charged to the district of residence.
26 Tuition pupil does not include a pupil who is a special education
27 pupil, a pupil described in subsection (6)(d) to (n), or a pupil
28 whose parent or guardian voluntarily enrolls the pupil in a
29 district that is not the pupil's district of residence. A pupil's



1 district of residence shall not require a high school tuition
 2 pupil, as provided under section 111, to attend another school
 3 district after the pupil has been assigned to a school district.

4 (17) "State school aid fund" means the state school aid fund
 5 established in section 11 of article IX of the state constitution
 6 of 1963.

7 (18) "Taxable value" means, except as otherwise provided in
 8 this article, the taxable value of property as determined under
 9 section 27a of the general property tax act, 1893 PA 206, MCL
 10 211.27a.

11 (19) "Textbook" means a book, electronic book, or other
 12 instructional print or electronic resource that is selected and
 13 approved by the governing board of a district and that contains a
 14 presentation of principles of a subject, or that is a literary work
 15 relevant to the study of a subject required for the use of
 16 classroom pupils, or another type of course material that forms the
 17 basis of classroom instruction.

18 (20) "Total state aid" or "total state school aid", except as
 19 otherwise provided in this article, means the total combined amount
 20 of all funds due to a district, intermediate district, or other
 21 entity under this article.

22 Sec. 11. (1) ~~For the fiscal year ending September 30, 2025,~~
 23 ~~there is appropriated for the public schools of this state and~~
 24 ~~certain other state purposes relating to education the sum of~~
 25 ~~\$17,936,546,300.00 from the state school aid fund, the sum of~~
 26 ~~\$78,830,600.00 from the general fund, an amount not to exceed~~
 27 ~~\$41,000,000.00 from the community district education trust fund~~
 28 ~~created under section 12 of the Michigan trust fund act, 2000 PA~~
 29 ~~489, MCL 12.262, an amount not to exceed \$125,000,000.00 from the~~



~~school transportation fund created under section 22k, an amount not~~
~~to exceed \$71,000,000.00 from the enrollment stabilization fund~~
~~created under section 29, an amount not to exceed \$30,000,000.00~~
~~from the school meals reserve fund created under section 30e, an~~
~~amount not to exceed \$18,000,000.00 from the great start readiness~~
~~program reserve fund created under section 32e, an amount not to~~
~~exceed \$481,400,000.00 from the MPSEERS retirement obligation reform~~
~~reserve fund created under section 147b, and an amount not to~~
~~exceed \$30,000,000.00 from the educator fellowship public provider~~
~~fund created in section 27d.~~ For the fiscal year ending September
 30, 2026, there is appropriated for the public schools of this
 state and certain other state purposes relating to education the
 sum of ~~\$18,366,334,700.00~~ **\$18,189,425,300.00** from the state school
 aid fund, the sum of \$73,151,100.00 from the general fund, an
 amount not to exceed \$100,000,000.00 from the school consolidation
 and infrastructure fund created under section 11x, an amount not to
 exceed \$125,000,000.00 from the school transportation fund created
 under section 22k, an amount not to exceed \$71,000,000.00 from the
 enrollment stabilization fund created under section 29, an amount
 not to exceed \$18,000,000.00 from the great start readiness program
 reserve fund created under section 32e, an amount not to exceed
 \$30,000,000.00 from the educator fellowship public provider fund
 created under section 27d, an amount not to exceed \$97,037,400.00
 from the state school aid pupil support reserve fund created under
 section 22r, and an amount not to exceed \$600,000.00 from the
 general pupil support reserve fund created under section 22s. **For**
the fiscal year ending September 30, 2027, there is appropriated
for the public schools of this state and certain other state
purposes relating to education the sum of \$18,705,849,400.00 from



the state school aid fund, the sum of \$67,334,900.00 from the general fund, an amount not to exceed \$125,000,000.00 from the school transportation fund created under section 22k, an amount not to exceed \$71,000,000.00 from the enrollment stabilization fund created under section 29, an amount not to exceed \$18,000,000.00 from the great start readiness program reserve fund created under section 32e, an amount not to exceed \$30,000,000.00 from the educator fellowship public provider fund created under section 27d, an amount not to exceed \$14,300,000.00 from the educator fellowship private provider fund created under section 27e, an amount not to exceed \$87,037,400.00 from the state school aid pupil support reserve fund created under section 22r, and an amount not to exceed \$600,000.00 from the general pupil support reserve fund created under section 22s. In addition, all available federal funds are only appropriated as allocated in this article for the fiscal years ending ~~September 30, 2025 and September 30, 2026~~ **and September 30, 2027.**

(2) The appropriations under this section are allocated as provided in this article. Money appropriated under this section from the general fund must be expended to fund the purposes of this article before the expenditure of money appropriated under this section from the state school aid fund.

(3) Any general fund allocations under this article that are not expended by the end of the fiscal year are transferred to the school aid stabilization fund created under section 11a.

Sec. 11a. (1) The school aid stabilization fund is created as a separate account within the state school aid fund.

(2) The state treasurer may receive money or other assets from any source for deposit into the school aid stabilization fund. The



1 state treasurer shall deposit into the school aid stabilization
2 fund all of the following:

3 (a) Unexpended and unencumbered state school aid fund revenue
4 for a fiscal year that remains in the state school aid fund as of
5 the bookclosing for that fiscal year.

6 (b) Money statutorily dedicated to the school aid
7 stabilization fund.

8 (c) Money appropriated to the school aid stabilization fund.

9 (3) Money available in the school aid stabilization fund may
10 not be expended without a specific appropriation from the school
11 aid stabilization fund. Money in the school aid stabilization fund
12 must be expended only for purposes for which state school aid fund
13 money may be expended.

14 (4) The state treasurer shall direct the investment of the
15 school aid stabilization fund. The state treasurer shall credit to
16 the school aid stabilization fund interest and earnings from fund
17 investments.

18 (5) Money in the school aid stabilization fund at the close of
19 a fiscal year remains in the school aid stabilization fund and does
20 not lapse to the unreserved school aid fund balance or the general
21 fund.

22 (6) If the maximum amount appropriated under section 11 from
23 the state school aid fund for a fiscal year exceeds the amount
24 available for expenditure from the state school aid fund for that
25 fiscal year, there is appropriated from the school aid
26 stabilization fund to the state school aid fund an amount equal to
27 the projected shortfall as determined by the department of
28 treasury, but not to exceed available money in the school aid
29 stabilization fund. If the money in the school aid stabilization



1 fund is insufficient to fully fund an amount equal to the projected
 2 shortfall, the state budget director shall notify the legislature
 3 as required under section 296(2) and state payments in an amount
 4 equal to the remainder of the projected shortfall must be prorated
 5 in the manner provided under section 296(3).

6 (7) For ~~2025-2026-2026-2027~~, in addition to the appropriations
 7 in section 11, there is appropriated from the school aid
 8 stabilization fund to the state school aid fund the amount
 9 necessary to fully fund the allocations under this article.

10 Sec. 11j. From the state school aid fund money appropriated in
 11 section 11, there is allocated an amount not to exceed
 12 \$23,000,000.00 for ~~2025-2026-2026-2027~~ for payments to the school
 13 loan bond redemption fund in the department of treasury on behalf
 14 of districts and intermediate districts. Notwithstanding section
 15 296 or any other provision of this act, funds allocated under this
 16 section are not subject to proration and must be paid in full.

17 Sec. 11k. For ~~2025-2026-~~**2026-2027**, there is appropriated from
 18 the general fund to the school loan revolving fund an amount equal
 19 to the amount of school bond loans assigned to the Michigan finance
 20 authority, not to exceed the total amount of school bond loans held
 21 in reserve as long-term assets. As used in this section, "school
 22 loan revolving fund" means that fund created in section 16c of the
 23 shared credit rating act, 1985 PA 227, MCL 141.1066c.

24 Sec. 11m. From the state school aid fund money appropriated in
 25 section 11, there is allocated for ~~2025-2026-~~**2026-2027** an amount
 26 not to exceed \$5,000,000.00 for fiscal year cash-flow borrowing
 27 costs solely related to the state school aid fund established under
 28 section 11 of article IX of the state constitution of 1963.

29 Sec. 11x. (1) The school consolidation and infrastructure fund



1 is created as a separate account within the state school aid fund
2 for the purpose of improving student academic outcomes, increasing
3 the efficiency of the state's public education system, and creating
4 a healthy and safe space for students in this state.

5 (2) The state treasurer may receive money or other assets from
6 any source for deposit into the school consolidation and
7 infrastructure fund. The state treasurer shall direct the
8 investment of the school consolidation and infrastructure fund. The
9 state treasurer shall credit to the school consolidation and
10 infrastructure fund interest and earnings from school consolidation
11 and infrastructure fund investments.

12 (3) Money in the school consolidation and infrastructure fund
13 at the close of the fiscal year remains in the school consolidation
14 and infrastructure fund and does not lapse to the state school aid
15 fund or the general fund.

16 (4) The department of treasury is the administrator of the
17 school consolidation and infrastructure fund for auditing purposes.

18 (5) Money available in the school consolidation and
19 infrastructure fund must not be expended without a specific
20 appropriation.

21 (6) From the state school aid fund money appropriated under
22 section 11, there is allocated for 2022-2023 only an amount not to
23 exceed \$5,000,000.00 for grants to districts and intermediate
24 districts to support the cost of a feasibility study or analysis of
25 consolidation or the consolidation of services among 1 or more
26 buildings within a district, among 1 or more districts, or among 1
27 or more intermediate districts. Districts and intermediate
28 districts may apply for a grant under this subsection to the
29 department on a first-come, first-serve basis. The maximum amount



1 of a grant to be distributed under this subsection may not exceed
2 \$250,000.00. Notwithstanding section 17b, the department shall make
3 payments under this subsection on a schedule determined by the
4 department.

5 (7) To be eligible for a grant under subsection (6), a
6 district or intermediate district must demonstrate to the
7 department, in the manner prescribed by the department, that it
8 will conduct a feasibility study or analysis and that all of the
9 following will be met:

10 (a) Within 30 days after completion of the study or analysis,
11 the district or intermediate district will make the results of the
12 study or analysis available to all districts and intermediate
13 districts included in the study or analysis. Within 60 days after
14 the completion of the study or analysis, the district or
15 intermediate district will make the results available on a publicly
16 available website.

17 (b) The study or analysis may include, but is not limited to,
18 consolidation opportunities in the following areas:

19 (i) Financial services, which may include, but is not limited
20 to, the following:

21 (A) Budgeting and staffing.

22 (B) Payroll.

23 (C) Employee benefits.

24 (D) State reporting.

25 (E) Software consolidation to achieve common software
26 throughout the intermediate district.

27 (ii) Human resources, which may include, but is not limited to,
28 the following:

29 (A) Onboarding.



1 (B) Title IX administration.

2 (C) Hiring.

3 (D) Software consolidation to achieve common software
4 throughout the intermediate district.

5 (iii) Information technology, which may include, but is not
6 limited to, the following:

7 (A) Software consolidation to achieve common software
8 throughout the intermediate district.

9 (B) Fiber projects.

10 (C) Cybersecurity.

11 (D) One-to-one device management.

12 (iv) Grant management and reporting, which may include, but is
13 not limited to, the following:

14 (A) Management of all state grant sites and databases.

15 (B) Grant reporting.

16 (v) Cash management, which may include, but is not limited to,
17 the opportunities for intermediate districts and districts to
18 contract on cash flow management to maximize interest earnings.

19 (vi) Debt issuance and management, including at least all of
20 the following:

21 (A) Refunding opportunities.

22 (B) New bond issue analysis.

23 (vii) School facility consolidation.

24 (viii) Consolidation of transportation-related activities.

25 (ix) The physical consolidation of districts.

26 (8) An intermediate district that receives a grant under this
27 section shall meet with its constituent districts located within
28 the intermediate district to discuss the results of the study or
29 analysis and to implement changes where feasible. The application



1 for an intermediate district must include a brief description of
2 how the intermediate district will conduct these meetings.

3 (9) To be eligible for the receipt of funding for
4 infrastructure-related projects appropriated from the school
5 consolidation and infrastructure fund created under this section, a
6 district must allow for the facility condition assessments
7 described in section 11y to be conducted in the district. It is the
8 intent of the legislature that money in the school consolidation
9 and infrastructure fund will not be appropriated for infrastructure
10 projects until the completion of the facility condition assessments
11 described in section 11y.

12 (10) For 2025-2026, \$83,400,000.00 from the school
13 consolidation and infrastructure fund must be deposited into the
14 state school aid fund.

15 **(11) For the fiscal year ending September 30, 2027 only,**
16 **\$11,000,000.00 from the state school aid fund is deposited into the**
17 **school consolidation and infrastructure fund.**

18 Sec. 11z. (1) The school aid countercyclical budget and
19 foundation stabilization fund is created as a separate account in
20 the state school aid fund.

21 (2) The state treasurer may receive money or other assets from
22 any source for deposit into the school aid countercyclical budget
23 and foundation stabilization fund.

24 (3) The state treasurer shall direct the investment of the
25 school aid countercyclical budget and foundation stabilization
26 fund. The state treasurer shall credit to the school aid
27 countercyclical budget and foundation stabilization fund interest
28 and earnings from fund investments.

29 (4) Money in the school aid countercyclical budget and



1 foundation stabilization fund at the close of a fiscal year remains
2 in the school aid countercyclical budget and foundation
3 stabilization fund and does not lapse to the state school aid fund
4 or the general fund.

5 (5) Except as provided in subsections (6) and (7), money
6 available in the school aid countercyclical budget and foundation
7 stabilization fund may not be expended without a specific
8 appropriation from the school aid countercyclical budget and
9 foundation stabilization fund.

10 (6) If, for a given fiscal year, the department of treasury
11 determines that proration of payments under this article will be
12 required under section 296, the amount necessary to avoid
13 proration, or an amount necessary to reduce proration, may be
14 deposited from the school aid countercyclical budget and foundation
15 stabilization fund into the state school aid fund. The state budget
16 director shall notify the legislature of a deposit under this
17 subsection at least 30 calendar days or 6 legislative session days,
18 whichever is more, before a deposit is made. Funds deposited into
19 the state school aid fund under this subsection must be used only
20 to eliminate or reduce proration under this article, as required
21 under section 296. If, after making final calculations under
22 section 296, the amount deposited into the state school aid fund
23 under this section exceeds the amount actually necessary to
24 eliminate or reduce proration, the excess amount must be deposited
25 back into the school aid countercyclical budget and foundation
26 stabilization fund.

27 (7) If year-over-year revenues for the state school aid fund
28 are projected to decline, as determined during the final revenue
29 estimating conference of a given fiscal year, the gross year-over-



1 year decline in state school aid fund revenue may be deposited from
 2 the school aid countercyclical budget and foundation stabilization
 3 fund into the state school aid fund. The state budget director
 4 shall notify the legislature of a deposit under this subsection at
 5 least 30 calendar days or 6 legislative session days, whichever is
 6 more, before a deposit is made.

7 (8) Funds deposited into the state school aid fund under this
 8 section must be appropriated only for purposes under article I.

9 (9) For the fiscal year ending September 30, ~~2025~~**2027** only,
 10 ~~\$25,000,000.00~~**\$239,113,600.00** from the state school aid fund is
 11 deposited into the school aid countercyclical budget and foundation
 12 stabilization fund.

13 (10) As used in this section:

14 (a) "Revenue estimating conference" means a revenue estimating
 15 conference occurring in May as described in section 367b of the
 16 management and budget act, MCL 18.1367b.

17 (b) "Year-over-year" means a comparison of the fiscal year in
 18 which calculations are being made to the fiscal year immediately
 19 preceding the fiscal year in which calculations are being made.

20 Sec. 12e. (1) From the school consolidation and infrastructure
 21 fund money appropriated in section 11, there is allocated for ~~2025~~
 22 ~~2026~~**2026-2027** only an amount estimated at ~~\$100,000,000.00~~
 23 **\$150,000,000.00** for grants to districts and intermediate districts
 24 for infrastructure needs as described in this section.

25 (2) Districts and intermediate districts must apply on a
 26 competitive basis for funding in a form and manner determined by
 27 the department.

28 (3) ~~If the amount allocated under subsection (1) is~~
 29 ~~insufficient to fully fund awards under this section, there is~~



~~appropriated from the school consolidation and infrastructure fund described in section 11x the amount necessary to fully fund these awards, or the maximum available in the fund, whichever is less. The state budget director shall provide notification to the house and senate appropriations subcommittees on school aid and the house and senate fiscal agencies regarding any additional appropriation described in this subsection.~~

~~(4)~~ The department shall prioritize applications from districts and intermediate districts that meet any of the following criteria:

(a) Are in an opportunity index band, as described in section 31a, of 4 or higher.

(b) Are an intermediate district for which the percentage of pupils in membership who were determined to be economically disadvantaged in the immediately preceding fiscal year is equal to or greater than the minimum percentage for a district or public school academy to be in an opportunity index band, as described in section 31a, of 4 or higher.

(c) Have infrastructure needs ~~related to HVAC systems or roofing.~~ **identified by the statewide school facilities study issued pursuant to section 11y as being critical needs. A district or intermediate district must demonstrate that the needs described in this subdivision affect the health, safety, or well-being of students.**

(d) Have no ability to issue bonds for infrastructure needs, or have made a good-faith effort, as determined by the department, to issue bonds for infrastructure needs.

(4) ~~(5)~~ Funds awarded in subsection ~~(4)~~ **(3)** may be used only to address infrastructure needs that were identified **as critical**



1 **needs** in the statewide school facilities study issued pursuant to
2 section 11y.

3 **(5) A district or intermediate district receiving funds under**
4 **section 12f may not be awarded more than \$10,000,000.00 in grants**
5 **under this section.**

6 (6) The funds allocated under this section for ~~2025-2026-2026-~~
7 **2027** are a work project appropriation, and any unexpended funds for
8 ~~2025-2026-2026-2027~~ are carried forward into ~~2026-2027-~~**2027-2028.**

9 The purpose of the work project is to fund district and
10 intermediate district infrastructure needs. The estimated
11 completion date of the work project is September 30, ~~2030-~~**2029.**

12 (7) Notwithstanding section 17b, the department shall make
13 payments under this section on a schedule determined by the
14 department.

15 **Sec. 12f. (1) From the state school aid fund money**
16 **appropriated in section 11, there is allocated for 2026-2027 only**
17 **an amount not to exceed \$8,800,000.00 for grants to districts to**
18 **cover costs associated with the demolition of vacant buildings on**
19 **property owned by the district.**

20 (2) A district shall apply for funding under this section in a
21 form and manner determined by the department.

22 (3) The department shall prioritize applicants that have lost
23 more than 80% of their pupil membership since 2002-2003 with the
24 greatest number of derelict properties.

25 (4) Notwithstanding section 17b, the department shall make
26 payments under this section on a schedule determined by the
27 department.

28 (5) Notwithstanding section 18a, funds allocated for programs
29 described in subsection (1) may be available for expenditure until



1 **September 30, 2029. A recipient of funding for a program described**
2 **in subsection (1) must return any unexpended funds to the**
3 **department in a manner prescribed by the department by not later**
4 **than October 30, 2029.**

5 Sec. 15. (1) If a district or intermediate district fails to
6 receive its proper apportionment, the department, upon satisfactory
7 proof that the district or intermediate district was entitled
8 justly, shall apportion the deficiency in the next apportionment.
9 Subject to subsections (2) and (3), if a district or intermediate
10 district has received more than its proper apportionment, the
11 department, upon satisfactory proof, shall deduct the excess in the
12 next apportionment. Notwithstanding any other provision in this
13 article, state aid overpayments to a district, other than
14 overpayments in payments for special education or special education
15 transportation, may be recovered from any payment made under this
16 article other than a special education or special education
17 transportation payment, from the proceeds of a loan to the district
18 under the emergency municipal loan act, 1980 PA 243, MCL 141.931 to
19 141.942, or from the proceeds of millage levied or pledged under
20 section 1211 of the revised school code, MCL 380.1211. State aid
21 overpayments made in special education or special education
22 transportation payments may be recovered from subsequent special
23 education or special education transportation payments, from the
24 proceeds of a loan to the district under the emergency municipal
25 loan act, 1980 PA 243, MCL 141.931 to 141.942, or from the proceeds
26 of millage levied or pledged under section 1211 of the revised
27 school code, MCL 380.1211.

28 (2) If the result of an audit conducted by or for the
29 department affects the current fiscal year membership, the



1 department shall adjust affected payments in the current fiscal
2 year. A deduction due to an adjustment made as a result of an audit
3 conducted by or for the department, or as a result of information
4 obtained by the department from the district, an intermediate
5 district, the department of treasury, or the office of auditor
6 general, must be deducted from the district's apportionments when
7 the adjustment is finalized. At the request of the district and
8 upon the district presenting evidence satisfactory to the
9 department of the hardship, the department may grant up to an
10 additional 4 years for the adjustment and may advance payments to
11 the district otherwise authorized under this article if the
12 district would otherwise experience a significant hardship in
13 satisfying its financial obligations. However, a district that
14 presented satisfactory evidence of hardship and was undergoing an
15 extended adjustment during 2018-2019 may continue to use the period
16 of extended adjustment as originally granted by the department.

17 (3) If, based on an audit by the department or the
18 department's designee or because of new or updated information
19 received by the department, the department determines that the
20 amount paid to a district or intermediate district under this
21 article for the current fiscal year or a prior fiscal year was
22 incorrect, the department shall make the appropriate deduction or
23 payment in the district's or intermediate district's allocation in
24 the next apportionment after the adjustment is finalized. The
25 department shall calculate the deduction or payment according to
26 the law in effect in the fiscal year in which the incorrect amount
27 was paid. If the district does not receive an allocation for the
28 fiscal year or if the allocation is insufficient to pay the amount
29 of any deduction, the amount of any deduction otherwise applicable



1 must be satisfied from the proceeds of a loan to the district under
2 the emergency municipal loan act, 1980 PA 243, MCL 141.931 to
3 141.942, or from the proceeds of millage levied or pledged under
4 section 1211 of the revised school code, MCL 380.1211, as
5 determined by the department.

6 (4) If the department makes an adjustment under this section
7 based in whole or in part on a membership audit finding that a
8 district or intermediate district employed an educator in violation
9 of certification requirements under the revised school code and
10 rules promulgated by the department, the department shall prorate
11 the adjustment according to the period of noncompliance with the
12 certification requirements.

13 (5) The department may conduct audits, or may direct audits by
14 designee of the department, for the current fiscal year and the
15 immediately preceding fiscal year of all records related to a
16 program for which a district or intermediate district has received
17 funds under this article.

18 (6) Expenditures made by departments under this article that
19 are caused by the write-off of prior year accruals may be funded by
20 revenue from the write-off of prior year accruals.

21 (7) In addition to funds appropriated in section 11 for all
22 programs and services, there is appropriated for ~~2024-2025 and~~
23 **2025-2026 and 2026-2027** for obligations in excess of applicable
24 appropriations an amount equal to the collection of overpayments,
25 but not to exceed amounts available from overpayments.

26 **Sec. 16. (1) The department shall not enter into a state**
27 **contract with an individual if, at any time during the 2-year**
28 **period immediately preceding the initial date of hire or the**
29 **effective date of the contract, the individual was a department**



1 employee.

2 (2) The department shall not enter into a state contract with
3 an individual if an employee of the department may financially
4 benefit from the contract.

5 Sec. 16a. (1) The curriculum used by a district must not, in
6 any way, include the promotion of any form of race or gender
7 stereotyping or anything that could be understood as implicit race
8 or gender stereotyping. As used in this subsection, "race or gender
9 stereotyping" means a set of statements, beliefs, or ideas that
10 conform wholly or in part with the following general or particular
11 statements:

12 (a) That all individuals comprising a racial or ethnic group
13 or gender hold a collective quality or belief.

14 (b) That individuals act in certain ways or hold certain
15 opinions because of their race or gender.

16 (c) That individuals are born racist or sexist by accident of
17 their race or gender.

18 (d) That individuals bear collective guilt for historical
19 wrongs committed by their race or gender.

20 (e) That cultural norms or practices of a racial or ethnic
21 group or gender are flawed and must be eliminated or changed to
22 conform with those of another racial or ethnic group or gender.

23 (f) That racism is inherent in individuals from a particular
24 race or ethnic group or that sexism is inherent in individuals from
25 a particular gender.

26 (g) That a racial or ethnic group or gender is in need of
27 deconstruction, elimination, or criticism.

28 (h) That the actions of individuals serve as an indictment
29 against the race or gender of those individuals.



1 (2) State funding must not be used for diversity, equity, and
2 inclusion (DEI) initiatives or programs as outlined in Executive
3 Order No. 14190, "Ending Racial Indoctrination in K-12 Schooling".

4 (3) The board of a district or board of directors of a public
5 school academy that participates in interscholastic athletic
6 activities shall designate interscholastic athletic teams and
7 sports based on the sex of the participants, with separate teams
8 for participants of the female sex within female sports divisions,
9 separate teams for participants of the male sex within male sports
10 divisions, and, if applicable, co-ed teams for participants of the
11 female and male sexes within co-ed sports divisions. A district
12 shall not knowingly allow individuals of the male sex to
13 participate on athletic teams or in athletic competitions
14 designated for only participants of the female sex. This subsection
15 must not be construed to restrict the eligibility of any student to
16 participate on any interscholastic athletic teams or in
17 interscholastic athletic activities that are designated as male or
18 co-ed. As used in this subsection:

19 (a) "Female" means an individual of the sex characterized by a
20 reproductive system with the biological function of producing eggs
21 (ova).

22 (b) "Male" means an individual of the sex characterized by a
23 reproductive system with the biological function of producing
24 sperm.

25 (c) "Sex" means an individual's immutable biological
26 classification as male or female.

27 (4) A district or intermediate district shall not provide
28 multistall unisex bathrooms for students.

29 (5) A district or intermediate district shall provide notice



1 to a student's parent or legal guardian if the student requests to
2 be addressed by a different name or with different pronouns.

3 (6) If a district or intermediate district fails to meet the
4 requirements of this section, the department shall withhold 20% of
5 the district's or intermediate district's allocation under section
6 22b until the district or intermediate district complies with this
7 section. If the district or intermediate district does not comply
8 with this section by the end of the fiscal year, the department
9 shall place the amount withheld in an escrow account until the
10 district or intermediate district complies with this section.

11 Sec. 18e. By not later than September 1, 2026, the department
12 shall release to Washington Parks Academy any funds withheld from
13 Washington Parks Academy under this act during the 2024-2025 fiscal
14 year, provided that an Agreed-Upon Procedures plan regarding
15 Washington Parks Academy has been submitted to the department at
16 the direction of the United States Department of Education.

17 Sec. 19. (1) A district or intermediate district shall comply
18 with all applicable reporting requirements specified in state and
19 federal law. Data provided to the center, in a form and manner
20 prescribed by the center, must be aggregated and disaggregated as
21 required by state and federal law. In addition, a district or
22 intermediate district shall cooperate with all measures taken by
23 the center to establish and maintain a statewide P-20 longitudinal
24 data system.

25 (2) Each district shall furnish to the center not later than 5
26 weeks after the pupil membership count day and by the last business
27 day in June of the school fiscal year ending in the fiscal year, in
28 a manner prescribed by the center, the information necessary for
29 the preparation of the district and high school graduation report,



1 information regarding completion of early middle college
2 credentials obtained and postsecondary credits obtained in any
3 college acceleration program, and information necessary for the
4 preparation of the state and federal accountability reports. This
5 information must meet requirements established in the pupil
6 auditing manual approved and published by the department. The
7 center shall calculate an annual graduation and pupil dropout rate
8 for each high school, each district, and this state, in compliance
9 with nationally recognized standards for these calculations. The
10 center shall report all graduation and dropout rates to the senate
11 and house education committees and appropriations committees, the
12 state budget director, and the department not later than 30 days
13 after the publication of the list described in subsection (5).
14 Before reporting these graduation and dropout rates, the department
15 shall allow a school or district to appeal the calculations. The
16 department shall consider and act upon the appeal within 30 days
17 after it is submitted and shall not report these graduation and
18 dropout rates until after all appeals have been considered and
19 decided.

20 (3) By the first business day in December and by the last
21 business day in June of each year, **and within 30 days of any change**
22 **in employment or assignment status if the change in employment or**
23 **assignment status is related to the health, safety, or well-being**
24 **of students**, a district shall furnish to the center, in a manner
25 prescribed by the center, information related to educational
26 personnel and personnel vacancies as necessary for reporting
27 required by state and federal law. For the purposes of this
28 subsection, the center shall only require districts and
29 intermediate districts to report information that is not already



1 available from the office of retirement services in the department
2 of technology, management, and budget, **including, but not limited**
3 **to, vacancy start and end dates, reasons for the vacancy, and**
4 **reasons for vacancy terminations.**

5 (4) If a district or intermediate district fails to meet the
6 requirements of this section, the department shall withhold 5% of
7 the total funds for which the district or intermediate district
8 qualifies under this article until the district or intermediate
9 district complies with this section. If the district or
10 intermediate district does not comply with this section by the end
11 of the fiscal year, the department shall place the amount withheld
12 in an escrow account until the district or intermediate district
13 complies with this section.

14 (5) Before publishing a list of school or district
15 accountability designations as required by the no child left behind
16 act of 2001, Public Law 107-110, or the every student succeeds act,
17 Public Law 114-95, and utilizing data that were certified as
18 accurate and complete after districts and intermediate districts
19 adhered to deadlines, data quality reviews, and correction
20 processes leading to local certification of final student data in
21 subsection (2), the department shall allow a school or district to
22 appeal any calculation errors used in the preparation of
23 accountability metrics. The department shall consider and act upon
24 the appeal within 30 days after it is submitted and shall not
25 publish the list until after all appeals have been considered and
26 decided.

27 (6) The department shall implement statewide standard
28 reporting requirements for education data approved by the
29 department in conjunction with the center. The department shall



1 work with the center, intermediate districts, districts, and other
 2 interested stakeholders to implement this policy change. A district
 3 or intermediate district shall implement the statewide standard
 4 reporting requirements not later than 2017-2018 or when a district
 5 or intermediate district updates its education data reporting
 6 system, whichever is later.

7 (7) A district or intermediate district shall collect and
 8 submit to the center tribal affiliation data for all students and
 9 staff and the identification of student participation in federal
 10 programs funded under 20 USC 7401 to 7546 and participation in
 11 federal programs funded under the Johnson-O'Malley ~~Supplemental~~
 12 **supplemental Indian Education Program Modernization Act, education**
 13 **program modernization act**, Public Law 115-404. The data must be
 14 reported in a form and manner prescribed by the center in
 15 consultation with the federally recognized Indian tribes in this
 16 state and the department in adherence to the department's tribal
 17 consultation policy. A district or intermediate district shall
 18 begin completion of the reporting requirement under this subsection
 19 by not later than the 2024-2025 fiscal year.

20 Sec. 20. (1) For ~~2025-2026,~~ **2026-2027**, the target foundation
 21 allowance is ~~\$10,050.00.~~ **\$10,300.00.**

22 (2) The department shall calculate the amount of each
 23 district's foundation allowance as provided in this section, using
 24 a target foundation allowance in the amount specified in subsection
 25 (1).

26 (3) Except as otherwise provided in this section, the
 27 department shall calculate the amount of a district's foundation
 28 allowance as follows, using in all calculations the total amount of
 29 the district's foundation allowance as calculated before any



1 proration:

2 (a) For a district that had a foundation allowance for the
3 immediately preceding fiscal year that was equal to the target
4 foundation allowance for the immediately preceding fiscal year, the
5 district receives a foundation allowance in an amount equal to the
6 target foundation allowance described in subsection (1) for the
7 current fiscal year.

8 (b) For a district that had a foundation allowance for the
9 immediately preceding fiscal year that was greater than the target
10 foundation allowance for the immediately preceding fiscal year, the
11 district's foundation allowance is an amount equal to the lesser of
12 (the sum of the district's foundation allowance for the immediately
13 preceding fiscal year plus any per pupil amount calculated under
14 section 20m(2) in the immediately preceding fiscal year plus the
15 increase in the target foundation allowance for the current fiscal
16 year, as compared to the immediately preceding fiscal year) or (the
17 product of the district's foundation allowance for the immediately
18 preceding fiscal year times the percentage increase in the United
19 States Consumer Price Index in the calendar year ending in the
20 immediately preceding fiscal year as reported by the May revenue
21 estimating conference conducted under section 367b of the
22 management and budget act, 1984 PA 431, MCL 18.1367b).

23 (c) For a district that had a foundation allowance in the
24 immediately preceding fiscal year that was less than the target
25 foundation allowance in effect for that fiscal year, the district's
26 foundation allowance is an amount equal to the lesser of (the sum
27 of district's foundation allowance for the immediately preceding
28 fiscal year plus any per pupil amount calculated under section
29 20m(2) in the immediately preceding fiscal year plus the increase



1 in the target foundation allowance for the current fiscal year, as
2 compared to the immediately preceding fiscal year) or (the product
3 of the district's foundation allowance for the immediately
4 preceding fiscal year times the percentage increase in the United
5 States Consumer Price Index in the calendar year ending in the
6 immediately preceding fiscal year as reported by the May revenue
7 estimating conference conducted under section 367b of the
8 management and budget act, 1984 PA 431, MCL 18.1367b).

9 (d) For a district that has a foundation allowance that is not
10 a whole dollar amount, the department shall round the district's
11 foundation allowance up to the nearest whole dollar.

12 (4) Except as otherwise provided in this subsection, the state
13 portion of a district's foundation allowance is an amount equal to
14 the district's foundation allowance or the target foundation
15 allowance for the current fiscal year, whichever is less, minus the
16 local portion of the district's foundation allowance. Except as
17 otherwise provided in this subsection, for a district described in
18 subsection (3) (b) and (c), the state portion of the district's
19 foundation allowance is an amount equal to the target foundation
20 allowance minus the district's foundation allowance supplemental
21 payment per pupil calculated under section 20m and minus the local
22 portion of the district's foundation allowance. For a district that
23 has a millage reduction required under section 31 of article IX of
24 the state constitution of 1963, the department shall calculate the
25 state portion of the district's foundation allowance as if that
26 reduction did not occur. For a receiving district, if school
27 operating taxes continue to be levied on behalf of a dissolved
28 district that has been attached in whole or in part to the
29 receiving district to satisfy debt obligations of the dissolved



1 district under section 12 of the revised school code, MCL 380.12,
 2 the taxable value per membership pupil of property in the receiving
 3 district used for the purposes of this subsection does not include
 4 the taxable value of property within the geographic area of the
 5 dissolved district. ~~For~~ **Before the fiscal year ending September 30,**
 6 **2027, for** a community district, if school operating taxes continue
 7 to be levied by a qualifying school district under section 12b of
 8 the revised school code, MCL 380.12b, with the same geographic area
 9 as the community district, the taxable value per membership pupil
 10 of property in the community district to be used for the purposes
 11 of this subsection does not include the taxable value of property
 12 within the geographic area of the community district. **Beginning**
 13 **with the fiscal year ending September 30, 2027, it is the intent of**
 14 **the legislature that the previous sentence no longer applies and**
 15 **the taxable value per membership pupil of property in the community**
 16 **district used for the purposes of this subsection includes the**
 17 **taxable value of property within the geographic area of the**
 18 **community district on or after July 1, 2026 and thereafter.**

19 (5) The allocation calculated under this section for a pupil
 20 is based on the foundation allowance of the pupil's district of
 21 residence. For a pupil enrolled under section 105 or 105c in a
 22 district other than the pupil's district of residence, the
 23 allocation calculated under this section is based on the lesser of
 24 the foundation allowance of the pupil's district of residence or
 25 the foundation allowance of the educating district. For a pupil in
 26 membership in a K-5, K-6, or K-8 district who is enrolled in
 27 another district in a grade not offered by the pupil's district of
 28 residence, the allocation calculated under this section is based on
 29 the foundation allowance of the educating district if the educating



1 district's foundation allowance is greater than the foundation
2 allowance of the pupil's district of residence. The calculation
3 under this subsection must take into account a district's per-pupil
4 allocation under section 20m.

5 (6) Except as otherwise provided in this subsection, for
6 pupils in membership, other than special education pupils, in a
7 public school academy, the allocation calculated under this section
8 is an amount per membership pupil other than special education
9 pupils in the public school academy equal to the target foundation
10 allowance specified in subsection (1), or, for a public school
11 academy that was issued a contract under section 552 of the revised
12 school code, MCL 380.552, to operate as a school of excellence that
13 is a cyber school, ~~\$10,050.00.~~ **\$10,300.00.** Notwithstanding section
14 101, for a public school academy that begins operations after the
15 pupil membership count day, the amount per membership pupil
16 calculated under this subsection must be adjusted by multiplying
17 that amount per membership pupil by the number of hours of pupil
18 instruction provided by the public school academy after it begins
19 operations, as determined by the department, divided by the minimum
20 number of hours of pupil instruction required under section 101(3).
21 The result of this calculation must not exceed the amount per
22 membership pupil otherwise calculated under this subsection.

23 (7) For pupils in membership, other than special education
24 pupils, in a community district, the allocation calculated under
25 this section is an amount per membership pupil other than special
26 education pupils in the community district equal to the foundation
27 allowance of the qualifying school district, as described in
28 section 12b of the revised school code, MCL 380.12b, that is
29 located within the same geographic area as the community district.



(8) Subject to subsection (4), for a district that is formed or reconfigured after June 1, 2002 by consolidation of 2 or more districts or by annexation, the resulting district's foundation allowance under this section beginning after the effective date of the consolidation or annexation is the lesser of the sum of the average of the foundation allowances of each of the original or affected districts, calculated as provided in this section, weighted as to the percentage of pupils in total membership in the resulting district who reside in the geographic area of each of the original or affected districts plus \$100.00 or the highest foundation allowance among the original or affected districts. This subsection does not apply to a receiving district unless there is a subsequent consolidation or annexation that affects the district. The calculation under this subsection must take into account a district's per-pupil allocation under section 20m.

(9) The department shall round each fraction used in making calculations under this section to the fourth decimal place and shall round the dollar amount of an increase in the target foundation allowance to the nearest whole dollar.

(10) State payments related to payment of the foundation allowance for a special education pupil are not calculated under this section but are instead calculated under section 51e.

(11) To assist the legislature in determining the target foundation allowance for the subsequent fiscal year, each revenue estimating conference conducted under section 367b of the management and budget act, 1984 PA 431, MCL 18.1367b, must calculate a pupil membership factor, a revenue adjustment factor, and an index as follows:

(a) The pupil membership factor is computed by dividing the



1 estimated membership in the school year ending in the current
2 fiscal year, excluding intermediate district membership, by the
3 estimated membership for the school year ending in the subsequent
4 fiscal year, excluding intermediate district membership. If a
5 consensus membership factor is not determined at the revenue
6 estimating conference, the principals of the revenue estimating
7 conference shall report their estimates to the house and senate
8 subcommittees responsible for school aid appropriations not later
9 than 7 days after the conclusion of the revenue conference.

10 (b) The revenue adjustment factor is computed by dividing the
11 sum of the estimated total state school aid fund revenue for the
12 subsequent fiscal year plus the estimated total state school aid
13 fund revenue for the current fiscal year, adjusted for any change
14 in the rate or base of a tax the proceeds of which are deposited in
15 that fund and excluding money transferred into that fund from the
16 countercyclical budget and economic stabilization fund under the
17 management and budget act, 1984 PA 431, MCL 18.1101 to 18.1594, by
18 the sum of the estimated total school aid fund revenue for the
19 current fiscal year plus the estimated total state school aid fund
20 revenue for the immediately preceding fiscal year, adjusted for any
21 change in the rate or base of a tax the proceeds of which are
22 deposited in that fund. If a consensus revenue factor is not
23 determined at the revenue estimating conference, the principals of
24 the revenue estimating conference shall report their estimates to
25 the house and senate subcommittees responsible for school aid
26 appropriations not later than 7 days after the conclusion of the
27 revenue conference.

28 (c) The index is calculated by multiplying the pupil
29 membership factor by the revenue adjustment factor. If a consensus



1 index is not determined at the revenue estimating conference, the
2 principals of the revenue estimating conference shall report their
3 estimates to the house and senate subcommittees responsible for
4 state school aid appropriations not later than 7 days after the
5 conclusion of the revenue conference.

6 (12) Payments to districts and public school academies are not
7 made under this section. Rather, the calculations under this
8 section are used to determine the amount of state payments under
9 section 22b.

10 (13) If an amendment to section 2 of article VIII of the state
11 constitution of 1963 allowing state aid to some or all nonpublic
12 schools is approved by the voters of this state, each foundation
13 allowance or per-pupil payment calculation under this section may
14 be reduced.

15 (14) As used in this section:

16 (a) "Certified mills" means the lesser of 18 mills or the
17 number of mills of school operating taxes levied by the district in
18 1993-94.

19 (b) "Current fiscal year" means the fiscal year for which a
20 particular calculation is made.

21 (c) "Dissolved district" means a district that loses its
22 organization, has its territory attached to 1 or more other
23 districts, and is dissolved as provided under section 12 of the
24 revised school code, MCL 380.12.

25 (d) "Immediately preceding fiscal year" means the fiscal year
26 immediately preceding the current fiscal year.

27 (e) "Local portion of the district's foundation allowance"
28 means an amount that is equal to the difference between (the sum of
29 the product of the taxable value per membership pupil of all



1 property in the district that is nonexempt property times the
2 district's certified mills and, for a district with certified mills
3 exceeding 12, the product of the taxable value per membership pupil
4 of property in the district that is commercial personal property
5 times the certified mills minus 12 mills) and (the quotient of the
6 product of the captured assessed valuation under tax increment
7 financing acts times the district's certified mills divided by the
8 district's membership excluding special education pupils).

9 (f) "Membership" means the definition of that term under
10 section 6 as in effect for the particular fiscal year for which a
11 particular calculation is made.

12 (g) "Nonexempt property" means property that is not a
13 principal residence, qualified agricultural property, qualified
14 forest property, supportive housing property, industrial personal
15 property, commercial personal property, or property occupied by a
16 public school academy.

17 (h) "Principal residence", "qualified agricultural property",
18 "qualified forest property", "supportive housing property",
19 "industrial personal property", and "commercial personal property"
20 mean those terms as defined in section 1211 of the revised school
21 code, MCL 380.1211.

22 (i) "Receiving district" means a district to which all or part
23 of the territory of a dissolved district is attached under section
24 12 of the revised school code, MCL 380.12.

25 (j) "School operating purposes" means the purposes included in
26 the operation costs of the district as prescribed in sections 7 and
27 18 and purposes authorized under section 1211 of the revised school
28 code, MCL 380.1211.

29 (k) "School operating taxes" means local ad valorem property



1 taxes levied under section 1211 of the revised school code, MCL
2 380.1211, and retained for school operating purposes.

3 (l) "Tax increment financing acts" means parts 2, 3, 4, and 6
4 of the recodified tax increment financing act, 2018 PA 57, MCL
5 125.4201 to 125.4420 and 125.4602 to 125.4629, or the brownfield
6 redevelopment financing act, 1996 PA 381, MCL 125.2651 to 125.2670.

7 (m) "Taxable value per membership pupil" means taxable value,
8 as certified by the county treasurer and reported to the
9 department, for the calendar year ending in the current state
10 fiscal year divided by the district's membership excluding special
11 education pupils for the school year ending in the current state
12 fiscal year.

13 Sec. 20d. In making the final determination required under
14 former section 20a of a district's combined state and local revenue
15 per membership pupil in 1993-94 and in making calculations under
16 section 20 for ~~2025-2026~~, **2026-2027**, the department and the
17 department of treasury shall comply with all of the following:

18 (a) For a district that had combined state and local revenue
19 per membership pupil in the 1994-95 fiscal year of \$6,500.00 or
20 more and served as a fiscal agent for a state board designated area
21 vocational education center in the 1993-94 school year, total state
22 school aid received by or paid on behalf of the district under this
23 act in 1993-94 excludes payments made under former section 146 and
24 under section 147 on behalf of the district's employees who
25 provided direct services to the area vocational education center.
26 Not later than June 30, 1996, the department shall make an
27 adjustment under this subdivision to the district's combined state
28 and local revenue per membership pupil in the 1994-95 fiscal year
29 and the department of treasury shall make a final certification of



1 the number of mills that may be levied by the district under
2 section 1211 of the revised school code, MCL 380.1211, as a result
3 of the adjustment under this subdivision.

4 (b) If a district had an adjustment made to its 1993-94 total
5 state school aid that excluded payments made under former section
6 146 and under section 147 on behalf of the district's employees who
7 provided direct services for intermediate district center programs
8 operated by the district under former section 51 and sections 51a
9 to 56, if nonresident pupils attending the center programs were
10 included in the district's membership for purposes of calculating
11 the combined state and local revenue per membership pupil for 1993-
12 94, and if there is a signed agreement by all constituent districts
13 of the intermediate district agreeing to an adjustment under this
14 subdivision, the department shall calculate the foundation
15 allowances for 1995-96 and 1996-97 of all districts that had pupils
16 attending the intermediate district center program operated by the
17 district that had the adjustment as if their combined state and
18 local revenue per membership pupil for 1993-94 included resident
19 pupils attending the center program and excluded nonresident pupils
20 attending the center program.

21 Sec. 21b. (1) Subject to subsections (2) and (3), a district
22 shall use funds received under **this section**, section 22a, or
23 **section** 22b to support the attendance of a district pupil who is an
24 eligible student at an eligible postsecondary institution under the
25 postsecondary enrollment options act, 1996 PA 160, MCL 388.511 to
26 388.524, or under the career and technical preparation act, 2000 PA
27 258, MCL 388.1901 to 388.1913, by paying eligible charges on behalf
28 of the district pupil as required under those acts.

29 (2) A district is not required to pay transportation costs,



1 parking costs, or activity fees on behalf of an eligible student
2 for attendance at an eligible postsecondary institution as
3 described in subsection (1).

4 (3) From the state school aid fund money appropriated in
5 section 11, there is allocated for 2026-2027 only an amount not to
6 exceed \$40,000,000.00 for reimbursements to eligible districts
7 supporting eligible charges on behalf of eligible students as
8 described in subsection (1). All of the following apply to payments
9 made under this subsection:

10 (a) To be considered an eligible district under this section,
11 a district must be assigned to an opportunity index band of 4 or
12 higher.

13 (b) Payments must not exceed the amount the eligible district
14 is required to pay under the postsecondary enrollment options act,
15 1996 PA 160, MCL 388.511 to 388.524, and the career and technical
16 preparation act, 2000 PA 258, MCL 388.1901 to 388.1913.

17 (c) If the amount allocated in this subsection is not
18 sufficient to fully reimburse all eligible districts, payments to
19 eligible districts must be adjusted as follows:

20 (i) Payments to any individual district that exceed 25% of the
21 allocation under this subsection must be reduced to an amount equal
22 to 25% of the allocation under this subsection.

23 (ii) If, after the operation of subparagraph (i), the amount
24 allocated under this subsection is still insufficient to fully
25 reimburse all eligible districts, the payment to each eligible
26 district must be prorated on an equal percentage basis.

27 (d) If the amount allocated in this subsection exceeds the
28 amount necessary to fully reimburse all eligible districts, the
29 department shall provide payments to districts assigned to an



1 opportunity index band of 3. If the remaining funds are
2 insufficient to fully fund all eligible districts described in this
3 subdivision, the payment to each eligible district described in
4 this subdivision must be prorated on an equal percentage basis.

5 (e) If, after the operation of subdivision (d), the amount
6 allocated in this subsection exceeds the amount necessary to fully
7 reimburse all eligible districts, the department shall provide
8 payments to districts assigned to an opportunity index band of 2.
9 If the remaining funds are insufficient to fully fund all eligible
10 districts described in this subdivision, the payment to each
11 eligible district described in this subdivision must be prorated on
12 an equal percentage basis.

13 (f) If, after the operation of subdivision (d), the amount
14 allocated in this subsection exceeds the amount necessary to fully
15 reimburse all eligible districts, the department shall provide
16 payments to districts assigned to an opportunity index band of 1.
17 If the remaining funds are insufficient to fully fund all eligible
18 districts described in this subdivision, the payment to each
19 eligible district described in this subdivision must be prorated on
20 an equal percentage basis.

21 (g) Funds under this section may be used to support CTE dual
22 enrollment programs authorized under section 61b and work-based
23 learning programs.

24 (h) Notwithstanding section 17b, the department shall make
25 payments under this subsection on a schedule determined by the
26 department.

27 (4) ~~(3)~~—A district may pay more money to an eligible
28 postsecondary institution on behalf of an eligible student than
29 required under the postsecondary enrollment options act, 1996 PA



160, MCL 388.511 to 388.524, or the career and technical preparation act, 2000 PA 258, MCL 388.1901 to 388.1913, and may use local school operating revenue for that purpose. An eligible student is responsible for payment of the remainder of the costs associated with ~~his or her~~ **the eligible student's** postsecondary enrollment that exceed the amount the district is required to pay under the postsecondary enrollment options act, 1996 PA 160, MCL 388.511 to 388.524, or the career and technical preparation act, 2000 PA 258, MCL 388.1901 to 388.1913, and that are not paid by the district. As used in this subsection, "local school operating revenue" means that term as defined in section 22b.

(5) ~~(4)~~ As used in this section: ~~,"eligible~~

(a) **"Eligible student"** and "eligible postsecondary institution" mean those terms as defined in section 3 of the postsecondary enrollment options act, 1996 PA 160, MCL 388.511 to 388.524, or in section 3 of the career and technical preparation act, 2000 PA 258, MCL 388.1903, as applicable.

(b) **"Opportunity index band" means the opportunity index band to which a district is assigned under section 31a.**

Sec. 21h. (1) From the state school aid pupil support reserve fund money appropriated in section 11, there is allocated \$6,137,400.00 for ~~2025-2026~~ **2026-2027** for assisting districts assigned by the superintendent to participate in a partnership district agreement to improve student achievement and district financial stability. It is the intent of the legislature that the appropriation in this section will be funded with state school aid pupil support reserve fund money through 2027-2028. The superintendent shall identify any conditions that may be contributing to low academic performance within a district being



1 considered for assignment to a partnership district agreement. The
2 purpose of the partnership district agreement is to identify
3 district needs, develop intervention plans, and partner with
4 public, private, and nonprofit organizations to coordinate
5 resources and improve student achievement. Assignment of a district
6 to a partnership district agreement is made by the superintendent.

7 (2) A district described in subsection (1) is eligible for
8 funding under this section if the district includes at least 1
9 school that has been identified as low performing under the
10 approved federal accountability system. A district described in
11 this subsection must do all of the following to be eligible for
12 funding under this section:

13 (a) Within 90 days of assignment to the partnership district
14 agreement described in this section, complete a comprehensive needs
15 assessment or evaluation in collaboration with an intermediate
16 district, community members, education organizations, and
17 postsecondary institutions, as applicable, that is approved by the
18 superintendent. The comprehensive needs assessment or evaluation
19 must include at least all of the following:

20 (i) A review of the district's implementation and utilization
21 of a multi-tiered system of supports to ensure that it is used to
22 appropriately inform instruction.

23 (ii) A review of the district and school building leadership
24 and educator capacity to substantially improve student outcomes.

25 (iii) A review of classroom, instructional, and operational
26 practices and curriculum to ensure alignment with research-based
27 instructional practices and state curriculum standards.

28 (b) Develop a district continuous improvement plan that has
29 been approved by the superintendent and that addresses the needs

1 identified in the comprehensive needs assessment or evaluation
 2 completed under subdivision (a). The district continuous
 3 improvement plan must include at least all of the following:

4 (i) Specific actions that will be taken by the district and
 5 each of its partners to improve student achievement.

6 (ii) Specific measurable benchmarks that will be met within 18
 7 months to improve student achievement and identification of
 8 expected student achievement outcomes to be attained within 3 years
 9 after assignment to the partnership.

10 (iii) Measurable benchmarks that put pupils on track to meet or
 11 exceed grade level proficiency, increase high school graduation
 12 rates, reduce class sizes in grades K to 3, and improve attendance
 13 rates.

14 (c) Provide access to training for district leadership,
 15 including, but not limited to, the superintendent or chief
 16 administrator and school board or board of directors members, on
 17 areas of education fiscal and policy matters. The department may
 18 require training for district leadership and all board members
 19 under this subdivision at a rate and frequency needed to support
 20 measurable academic outcomes for the district.

21 (3) Upon approval of the district continuous improvement plan
 22 developed under subsection (2), the department shall assign a team
 23 of individuals with expertise in comprehensive school and district
 24 reform to partner with the district, the intermediate district,
 25 community organizations, education organizations, and postsecondary
 26 institutions identified in the ~~academic and financial operating or~~
 27 ~~intervention~~ **district continuous improvement** plan to review the
 28 district's use of existing financial resources to ensure that those
 29 resources are being used as efficiently and effectively as possible

1 to improve student academic achievement and to ensure district
2 financial stability. The superintendent of public instruction may
3 waive burdensome administrative rules for a partnership district
4 for the duration of the partnership district agreement.

5 (4) Funds allocated under this section, excluding funds
6 allocated under subsection (5), may be used to pay for district
7 expenditures approved by the superintendent to improve student
8 achievement. Funds may be used for professional development for
9 teachers or district or school leadership, increased instructional
10 time, teacher mentors, literacy, numeracy, reducing K-3 class
11 sizes, reducing chronic absenteeism, or other expenditures that
12 directly impact student achievement and cannot be paid from
13 existing district financial resources. Notwithstanding section 17b,
14 the department shall make payments to districts under this section
15 on a schedule determined by the department.

16 (5) From the funds allocated under subsection (1), there is
17 allocated for ~~2025-2026~~**2026-2027** an amount not to exceed
18 \$137,400.00 for the purchase of a data analytics tool to be used by
19 districts described in subsection (1). The superintendent of public
20 instruction shall require districts described in subsection (1) to
21 purchase a data analytics tool funded under this subsection as part
22 of the agreements described in this section.

23 (6) The department shall annually report to the legislature on
24 the activities funded under this section and how those activities
25 impacted student achievement in districts that received funds under
26 this section. To the extent possible, participating districts
27 receiving funding under this section shall participate in the
28 report.

29 ~~(7) In addition to the allocation under subsection (1), from~~



~~the state school aid fund money appropriated in section 11, there is allocated an amount not to exceed \$36,000,000.00 to districts described in subsection (1) for 2023-2024 only for supplemental funding to be used by districts for the purposes of this section in equal installments of \$12,000,000.00 in each of the fiscal years 2023-2024, 2024-2025, and 2025-2026. The funds allocated under this subsection for 2023-2024 are a work project appropriation, and any unexpended funds for 2023-2024 are carried forward into 2024-2025. The purpose of the work project is to provide assistance to districts eligible for funding under this section. The estimated completion date of the work project described in this subsection is September 30, 2026.~~

Sec. 22a. (1) From the state school aid fund money appropriated in section 11, ~~there is allocated an amount not to exceed \$3,927,000,000.00 for 2024-2025 and there is allocated an amount not to exceed \$3,785,000,000.00~~ **\$3,711,000,000.00** for 2025-2026 **and there is allocated an amount not to exceed \$3,564,000,000.00 for 2026-2027** for payments to districts and qualifying public school academies to guarantee each district and qualifying public school academy an amount equal to its 1994-95 total state and local per-pupil revenue for school operating purposes under section 11 of article IX of the state constitution of 1963. Pursuant to section 11 of article IX of the state constitution of 1963, this guarantee does not apply to a district in a year in which the district levies a millage rate for school district operating purposes less than it levied in 1994. However, subsection (2) applies to calculating the payments under this section. Funds allocated under this section that are not expended in the fiscal year for which they were allocated, as determined by



1 the department, may be used to supplement the allocations under
2 sections 22b and 51c to fully fund those allocations for the same
3 fiscal year.

4 (2) To ensure that a district receives an amount equal to the
5 district's 1994-95 total state and local per-pupil revenue for
6 school operating purposes, there is allocated to each district a
7 state portion of the district's 1994-95 foundation allowance in an
8 amount calculated as follows:

9 (a) Except as otherwise provided in this subsection, the state
10 portion of a district's 1994-95 foundation allowance is an amount
11 equal to the district's 1994-95 foundation allowance or \$6,500.00,
12 whichever is less, minus the difference between the sum of the
13 product of the taxable value per membership pupil of all property
14 in the district that is nonexempt property times the district's
15 certified mills and, for a district with certified mills exceeding
16 12, the product of the taxable value per membership pupil of
17 property in the district that is commercial personal property times
18 the certified mills minus 12 mills and the quotient of the ad
19 valorem property tax revenue of the district captured under tax
20 increment financing acts divided by the district's membership. For
21 a district that has a millage reduction required under section 31
22 of article IX of the state constitution of 1963, the department
23 shall calculate the state portion of the district's foundation
24 allowance as if that reduction did not occur. For a receiving
25 district, if school operating taxes are to be levied on behalf of a
26 dissolved district that has been attached in whole or in part to
27 the receiving district to satisfy debt obligations of the dissolved
28 district under section 12 of the revised school code, MCL 380.12,
29 taxable value per membership pupil of all property in the receiving



1 district that is nonexempt property and taxable value per
 2 membership pupil of property in the receiving district that is
 3 commercial personal property do not include property within the
 4 geographic area of the dissolved district; ad valorem property tax
 5 revenue of the receiving district captured under tax increment
 6 financing acts does not include ad valorem property tax revenue
 7 captured within the geographic boundaries of the dissolved district
 8 under tax increment financing acts; and certified mills do not
 9 include the certified mills of the dissolved district. ~~For-Except~~
 10 **as otherwise provided in this subdivision, for** a community
 11 district, the department shall reduce the allocation as otherwise
 12 calculated under this section by an amount equal to the amount of
 13 local school operating tax revenue that would otherwise be due to
 14 the community district if not for the operation of section 386 of
 15 the revised school code, MCL 380.386, and the amount of this
 16 reduction is offset by the increase in funding under section
 17 22b(2). **Beginning with the fiscal year ending September 30, 2027,**
 18 **it is the intent of the legislature that the previous sentence no**
 19 **longer applies and the allocation for a community district under**
 20 **this section shall not be reduced by the amount of local school**
 21 **operating tax revenue that would otherwise be due to the community**
 22 **district if not for the operation of section 386 of the revised**
 23 **school code, MCL 380.386, and no offset is provided by increased**
 24 **funding under section 22b(2).**

25 (b) For a district that had a 1994-95 foundation allowance
 26 greater than \$6,500.00, the state payment under this subsection is
 27 the sum of the amount calculated under subdivision (a) plus the
 28 amount calculated under this subdivision. The amount calculated
 29 under this subdivision must be equal to the difference between the



1 district's 1994-95 foundation allowance minus \$6,500.00 and the
2 current year hold harmless school operating taxes per pupil. If the
3 result of the calculation under subdivision (a) is negative, the
4 negative amount is an offset against any state payment calculated
5 under this subdivision. If the result of a calculation under this
6 subdivision is negative, there is not a state payment or a
7 deduction under this subdivision. The taxable values per membership
8 pupil used in the calculations under this subdivision are as
9 adjusted by ad valorem property tax revenue captured under tax
10 increment financing acts divided by the district's membership. For
11 a receiving district, if school operating taxes are to be levied on
12 behalf of a dissolved district that has been attached in whole or
13 in part to the receiving district to satisfy debt obligations of
14 the dissolved district under section 12 of the revised school code,
15 MCL 380.12, ad valorem property tax revenue captured under tax
16 increment financing acts do not include ad valorem property tax
17 revenue captured within the geographic boundaries of the dissolved
18 district under tax increment financing acts.

19 (3) For pupils in membership in a qualifying public school
20 academy, there is allocated under this section to the authorizing
21 body that is the fiscal agent for the qualifying public school
22 academy for forwarding to the qualifying public school academy an
23 amount equal to the 1994-95 per-pupil payment to the qualifying
24 public school academy under section 20.

25 (4) A district or qualifying public school academy may use
26 funds allocated under this section in conjunction with any federal
27 funds for which the district or qualifying public school academy
28 otherwise would be eligible.

29 (5) Except as otherwise provided in this subsection, for a



1 district that is formed or reconfigured after June 1, 2000 by
2 consolidation of 2 or more districts or by annexation, the
3 resulting district's 1994-95 foundation allowance under this
4 section beginning after the effective date of the consolidation or
5 annexation is the average of the 1994-95 foundation allowances of
6 each of the original or affected districts, calculated as provided
7 in this section, weighted as to the percentage of pupils in total
8 membership in the resulting district in the fiscal year in which
9 the consolidation takes place who reside in the geographic area of
10 each of the original districts. If an affected district's 1994-95
11 foundation allowance is less than the 1994-95 basic foundation
12 allowance, the amount of that district's 1994-95 foundation
13 allowance is considered for the purpose of calculations under this
14 subsection to be equal to the amount of the 1994-95 basic
15 foundation allowance. This subsection does not apply to a receiving
16 district unless there is a subsequent consolidation or annexation
17 that affects the district.

18 (6) Payments under this section are subject to section 25g.

19 (7) As used in this section:

20 (a) "1994-95 foundation allowance" means a district's 1994-95
21 foundation allowance calculated and certified by the department of
22 treasury or the superintendent under former section 20a as enacted
23 in 1993 PA 336 and as amended by 1994 PA 283.

24 (b) "Certified mills" means the lesser of 18 mills or the
25 number of mills of school operating taxes levied by the district in
26 1993-94.

27 (c) "Current fiscal year" means the fiscal year for which a
28 particular calculation is made.

29 (d) "Current year hold harmless school operating taxes per



pupil" means the per-pupil revenue generated by multiplying a district's 1994-95 hold harmless millage by the district's current year taxable value per membership pupil. For a receiving district, if school operating taxes are to be levied on behalf of a dissolved district that has been attached in whole or in part to the receiving district to satisfy debt obligations of the dissolved district under section 12 of the revised school code, MCL 380.12, taxable value per membership pupil does not include the taxable value of property within the geographic area of the dissolved district.

(e) "Dissolved district" means a district that loses its organization, has its territory attached to 1 or more other districts, and is dissolved as provided under section 12 of the revised school code, MCL 380.12.

(f) "Hold harmless millage" means, for a district with a 1994-95 foundation allowance greater than \$6,500.00, the number of mills by which the exemption from the levy of school operating taxes on a principal residence, qualified agricultural property, qualified forest property, supportive housing property, industrial personal property, commercial personal property, and property occupied by a public school academy could be reduced as provided in section 1211 of the revised school code, MCL 380.1211, and the number of mills of school operating taxes that could be levied on all property as provided in section 1211(2) of the revised school code, MCL 380.1211, as certified by the department of treasury for the 1994 tax year. For a receiving district, if school operating taxes are to be levied on behalf of a dissolved district that has been attached in whole or in part to the receiving district to satisfy debt obligations of the dissolved district under section 12 of the



1 revised school code, MCL 380.12, school operating taxes do not
2 include school operating taxes levied within the geographic area of
3 the dissolved district.

4 (g) "Membership" means the definition of that term under
5 section 6 as in effect for the particular fiscal year for which a
6 particular calculation is made.

7 (h) "Nonexempt property" means property that is not a
8 principal residence, qualified agricultural property, qualified
9 forest property, supportive housing property, industrial personal
10 property, commercial personal property, or property occupied by a
11 public school academy.

12 (i) "Principal residence", "qualified agricultural property",
13 "qualified forest property", "supportive housing property",
14 "industrial personal property", and "commercial personal property"
15 mean those terms as defined in section 1211 of the revised school
16 code, MCL 380.1211.

17 (j) "Qualifying public school academy" means a public school
18 academy that was in operation in the 1994-95 school year and is in
19 operation in the current fiscal year.

20 (k) "Receiving district" means a district to which all or part
21 of the territory of a dissolved district is attached under section
22 12 of the revised school code, MCL 380.12.

23 (l) "School operating taxes" means local ad valorem property
24 taxes levied under section 1211 of the revised school code, MCL
25 380.1211, and retained for school operating purposes as defined in
26 section 20.

27 (m) "Tax increment financing acts" means parts 2, 3, 4, and 6
28 of the recodified tax increment financing act, 2018 PA 57, MCL
29 125.4201 to 125.4420 and 125.4602 to 125.4629, or the brownfield



1 redevelopment financing act, 1996 PA 381, MCL 125.2651 to 125.2670.

2 (n) "Taxable value per membership pupil" means each of the
3 following divided by the district's membership:

4 (i) For the number of mills by which the exemption from the
5 levy of school operating taxes on a principal residence, qualified
6 agricultural property, qualified forest property, supportive
7 housing property, industrial personal property, commercial personal
8 property, and property occupied by a public school academy may be
9 reduced as provided in section 1211 of the revised school code, MCL
10 380.1211, the taxable value of principal residence, qualified
11 agricultural property, qualified forest property, supportive
12 housing property, industrial personal property, commercial personal
13 property, and property occupied by a public school academy for the
14 calendar year ending in the current fiscal year. For a receiving
15 district, if school operating taxes are to be levied on behalf of a
16 dissolved district that has been attached in whole or in part to
17 the receiving district to satisfy debt obligations of the dissolved
18 district under section 12 of the revised school code, MCL 380.12,
19 mills do not include mills within the geographic area of the
20 dissolved district.

21 (ii) For the number of mills of school operating taxes that may
22 be levied on all property as provided in section 1211(2) of the
23 revised school code, MCL 380.1211, the taxable value of all
24 property for the calendar year ending in the current fiscal year.
25 For a receiving district, if school operating taxes are to be
26 levied on behalf of a dissolved district that has been attached in
27 whole or in part to the receiving district to satisfy debt
28 obligations of the dissolved district under section 12 of the
29 revised school code, MCL 380.12, school operating taxes do not



1 include school operating taxes levied within the geographic area of
2 the dissolved district.

3 Sec. 22b. (1) Except as otherwise provided in this section,
4 for discretionary nonmandated payments to districts under this
5 section, ~~there is allocated for 2024-2025 an amount not to exceed~~
6 ~~\$6,220,000,000.00 from the state school aid fund and general fund~~
7 ~~appropriations in section 11 and an amount not to exceed~~
8 ~~\$41,000,000.00 from the community district education trust fund~~
9 ~~appropriation in section 11, and there is allocated for 2025-2026~~
10 ~~an amount not to exceed \$6,696,500,000.00~~ **\$6,657,000,000.00** from
11 the state school aid fund and general fund appropriations in
12 section 11, **and there is allocated for 2026-2027 an amount not to**
13 **exceed \$6,920,000,000.00 from the state school aid fund and general**
14 **fund appropriations in section 11.** In addition, there is allocated
15 for 2025-2026 only an amount not to exceed \$124,000,000.00 from the
16 state school aid fund appropriation in section 11. ~~For 2024-2025,~~
17 ~~the amount necessary, estimated at \$77,700,000.00, must be~~
18 ~~deposited from the general fund into the state school aid fund to~~
19 ~~reimburse the state school aid fund for community district~~
20 ~~education trust fund costs in excess of \$41,000,000.00, as required~~
21 ~~under section 12 of the Michigan trust fund act, 2000 PA 489, MCL~~
22 ~~12.262. For 2024-2025 only, if the amount allocated under this~~
23 ~~subsection from the community district education trust fund~~
24 ~~appropriation under section 11 is insufficient to pay for an~~
25 ~~increase under this section, any amount exceeding that allocation~~
26 ~~may be paid from other allocations under this subsection. Except~~
27 for money allocated under this section from the community district
28 education trust fund appropriation in section 11, funds allocated
29 under this section that are not expended in the fiscal year for



1 which they were allocated, as determined by the department, may be
 2 used to supplement the allocations under sections 22a and 51c to
 3 fully fund those allocations for the same fiscal year.

4 (2) Subject to subsection (3) and section 296, the allocation
 5 to a district under this section is an amount equal to the sum of
 6 the amounts calculated under sections 20, 20m, 51a(2), 51a(3),
 7 51a(11), and 51e, minus the sum of the allocations to the district
 8 under sections 22a and 51c. ~~For~~ **Except as otherwise provided in**
 9 **this subsection, for** a community district, the allocation as
 10 otherwise calculated under this section is increased by an amount
 11 equal to the amount of local school operating tax revenue that
 12 would otherwise be due to the community district if not for the
 13 operation of section 386 of the revised school code, MCL 380.386,
 14 to offset the absence of local school operating revenue in a
 15 community district in the funding of the state portion of the
 16 foundation allowance under section 20(4). ~~, and, for 2024-2025~~
 17 ~~only, this increase must be paid from the community district~~
 18 ~~education trust fund allocation in subsection (1).~~ **Beginning with**
 19 **the fiscal year ending September 30, 2027, it is the intent of the**
 20 **legislature that the previous sentence no longer applies.**

21 (3) To receive an allocation under subsection (1), each
 22 district must do all of the following:

23 (a) Comply with section 1280b of the revised school code, MCL
 24 380.1280b.

25 (b) Comply with sections 1278a and 1278b of the revised school
 26 code, MCL 380.1278a and 380.1278b.

27 (c) Furnish data and other information required by state and
 28 federal law to the center and the department in the form and manner
 29 specified by the center or the department, as applicable.



1 (d) Comply with section 1230g of the revised school code, MCL
2 380.1230g.

3 (e) Comply with section 21f.

4 (f) For a district that has entered into a partnership
5 district agreement with the department, comply with section 22p.

6 (4) Districts are encouraged to use funds allocated under this
7 section for the purchase and support of payroll, human resources,
8 and other business function software that is compatible with that
9 of the intermediate district in which the district is located and
10 with other districts located within that intermediate district.

11 (5) From the allocation in subsection (1), the department
12 shall pay up to \$1,000,000.00 in litigation costs incurred by this
13 state related to commercial or industrial property tax appeals,
14 including, but not limited to, appeals of classification, that
15 impact revenues dedicated to the state school aid fund.

16 (6) From the allocation in subsection (1), the department
17 shall pay up to \$1,000,000.00 in litigation costs incurred by this
18 state associated with lawsuits filed by 1 or more districts or
19 intermediate districts against this state. If the allocation under
20 this section is insufficient to fully fund all payments required
21 under this section, the payments under this subsection must be made
22 in full before any proration of remaining payments under this
23 section.

24 (7) It is the intent of the legislature that all
25 constitutional obligations of this state have been fully funded
26 under sections 22a, 31d, 51a, 51c, 51e, and 152a. If a claim is
27 made by an entity receiving funds under this article that
28 challenges the legislative determination of the adequacy of this
29 funding or alleges that there exists an unfunded constitutional



1 requirement, the state budget director may escrow or allocate from
2 the discretionary funds for nonmandated payments under this section
3 the amount as may be necessary to satisfy the claim before making
4 any payments to districts under subsection (2). If funds are
5 escrowed, the escrowed funds are a work project appropriation and
6 the funds are carried forward into the following fiscal year. The
7 purpose of the work project is to provide for any payments that may
8 be awarded to districts as a result of litigation. The work project
9 is completed upon resolution of the litigation.

10 (8) If the local claims review board or a court of competent
11 jurisdiction makes a final determination that this state is in
12 violation of section 29 of article IX of the state constitution of
13 1963 regarding state payments to districts, the state budget
14 director shall use work project funds under subsection (7) or
15 allocate from the discretionary funds for nonmandated payments
16 under this section the amount as may be necessary to satisfy the
17 amount owed to districts before making any payments to districts
18 under subsection (2).

19 (9) If a claim is made in court that challenges the
20 legislative determination of the adequacy of funding for this
21 state's constitutional obligations or alleges that there exists an
22 unfunded constitutional requirement, any interested party may seek
23 an expedited review of the claim by the local claims review board.
24 If the claim exceeds \$10,000,000.00, this state may remove the
25 action to the court of appeals, and the court of appeals has and
26 shall exercise jurisdiction over the claim.

27 (10) If payments resulting from a final determination by the
28 local claims review board or a court of competent jurisdiction that
29 there has been a violation of section 29 of article IX of the state



1 constitution of 1963 exceed the amount allocated for discretionary
2 nonmandated payments under this section, the legislature shall
3 provide for adequate funding for this state's constitutional
4 obligations at its next legislative session.

5 (11) If a lawsuit challenging payments made to districts
6 related to costs reimbursed by federal title XIX Medicaid funds is
7 filed against this state, then, for the purpose of addressing
8 potential liability under such a lawsuit, the state budget director
9 may place funds allocated under this section in escrow or allocate
10 money from the funds otherwise allocated under this section, up to
11 a maximum of 50% of the amount allocated in subsection (1). If
12 funds are placed in escrow under this subsection, those funds are a
13 work project appropriation and the funds are carried forward into
14 the following fiscal year. The purpose of the work project is to
15 provide for any payments that may be awarded to districts as a
16 result of the litigation. The work project is completed upon
17 resolution of the litigation. In addition, this state reserves the
18 right to terminate future federal title XIX Medicaid reimbursement
19 payments to districts if the amount or allocation of reimbursed
20 funds is challenged in the lawsuit. As used in this subsection,
21 "title XIX" means title XIX of the social security act, 42 USC 1396
22 to 1396w-6.

23 (12) As used in this section:

24 (a) "Dissolved district" means that term as defined in section
25 20.

26 (b) "Local school operating revenue" means school operating
27 taxes levied under section 1211 of the revised school code, MCL
28 380.1211. For a receiving district, if school operating taxes are
29 to be levied on behalf of a dissolved district that has been



1 attached in whole or in part to the receiving district to satisfy
 2 debt obligations of the dissolved district under section 12 of the
 3 revised school code, MCL 380.12, local school operating revenue
 4 does not include school operating taxes levied within the
 5 geographic area of the dissolved district.

6 (c) "Receiving district" and "school operating taxes" mean
 7 those terms as defined in section 20.

8 Sec. 22d. (1) From the state school aid fund money
 9 appropriated under section 11, an amount not to exceed
 10 ~~\$12,873,100.00~~ **\$13,516,800.00** is allocated for ~~2025-2026~~ **2026-2027**
 11 for supplemental payments to rural districts under this section.

12 (2) From the allocation under subsection (1), there is
 13 allocated for ~~2025-2026~~ **2026-2027** an amount not to exceed
 14 ~~\$3,906,200.00~~ **\$4,101,500.00** for payments under this subsection to
 15 eligible districts. A district that meets all of the following is
 16 an eligible district under this subsection:

17 (a) Operates grades K to 12.

18 (b) Has fewer than 250 pupils in membership.

19 (c) Each school building operated by the district meets at
 20 least 1 of the following:

21 (i) Is located in the Upper Peninsula at least 30 miles from
 22 any other public school building.

23 (ii) Is located on an island that is not accessible by bridge.

24 (3) The amount of the additional funding to each eligible
 25 district under subsection (2) is determined under a spending plan
 26 developed as provided in this subsection and approved by the
 27 superintendent of public instruction. The spending plan must be
 28 developed cooperatively by the intermediate superintendents of each
 29 intermediate district in which an eligible district is located. The



intermediate superintendents shall review the financial situation of each eligible district, determine the minimum essential financial needs of each eligible district, and develop and agree on a spending plan that distributes the available funding under subsection (2) to the eligible districts based on those financial needs. The intermediate superintendents shall submit the spending plan to the superintendent of public instruction for approval. Upon approval by the superintendent of public instruction, the amounts specified for each eligible district under the spending plan are allocated under subsection (2) and must be paid to the eligible districts in the same manner as payments under section 22b.

(4) Subject to subsection (7), from the allocation in subsection (1), there is allocated for ~~2025-2026~~**2026-2027** an amount not to exceed ~~\$8,412,100.00~~**\$8,832,800.00** for payments under this subsection to districts that have fewer than 10.0 pupils per square mile, as determined by the department, or that have greater than 250 square miles.

(5) The funds allocated under subsection (4) are allocated as follows:

(a) An amount equal to ~~\$6,373,700.00~~**\$6,692,400.00** is allocated to districts with fewer than 8.0 pupils per square mile, as determined by the department, on an equal per-pupil basis.

(b) The balance of the funding under subsection (4) is allocated as follows:

(i) For districts with at least 8.0 but fewer than 9.0 pupils per square mile, as determined by the department, the allocation is an amount per pupil equal to 75% of the per-pupil amount allocated to districts under subdivision (a).

(ii) For districts with at least 9.0 but fewer than 10.0 pupils



per square mile, as determined by the department, the allocation is an amount per pupil equal to 50% of the per-pupil amount allocated to districts under subdivision (a).

(iii) For districts that have greater than 250 square miles, have at least 10.0 pupils per square mile, and do not receive funding under subsection (2), as determined by the department, the allocation is an amount per pupil equal to 100% of the per-pupil amount allocated to districts under subdivision (a).

(c) If the total funding allocated under subdivision (b) is insufficient to fully fund payments as calculated under that subdivision, the department shall prorate payments to districts under subdivision (b) on an equal per-pupil basis. If funding allocated under subdivision (b) remains unallocated after making calculations under that subdivision, the department may provide the remaining unallocated funding on an equal per-pupil basis to districts receiving funding under subdivision (b) (i) and (ii).

(6) Subject to subsection (7), from the allocation under subsection (1), there is allocated for ~~2025-2026~~**2026-2027** an amount not to exceed ~~\$554,800.00~~**\$582,500.00** for payments under this subsection to districts where each school building operated by the district is located on an island that is accessible by bridge.

(7) A district receiving funds allocated under subsection (2) is not eligible for funding allocated under subsection (4) or (6). A district receiving funds allocated under subsection (6) is not eligible for funding under subsection (2) or (4).

Sec. 22~~l~~. (1) From the school transportation fund money appropriated under section 11, there is allocated for ~~2025-2026~~**2026-2027** only an amount not to exceed \$125,000,000.00 to districts and intermediate districts for transportation costs. Funding for



1 each district or intermediate district is as follows:

2 (a) The department must assign each district and intermediate
3 district to an octile based on the number of riders per square mile
4 and calculate the median cost per rider for each octile.

5 (b) Funds must be distributed to each district and
6 intermediate district as follows:

7 (i) An initial amount at the lesser of the octile's median cost
8 per rider or the actual transportation cost per general education
9 rider at the district or intermediate district.

10 (ii) An additional amount for districts and intermediate
11 districts that have outlier costs per rider that are deemed
12 reasonable, as determined by the department.

13 (c) If funds are insufficient to fully fund payments under
14 this section, payments may be prorated on an equal percentage
15 basis.

16 ~~(2) In addition to the funds allocated under subsection (1),~~
17 ~~from the school transportation fund money appropriated under~~
18 ~~section 11, there is allocated for 2022-2023 only an amount not to~~
19 ~~exceed \$200,000.00 to an intermediate district for a study on~~
20 ~~district transportation costs. The intermediate district receiving~~
21 ~~funds under this subsection must submit a report to the department,~~
22 ~~the state budget director, the house and senate appropriations~~
23 ~~subcommittees on school aid, and the house and senate fiscal~~
24 ~~agencies by February 29, 2024 on the outcomes of the study under~~
25 ~~this subsection. Notwithstanding section 18a, funds allocated under~~
26 ~~this subsection may be available for expenditure until September~~
27 ~~30, 2026. A recipient of funding under this subsection must return~~
28 ~~any unexpended funds to the department in a manner prescribed by~~
29 ~~the department by not later than October 30, 2026.~~



(2) ~~(3)~~—To remain eligible for funding under subsection (1), by not later than December 1 of the current fiscal year, a school district must submit, in a form and manner determined by the department, to their intermediate district, and a public school academy must submit, in a form and manner determined by the department, to the intermediate district in which the public school academy is located, the number of nonpublic school students the district expects to transport as required under section 1321 of the revised school code, MCL 380.1321. Intermediate districts shall submit this information to the department by not later than February 1.

(3) ~~(4)~~—The department shall compile the reports provided by intermediate districts under subsection ~~(3)~~ (2) into 1 legislative report. The department shall provide this report not later than March 1 of each fiscal year for which funding is allocated under this section to the house and senate subcommittees responsible for school aid, the house and senate fiscal agencies, and the state budget director.

(4) The department, or an entity acting on behalf of the department, may not require districts or intermediate districts to obtain or submit itemized expense information when invoiced as a package from third-party entities providing transportation services to districts under contract.

(5) Notwithstanding section 17b, the department shall make payments under this section on a schedule determined by the department.

Sec. 22m. (1) From the state school aid fund money appropriated in section 11, there is allocated for ~~2025–2026~~ **2026–2027** an amount not to exceed \$3,500,000.00 for supporting the



1 integration of local data systems into the Michigan data hub
2 network based on common standards and applications that are in
3 compliance with section 19(6). In addition, from the state school
4 aid fund money appropriated in section 11, there is allocated for
5 ~~2025-2026~~**2026-2027** only an amount not to exceed \$1,500,000.00 for
6 the purposes of this section.

7 (2) An entity that is the fiscal agent for no more than 5
8 consortia of intermediate districts that previously received
9 funding from the technology readiness infrastructure grant under
10 former section 22i for the purpose of establishing regional data
11 hubs that are part of the Michigan data hub network is eligible for
12 funding under this section.

13 (3) The center shall work with an advisory committee composed
14 of representatives from intermediate districts within each of the
15 data hub regions to coordinate the activities of the Michigan data
16 hub network.

17 (4) The center, in collaboration with the Michigan data hub
18 network, shall determine the amount of funds distributed under this
19 section to each participating regional data hub within the network,
20 based upon a competitive grant process. The center shall ensure
21 that the entities receiving funding under this section represent
22 geographically diverse areas in this state.

23 (5) Notwithstanding section 17b, the department shall make
24 payments under this section on a schedule determined by the center.

25 (6) To receive funding under this section, a regional data hub
26 must have a governance model that ensures local control of data,
27 data security, and student privacy issues. The integration of data
28 within each of the regional data hubs must provide for the
29 actionable use of data by districts and intermediate districts



1 through common reports and dashboards and for efficiently providing
2 information to meet state and federal reporting purposes.

3 (7) Participation in a data hub region in the Michigan data
4 hub network under this section is voluntary and is not required.

5 (8) Entities receiving funding under this section shall use
6 the funds for all of the following:

7 (a) Creating an infrastructure that effectively manages the
8 movement of data between data systems used by intermediate
9 districts, districts, and other educational organizations in
10 Michigan based on common data standards to improve student
11 achievement.

12 (b) Utilizing the infrastructure to put in place commonly
13 needed integrations, reducing cost and effort to do that work while
14 increasing data accuracy and usability.

15 (c) Promoting the use of a more common set of applications by
16 promoting systems that integrate with the Michigan data hub
17 network.

18 (d) Promoting 100% district adoption of the Michigan data hub
19 network.

20 (e) Ensuring local control of data, data security, and student
21 data privacy.

22 (f) Utilizing the infrastructure to promote the actionable use
23 of data through common reports and dashboards that are consistent
24 statewide.

25 (g) Creating a governance model to facilitate sustainable
26 operations of the infrastructure in the future, including
27 administration, legal agreements, documentation, staffing, hosting,
28 and funding.

29 (h) Evaluating future data initiatives at all levels to



1 determine whether the initiatives can be enhanced by using the
2 standardized environment in the Michigan data hub network.

3 (9) By not later than January 1 of each fiscal year, the
4 center shall prepare a summary report of information provided by
5 each entity that received funds under this section that includes
6 measurable outcomes based on the objectives described under this
7 section and a summary of compiled data from each entity to provide
8 a means to evaluate the effectiveness of the project. The center
9 shall submit the report to the house and senate appropriations
10 subcommittees on school aid and to the house and senate fiscal
11 agencies.

12 Sec. 22r. (1) The state school aid pupil support reserve fund
13 is created as a separate account within the state school aid fund
14 to fund programs described in sections 21h, 32n, ~~65, 67f, 67d~~, and
15 99h. It is the intent of the legislature that money in the state
16 school aid pupil support reserve fund will be used to support the
17 above programs for 2025-2026, 2026-2027, and 2027-2028.

18 (2) The state treasurer may receive money or other assets from
19 any source for deposit into the state school aid pupil support
20 reserve fund. The state treasurer shall direct the investment of
21 the state school aid pupil support reserve fund. The state
22 treasurer shall credit to the state school aid pupil support
23 reserve fund interest and earnings from state school aid pupil
24 support reserve fund investments.

25 (3) Money in the state school aid pupil support reserve fund
26 at the close of the fiscal year remains in the state school aid
27 pupil support reserve fund and does not lapse to the state school
28 aid fund.

29 (4) The department of treasury is the administrator of the



1 state school aid pupil support reserve fund for auditing purposes.

2 (5) Money available in the state school aid pupil support
3 reserve fund must not be expended without a specific appropriation.

4 (6) For the fiscal year ending September 30, 2026 only,
5 \$326,112,200.00 from the state school aid fund is deposited into
6 the state school aid pupil support reserve fund.

7 Sec. 24. (1) From the state school aid fund money appropriated
8 in section 11, there is allocated for ~~2025-2026~~**2026-2027** an amount
9 not to exceed \$7,650,000.00 for payments to the educating district
10 or intermediate district for educating pupils assigned by a court
11 or the department of health and human services to reside in or to
12 attend a juvenile detention facility or child caring institution
13 licensed by the department of health and human services and
14 approved by the department to provide an on-grounds education
15 program. The amount of the payment under this section to a district
16 or intermediate district is calculated as prescribed under
17 subsection (2).

18 (2) The department shall allocate the total amount allocated
19 under this section by paying to the educating district or
20 intermediate district an amount equal to the lesser of the
21 district's or intermediate district's added cost or the
22 department's approved per-pupil allocation for the district or
23 intermediate district. For the purposes of this subsection:

24 (a) "Added cost" means 100% of the added cost each fiscal year
25 for educating all pupils assigned by a court or the department of
26 health and human services to reside in or to attend a juvenile
27 detention facility or child caring institution licensed by the
28 department of health and human services or the department of
29 licensing and regulatory affairs and approved by the department to



1 provide an on-grounds education program. Added cost is computed by
 2 deducting all other revenue received under this article for pupils
 3 described in this section from total costs, as approved by the
 4 department, in whole or in part, for educating those pupils in the
 5 on-grounds education program or in a program approved by the
 6 department that is located on property adjacent to a juvenile
 7 detention facility or child caring institution. Costs reimbursed by
 8 federal funds are not included.

9 (b) "Department's approved per-pupil allocation" for a
 10 district or intermediate district is determined by dividing the
 11 total amount allocated under this section for a fiscal year by the
 12 full-time equated membership total for all pupils approved by the
 13 department to be funded under this section for that fiscal year for
 14 the district or intermediate district.

15 (3) A district or intermediate district educating pupils
 16 described in this section at a residential child caring institution
 17 may operate, and receive funding under this section for, a
 18 department-approved on-grounds educational program for those pupils
 19 that is longer than 181 days, but not longer than 233 days, if the
 20 child caring institution was licensed as a child caring institution
 21 and offered in 1991-92 an on-grounds educational program that was
 22 longer than 181 days but not longer than 233 days and that was
 23 operated by a district or intermediate district.

24 (4) Special education pupils funded under section 53a are not
 25 funded under this section.

26 Sec. 24a. From the state school aid fund money appropriated in
 27 section 11, there is allocated an amount not to exceed
 28 \$1,355,700.00 for ~~2025-2026~~ **2026-2027** for payments to intermediate
 29 districts for pupils who are placed in juvenile justice service



1 facilities operated by the department of health and human services.
2 The amount of the payment to each intermediate district is an
3 amount equal to the state share of those costs that are clearly and
4 directly attributable to the educational programs for pupils placed
5 in facilities described in this section that are located within the
6 intermediate district's boundaries. The intermediate districts
7 receiving payments under this section shall cooperate with the
8 department of health and human services to ensure that all funding
9 allocated under this section is utilized by the intermediate
10 district and department of health and human services for
11 educational programs for pupils described in this section. Pupils
12 described in this section are not eligible to be funded under
13 section 24. However, a program responsibility or other fiscal
14 responsibility associated with these pupils must not be transferred
15 from the department of health and human services to a district or
16 intermediate district unless the district or intermediate district
17 consents to the transfer.

18 Sec. 25f. (1) From the state school aid fund money
19 appropriated in section 11, there is allocated an amount not to
20 exceed \$1,600,000.00 for ~~2025-2026~~**2026-2027** for payments to strict
21 discipline academies and qualified districts, as provided under
22 this section.

23 (2) To receive funding under this section, a strict discipline
24 academy or qualified district must first comply with section 25e
25 and use the pupil transfer process described in that section for
26 changes in enrollment as prescribed under that section and apply
27 annually for funding under section 24.

28 (3) The total amount allocated to a strict discipline academy
29 or qualified district under this section is equal to the strict



1 discipline academy's or qualified district's pupil membership in
2 the immediately preceding year multiplied by an amount calculated
3 by dividing the total allocation under this section by the total
4 pupil membership for eligible strict discipline academies and
5 qualified districts in the immediately preceding year. However, the
6 sum of the amounts received by a strict discipline academy or
7 qualified district under this section and under section 24 must not
8 exceed the product of the strict discipline academy's or qualified
9 district's per-pupil allocation calculated under section 20
10 multiplied by the strict discipline academy's or qualified
11 district's full-time equated membership. The department shall
12 allocate funds to strict discipline academies and qualified
13 districts under this section on a monthly basis.

14 (4) Special education pupils funded under section 53a are not
15 funded under this section.

16 (5) The department shall make payments to strict discipline
17 academies and qualified districts under this section according to
18 the payment schedule under section 17b.

19 (6) For purposes of this section, the pupil membership for the
20 current fiscal year for a qualified district is the actual number
21 of pupils that are in the custody of a county juvenile agency as
22 described in subsection (7) (a).

23 (7) As used in this section:

24 (a) "Qualified district" means a public school academy that is
25 not a strict discipline academy that enrolls individuals who are in
26 the custody of a county juvenile agency to which both of the
27 following are applicable:

28 (i) The agency had custody of individuals who were enrolled in
29 a strict discipline academy in the 2020-2021 school year.



(ii) The strict discipline academy that the individuals described in subparagraph (i) were enrolled in subsequently closed.

(b) "Strict discipline academy" means a public school academy established under sections 1311b to 1311m of the revised school code, MCL 380.1311b to 380.1311m.

Sec. 25g. (1) From the state school aid fund money appropriated in section 11, there is allocated an amount not to exceed ~~\$1,250,000.00~~ **\$750,000.00** for ~~2025-2026~~ **2026-2027** for the purposes of this section. Except as otherwise provided in this section, if the operation of the special membership counting provisions under section 6(4)(dd) and the other membership counting provisions under section 6(4) result in a pupil being counted as more than 1.0 FTE in a fiscal year, the payment made for the pupil under sections 22a and 22b must not be based on more than 1.0 FTE for that pupil, and that portion of the FTE that exceeds 1.0 is paid under this section in an amount equal to that portion multiplied by the educating district's foundation allowance or per-pupil payment calculated under section 20. ~~It is the intent of the legislature that, for 2026-2027, the allocation from the state school aid fund money appropriated in section 11 for the purposes described in this section will be \$750,000.00.~~

(2) Special education pupils funded under section 53a are not funded under this section.

(3) If the funds allocated under this section are insufficient to fully fund the adjustments under subsection (1), the department shall prorate payments under this section on an equal per-pupil basis.

(4) The department shall make payments to districts under this section according to the payment schedule under section 17b.



1 Sec. 26a. From the state school aid fund money appropriated in
 2 section 11, there is allocated an amount not to exceed
 3 \$14,000,000.00 for 2025-2026 to reimburse districts and
 4 intermediate districts under section 12 of the Michigan renaissance
 5 zone act, 1996 PA 376, MCL 125.2692, for taxes levied in ~~2024-2025~~.
 6 **From the state school aid fund money appropriated in section 11,**
 7 **there is allocated an amount not to exceed \$14,000,000.00 for 2026-**
 8 **2027 to reimburse districts and intermediate districts under**
 9 **section 12 of the Michigan renaissance zone act, 1996 PA 376, MCL**
 10 **125.2692, for taxes levied in 2026.** The department shall pay the
 11 allocations by not later than 60 days after the department of
 12 treasury certifies to the department and to the state budget
 13 director that the department of treasury has received all necessary
 14 information to properly determine the amounts due to each eligible
 15 recipient.

16 Sec. 26b. (1) From the state school aid fund money
 17 appropriated in section 11, there is allocated an amount not to
 18 exceed \$5,549,000.00 for ~~2025-2026~~**2026-2027** for payments to
 19 districts, intermediate districts, and community college districts
 20 for the portion of the payment in lieu of taxes obligation that is
 21 attributable to districts, intermediate districts, and community
 22 college districts under section 2154 of the natural resources and
 23 environmental protection act, 1994 PA 451, MCL 324.2154.

24 (2) If the amount appropriated under this section is
 25 insufficient to fully pay obligations under this section, payments
 26 are prorated on an equal basis among all eligible districts,
 27 intermediate districts, and community college districts.

28 Sec. 26c. (1) From the state school aid fund money
 29 appropriated under section 11, ~~there is allocated an amount not to~~



1 ~~exceed \$37,700,000.00 for 2024-2025 and there is allocated an~~
 2 ~~amount not to exceed \$43,300,000.00~~ **\$48,300,000.00** ~~for 2025-2026~~
 3 **2026-2027** to the promise zone fund created in subsection (3). The
 4 funds allocated under this section reflect the amount of revenue
 5 from the collection of the state education tax captured under
 6 section 17 of the Michigan promise zone authority act, 2008 PA 549,
 7 MCL 390.1677.

8 (2) Funds allocated to the promise zone fund under this
 9 section must be used solely for payments to eligible districts and
 10 intermediate districts, in accordance with section 17 of the
 11 Michigan promise zone authority act, 2008 PA 549, MCL 390.1677,
 12 that have a promise zone development plan approved by the
 13 department of treasury under section 7 of the Michigan promise zone
 14 authority act, 2008 PA 549, MCL 390.1667. Eligible districts and
 15 intermediate districts shall use payments made under this section
 16 for reimbursement for qualified educational expenses as that term
 17 is defined in section 3 of the Michigan promise zone authority act,
 18 2008 PA 549, MCL 390.1663.

19 (3) The promise zone fund is created as a separate account
 20 within the state school aid fund to be used solely for the purposes
 21 of the Michigan promise zone authority act, 2008 PA 549, MCL
 22 390.1661 to 390.1679. All of the following apply to the promise
 23 zone fund:

24 (a) The state treasurer shall direct the investment of the
 25 promise zone fund. The state treasurer shall credit to the promise
 26 zone fund interest and earnings from fund investments.

27 (b) Money in the promise zone fund at the close of a fiscal
 28 year remains in the promise zone fund and does not lapse to the
 29 general fund.



(4) Subject to subsection (2), the state treasurer may make payments from the promise zone fund to eligible districts and intermediate districts under the Michigan promise zone authority act, 2008 PA 549, MCL 390.1661 to 390.1679, to be used for the purposes of a promise zone authority created under that act.

(5) Notwithstanding section 17b, the department shall make payments under this section on a schedule determined by the department.

Sec. 26d. (1) From the state school aid fund money appropriated under section 11, there is allocated an amount not to exceed ~~\$14,400,000.00~~ **\$19,000,000.00** for 2025-2026 **and an amount not to exceed \$21,800,000.00 for 2026-2027** for reimbursements to intermediate districts as required under section 15b of the brownfield redevelopment financing act, 1996 PA 381, MCL 125.2665b.

(2) The amounts reimbursed under subsection (1) must be used by the intermediate district only for the purposes for which the property taxes were originally levied.

(3) The Michigan strategic fund and the Michigan economic development corporation shall work with the department of treasury in identifying the amount of tax revenues that are to be reimbursed under subsection (1).

(4) Notwithstanding section 17b, the department of treasury shall make payments under this section on a schedule determined by the department of treasury.

Sec. 27a. (1) From the educator fellowship public provider fund money appropriated in section 11, there is allocated for ~~2025-2026-2026-2027~~ an amount not to exceed \$10,000,000.00, **from the educator fellowship private provider fund money appropriated in section 11, there is allocated for 2026-2027 an amount not to**



1 **exceed \$1,800,000.00**, from the state school aid fund money
 2 appropriated in section 11, there is allocated for ~~2025-2026-2026-~~
 3 **2027** an amount not to exceed \$10,000,000.00, and from the general
 4 fund money appropriated in section 11, there is allocated for ~~2025-~~
 5 ~~2026-2026-2027~~ an amount not to exceed ~~\$5,000,000.00~~ **\$3,200,000.00**
 6 for the MI future educator fellowship program. The funds allocated
 7 under this section must be used to offset tuition costs for
 8 individuals who are working toward earning their initial teacher
 9 certification. At the close of the fiscal year, money allocated
 10 under this section that is unspent must be deposited as follows:

11 (a) For state school aid fund money, into the educator
 12 fellowship public provider fund in section 27d.

13 (b) For general fund money, into the educator fellowship
 14 private provider fund in section 27e.

15 (2) To establish initial eligibility for an award from funding
 16 under this section, an individual must meet all of the following
 17 conditions by the date of enrollment described in subdivision (b):

18 (a) Have graduated from high school with a diploma or
 19 certificate of completion or achieved a high school equivalency
 20 certificate.

21 (b) Be admitted to an eligible educator preparation program;
 22 be working toward a teacher certification; be enrolled in enough
 23 coursework to be considered enrolled full-time during the academic
 24 year, as determined by the student's educator preparation program,
 25 or the equivalent of full-time participation for individuals
 26 enrolled in an alternative certification program, as defined by the
 27 department; and, for students at institutions of higher education,
 28 be considered at least a junior-level student, as determined by the
 29 institution of higher education.



1 (c) Not have previously earned a teacher certification.

2 (d) Timely complete a grant application in a form and manner
3 prescribed by the department of lifelong education, advancement,
4 and potential.

5 (e) Timely file the Free Application for Federal Student Aid
6 for the enrollment period described in subdivision (b).

7 (f) Timely apply for all available gift aid for the enrollment
8 period described in subdivision (b).

9 (g) Agree to repay any funds received from funding under this
10 section if the individual does not maintain enrollment in their
11 educator preparation program, the individual does not successfully
12 complete their educator program, or the individual does not
13 complete the work requirement described in subsection (7).

14 (h) Have a high school or college grade point average of at
15 least 3.0.

16 (i) Be a resident of this state, as determined for purposes of
17 the Free Application for Federal Student Aid.

18 (3) To establish continuing eligibility for an award under
19 this section at an eligible educator preparation program, an
20 individual must meet all of the following conditions:

21 (a) Maintain full-time continuous enrollment in an eligible
22 educator preparation program, as determined by the educator
23 preparation program, or the equivalent of full-time participation
24 for individuals enrolled in an alternative certification program,
25 as defined by the department, excluding any period of time missed
26 due to a medical or other emergency, as determined by the
27 department of lifelong education, advancement, and potential.

28 (b) Maintain satisfactory academic progress, including a grade
29 point average of at least 3.0, in courses provided by the eligible



1 educator preparation program and meet requirements established by
2 the eligible educator preparation program.

3 (c) Participate in relevant academic and career advising
4 programs offered by the eligible educator preparation program.

5 (d) Timely file the Free Application for Federal Student Aid
6 for each academic year in which the individual receives an award
7 from funding under this section.

8 (e) Timely apply for all available gift aid for each academic
9 year in which the individual applies for funding under this
10 section.

11 (f) Maintain residency in this state, as determined for
12 purposes of the Free Application for Federal Student Aid.

13 (4) An award under this section must not exceed \$10,000.00 per
14 academic year or the cost of tuition at the eligible educator
15 preparation program attended, whichever is less. As used in this
16 subsection, the cost of tuition at an educator preparation program
17 that is an institution of higher education is the in-district
18 resident rate plus other required fees, as determined by the
19 department of lifelong education, advancement, and potential; and
20 the cost of tuition at an educator preparation program that is an
21 alternative certification provider is the cost of tuition plus
22 other required fees, as determined by the department of lifelong
23 education, advancement, and potential.

24 (5) Awards under this section must be distributed to eligible
25 educator preparation programs on behalf of an eligible recipient on
26 a timeline determined by the department of lifelong education,
27 advancement, and potential.

28 (6) Pending available funds, applicants may renew their award
29 for up to 3 years, or until program completion, whichever comes



1 first.

2 (7) To be an eligible recipient of fellowship funding under
3 this section, an individual must pledge to work as a certified
4 teacher in a public school, **a nonpublic school**, ~~or~~ a qualifying
5 public preschool program, **or a qualifying nonpublic preschool**
6 **program** in this state and must meet 1 of the following work
7 requirements:

8 (a) For a recipient of funding under this section who received
9 an award for 1 academic year, 3 years of work as a certified
10 teacher in a public school, **a nonpublic school**, ~~or~~ a qualifying
11 public preschool program, **or a qualifying nonpublic preschool**
12 **program** in this state.

13 (b) For a recipient of funding under this section who received
14 an award for 2 academic years, 4 years of work as a certified
15 teacher in a public school, **a nonpublic school**, ~~or~~ a qualifying
16 public preschool program, **or a qualifying nonpublic preschool**
17 **program** in this state.

18 (c) For a recipient of funding under this section who received
19 an award for 3 academic years, 5 years of work as a certified
20 teacher in a public school, **a nonpublic school**, ~~or~~ a qualifying
21 public preschool program, **or a qualifying nonpublic preschool**
22 **program** in this state.

23 (d) For a recipient working in a critical needs district, 3
24 years of work as a certified teacher. As used in this subdivision,
25 "critical needs district" means a district with a median household
26 income in the lowest quartile in each prosperity region, as
27 determined by the department.

28 (8) If an award recipient does not maintain enrollment in
29 their educator preparation program as required under subsection



1 (3) (a), does not successfully complete their educator preparation
2 program, or does not meet the work requirement described in
3 subsection (7), any amount received from funds under this section
4 converts to a 0% interest loan that must be repaid to this state
5 within 10 years. ~~, plus any deferment period as determined and~~
6 ~~approved by the department of lifelong education, advancement, and~~
7 ~~potential.~~ The amount of repayment must be reduced proportionate to
8 the number of years worked in schools or qualifying public
9 preschool programs in this state as a certificated teacher out of 5
10 years. The department of lifelong education, advancement, and
11 potential shall develop guidance to enforce this subsection.

12 (9) An individual may not concurrently receive funding through
13 programs funded under this section and grow your own programs
14 funded under section 27b.

15 (10) If the amount allocated in subsection (1) is insufficient
16 to fully fund awards under this section, there is appropriated from
17 the educator fellowship public provider fund in section 27d or the
18 educator fellowship private provider fund in section 27e, as
19 applicable, the amount necessary to fully fund these programs. The
20 state budget director shall provide notification to the house and
21 senate appropriations subcommittees on K to 12 school aid and the
22 house and senate fiscal agencies for any additional appropriation
23 described under this subsection.

24 (11) Notwithstanding section 17b, the department of lifelong
25 education, advancement, and potential shall make payments under
26 this section on a schedule determined by the department of lifelong
27 education, advancement, and potential.

28 (12) The department of lifelong education, advancement, and
29 potential shall report to the chairpersons of the house



1 appropriations subcommittee on school aid and education and the
2 senate appropriations subcommittee on pre-K to 12 by February 15 of
3 the current fiscal year. The report must include the following:

4 (a) The number and amount of awards granted in the previous
5 fiscal year.

6 (b) The number of recipients in the previous fiscal year that
7 had their awards converted to loans under subsection (8).

8 (13) As used in this section, "eligible educator preparation
9 program" means a public or nonpublic institution of higher
10 education or an alternative route provider that meets all of the
11 following, as applicable:

12 (a) Is approved by the department to offer teacher preparation
13 programming.

14 (b) Enrolls 1 or more future educator fellowship recipients.

15 (c) Has not been deemed as ineligible to receive Michigan
16 achievement scholarship funding under section 248 as a result of
17 exceeding tuition restraint requirements described in section 248.

18 **(d) Includes all of the following content as part of the**
19 **institution's educator preparation programming:**

20 **(i) A system of training that provides educators with the**
21 **knowledge base to effectively implement any classwide,**
22 **supplemental, or intervention reading approach and to determine why**
23 **some students struggle with reading, writing, spelling, and**
24 **language.**

25 **(ii) Training activities that direct educators to implement**
26 **effective reading and spelling instruction supported by**
27 **scientifically based research and foster a direct explicit**
28 **instructional sequence that uses techniques to support teachers'**
29 **independence in using their newly learned skills with students in**



1 the classroom.

2 (iii) Integrated components for educators in grades K to 5 with
3 embedded evaluation or assessment of knowledge. Evaluation or
4 assessment of knowledge under this subparagraph must incorporate
5 evaluations of learning throughout each unit and include a
6 summative assessment that must be completed to demonstrate
7 successful course completion.

8 (iv) Instruction that builds teacher content knowledge and
9 pedagogical knowledge of the critical components of literacy,
10 including how the brain learns to read, phonological and phonemic
11 awareness, letter knowledge, phonics, advanced phonics, vocabulary
12 and oral language, fluency, comprehension, spelling and writing,
13 and the organization of language.

14 (v) Instruction that supports educators in understanding how
15 to effectively use screening, progress monitoring, and diagnostic
16 assessment data to improve literacy outcomes through prevention and
17 intervention for reading difficulties in a multi-tiered system of
18 supports. The multi-tiered system of supports must include at least
19 all of the following essential components:

20 (A) Team-based leadership.

21 (B) A tiered delivery system.

22 (C) Selection and implementation of instruction,
23 interventions, and supports.

24 (D) A comprehensive screening and assessment system.

25 (E) Continuous data-based decision making.

26 (e) Requires completion of the content described in
27 subdivision (d) by all individuals participating in the educator
28 preparation program.

29 (f) Requires completion of the content described in



1 subdivision (d) by all individuals who instruct courses or programs
2 in literacy or reading methods in the educator preparation program.

3 (g) Requires comprehensive knowledge of the science of
4 reading, as that term is defined in section 1280f of the revised
5 school code, MCL 380.1280f, for any individual participating in the
6 educator preparation program who seeks certification or endorsement
7 to become an educator for grades K to 5 in reading instruction,
8 language arts, or special education, as determined by the
9 department.

10 (h) Requires comprehensive knowledge of the science of
11 reading, as that term is defined in section 1280f of the revised
12 school code, MCL 380.1280f, by all individuals who instruct courses
13 or programs in literacy or reading methods in the educator
14 preparation program.

15 Sec. 27c. (1) From the state school aid fund money
16 appropriated in section 11, there is allocated \$30,000,000.00 for
17 ~~2025-2026 and 2026-2027~~, from the educator fellowship public
18 provider fund money appropriated in section 11, there is allocated
19 \$20,000,000.00 for ~~2025-2026-2026-2027~~, and from the educator
20 fellowship private provider fund money appropriated in section 11,
21 there is allocated \$12,500,000.00 for 2026-2027 for the MI future
22 educator student teacher stipend program. Except as otherwise
23 provided in this section, the funds allocated under this section
24 must be paid to eligible educator preparation programs for payments
25 to eligible student teachers working in a district. At the close of
26 the fiscal year, state school aid fund money allocated under this
27 section that is unspent must be deposited into the educator
28 fellowship public provider fund in section 27d.

29 (2) An eligible student teacher under this subsection must



1 meet all of the following:

2 (a) The individual must be admitted to an eligible educator
3 preparation program, be working toward a teacher certification, and
4 be participating in required student teaching coursework. As used
5 in this subdivision, "required student teaching coursework" means
6 credit hours, or the program equivalent, required by an eligible
7 educator preparation program for successful completion of the
8 program. This coursework must include regular placement in a
9 district **or nonpublic school** where the student gains real-world,
10 first-hand experience working in a classroom, teaching students,
11 engaging in the day-to-day activities of a certified teacher, and
12 working daily under the guidance of a certified teacher.

13 (b) The individual must timely complete an application in a
14 form and manner prescribed by the department of lifelong education,
15 advancement, and potential. The application must include the
16 district **or nonpublic school** in which the individual is working as
17 a student teacher and must include a certification by the district
18 **or nonpublic school** and the individual's eligible educator
19 preparation program that the student is working as a student
20 teacher. If the individual's eligible educator preparation program
21 is not provided by a public institution of higher education, the
22 district **or nonpublic school** in which the individual is working
23 must also provide an assurance that they will forward any amount
24 received under this section from the department of lifelong
25 education, advancement, and potential for purposes of the program
26 described in this section to the individual's eligible educator
27 preparation program.

28 (c) The individual must not have received a payment from funds
29 under this subsection previously, unless the individual is enrolled



1 in an eligible educator preparation program that requires multiple
2 semesters of student teaching. An individual may receive not more
3 than 2 awards under this section.

4 (d) If an individual is employed by their district **or**
5 **nonpublic school** as a teacher of record, they are not eligible for
6 payment under this section.

7 (e) An individual that is a current City Year corps member
8 enrolled in an eligible educator preparation program is eligible
9 for payment under this section.

10 (3) The department of lifelong education, advancement, and
11 potential shall pay each eligible educator preparation program an
12 amount not to exceed \$9,600.00 per academic semester for each
13 eligible student teacher working in a district. If the individual's
14 eligible educator preparation program is not provided by a public
15 institution of higher education, the department of lifelong
16 education, advancement, and potential shall pay an amount not to
17 exceed \$9,600.00 per academic semester to the district **or nonpublic**
18 **school** in which the individual is working as a student teacher, and
19 that district **or nonpublic school** must forward the amount received
20 to the individual's eligible educator preparation program. It is
21 intended that payments under this subsection are made at the
22 beginning of the semester in 1 lump sum for eligible student
23 teachers.

24 (4) Eligible educator preparation programs shall pay funds
25 received under this section, in entirety, to the eligible student
26 teacher.

27 (5) Notwithstanding section 17b, the department of lifelong
28 education, advancement, and potential shall make payments under
29 this section on a schedule determined by the department of lifelong



1 education, advancement, and potential.

2 (6) If the amount allocated in subsection (1) is insufficient
3 to fully fund awards under this section, there is appropriated from
4 the educator fellowship public provider fund in section 27d **and**
5 **from the educator fellowship private provider fund in section 27e**
6 the amount necessary to fully fund the programs described in this
7 section. The state budget director shall notify the house and
8 senate appropriations subcommittees on K to 12 school aid and the
9 house and senate fiscal agencies of any additional appropriation
10 described in this subsection.

11 (7) **Any funds provided to or on behalf of an individual who is**
12 **completing the required placement under subsection (2) at a**
13 **nonpublic school must be paid from the educator fellowship private**
14 **provider fund created under section 27e.**

15 (8) ~~(7)~~—As used in this section, "eligible educator
16 preparation program" means an institution of higher education that
17 meets all of the following:

18 (a) Is a public or private institution of higher education in
19 this state.

20 (b) Has an established school of education with an educator
21 preparation program approved by the department.

22 (c) Has not been deemed as ineligible to receive Michigan
23 achievement scholarship funding under section 248 as a result of
24 exceeding tuition restraint requirements described in section 248.

25 (d) **Includes all of the following content as part of the**
26 **institution's educator preparation programming:**

27 (i) **A system of training that provides educators with the**
28 **knowledge base to effectively implement any classwide,**
29 **supplemental, or intervention reading approach and to determine why**



1 some students struggle with reading, writing, spelling, and
2 language.

3 (ii) Training activities that direct educators to implement
4 effective reading and spelling instruction supported by
5 scientifically based research and foster a direct explicit
6 instructional sequence that uses techniques to support teachers'
7 independence in using their newly learned skills with students in
8 the classroom.

9 (iii) Integrated components for educators in grades K to 5 with
10 embedded evaluation or assessment of knowledge. Evaluation or
11 assessment of knowledge under this subparagraph must incorporate
12 evaluations of learning throughout each unit and include a
13 summative assessment that must be completed to demonstrate
14 successful course completion.

15 (iv) Instruction that builds teacher content knowledge and
16 pedagogical knowledge of the critical components of literacy,
17 including how the brain learns to read, phonological and phonemic
18 awareness, letter knowledge, phonics, advanced phonics, vocabulary
19 and oral language, fluency, comprehension, spelling and writing,
20 and the organization of language.

21 (v) Instruction that supports educators in understanding how
22 to effectively use screening, progress monitoring, and diagnostic
23 assessment data to improve literacy outcomes through prevention and
24 intervention for reading difficulties in a multi-tiered system of
25 supports. The multi-tiered system of supports must include at least
26 all of the following essential components:

27 (A) Team-based leadership.

28 (B) A tiered delivery system.

29 (C) Selection and implementation of instruction,



1 interventions, and supports.

2 (D) A comprehensive screening and assessment system.

3 (E) Continuous data-based decision making.

4 (e) Requires completion of the content described in
5 subdivision (d) by all individuals participating in the educator
6 preparation program.

7 (f) Requires completion of the content described in
8 subdivision (d) by all individuals who instruct courses or programs
9 in literacy or reading methods in the educator preparation program.

10 (g) Requires comprehensive knowledge of the science of
11 reading, as that term is defined in section 1280f of the revised
12 school code, MCL 380.1280f, for any individual participating in the
13 educator preparation program who seeks certification or endorsement
14 to become an educator for grades K to 5 in reading instruction,
15 language arts, or special education, as determined by the
16 department.

17 (h) Requires comprehensive knowledge of the science of
18 reading, as that term is defined in section 1280f of the revised
19 school code, MCL 380.1280f, by all individuals who instruct courses
20 or programs in literacy or reading methods in the educator
21 preparation program.

22 Sec. 27j. (1) The student loan repayment assistance reserve
23 fund is created as a separate account within the state school aid
24 fund to provide supplemental funding for the student loan repayment
25 assistance program in **former** section 27k.

26 (2) The state treasurer may receive money or other assets from
27 any source for deposit into the student loan repayment assistance
28 reserve fund. The state treasurer shall direct the investment of
29 the student loan repayment assistance reserve fund. The state



1 treasurer shall credit to the student loan repayment assistance
2 reserve fund interest and earnings from student loan repayment
3 assistance reserve fund investments.

4 (3) Money in the student loan repayment assistance reserve
5 fund at the close of the fiscal year ~~remains in the student loan~~
6 ~~repayment assistance reserve fund and does not lapse~~ **lapses** to the
7 state school aid fund.

8 (4) The department of treasury is the administrator of the
9 student loan repayment assistance reserve fund for auditing
10 purposes.

11 (5) Money available in the student loan repayment assistance
12 reserve fund must not be expended without a specific appropriation.

13 ~~(6) At the close of each fiscal year, unspent funds from state~~
14 ~~sources allocated in section 27k must be deposited into the student~~
15 ~~loan repayment assistance reserve fund created in this section.~~

16 **Sec. 27o. (1) From the state school aid fund money**
17 **appropriated in section 11, there is allocated \$4,000,000.00 for**
18 **2026-2027 only to an intermediate district to support a statewide**
19 **digital credentialing initiative for students in CTE programs and**
20 **educators. The digital credentialing initiative must provide pupils**
21 **and instructional staff with access to a verifiable, portable, and**
22 **accessible digital record of skills, competencies, and achievements**
23 **that may be securely shared with employers, postsecondary**
24 **institutions, and workforce partners across this state, supporting**
25 **Michigan's economic workforce competitiveness by improving skills**
26 **transparency and portability statewide.**

27 (2) Funds received under this section must be awarded to an
28 intermediate district to partner with a nonprofit organization with
29 demonstrated experience in digital credentialing and workforce-



1 aligned talent record systems.

2 (3) The digital credentialing initiative must enable CTE
3 students statewide, including program completers and individuals
4 demonstrating proficiency in Perkins V-aligned competencies, to
5 earn verified, portable digital credentials documenting career
6 pathway achievements, workforce readiness, and postsecondary
7 readiness. Credentials shall be aligned to department-approved CTE
8 programs and statewide competency frameworks to ensure consistency
9 and portability across regions.

10 (4) The digital credentialing initiative must include, at a
11 minimum, both of the following:

12 (a) Development of digital credentials for CTE program
13 completion, work-based learning, youth apprenticeship, and soft
14 skills. All credentials must be stored, including industry-
15 recognized credits. Credentials must be maintained within a
16 statewide credential library to support consistent issuance,
17 validation, and recognition across this state. These achievements
18 must be showcased in a digital, portable portfolio that organizes
19 and displays verified credentials, skills, competencies, and
20 achievements and can be securely shared.

21 (b) Digital credentials for educators that track literacy
22 professional development for educators, including the completion of
23 LETRS training or other science of reading-based training.
24 Credentials issued for the completion of LETRS training must be
25 competency based, verifiable, and electronically shareable by the
26 educator. Each credential must document the specific level or unit
27 completed and the date of completion.

28 (5) The development of digital credentials for CTE program
29 completion described in subsection (4) (a) must align with state and

1 regional workforce and education systems to support Michigan's
2 economic workforce competitiveness and regional talent pipeline
3 needs, while ensuring statewide consistency and portability of
4 credentials. The administering nonprofit organization shall provide
5 statewide implementation support and submit an annual report to the
6 department detailing adoption, credential issuance by type and
7 region, and progress toward improving statewide CTE-to-workforce
8 outcomes.

9 (6) The administering nonprofit organization shall provide
10 participant level data in a form and manner prescribed by the
11 department to support credential issuance, registry reporting, and
12 integration with statewide education data systems. Data submitted
13 under this section must align with statewide education data
14 infrastructure standards, including coordination with MiDataHub and
15 MiGreatDataLake.

16 (7) The digital credentialing initiative must annually report
17 to the department, to the extent not otherwise collected through
18 existing reporting systems, the name, personnel identification
19 code, employing district or entity, level or unit completed, date
20 of completion, and credential status for each educator
21 participating in LETRS training funded under section 35a. The
22 department may incorporate this information into a statewide
23 educator workforce profile system.

24 (8) As used in this section:

25 (a) "CTE program" means a career and technical education
26 program.

27 (b) "CTE student" means a pupil enrolled in a career and
28 technical education program.

29 Sec. 28. (1) To recognize differentiated instructional costs



1 for different types of pupils as well as additional costs to
 2 provide essential services in 2025-2026, the following sections
 3 provide a weighted foundation allocation or an additional payment
 4 of some type in the following amounts, as allocated under those
 5 sections:

6 (a) Section 22d, isolated and rural districts, ~~\$12,873,100.00.~~
 7 **\$13,516,800.00.**

8 (b) Section 22l, transportation reimbursement, \$125,000,000.00.

9 (c) Section 29, declining enrollment, \$71,000,000.00.

10 (d) Section 31a, at risk, ~~\$1,293,655,000.00.~~
 11 **\$1,358,337,800.00.**

12 (e) Section 32d, great start readiness program,
 13 ~~\$656,217,600.00.~~**\$671,881,800.00.**

14 (f) Section 41, bilingual education for English language
 15 learners, ~~\$62,732,600.00.~~**\$65,869,300.00**

16 (g) Section 51c, special education, mandated percentages,
 17 ~~\$1,107,900,000.00.~~**\$1,140,700,000.00.**

18 (h) Section 54d, early on, ~~\$23,670,700.00.~~**\$28,670,700.00.**

19 (i) Section 61a, career and technical education, standard
 20 reimbursement, ~~\$41,733,800.00.~~

21 ~~(j) Section 61d, career and technical education incentives,~~
 22 ~~\$13,400,000.00.~~**\$43,820,500.00.**

23 (2) The funding described in subsection (1) is not a separate
 24 allocation of any funding but is instead a listing of funding
 25 allocated in the sections listed in subsection (1).

26 Sec. 29. (1) The enrollment stabilization fund is created as a
 27 separate account in the state school aid fund for the purpose of
 28 stabilizing the effects of declining enrollment.

29 (2) The state treasurer may receive money or other assets from

1 any source for deposit into the enrollment stabilization fund. The
2 state treasurer shall direct the investment of the enrollment
3 stabilization fund. The state treasurer shall credit to the
4 enrollment stabilization fund interest and earnings from enrollment
5 stabilization fund investments.

6 (3) Money in the enrollment stabilization fund at the close of
7 the fiscal year remains in the enrollment stabilization fund and
8 does not lapse to the state school aid fund or the general fund.

9 (4) The department of treasury is the administrator of the
10 enrollment stabilization fund for auditing purposes.

11 (5) Money available in the enrollment stabilization fund must
12 not be expended without a specific appropriation.

13 (6) From the enrollment stabilization fund money appropriated
14 under section 11, there is allocated an amount not to exceed
15 \$71,000,000.00 for ~~2025-2026~~**2026-2027** for districts and
16 intermediate districts for which membership in the immediately
17 preceding fiscal year, as calculated under section 6 in the
18 immediately preceding fiscal year, exceeds membership in the
19 current fiscal year, as calculated under section 6 in the current
20 fiscal year.

21 (7) The allocation under subsection (6) must be an amount
22 equal to the sum of the product of .50 and the district's or
23 intermediate district's membership for the immediately preceding
24 fiscal year, as calculated under section 6 of the immediately
25 preceding fiscal year, and the product of .50 and the district's or
26 intermediate district's membership in the current fiscal year, as
27 calculated under section 6 of the current fiscal year, minus the
28 district's or intermediate district's membership in the current
29 fiscal year, as calculated under section 6 of the current fiscal



1 year, multiplied by the target foundation allowance for the current
2 fiscal year.

3 Sec. 30d. (1) From the state school aid fund money
4 appropriated in section 11, there is allocated an amount not to
5 exceed \$200,000,000.00 for ~~2025-2026,~~ **2026-2027**, and from the
6 general fund money appropriated in section 11, there is allocated
7 an amount not to exceed \$1,600,000.00 for ~~2025-2026 only~~ **2026-2027**
8 for the purpose of making payments to participating entities to
9 provide free school lunch and breakfast to public school and
10 nonpublic school pupils in grades pre-K to 12.

11 (2) To receive funding under this section, a participating
12 entity must participate in the National School Lunch Program **and**
13 **School Breakfast Program** and must do all of the following:

14 (a) Provide reimbursable breakfasts and reimbursable lunches
15 at no cost to all students for any school breakfast program or
16 school lunch program operated by the participating entity.

17 (b) Submit information regarding the number of reimbursable
18 breakfasts and reimbursable lunches served in a manner prescribed
19 by the department.

20 (c) Maximize federal reimbursement for reimbursable breakfasts
21 and reimbursable lunches by operating under the CEP if the
22 participating entity has an identified student percentage greater
23 than or equal to the minimum requirement to be eligible to
24 participate in the CEP. For purposes of this subdivision, all
25 eligible participating entities must elect CEP on behalf of a
26 single school, a group or groups of schools, or all schools in the
27 participating entity, as applicable, in a manner that maximizes
28 federal reimbursement.

29 (d) Meet all applicable state and federal standards in its



1 school breakfast and lunch programs, as determined by the
2 department.

3 (e) Take all efforts to maximize and implement policies that
4 require parents or **legal** guardians to fill out relevant family
5 income information, in a manner prescribed by the department, for
6 the purposes of determining student eligibility for federal free or
7 reduced cost meal reimbursement rates and CEP eligibility
8 determinations.

9 (f) Forgive all school meal debt related to federally
10 reimbursable meals, as determined by the department.

11 **(g) Ensure that the participating entity does not make soda or**
12 **candy available for purchase by students.**

13 **(h) Ensure that the participating entity's breakfast or lunch**
14 **program funded under this section does not make food that contains**
15 **any of the following ingredients available to students:**

16 **(i) Bromated vegetable oil.**

17 **(ii) Potassium bromate.**

18 **(iii) Propylparaben.**

19 **(iv) Titanium dioxide.**

20 **(v) Any of the following dyes:**

21 **(A) Red 40.**

22 **(B) Green 3.**

23 **(C) Blue 1.**

24 **(D) Blue 2.**

25 **(E) Yellow 6.**

26 (3) Participating entities are encouraged to offer meals that
27 meet students' dietary restrictions, including the provision of
28 gluten-free meals, vegetarian meals, vegan meals, and, upon
29 request, kosher meals, halal meals, and meals meeting any allergy



1 restrictions as confirmed by a doctor's note. Participating
2 entities are encouraged to purchase food from Michigan growers when
3 possible and practical.

4 (4) For each eligible participating entity, the department
5 shall pay an amount equal to the following:

6 (a) The amount equal to the federal rate per student paid per
7 pupil per free breakfast and lunch under the ~~Child Nutrition Act~~
8 **child nutrition act** of 1966, 42 USC 21 1771 to 1793, and the
9 Richard B. Russell ~~National School Lunch Act,~~ **national school lunch**
10 **act**, 42 USC 1751 to 1769j, multiplied by the number of breakfasts
11 and lunches provided by the participating entity to students, less
12 the federal revenue received by the participating entity under the
13 school breakfast program and the school lunch program under the
14 ~~Child Nutrition Act~~ **child nutrition act** of 1966, 42 USC 21 1771 to
15 1793, and the Richard B. Russell ~~National School Lunch Act,~~
16 **national school lunch act**, 42 USC 1751 to 1769j, and other state
17 lunch payments received under section 31d.

18 (b) The amount equal to the federal rate per student paid per
19 pupil per free breakfast and lunch under the ~~Child Nutrition Act~~
20 **child nutrition act** of 1966, 42 USC 21 1771 to 1793, and the
21 Richard B. Russell ~~National School Lunch Act,~~ **national school lunch**
22 **act**, 42 USC 1751 to 1769j, multiplied by the number of breakfasts
23 and lunches provided by the participating entity, as applicable, to
24 children participating in the Great Start Readiness Program under
25 section 32d at the participating entity, less all other federal and
26 state lunch payments made for those children. For purposes of this
27 subdivision, compliance with 7 CFR 226.9 is required. The
28 department shall assign rates of reimbursement pursuant to 7 CFR
29 226.9, at least annually, on the basis of family size and income



information reported by each eligible participating entity.
Assigned rates of reimbursement must be adjusted annually to
reflect changes in the national average payment rates.

(5) Notwithstanding section 17b, the department may make
payments under this section on a schedule determined by the
department.

(6) As used in this section:

**(a) "Candy" means preparations of sugar, honey, or other
sweeteners in combination with chocolate, fruits, nuts, or other
ingredients in the form of bars, drops, or pieces. Candy does not
include bars, drops, or pieces that contain flour or that require
refrigeration.**

**(b) ~~(a)~~"CEP" means the Community Eligibility Provision under
the Richard B. Russell ~~National School Lunch Act,~~ national school
lunch act, 42 USC 1751 to 1769j.**

**(c) ~~(b)~~"Participating entity" means a district, intermediate
district, nonpublic school, or the Michigan Schools for the Deaf
and Blind.**

**(d) "Soda" means any nonalcoholic beverage that contains
natural or artificial sweeteners. Soda does not include a beverage
that contains milk or milk substitutes or is greater than 50%
vegetable juice or fruit juice by volume.**

(7) In addition to the appropriations in section 11, if the
amount allocated in subsection (1) is insufficient to fully
reimburse districts for meals as required in this section, there is
appropriated from the school meals reserve fund created in section
30e the amount necessary to fully fund these reimbursements.

Sec. 31a. (1) There is allocated for ~~2025-2026~~**2026-2027** an
amount not to exceed ~~\$1,336,805,000.00~~**\$1,401,487,800.00** from the



1 state school aid fund money appropriated in section 11 and an
2 amount not to exceed \$1,500,000.00 from the general fund money
3 appropriated in section 11 for payments to eligible districts and
4 eligible public school academies for the purposes of ensuring that
5 pupils are proficient in English language arts by the end of grade
6 3, that pupils are proficient in mathematics by the end of grade 8,
7 that pupils are attending school regularly, that high school
8 graduates are career and college ready, and for the purposes under
9 subsections (7), (8), and ~~(23)~~. **(24)**.

10 (2) For a district or public school academy to be eligible to
11 receive funding under this section, other than funding under
12 subsection (7), (8), or ~~(23)~~, **(24)**, the district or public school
13 academy, for grades K to 12, must comply with the requirements
14 under section 1280f of the revised school code, MCL 380.1280f, and
15 must use resources to address ~~early~~-literacy and numeracy, and for
16 at least grades K to 12 or, if the district or public school
17 academy does not operate all of grades K to 12, for all of the
18 grades it operates, must implement a multi-tiered system of
19 supports that is an evidence-based framework that uses data driven
20 problem solving to integrate academic and behavioral instruction
21 and that uses intervention delivered to all pupils in varying
22 intensities based on pupil needs. The multi-tiered system of
23 supports described in this subsection must provide at least all of
24 the following essential components:

- 25 (a) Team-based leadership.
26 (b) A tiered delivery system.
27 (c) Selection and implementation of instruction,
28 interventions, and supports.
29 (d) A comprehensive screening and assessment system.



(e) Continuous data-based decision making.

(3) From the state school aid fund money allocated under subsection (1), there is allocated for ~~2025-2026~~**2026-2027** an amount not to exceed ~~\$1,293,655,000.00~~**\$1,358,337,800.00** to continue a weighted foundation per pupil payment for districts and public school academies enrolling economically disadvantaged pupils. The department shall pay under this subsection to each eligible district or eligible public school academy an amount per pupil equal to a percentage calculated under subsection (4) multiplied by the target foundation allowance for the following, as applicable:

(a) Except as otherwise provided under subdivision (b), (c), or (d) the greater of the following:

(i) The number of membership pupils in the district or public school academy who are determined to be economically disadvantaged, as reported to the center in the form and manner prescribed by the center not later than the fifth Wednesday after the pupil membership count day of the immediately preceding fiscal year.

(ii) If the district or public school academy is in the community eligibility program, the number of pupils determined to be eligible based on the product of the identified student percentage multiplied by the total number of pupils in the district or public school academy, as reported to the center in the form and manner prescribed by the center not later than the fifth Wednesday after the pupil membership count day of the immediately preceding fiscal year. These calculations must be made at the building level. This subparagraph only applies to an eligible district or eligible public school academy for the fiscal year immediately following the first fiscal year in which it is in the community eligibility



1 program. As used in this subparagraph, "identified student
2 percentage" means the quotient of the number of pupils in an
3 eligible district or eligible public school academy who are
4 determined to be economically disadvantaged, as reported to the
5 center in a form and manner prescribed by the center, not later
6 than the fifth Wednesday after the pupil membership count day in
7 the fiscal year preceding the first fiscal year in which the
8 eligible district or eligible public school academy is in the
9 community eligibility program, divided by the total number of
10 pupils counted in an eligible district or eligible public school
11 academy on the pupil membership count day in the fiscal year
12 preceding the first fiscal year in which the eligible district or
13 eligible public school academy is in the community eligibility
14 program.

15 (b) If the district or public school academy began operations
16 as a district or public school academy after the pupil membership
17 count day of the immediately preceding school year, the number of
18 membership pupils in the district or public school academy who are
19 determined to be economically disadvantaged, as reported to the
20 center in the form and manner prescribed by the center not later
21 than the fifth Wednesday after the pupil membership count day of
22 the current fiscal year.

23 (c) If the district or public school academy began operations
24 as a district or public school academy after the pupil membership
25 count day of the current fiscal year, the number of membership
26 pupils in the district or public school academy who are determined
27 to be economically disadvantaged, as reported to the center in the
28 form and manner prescribed by the center not later than the fifth
29 Wednesday after the supplemental count day of the current fiscal



1 year.

2 (d) If, for a particular fiscal year, the number of membership
3 pupils in a district or public school academy who are determined
4 under subdivision (a) to be economically disadvantaged or to be
5 eligible based on the identified student percentage varies by more
6 than 20 percentage points from the number of those pupils in the
7 district or public school academy as calculated under subdivision
8 (a) for the immediately preceding fiscal year caused by an
9 egregious reporting error by the district or public school academy,
10 the department may choose to have the calculations under
11 subdivision (a) instead be made using the number of membership
12 pupils in the district or public school academy who are determined
13 to be economically disadvantaged, as reported to the center in the
14 form and manner prescribed by the center not later than the fifth
15 Wednesday after the supplemental count day of the immediately
16 preceding fiscal year.

17 (4) Each district or public school academy must be assigned an
18 opportunity index score each fiscal year, the value of which is the
19 quotient of the number of economically disadvantaged pupils as
20 determined under subsection (3) for the district or public school
21 academy and the total number of pupils in the district or public
22 school academy in the immediately preceding fiscal year, multiplied
23 by 100 and rounded up to the nearest whole number. Each district or
24 public school academy must be assigned an opportunity index band as
25 follows:

26 (a) A district or public school academy with an opportunity
27 index score greater than or equal to 0 but less than 20 must be
28 assigned to band 1 and shall receive reimbursement under subsection
29 (3) at a rate of at least 35.0% and less than 36.0%. The



1 reimbursement rate under this subdivision must be an amount equal
2 to the district's opportunity index score minus 1, multiplied by
3 the band adjustment factor applicable to this subdivision, plus
4 35.0%.

5 (b) A district or public school academy with an opportunity
6 index score greater than or equal to 20 but less than 44 must be
7 assigned to band 2 and shall receive reimbursement under subsection
8 (3) at a rate of at least 36.0% and less than 37.5%. The
9 reimbursement rate under this subdivision must be an amount equal
10 to the district's opportunity index score minus 20, multiplied by
11 the band adjustment factor applicable to this subdivision, plus
12 36.0%.

13 (c) A district or public school academy with an opportunity
14 index score greater than or equal to 44 but less than 59 must be
15 assigned to band 3 and shall receive reimbursement under subsection
16 (3) at a rate of at least 37.5% and less than 39.0%. The
17 reimbursement rate under this subdivision must be an amount equal
18 to the district's opportunity index score minus 44, multiplied by
19 the band adjustment factor applicable to this subdivision, plus
20 37.5%.

21 (d) A district or public school academy with an opportunity
22 index score greater than or equal to 59 but less than 73 must be
23 assigned to band 4 and shall receive reimbursement under subsection
24 (3) at a rate of at least 39.0% and less than 42.0%. The
25 reimbursement rate under this subdivision must be an amount equal
26 to the district's opportunity index score minus 59, multiplied by
27 the band adjustment factor applicable to this subdivision, plus
28 39.0%.

29 (e) A district or public school academy with an opportunity



1 index score greater than or equal to 73 but less than 85 must be
2 assigned to band 5 and shall receive reimbursement under subsection
3 (3) at a rate of at least 42.0% and less than 47.0%. The
4 reimbursement rate under this subdivision must be an amount equal
5 to the district's opportunity index score minus 73, multiplied by
6 the band adjustment factor applicable to this subdivision, plus
7 42.0%.

8 (f) A district or public school academy with an opportunity
9 index score greater than or equal to 85 must be assigned to band 6
10 and shall receive reimbursement under subsection (3) at a rate of
11 47.0%.

12 (g) As used in this subsection, "band adjustment factor" means
13 an amount equal to the difference between the lowest and highest
14 reimbursement bounds for each band, divided by the number of
15 possible opportunity index scores in that band.

16 (5) Except as otherwise provided in this section, a district
17 or public school academy receiving funding under this section shall
18 use that money only to provide instructional programs and direct
19 noninstructional services, including, but not limited to, medical,
20 mental health, or counseling services, for at-risk pupils; for
21 school health clinics; and for the purposes of subsection (6), (7),
22 (8), or ~~(23)~~ **(24)**. In addition, a district that is a school
23 district of the first class or a district or public school academy
24 in which at least 50% of the pupils in membership were determined
25 to be economically disadvantaged in the immediately preceding state
26 fiscal year, as determined and reported as described in subsection
27 (3), may use the funds it receives under this section for school
28 security or school parent liaison personnel. The uses of the funds
29 described in the immediately preceding sentence must align to the

1 needs assessment and the multi-tiered system of supports model and,
2 for funds spent on parent liaison personnel, must connect parents
3 to the school community. A district or public school academy shall
4 not use any of the money received under this section for
5 administrative costs. The instruction or direct noninstructional
6 services provided under this section may be conducted before or
7 after regular school hours or by adding extra school days to the
8 school year.

9 (6) A district or public school academy that receives funds
10 under this section and that operates a school breakfast program
11 under section 1272a of the revised school code, MCL 380.1272a,
12 shall use from the funds received under this section an amount, not
13 to exceed \$10.00 per pupil for whom the district or public school
14 academy receives funds under this section, necessary to pay for
15 costs associated with the operation of the school breakfast
16 program.

17 (7) From the state school aid fund money allocated under
18 subsection (1), there is allocated for ~~2025-2026~~**2026-2027** an
19 amount not to exceed \$33,000,000.00, to support primary health care
20 services provided to children and adolescents up to age 21. These
21 funds must be expended in a form and manner determined jointly by
22 the department and the department of health and human services.
23 When making funding decisions for new adolescent health centers
24 under this subsection, the department and department of health and
25 human services shall prioritize support for primary health care
26 services in unserved and underserved counties as determined by the
27 department of health and human services. An amount equal to 4% of
28 the funds allocated under this subsection must be made available
29 for technical support and coordination services from a nonprofit



1 organization exclusively dedicated to serving adolescent health
2 centers in this state and that has a membership that includes
3 federally qualified health centers, local public health
4 departments, hospital systems, and public school districts. As a
5 requirement of being awarded the funds under this subsection as
6 prescribed under this subsection, a nonprofit organization
7 described in this subsection shall make readily available technical
8 support and coordination services to all child and adolescent
9 health centers in this state.

10 (8) From the state school aid fund money allocated under
11 subsection (1), there is allocated for ~~2025-2026~~**2026-2027** an
12 amount not to exceed \$10,150,000.00 for the state portion of the
13 hearing and vision screenings as described in part 93 of the public
14 health code, 1978 PA 368, MCL 333.9301 to 333.9329, and, from the
15 general fund money allocated under subsection (1), there is
16 allocated for ~~2025-2026~~**2026-2027** an amount not to exceed
17 \$1,500,000.00 for the state portion of the dental screenings as
18 described in part 93 of the public health code, 1978 PA 368, MCL
19 333.9301 to 333.9329. A local public health department shall pay at
20 least 50% of the total cost of the screenings. The frequency of the
21 vision screenings must be as required under R 325.13091 to R
22 325.13096 of the Michigan Administrative Code and the frequency of
23 the hearing screenings must be as required under R 325.3271 to R
24 325.3276 of the Michigan Administrative Code. Funds must be awarded
25 in a form and manner approved jointly by the department and the
26 department of health and human services. Notwithstanding section
27 17b, the department shall make payments to eligible entities under
28 this subsection on a schedule determined by the department.

29 (9) Each district or public school academy receiving funds



1 under this section shall submit to the department by July 15 of
2 each fiscal year a report, in the form and manner prescribed by the
3 department, that includes a brief description of each program
4 conducted or services performed by the district or public school
5 academy using funds under this section, the amount of funds under
6 this section allocated to each of those programs or services, the
7 total number of at-risk pupils served by each of those programs or
8 services, and the data necessary for the department and the
9 department of health and human services to verify matching funds
10 for the temporary assistance for needy families program. In
11 prescribing the form and manner of the report, the department shall
12 ensure that districts are allowed to expend funds received under
13 this section on any activities that are permissible under this
14 section. If a district or public school academy does not comply
15 with this subsection, the department shall withhold an amount equal
16 to the August payment due under this section until the district or
17 public school academy complies with this subsection. If the
18 district or public school academy does not comply with this
19 subsection by the end of the fiscal year, the withheld funds are
20 forfeited to the school aid fund.

21 (10) To receive funds under this section, a district or public
22 school academy must allow access for the department or the
23 department's designee to audit all records related to the program
24 for which it receives those funds. The district or public school
25 academy shall reimburse the state for all disallowances found in
26 the audit.

27 **(11) A district or public school academy shall allocate a**
28 **percentage of dollars received under subsection (3) to each support**
29 **category building operated by the district or public school academy**



1 equal to the quotient of the number of economically disadvantaged
 2 students enrolled in each support category building by the total
 3 number of economically disadvantaged students in the district or
 4 public school academy multiplied by 100.

5 (12) ~~(11)~~ Subject to subsections (6), (7), (8), and ~~(23)~~,
 6 (24), for schools in which more than 40% of pupils are identified
 7 as at-risk, a district or public school academy may use the funds
 8 it receives under this section to implement tier 1, evidence-based
 9 practices in schoolwide reforms that are guided by the district's
 10 comprehensive needs assessment and are included in the district
 11 improvement plan. Schoolwide reforms must include parent and
 12 community supports, activities, and services, that may include the
 13 pathways to potential program created by the department of health
 14 and human services or the communities in schools program. As used
 15 in this subsection, "tier 1, evidence-based practices" means
 16 research based instruction and classroom interventions that are
 17 available to all learners and effectively meet the needs of most
 18 pupils.

19 (13) ~~(12)~~ A district or public school academy that receives
 20 funds under this section may use those funds to provide research
 21 based professional development and to implement a coaching model
 22 that supports the multi-tiered system of supports framework.
 23 Professional development may be provided to district and school
 24 leadership and teachers and must be aligned to professional
 25 learning standards; integrated into district, school building, and
 26 classroom practices; and solely related to the following:

27 (a) Implementing the multi-tiered system of supports required
 28 in subsection (2) with fidelity and utilizing the data from that
 29 system to inform curriculum and instruction.



(b) Implementing section 1280f of the revised school code, MCL 380.1280f, as required under subsection (2), with fidelity.

(14) ~~(13)~~—A district or public school academy that receives funds under subsection (3) may use funds received under subsection (3) for support staff providing services to at-risk pupils.

(15) ~~(14)~~—A district or public school academy may use up to 60% of the funds it receives under this section for the following purposes:

(a) Up to 30% to reduce the teacher to pupil ratio in grades K to 3.

(b) Up to 30% to support retention and recruitment efforts that help reduce staff turnover and vacancies of instructional and support staff if the district or public school academy is assigned to opportunity index band 4, 5, or 6.

(16) ~~(15)~~—Funds used as described in subsection ~~(14)~~—**(15)** must align with the needs assessment and the multi-tiered system of supports model. A district or public school academy shall not use any of the money described in subsection ~~(14)~~—**(15)** for administrative costs or to supplant existing funding, including, but not limited to, maintaining existing salaries or costs. A district or public school academy shall report its intent to use funds described in subsection ~~(14)~~—**(15)** to the department by not later than November 1 of the current fiscal year.

(17) ~~(16)~~—A district or public school academy determined to be eligible to use a portion of funds received under subsection (3) for the purposes described in subsection ~~(14)~~—**(15)** retains the ability to use funding for the purposes described in subsection ~~(14)~~—**(15)** for the fiscal year in which eligibility was determined plus 2 additional fiscal years beyond that fiscal year.



1 **(18)** ~~(17)~~ Beginning with the fiscal year ending September 30,
 2 2026, and each year thereafter, for a district receiving funding
 3 under this section through the opportunity index formula, the
 4 district must provide a report to parents or legal guardians that
 5 details the amount of funding received under that allocation, how
 6 the district distributed that funding in a way to target buildings
 7 with the highest needs, and what evidence-based interventions were
 8 implemented with those dollars. The report must include a method,
 9 including contact information, for parents or legal guardians to
 10 provide feedback on the use of these dollars as well as to seek
 11 more information about services and interventions available for
 12 their children.

13 **(19)** ~~(18)~~ A district or public school academy that receives
 14 funds under this section may use up to 10% of the funds received
 15 under this section to provide evidence-based instruction for pre-
 16 kindergarten instructional and noninstructional services to at-risk
 17 pupils.

18 **(20)** ~~(19)~~ Except as otherwise provided in this subsection, if
 19 necessary, the department shall prorate payments under this
 20 section, except payments under subsection (7), (8), or ~~(23)~~, **(24)**,
 21 by reducing the amount of the allocation as otherwise calculated
 22 under this section by an equal percentage per district. Subject to
 23 the availability of funds, if proration is necessary under this
 24 subsection, the department must ensure that no district receives an
 25 amount less than 11.5% of the target foundation for each
 26 economically disadvantaged pupil enrolled in the district.

27 **(21)** ~~(20)~~ If a district is dissolved pursuant to section 12 of
 28 the revised school code, MCL 380.12, the intermediate district to
 29 which the dissolved district was constituent shall determine the



1 estimated number of pupils that are economically disadvantaged and
2 that are enrolled in each of the other districts within the
3 intermediate district and provide that estimate to the department
4 for the purposes of distributing funds under this section within 60
5 days after the district is declared dissolved.

6 **(22)** ~~(21)~~—A district or public school academy that receives
7 funds under this section may use funds received under this section
8 to provide an anti-bullying or crisis intervention program.

9 **(23)** ~~(22)~~—The department shall collaborate with the department
10 of health and human services to prioritize assigning Pathways to
11 Potential success coaches to elementary schools that have a high
12 percentage of pupils in grades K to 3 who are not proficient in
13 English language arts, based upon state assessments for pupils in
14 those grades.

15 **(24)** ~~(23)~~—From the state school aid fund money appropriated
16 under section 11, there is allocated for 2023-2024 only an amount
17 not to exceed \$10,000,000.00 for an electronic patient data and
18 health care analytic system to be made available to each child and
19 adolescent health center program. The department of health and
20 human services shall collaborate on system implementation with a
21 nonprofit organization exclusively dedicated to serving child and
22 adolescent health center programs in this state and that has a
23 membership that includes federally qualified health centers, local
24 public health departments, hospital systems, and public school
25 districts, including, but not limited to, technology assessment,
26 design, coordination, and system implementation with child and
27 adolescent health center programs. Funds appropriated under this
28 subsection are a work project appropriation and any unexpended
29 funds for 2023-2024 are carried forward into 2024-2025. The purpose

1 of the work project is to continue to implement an electronic
2 patient data and health care analytic system. The estimated
3 completion date of the work project is September 30, 2028.

4 **(25)** ~~(24)~~—As used in this section:

5 (a) "At-risk pupil" means a pupil in grades pre-K to 12 for
6 whom the district has documentation that the pupil meets any of the
7 following criteria:

8 (i) The pupil is economically disadvantaged.

9 (ii) The pupil is an English language learner.

10 (iii) The pupil is chronically absent as defined by and reported
11 to the center.

12 (iv) The pupil is a victim of child abuse or neglect.

13 (v) The pupil is a pregnant teenager or teenage parent.

14 (vi) The pupil has a family history of school failure,
15 incarceration, or substance abuse.

16 (vii) The pupil is an immigrant who has immigrated within the
17 immediately preceding 3 years.

18 (viii) The pupil did not complete high school in 4 years and is
19 still continuing in school as identified in the Michigan cohort
20 graduation and dropout report.

21 (ix) For pupils for whom the results of the state summative
22 assessment have been received, is a pupil who did not achieve
23 proficiency on the English language arts, mathematics, science, or
24 social studies content area assessment.

25 (x) Is a pupil who is at risk of not meeting the district's or
26 public school academy's core academic curricular objectives in
27 English language arts or mathematics, as demonstrated on local
28 assessments.

29 (b) "Economically disadvantaged" means a pupil who has been



1 determined eligible for free or reduced-price meals as determined
2 under the Richard B. Russell national school lunch act, 42 USC 1751
3 to 1769j; who is in a household receiving supplemental nutrition
4 assistance program or temporary assistance for needy families
5 assistance; or who is homeless, migrant, or in foster care, as
6 reported to the center.

7 (c) "English language learner" means limited English
8 proficient pupils who speak a language other than English as their
9 primary language and have difficulty speaking, reading, writing, or
10 understanding English as reported to the center.

11 (d) **"Support category building" means a school building**
12 **identified by the state accountability system as a comprehensive**
13 **support and improvement school, additional targeted support school,**
14 **or targeted support and improvement school.**

15 Sec. 31c. (1) From the state school aid fund money
16 appropriated in section 11, there is allocated for 2025-2026 only
17 an amount not to exceed \$65,000,000.00 for grants to eligible
18 districts for pilot programs to maintain or establish small classes
19 in grades K to 3 in eligible school buildings in the district.

20 (2) To be eligible for a grant under subsection (1), a
21 district must have at least 1 eligible school building and must
22 apply to the department in the form and manner prescribed by the
23 department. A district shall include in its application a projected
24 budget for maintaining or establishing small classes in grades K to
25 3 and shall demonstrate in the projected budget that at least 30%
26 of the funds received by the district under section 31a will be
27 used to support small classes under this section.

28 (3) For a school building to be considered an eligible school
29 building under subsection (2), the school building must meet all of



1 the following requirements:

2 (a) Operate at least 1 of grades K to 3.

3 (b) Be operated by a district that operates all of grades K to
4 12 and that receives funds under section 31a.

5 (c) Be located in a district that is in an opportunity index
6 band, as described in section 31a, of 4 or higher.

7 (4) Not more than 25% of the total allocation under this
8 section may be paid to any single district. The department shall
9 make allocations under this section to districts that are
10 geographically diverse, including urban, suburban, and rural
11 districts. Grants issued under this section must be awarded to at
12 least the following districts:

13 (a) Muskegon Heights Public School Academy System.

14 (b) Benton Harbor Area Schools.

15 (c) Flint School District.

16 (d) Wayne-Westland Community School District.

17 (5) A district that receives funds under this section shall
18 use the funds to maintain or establish small classes in grades K to
19 3 in school buildings of the district for which funds are received
20 under this section. The average class size must be not more than 17
21 pupils per class, with not more than 19 pupils in any particular
22 class. A district that receives funds under this section shall use
23 at least 30% of the funds the district receives for 2025-2026 under
24 section 31a for the purposes of this section.

25 **(6) A district that receives funds under this section shall**
26 **submit to the department, in a form and manner determined by the**
27 **department, information necessary to evaluate a pilot program**
28 **funded under this section. The information submitted under this**
29 **subsection must include, but is not limited to, the following:**



1 (a) The number of classrooms participating in the pilot
2 program.

3 (b) The average number of pupils in a classroom in the pilot
4 program and the average number of pupils in a classroom not
5 participating in the pilot program, disaggregated by grade level.

6 (c) A comparison of benchmark assessment results for
7 classrooms participating in the program and classrooms not
8 participating in the program.

9 (7) By not later than December 1, 2027, the department shall
10 provide a report evaluating the pilot program to the house and
11 senate appropriations subcommittees on school aid, the house and
12 senate standing committees on education, the house and senate
13 fiscal agencies, and the state budget office.

14 (8) ~~(6)~~ Funding to districts under this section for 2025-2026
15 is intended to be for the first of 2 years of funding.

16 (9) ~~(7)~~ The funds allocated in this section are a work project
17 appropriation, and any unexpended funds for 2025-2026 are carried
18 forward into 2026-2027. The purpose of the work project is to lower
19 class sizes in grades K to 3. The estimated completion date of the
20 work project is September 30, 2030.

21 (10) ~~(8)~~ Notwithstanding section 17b, the department shall
22 make payments under this section on a schedule determined by the
23 department.

24 Sec. 31d. (1) From the state school aid fund money
25 appropriated in section 11, there is allocated an amount not to
26 exceed \$29,553,400.00 for ~~2025-2026~~ **2026-2027** for the purpose of
27 making payments to districts and other eligible entities under this
28 section.

29 (2) The amounts allocated from state sources under this



1 section are used to pay the amount necessary to reimburse districts
2 for 6.0127% of the necessary costs of the state mandated portion of
3 lunch programs provided by those districts. The department shall
4 calculate the amount due to each district under this section using
5 the methods of calculation adopted by the Michigan supreme court in
6 the consolidated cases known as *Durant v State of Michigan*, 456
7 Mich 175 (1997).

8 (3) The payments made under this section include all state
9 payments made to districts so that each district receives at least
10 6.0127% of the necessary costs of operating the state mandated
11 portion of the lunch program in a fiscal year.

12 (4) The payments made under this section to districts and
13 other eligible entities that are not required under section 1272a
14 of the revised school code, MCL 380.1272a, to provide a lunch
15 program must be in an amount not to exceed \$10.00 per eligible
16 pupil plus 5 cents for each free lunch and 2 cents for each reduced
17 price lunch provided, as determined by the department.

18 (5) From the federal funds appropriated in section 11, there
19 is allocated for ~~2025-2026~~**2026-2027** all available federal funding,
20 estimated at \$901,400,000.00 for child nutrition programs and, for
21 ~~2025-2026~~**2026-2027**, all available federal funding, estimated at
22 \$22,000,000.00, for food distribution programs.

23 (6) Notwithstanding section 17b, the department shall make
24 payments to eligible entities other than districts under this
25 section on a schedule determined by the department.

26 (7) In purchasing food for a lunch program funded under this
27 section, a district or other eligible entity shall give preference
28 to food that is grown or produced by Michigan businesses if it is
29 competitively priced and of comparable quality.



(8) In addition to the appropriations in section 11, if the amount allocated in subsection (1) is insufficient to fully reimburse districts for meals as required under this section, there is appropriated from the school meals reserve fund created under section 30e the amount necessary to fully fund these reimbursements.

Sec. 31f. (1) From the state school aid fund money appropriated in section 11, there is allocated an amount not to exceed \$16,900,000.00 for ~~2025-2026~~**-2026-2027** for the purpose of making payments to districts to reimburse for the cost of providing breakfast.

(2) The funds allocated under this section for school breakfast programs are made available to all eligible applicant districts that meet all of the following criteria:

(a) The district participates in the federal school breakfast program and meets all standards as prescribed by 7 CFR parts 210, 220, 225, 226, and 245.

(b) Each breakfast eligible for payment meets the federal standards described in subdivision (a).

(3) The payment for a district under this section is at a per meal rate equal to the lesser of the district's actual cost or 100% of the statewide average cost of a meal served, as determined and approved by the department, less federal reimbursement, participant payments, and state breakfast reimbursements received under section 30d. The department shall determine the statewide average cost using costs as reported in a manner approved by the department for the preceding school year.

(4) Notwithstanding section 17b, the department may make payments under this section pursuant to an agreement with the



1 department.

2 (5) In purchasing food for a school breakfast program funded
3 under this section, a district shall give preference to food that
4 is grown or produced by Michigan businesses if it is competitively
5 priced and of comparable quality.

6 (6) In addition to the appropriations in section 11, if the
7 amount allocated in subsection (1) is insufficient to fully
8 reimburse districts for meals as required under this section, there
9 is appropriated from the school meals reserve fund created under
10 section 30e the amount necessary to fully fund these
11 reimbursements.

12 **Sec. 31j. (1) From the general fund money appropriated in**
13 **section 11, there is allocated for 2026-2027 only an amount not to**
14 **exceed \$200,000.00 and from the state school aid fund money**
15 **appropriated in section 11, there is allocated an amount not to**
16 **exceed \$4,000,000.00 for 2026-2027 only for a program to support**
17 **districts and nonpublic schools in the purchase of locally grown**
18 **fruits, vegetables, and legumes as described in this section.**

19 (2) Funding under this section retained by the department for
20 administration must not exceed 5%. Funding under this section
21 retained by project partners for data collection, outreach, and
22 training must not exceed 2% for each partner.

23 (3) The department shall develop and implement a competitive
24 grant program for districts and nonpublic schools to assist in
25 paying for the costs incurred by the district or nonpublic school
26 to purchase or increase purchases of whole or minimally processed
27 fruits, vegetables, and legumes grown in this state. The maximum
28 amount that may be drawn down on a grant to a district or nonpublic
29 school is based on the number of meals served by the district or



1 nonpublic school during the previous school year under the Richard
2 B. Russell national school lunch act, 42 USC 1751 to 1769j. The
3 department shall collaborate with the Michigan department of
4 agriculture and rural development to provide training to newly
5 participating schools and nonpublic schools and electronic
6 information on Michigan agriculture.

7 (4) The goals of the program under this section include
8 improving daily nutrition and eating habits for children through
9 the school and child care settings while investing in Michigan's
10 agricultural and related food business economy.

11 (5) A district or nonpublic school that receives a grant under
12 this section shall use those funds for the costs incurred by the
13 district or the nonpublic school to do both of the following:

14 (a) Purchase whole or minimally processed fruits, vegetables,
15 and legumes that meet both of the following:

16 (i) For each fiscal year, were purchased for use in meals and
17 supportive activities as part of the United States Department of
18 Agriculture child nutrition programs provided between October 1
19 through September 30 of that fiscal year.

20 (ii) Are grown in this state and, if minimally processed, are
21 also processed in this state.

22 (b) Pay for labor and food transportation of locally grown
23 fruits, vegetables, and legumes that directly support the
24 activities and goals of the program described in this section. The
25 amount paid under this subdivision must not exceed 25% of the grant
26 award.

27 (6) For Michigan-grown fruits, vegetables, and legumes that
28 satisfy the requirements of subsection (5), the department shall
29 make matching reimbursements in an amount not to exceed 10 cents



1 for every school meal that is served as part of the United States
2 Department of Agriculture's child nutrition programs.

3 (7) In awarding grants under this section, the department
4 shall work in consultation with Michigan-based farm-to-school
5 resource organizations to develop scoring criteria that assess an
6 applicant's ability to procure Michigan-grown products, prepare and
7 menu Michigan-grown products, promote and market Michigan-grown
8 products, and submit letters of intent from districts or nonpublic
9 schools on plans for educational activities that promote the goals
10 of the program.

11 (8) The department shall give preference to districts or
12 nonpublic schools that propose educational activities that meet 1
13 or more of the following: promote healthy food activities; have
14 clear educational objectives; involve parents or the community;
15 connect to a school's or child care center's farm-to-school or
16 farm-to-early-child-care procurement activities; and market and
17 promote the program, leading to increased pupil knowledge and
18 consumption of Michigan-grown products. The department shall give
19 stronger weighting and consideration to applications with robust
20 marketing and promotional activities.

21 (9) In awarding grants, the department shall also consider all
22 of the following:

23 (a) The percentage of children who qualify for free or reduced
24 price school meals under the Richard B. Russell national school
25 lunch act, 42 USC 1751 to 1769j.

26 (b) The variety of school sizes and geographic locations
27 within the identified prosperity regions.

28 (c) Existing or planned collaboration between nonpublic
29 schools, between districts, or with agricultural businesses and



1 essential local food infrastructure, such as farms, farm
2 cooperatives, processors, distributors, and local food hubs.

3 (10) As a condition of receiving a grant under this section, a
4 district or nonpublic school shall provide or direct its vendors to
5 provide to the department copies of monthly receipts that show the
6 quantity of different Michigan-grown fruits, vegetables, and
7 legumes purchased, the amount of money spent on each of these
8 products, the name and Michigan location of the farm that grew the
9 products, and the methods or plans to market and promote the
10 program. The district or nonpublic school also shall provide to the
11 department monthly United States Department of Agriculture child
12 nutrition reimbursable meal numbers and must retain monthly menus
13 noting when and how Michigan-grown products were used in meals. The
14 district or nonpublic school, and school or nonpublic school food
15 service director or directors, also shall agree to respond to brief
16 online surveys and to provide a report that shows the percentage
17 relationship of Michigan spending compared to total food spending.
18 By not later than 60 days after the end of the period in which
19 funds under this section were received, and in which federal child
20 nutrition programs require submission of claims, each district or
21 each nonpublic school shall submit a report to the department on
22 outcomes and related measurements for economic development and
23 children's nutrition and readiness to learn. The report must
24 include at least both of the following:

25 (a) The extent to which farmers and related businesses,
26 including distributors and processors, saw an increase in market
27 opportunities and income generation through sales of Michigan or
28 local products to districts and nonpublic schools. All of the
29 following apply for purposes of this subdivision:



1 (i) The data used to determine the amount of this increase are
2 the total dollar amount of Michigan or local fruits, vegetables,
3 and legumes purchased by schools and nonpublic schools, along with
4 the number of different types of products purchased; school and
5 nonpublic school food purchasing trends identified along with
6 products that are of new and growing interest among food service
7 directors; the number of businesses impacted; and the percentage of
8 total food budget spent on Michigan-grown fruits, vegetables, and
9 legumes.

10 (ii) The district or nonpublic school shall use purchasing data
11 collected for the program and surveys of school and nonpublic
12 school food service directors on the impact and success of the
13 program as the source for the data described in subparagraph (i).

14 (b) The ability to which pupils can access a variety of
15 healthy Michigan-grown foods through schools and nonpublic schools
16 and increase their consumption of those foods. All of the following
17 apply for purposes of this subdivision:

18 (i) The data used to determine whether this subdivision is met
19 are the number of pupils exposed to Michigan-grown fruits,
20 vegetables, and legumes at schools and nonpublic schools; the
21 variety of products served; new items taste-tested or placed on
22 menus; and the increase in pupil willingness to try new local
23 healthy foods.

24 (ii) The district or nonpublic school shall use purchasing data
25 collected for the project, meal count and enrollment numbers,
26 school menu calendars, and surveys of school and nonpublic school
27 food service directors as the source for the data described in
28 subparagraph (i).

29 (11) The department shall compile the reports provided by



1 districts and nonpublic schools under subsection (10) into 1
 2 legislative report. The department shall provide this report not
 3 later than April 1 of each fiscal year following the fiscal year
 4 for which funding is allocated under this section to the house and
 5 senate subcommittees responsible for school aid, the house and
 6 senate fiscal agencies, and the state budget director.

7 (12) Notwithstanding section 17b, the department shall make
 8 payments under this section on a schedule determined by the
 9 department.

10 Sec. 31n. (1) From the state school aid fund money
 11 appropriated in section 11, there is allocated for ~~2025-2026-2026-~~
 12 **2027** for the purposes of this section an amount not to exceed
 13 \$106,545,000.00 and from the general fund money appropriated in
 14 section 11, there is allocated for ~~2025-2026-2026-2027~~ for the
 15 purposes of this section an amount not to exceed \$1,300,000.00. The
 16 department and the department of health and human services shall
 17 continue a program to distribute this funding to add licensed
 18 behavioral health providers for general education pupils, and
 19 recipients of the funds under subsection (6) shall continue to seek
 20 federal Medicaid match funding for all eligible mental health and
 21 support services.

22 (2) The department and the department of health and human
 23 services shall maintain an advisory council for programs funded
 24 under this section and any other funding under this act to improve
 25 or maintain the mental health of ~~students,~~ **pupils**, except for
 26 programs funded under section 31a(7) and (8). The advisory council
 27 shall define goals for implementation of programs, and shall
 28 provide feedback on that implementation. At a minimum, the advisory
 29 council shall consist of representatives of state associations



1 representing school health, school mental health, school
 2 counseling, education, health care, and other organizations,
 3 representatives from the department and the department of health
 4 and human services, and a representative from the school safety and
 5 mental health commission. The department and department of health
 6 and human services, working with the advisory council, shall
 7 determine an approach to increase capacity for mental health and
 8 support services in schools for general education pupils, and shall
 9 determine where that increase in capacity qualifies for federal
 10 Medicaid match funding.

11 (3) The advisory council shall develop a fiduciary agent
 12 checklist for intermediate districts to facilitate development of a
 13 plan to submit to the department and to the department of health
 14 and human services. The department and department of health and
 15 human services shall determine the requirements and format for
 16 intermediate districts to submit a plan for possible funding under
 17 subsection (6). The department shall make applications for funding
 18 for this program available to districts and intermediate districts
 19 by not later than December 1 of each fiscal year for which funds
 20 are allocated under this section and shall award the funding by not
 21 later than February 1 of each fiscal year for which funds are
 22 allocated under this section.

23 (4) The department of health and human services shall ~~amend~~
 24 **ensure that** the state Medicaid plan **continues to be written in a**
 25 **way sufficient** to obtain appropriate Medicaid waivers ~~as necessary~~
 26 ~~for the purpose of generating~~ **to generate** additional Medicaid match
 27 funding for school mental health and support services for general
 28 education pupils ~~, and this expansion is called~~ **through the** Caring
 29 for Students (C4S) **expansion.**



1 (5) From the state school aid fund money allocated under
2 subsection (1), there is allocated for ~~2025-2026~~**2026-2027** an
3 amount not to exceed \$14,300,000.00 to be distributed to the
4 network of child and adolescent health centers to place a licensed
5 master's level behavioral health provider in schools that do not
6 currently have services available to general education students.
7 Child and adolescent health centers that are part of the network
8 described in this subsection shall provide a commitment to maintain
9 services and implement all available federal Medicaid match
10 methodologies. The department of health and human services shall
11 use all existing or additional federal Medicaid match opportunities
12 to maximize funding allocated under this subsection. The department
13 shall provide funds under this subsection to child and adolescent
14 health centers that are part of the network described in this
15 subsection in the same proportion that funding under section 31a(7)
16 is provided to child and adolescent health centers that are part of
17 the network described in this subsection and that are located and
18 operating in those districts. A payment from funding allocated
19 under this subsection must not be paid to an entity that is not
20 part of the network described in this subsection.

21 (6) From the state school aid fund money allocated under
22 subsection (1), there is allocated for ~~2025-2026~~**2026-2027** an
23 amount not to exceed \$87,245,000.00 to be distributed to
24 intermediate districts for the provision of mental health and
25 support services to general education ~~students.~~**pupils.** Recipients
26 of funds under this subsection shall continue to seek federal
27 Medicaid match funding for all eligible mental health and support
28 services. If a district or intermediate district is not able to
29 procure the services of a licensed master's level behavioral health



1 provider, the district or intermediate district shall notify the
 2 department and the department of health and human services and, if
 3 the department and department of health and human services verify
 4 that the district or intermediate district attempted to procure
 5 services from a master's level behavioral health provider and was
 6 not able to do so, then the district or intermediate district may
 7 instead procure services from a provider with less than a master's
 8 degree in behavioral health. To be able to use the exemption in the
 9 immediately preceding sentence, the district or intermediate
 10 district must submit evidence satisfactory to the department and
 11 department of health and human services demonstrating that the
 12 district or intermediate district took measures to procure the
 13 services of a licensed master's level behavioral health provider
 14 but was unable to do so, and the department and department of
 15 health and human services must be able to verify this evidence.
 16 From the first \$56,173,600.00 of the funds allocated under this
 17 subsection, the department shall distribute up to \$1,003,100.00 for
 18 ~~2025-2026-2026-2027~~ to each intermediate district that submits a
 19 plan approved by the department and the department of health and
 20 human services by February 1 of each fiscal year for which funds
 21 are allocated under this section. The department shall distribute
 22 the remaining \$31,071,400.00 of the funds allocated under this
 23 subsection for ~~2025-2026-2026-2027~~ to intermediate districts **that**
 24 **submit a plan approved by the department and the department of**
 25 **health and human services by February 1 of each fiscal year for**
 26 **which funds are allocated under this section** on an equal per-pupil
 27 basis based on the combined total number of pupils in membership in
 28 the intermediate district and its constituent districts, including
 29 public school academies that are considered to be constituent



1 districts under section 705(7) of the revised school code, MCL
2 380.705. The department and department of health and human services
3 shall work cooperatively in providing oversight and assistance to
4 intermediate districts and shall monitor the program upon
5 implementation. An intermediate district shall use funds awarded
6 under this subsection to provide funding to its constituent
7 districts, including public school academies that are considered to
8 be constituent districts under section 705(7) of the revised school
9 code, MCL 380.705, for the provision of mental health and support
10 services to general education ~~students~~ **pupils**. In addition to the
11 criteria identified under subsection (9), an intermediate district
12 shall consider geography, cost, or other challenges when awarding
13 funding to its constituent districts. Districts receiving funding
14 under this subsection are encouraged to provide suicide prevention
15 and awareness education and counseling.

16 (7) If funding awarded to an intermediate district remains
17 after funds are provided by the intermediate district to its
18 constituent districts, the intermediate district shall notify the
19 department and department of health and human services and submit
20 evidence satisfactory to the department and department of health
21 and human services demonstrating how it would like to use funds for
22 purposes other than hiring licensed behavioral health providers for
23 general education pupils. With permission from the department and
24 department of health and human services, the intermediate district
25 may hire or contract for experts to provide mental health and
26 support services to general education ~~students~~ **pupils** residing
27 within the boundaries of the intermediate district, including, but
28 not limited to, expanding, hiring, or contracting for staff and
29 experts to provide those services directly or to increase access to



1 those services through coordination with outside mental health
2 agencies; the intermediate district may also contract with 1 or
3 more other intermediate districts for coordination and the
4 facilitation of activities related to providing mental health and
5 support services to general education ~~students~~**pupils** residing
6 within the boundaries of the intermediate district; the
7 intermediate district may also use the funds under this section to
8 create or strengthen school-based behavioral health assessment
9 teams that focus on providing age-appropriate interventions,
10 identifying behaviors that suggest a pupil may be struggling with
11 mental health challenges, providing treatment and support of the
12 pupil, and using disciplinary interventions and the criminal
13 justice system as methods of last resort; and the intermediate
14 district may also use the funds under this section to provide
15 evidence-based trainings that support ~~student~~**pupil** mental health.

16 (8) If funding awarded to an intermediate district under this
17 section remains unspent, or if the intermediate district submits an
18 application requesting a lower allocation than the maximum amount
19 permitted, the department, in conjunction with the intermediate
20 district, may reallocate the funds to another intermediate district
21 or other intermediate districts capable of expending the funds
22 before the funding deadline in accordance with this section as if
23 those funds were originally allocated to the intermediate district
24 or intermediate districts to which the funds are being reallocated.

25 (9) A district requesting funds under this section from the
26 intermediate district in which it is located shall submit an
27 application for funding for the provision of mental health and
28 support services to general education pupils. A district receiving
29 funding from the application process described in this subsection

1 shall provide services to nonpublic ~~students~~**pupils** upon request.

2 An intermediate district shall not discriminate against an
3 application submitted by a public school academy simply on the
4 basis of the applicant being a public school academy. The
5 department shall approve grant applications based on the following
6 criteria:

7 (a) The district's commitment to maintain mental health and
8 support services delivered by licensed providers into future fiscal
9 years.

10 (b) The district's commitment to work with its intermediate
11 district to use funding it receives under this section that is
12 spent by the district for general education pupils toward
13 participation in federal Medicaid match methodologies. A district
14 must provide a local match of at least 20% of the funding allocated
15 to the district under section 31n.

16 (c) The district's commitment to adhere to any local funding
17 requirements determined by the department and the department of
18 health and human services.

19 (d) The extent of the district's existing partnerships with
20 community health care providers or the ability of the district to
21 establish such partnerships.

22 (e) The district's documentation of need, including gaps in
23 current mental health and support services for the general
24 education population.

25 (f) The district's submission of a formal plan of action
26 identifying the number of schools and ~~students~~**pupils** to be served.

27 (g) Whether the district will participate in ongoing
28 trainings.

29 (h) Whether the district will submit an annual report to the



1 state.

2 (i) Whether the district demonstrates a willingness to work
3 with the state to establish program and service delivery
4 benchmarks.

5 (j) Whether the district has developed a school safety plan or
6 is in the process of developing a school safety plan.

7 (k) Any other requirements determined by the department or the
8 department of health and human services.

9 (10) Funding under this section, including any federal
10 Medicaid funds that are generated, must not be used to supplant
11 existing services.

12 (11) Both of the following are allocated to the department of
13 health and human services from the general fund money allocated
14 under subsection (1):

15 (a) For ~~2025-2026~~, **2026-2027**, an amount not to exceed
16 \$1,000,000.00 for the purpose of upgrading technology and systems
17 infrastructure and other administrative requirements to support the
18 programs funded under this section.

19 (b) For ~~2025-2026~~, **2026-2027**, an amount not to exceed
20 \$300,000.00 for the purpose of administering the programs under
21 this section and working on generating additional Medicaid funds as
22 a result of programs funded under this section.

23 (12) From the state school aid fund money allocated under
24 subsection (1), there is allocated for ~~2025-2026~~ **2026-2027** an
25 amount not to exceed \$5,000,000.00 to intermediate districts on an
26 equal per intermediate district basis for the purpose of
27 administering programs funded under this section. Recipients of the
28 funds under this subsection shall continue to seek federal Medicaid
29 match funding for all eligible mental health and support services



1 and participate in all learning collaboratives about C4S required
2 by the department and department of health and human services.

3 (13) The department and the department of health and human
4 services shall work with the advisory council to develop proposed
5 measurements of outcomes and performance. Those measurements must
6 include, at a minimum, the number of pupils served, the number of
7 schools served, and where those pupils and schools were located.
8 The department and the department of health and human services
9 shall compile data necessary to measure outcomes and performance,
10 and districts and intermediate districts receiving funding under
11 this section shall provide data requested by the department and
12 department of health and human services for the measurement of
13 outcomes and performance. The department and department of health
14 and human services shall provide an annual report by not later than
15 December 1 of each year to the house and senate appropriations
16 subcommittees on school aid and health and human services, to the
17 house and senate fiscal agencies, and to the state budget director.
18 At a minimum, the report must include measurements of outcomes and
19 performance, proposals to increase efficacy and usefulness,
20 proposals to increase performance, and proposals to expand
21 coverage.

22 (14) A district or intermediate district that receives funding
23 directly or indirectly under this section may carry over any
24 unexpended funds received under this section for up to 2 fiscal
25 years beyond the fiscal year in which the funds were received.

26 Sec. 31aa. (1) From the state school aid fund money
27 appropriated in section 11, there is allocated \$300,000,000.00 for
28 ~~2025-2026 only,~~ **2026-2027**, and from the general fund money
29 appropriated in section 11, there is allocated \$21,000,000.00 for



1 ~~2025-2026-2026-2027~~ only, to support school safety and mental
2 health. **It is the intent of the legislature that the state school**
3 **aid fund money allocated under this section for 2027-2028 will be**
4 **\$200,000,000.00.**

5 (2) From the state school aid fund money allocated in
6 subsection (1), an amount not to exceed \$200,000,000.00, and from
7 the general fund money allocated in subsection (1), an amount not
8 to exceed \$14,000,000.00 may be used to provide payments to
9 districts, intermediate districts, nonpublic schools, and the
10 Michigan Schools for the Deaf and Blind that opt in and agree to
11 receive funding under this subsection, for activities to improve
12 student mental health and improve student safety. The allowable
13 expenditures of funds under this subsection are as follows:

14 (a) Hiring or contracting for support staff for student mental
15 health needs, including, but not limited to, school psychologists,
16 social workers, counselors, and school nurses.

17 (b) Purchasing and implementing mental health screening tools.

18 (c) Purchasing a statewide, integrated technology platform
19 that streamlines behavioral health documentation and care
20 coordination.

21 (d) Providing school-based mental health personnel access to
22 consultation with behavioral health clinicians to respond to
23 complex student mental health needs.

24 (e) Purchasing and implementing an online behavioral health
25 tool moderated and led by licensed behavioral health professionals.

26 (f) Hiring or contracting a behavioral health coordinator.

27 (g) Evidence-based trainings to support mental health.

28 (h) Costs associated with collaboration between school
29 employees, families, and community partners to address the



1 academic, behavioral, and social needs of all students through
2 collaborative partnerships, resource coordination, data collection,
3 and data sharing.

4 (i) Costs associated with conducting a systematic school
5 mental health needs assessment and resource mapping that identifies
6 programmatic and systemic needs and helps staff determine
7 priorities and create action plans.

8 (j) Coordination with local law enforcement.

9 (k) Training for school staff on threat assessment.

10 (l) Training for school staff and students on threat response.

11 (m) Training for school staff on crisis communication.

12 (n) Safety infrastructure, including, but not limited to,
13 cameras, door blocks, hardened vestibules, window screening, and
14 technology necessary to operate buzzer systems. This may also
15 include firearm detection software that integrates to existing
16 security cameras to detect and alert school personnel and first
17 responders to visible firearms on school property.

18 (o) Age-appropriate training for students and families on
19 responsible firearm ownership, including safe handling and safe
20 storage of firearms.

21 (p) School resource officers and safety dogs. School resource
22 officers hired under this subsection must be properly licensed and
23 in good standing with the Michigan commission on law enforcement
24 standards, and must be in compliance with all applicable laws.

25 (q) Student Safety Management System, the information
26 technology platform and related services to improve student safety
27 by mitigating cyberbullying, school violence, human trafficking,
28 and self-harm that supports students from grades K to 12.

29 (r) A secure platform, administered by the department of state



1 police, for school officials, emergency responders, and emergency
2 management coordinators to house all school safety-related items,
3 including, but not limited to, EOP templates, EOP guidance,
4 reference documents, and security assessments. The platform should
5 use existing password-protected access control methods schools
6 currently utilize and, to the extent possible, be capable of
7 integrating with existing platforms or technologies used by
8 districts for school safety. Through permissions-based access
9 control, the platform should be able to relay information clearly
10 and in real time to each person or entity necessary to provide a
11 unified response to a safety incident, or to take appropriate
12 action in response to an anticipated disruption to the normal
13 functions of the surrounding community.

14 (s) Emergency infrastructure needs to respond to an immediate
15 threat to the health or safety of students and staff in the
16 district, intermediate district, nonpublic school, or the Michigan
17 Schools for the Deaf and Blind. A district, intermediate district,
18 nonpublic school, or the Michigan Schools for the Deaf and Blind
19 shall not expend funds for this purpose without first obtaining
20 approval from the department. In making a determination of
21 approval, the department shall, at a minimum, assess whether the
22 district, intermediate district, nonpublic school, or the Michigan
23 Schools for the Deaf and Blind is responding to an immediate threat
24 to the health or safety of students and staff, and whether the
25 district, intermediate district, nonpublic school, or the Michigan
26 Schools for the Deaf and Blind has other sources of funding that
27 should be utilized first.

28 (t) A contract with a vendor for a comprehensive safety and
29 security assessment or a comprehensive safety and security event



1 assessment in schools operated by the district, intermediate
 2 district, nonpublic school, or the Michigan Schools for the Deaf
 3 and Blind.

4 (u) An emergency response system.

5 (v) Implementing cell phone free school policies. As used in
 6 this subdivision, "cell phone free school policy" means a policy
 7 that prohibits students from accessing or using a personal
 8 communication device capable of telecommunication or digital
 9 communication during instructional time, as determined by the
 10 school.

11 (3) By not later than December 31 of each fiscal year, from
 12 the state school aid fund money allocated in subsection (1), the
 13 department shall make payments to districts, intermediate
 14 districts, and the Michigan Schools for the Deaf and Blind that opt
 15 in and agree to receive funding in an ~~equal amount~~ **equal to \$146.87**
 16 ~~per pupil based on the total number of pupils in membership in each~~
 17 **enrolled in a** district, intermediate district, ~~and or~~ the Michigan
 18 Schools for the Deaf and Blind that opts in and agrees to receive
 19 funding **under this section**. By December 31 of each fiscal year,
 20 from the general fund money allocated in subsection (2), the
 21 department shall make payments to nonpublic schools that opt in and
 22 agree to receive funding in an ~~equal amount~~ **equal to \$146.87** per
 23 ~~pupil based on the total number of pupils in membership in each~~
 24 **enrolled in a** nonpublic school that opts in and agrees to receive
 25 funding, using pupil counts determined by the department. ~~The~~
 26 ~~department shall ensure that the amount per pupil paid to nonpublic~~
 27 ~~schools does not exceed the amount per pupil paid to districts and~~
 28 ~~intermediate districts.~~ Districts, intermediate districts, the
 29 Michigan Schools for the Deaf and Blind, and nonpublic schools may



1 opt in and agree to receive funding in a form and manner determined
2 by the department.

3 (4) From the state school aid fund money allocated in
4 subsection (1), there is allocated an amount not to exceed
5 \$50,000,000.00, and from the general fund money allocated in
6 subsection (1), there is allocated an amount not to exceed
7 \$3,500,000.00 for competitive grants to districts, intermediate
8 districts, and nonpublic schools for school resource officers and
9 safety dogs. To receive funding under this subsection, a district,
10 intermediate district, or nonpublic school must apply for funding
11 to the department in a form and manner prescribed by the
12 department. The department shall prioritize applicants who include
13 a spending plan to sustain salaries after grant funding has
14 concluded. Recipients of funding under this subsection shall ensure
15 that any school resource officer hired with these funds has
16 completed training by the Michigan commission on law enforcement
17 standards.

18 (5) From the state school aid fund money allocated in
19 subsection (1), there is allocated an amount not to exceed
20 \$50,000,000.00 and from the general fund money allocated in
21 subsection (1), there is allocated an amount not to exceed
22 \$3,500,000.00 for competitive grants to districts, intermediate
23 districts, and nonpublic schools to hire or contract for support
24 staff for student mental health needs, including, but not limited
25 to, school psychologists, social workers, and counselors. To
26 receive funding under this subsection, a district, intermediate
27 district, or nonpublic school must apply for funding to the
28 department in a form and manner prescribed by the department. The
29 department shall prioritize applicants that include a spending plan



1 to sustain salaries after grant funding has concluded.

2 (6) Recipients of funding under this section must provide a
3 final expense report to the department by July 1 of each fiscal
4 year. If the department determines that the eligible recipient has
5 misused the funds allocated under this section, the eligible
6 recipient shall reimburse the department for the amount of state
7 funding misused.

8 (7) The department shall use the information received under
9 subsection (6) to compile a report that includes the number of
10 recipients that have hired school resource officers using funds
11 received under this section and any supporting information provided
12 by the recipients. By not later than August 1 of each year, the
13 department shall provide the report compiled under this subsection
14 to the senate and house appropriations subcommittees on school aid,
15 the senate and house fiscal agencies, the senate and house policy
16 offices, the state budget office, and the Michigan commission on
17 law enforcement standards.

18 (8) Districts receiving funds under this section must
19 coordinate with intermediate districts to avoid duplication of
20 services and to streamline delivery of services to students.

21 (9) To receive funding under this section, a district, an
22 intermediate district, a nonpublic school, or the Michigan Schools
23 for the Deaf and Blind must agree to be subject to a comprehensive
24 investigation **after a mass casualty event, as defined in subsection**
25 **(12), and** must affirmatively agree to waive any privilege that may
26 otherwise protect information from disclosure **to an investigator**
27 **upon request** in the event of a mass casualty event, and must agree
28 to comply with a comprehensive investigation. **The waiver of any**
29 **privilege by a recipient of funds under this section does not waive**



1 **any privilege or rights held by any individual, including employees**
 2 **of the recipient.** All of the following apply to a comprehensive
 3 investigation described in this subsection:

4 (a) The comprehensive investigation will assess the
 5 circumstances surrounding the mass casualty event, including, but
 6 not limited to:

7 (i) Emergency response effectiveness.

8 (ii) Compliance with safety protocols.

9 (iii) Communication procedures.

10 (iv) Any factors contributing to the incident.

11 (b) The governor shall designate an appropriate ~~person or~~
 12 ~~investigative~~ **law enforcement** entity to conduct the comprehensive
 13 investigation. ~~This person or investigative entity may include, but~~
 14 ~~is not limited to, state law enforcement agencies, independent~~
 15 ~~review boards, or specially appointed task forces.~~ The ~~person or~~
 16 ~~designated investigative~~ **law enforcement** entity **designated by the**
 17 **governor** has the authority to do all of the following:

18 (i) Access relevant records and data from the district.

19 (ii) Interview witnesses and district personnel involved.

20 (iii) Issue findings and recommendations based on the
 21 investigation.

22 (c) The ~~person or investigative~~ **law enforcement** entity
 23 designated in subdivision (b) shall prepare a detailed report of
 24 its findings and submit the report to the governor and relevant
 25 legislative committees within 90 days following the conclusion of
 26 the investigation. The report must include recommendations for
 27 preventing future incidents and improving school safety protocols.

28 (10) Funds allocated under subsection (4) for ~~2025-2026-2026-~~
 29 **2027** are a work project appropriation, and any unexpended funds for



1 ~~2025-2026-2026-2027~~ are carried forward into ~~2026-2027-2027-2028~~.

2 The purpose of the work project is to continue providing funding to
3 support districts, intermediate districts, and nonpublic schools in
4 having school resource officers. The estimated completion date of
5 the work project is September 30, 2029.

6 (11) Funds allocated under subsection (5) for ~~2025-2026-2026-~~
7 **2027** are a work project appropriation, and any unexpended funds for
8 ~~2025-2026-2026-2027~~ are carried forward into ~~2026-2027-2027-2028~~.

9 The purpose of the work project is to continue providing funding to
10 support districts, intermediate districts, and nonpublic schools in
11 hiring staff to support student mental health. The estimated
12 completion date of the work project is September 30, 2029.

13 (12) As used in this section:

14 (a) "Mass casualty event" means ~~any of the following that~~
15 ~~occur on school grounds or at a school sponsored event:~~

16 ~~(i) An incident resulting in significant injuries to not fewer~~
17 ~~than 3 individuals.~~

18 ~~(ii) An incident resulting in fatalities.~~

19 ~~(iii) An incident that exceeds the normal resources for~~
20 ~~emergency response available in the jurisdiction where the incident~~
21 ~~takes place.~~

22 ~~(iv) An incident that results in a sudden and timely surge of~~
23 ~~injured individuals necessitating emergency services.~~ **an incident of**
24 **targeted violence that occurs on school grounds or at a school-**
25 **sponsored event, that is intentional, and that results in a**
26 **fatality or significant bodily injuries requiring medical attention**
27 **to 3 or more individuals.**

28 (b) "Safety dog" means a dog that is contracted by a law
29 enforcement agency of this state, a local unit of government of



1 this state, or a district or an intermediate district and that is
 2 trained for detection of firearms, explosives, narcotics, or vape
 3 substances.

4 (c) "School grounds" means all properties owned or operated by
 5 the district, including transportation vehicles owned or operated
 6 by the district.

7 (d) "School-sponsored event" means any activity organized or
 8 sanctioned by the district.

9 (13) Notwithstanding section 17b, the department shall make
 10 payments under this section on a schedule determined by the
 11 department.

12 Sec. 32d. (1) From the state school aid fund money
 13 appropriated in section 11, there is allocated to eligible
 14 intermediate districts and consortia of intermediate districts for
 15 great start readiness programs an amount not to exceed
 16 ~~\$609,720,000.00 for 2024-2025 and \$638,217,600.00 for 2025-2026.~~
 17 **\$653,881,800.00 for 2026-2027.** From ~~the general fund money~~
 18 ~~appropriated under section 11, there is allocated \$600,000.00 for~~
 19 ~~2024-2025 and \$350,000.00 for 2025-2026, and from the great start~~
 20 ~~readiness reserve fund money appropriated in section 11, there is~~
 21 ~~allocated \$18,000,000.00 for 2024-2025 and 2025-2026~~ **2026-2027** ~~for~~
 22 ~~the purposes of this section. For 2024-2025, an intermediate~~
 23 ~~district or consortium shall use funds allocated under this section~~
 24 ~~for great start readiness programs to provide part-day programs,~~
 25 ~~school-day programs, GSRP extended programs, GSRP/Head Start~~
 26 ~~school-day blended programs, or GSRP/Head Start extended blended~~
 27 ~~programs that are comprehensive, free, compensatory classroom~~
 28 ~~programs designed to improve the readiness and subsequent~~
 29 ~~achievement of children who meet the participant eligibility and~~



~~prioritization guidelines as defined by the department of lifelong education, advancement, and potential. For 2025-2026, an~~ **An** intermediate district or consortium shall use funds allocated under this section for eligible great start readiness program options. For a child to be eligible to participate in a program under this section, the child must be at least 4, but less than 5, years of age as of September 1 of the school year in which the program is offered and must meet those eligibility and prioritization guidelines. After eligible children who will be 4 years of age as of September 1 are enrolled, a child who is not 4 years of age as of September 1, but who will be 4 years of age by not later than December 1, is eligible to participate if both of the following are met:

(a) The child's parent or legal guardian seeks a waiver from the September 1 eligibility date by submitting a request for enrollment in a program to the responsible intermediate district.

(b) The child meets eligibility and prioritization guidelines.

(2) From the state school aid fund money allocated under subsection (1), an amount not to exceed ~~\$597,720,000.00 for 2024-2025 and \$626,217,600.00~~ **\$641,881,800.00** ~~for 2025-2026~~ **2026-2027** is allocated to intermediate districts or consortia of intermediate districts based on the formula in section 39. An intermediate district or consortium of intermediate districts receiving funding under this section shall act as the fiduciary for the great start readiness programs. An intermediate district or consortium of intermediate districts receiving funding under this section may collaborate with local governments to identify children eligible for programs funded under this section and may contract with local governments to provide services. To be eligible to receive funds



1 allocated under this subsection from an intermediate district or
 2 consortium of intermediate districts, a district, a consortium of
 3 districts, a local government, or a public or private for-profit or
 4 nonprofit legal entity or agency must comply with this section and
 5 section 39. ~~For 2024-2025, if, due to the number of GSRP extended~~
 6 ~~program or GSRP/Head Start extended blended program slots awarded,~~
 7 ~~the amount allocated in this subsection is insufficient to award at~~
 8 ~~least the same number of part-day program and school-day program~~
 9 ~~slots as awarded in the immediately preceding fiscal year, there is~~
 10 ~~appropriated from the great start readiness program reserve fund~~
 11 ~~the amount necessary to fully award the same number of part-day~~
 12 ~~program and full-day program slots as awarded in the immediately~~
 13 ~~preceding fiscal year. For 2025-2026, if~~ **If** the amount allocated in
 14 this subsection is insufficient to fully fund allocations
 15 calculated under section 39, there is appropriated from the great
 16 start readiness program reserve fund the amount necessary and
 17 available to fully fund those allocations.

18 ~~(3) From the general fund money allocated under subsection~~
 19 ~~(1), there is allocated an amount not to exceed \$600,000.00 for~~
 20 ~~2024-2025 and an amount not to exceed \$350,000.00 for 2025-2026 for~~
 21 ~~a competitive grant to continue a longitudinal evaluation of~~
 22 ~~children who have participated in great start readiness programs.~~

23 **(3)** ~~(4)~~ Except as otherwise provided in subsection ~~(5)~~, **(4)**,
 24 to be eligible for funding under this section, a program must
 25 prepare children for success in school through comprehensive part-
 26 day programs, school-day programs, GSRP extended programs,
 27 GSRP/Head Start school-day blended programs, GSRP/Head Start
 28 extended blended programs, or other eligible great start readiness
 29 program options that contain all of the following program



1 components, as determined by the department of lifelong education,
2 advancement, and potential:

3 (a) Participation in a collaborative recruitment and
4 enrollment process to ensure that each child is enrolled in the
5 program most appropriate to the child's needs and to maximize the
6 use of federal, state, and local funds. ~~For 2025-2026, as part of~~
7 ~~this requirement, programs receiving funding under this section~~
8 ~~must provide current enrollment data, including slots open for~~
9 ~~enrollment and slots filled, to the intermediate district or~~
10 ~~consortium of intermediate districts from which funding is received~~
11 ~~for that program.~~ The enrollment process must ensure that children
12 in families with lower income and children with other risk factors,
13 as determined by the department of lifelong education, advancement,
14 and potential, are enrolled before children with lesser needs.

15 (b) An age-appropriate educational curriculum that is in
16 compliance with the early childhood standards of quality for birth
17 to kindergarten children adopted by the state board, including, at
18 least, the Connect4Learning curriculum.

19 (c) Nutritional services for all program participants
20 supported by federal, state, and local resources as applicable.

21 (d) Physical and dental health and developmental screening
22 services for all program participants.

23 (e) Referral services for families of program participants to
24 community social service agencies, including mental health
25 services, as appropriate.

26 (f) Active and continuous involvement of the parents or **legal**
27 guardians of the program participants.

28 (g) A plan to conduct and report annual great start readiness
29 program evaluations and continuous improvement plans using criteria



1 approved by the department of lifelong education, advancement, and
2 potential.

3 (h) Participation in a school readiness advisory committee
4 convened as a workgroup of the great start collaborative that
5 provides for the involvement of classroom teachers, parents or
6 **legal** guardians of program participants, and community, volunteer,
7 and social service agencies and organizations, as appropriate. The
8 advisory committee shall annually review and make recommendations
9 regarding the program components listed in this subsection. The
10 advisory committee also shall make recommendations to the great
11 start collaborative regarding other community services designed to
12 improve all children's school readiness.

13 (i) The ongoing articulation of the kindergarten and first
14 grade programs offered by the program provider.

15 (j) Participation in this state's great start to quality
16 process with a level of at least enhancing quality level.

17 **(4)** ~~(5)~~—To help expand access to great start readiness
18 programs, the department of lifelong education, advancement, and
19 potential may waive the requirements under ~~subsections (4) and~~
20 ~~(8)(c)~~ **subsection (3)** and a program may be eligible for funding
21 under this section for new or expanding programs if the program
22 demonstrates to the satisfaction of the department of lifelong
23 education, advancement, and potential that the program meets all of
24 the following:

25 (a) Is a licensed group or child care center or is a licensed
26 program.

27 (b) Provides the minimum instructional time as required by the
28 department of lifelong education, advancement, and potential.

29 (c) Participates in this state's quality improvement system at



1 a level determined by the department of lifelong education,
2 advancement, and potential.

3 (d) Implements a professional educator preparation plan, as
4 defined by the department of lifelong education, advancement, and
5 potential, for educators not meeting teacher credentialing
6 standards described in subsection ~~(8) or (9)~~. **(7)**.

7 (e) Uses a developmentally appropriate curriculum, as
8 determined by the department of lifelong education, advancement,
9 and potential.

10 (f) Conducts a developmental screening and referral process,
11 as determined by the department of lifelong education, advancement,
12 and potential.

13 (g) Commits to participating in program financial review and
14 monitoring, as determined by the department of lifelong education,
15 advancement, and potential.

16 (h) Provides a plan to implement an approved great start
17 readiness program curriculum and meet additional great start
18 readiness program standards, as determined by the department of
19 lifelong education, advancement, and potential.

20 **(5)** ~~(6)~~—A waiver under subsection ~~(5)~~—**(4)** may be granted for
21 up to 3 years for requirements related to program credentialing and
22 may be granted for up to 2 years for all other requirements, as
23 determined by the department of lifelong education, advancement,
24 and potential.

25 **(6)** ~~(7)~~—The department of lifelong education, advancement, and
26 potential shall provide a report to the house and senate
27 appropriations subcommittees on school aid, the state budget
28 director, and the house and senate fiscal agencies that summarizes
29 the number and types of exemptions granted under subsection ~~(5)~~—**(4)**



1 and progress made by programs granted waivers under subsection ~~(5)~~
 2 **(4)** by September 30 of each fiscal year. It is the intent of the
 3 legislature to review the waiver allowability under subsection ~~(5)~~
 4 **(4)** before the fiscal year ending September 30, 2027.

5 ~~(8) For applications submitted before September 30, 2025, an~~
 6 ~~application for funding under this section must provide for the~~
 7 ~~following, in a form and manner determined by the department of~~
 8 ~~lifelong education, advancement, and potential:~~

9 ~~(a) Ensure either of the following:~~

10 ~~(i) That the applicant complies with all program components~~
 11 ~~described in subsection (4).~~

12 ~~(ii) That the applicant meets the requirements of a waiver~~
 13 ~~under subsection (5).~~

14 ~~(b) Except as otherwise provided in this subdivision, ensure~~
 15 ~~that children participating in an eligible great start readiness~~
 16 ~~program for whom the intermediate district is receiving funds under~~
 17 ~~this section are children who live with families with a household~~
 18 ~~income that is equal to or less than 400% of the federal poverty~~
 19 ~~guidelines. If the intermediate district determines that all~~
 20 ~~eligible children are being served and that there are no children~~
 21 ~~on the waiting list who live with families with a household income~~
 22 ~~that is equal to or less than 400% of the federal poverty~~
 23 ~~guidelines, the intermediate district may then enroll children who~~
 24 ~~live with families with a household income that is greater than~~
 25 ~~400% of the federal poverty guidelines. The enrollment process must~~
 26 ~~consider income and risk factors, such that children determined~~
 27 ~~with higher need are enrolled before children with lesser need. For~~
 28 ~~purposes of this subdivision, all age-eligible children served in~~
 29 ~~foster care or who are experiencing homelessness or who have~~



~~individualized education programs recommending placement in an inclusive preschool setting are considered to live with families with household income equal to or less than 400% of the federal poverty guidelines regardless of actual family income and are prioritized for enrollment within the lowest quintile. The department of lifelong education, advancement, and potential shall publish the household income thresholds under this subdivision in a clear manner on its website and the great start to quality website.~~

~~(c) Except as provided in subsection (5), ensure that the applicant only uses qualified personnel for this program, as follows:~~

~~(i) Teachers possessing proper training. A lead teacher must have a valid Michigan teaching certificate with an early childhood or lower elementary endorsement or a bachelor's or higher degree in child development or early childhood education with specialization in preschool teaching. However, except as otherwise provided in this subparagraph, if an applicant demonstrates to the department of lifelong education, advancement, and potential that it is unable to fully comply with this subparagraph after making reasonable efforts to comply, teachers or paraprofessionals with at least 5 years of experience as a paraprofessional in a great start readiness program, Head Start, or licensed child care center classroom who have significant but incomplete training in early childhood education or child development may be used if the applicant provides to the department of lifelong education, advancement, and potential, and the department of lifelong education, advancement, and potential approves, a plan for each teacher to come into compliance with the standards in this subparagraph. Individuals may qualify with at least 3 years of~~

~~experience and significant training in early childhood education or child development, based on the recommendation of the intermediate district after a classroom observation. A teacher's compliance plan must be completed within 3 years of the date of employment. Progress toward completion of the compliance plan consists of at least 2 courses per calendar year.~~

~~(ii) Paraprofessionals possessing proper training in early childhood education, including an associate degree in early childhood education or child development or the equivalent, or a child development associate (CDA) credential. However, if an applicant demonstrates to the department of lifelong education, advancement, and potential that it is unable to fully comply with this subparagraph after making reasonable efforts to comply, the applicant may use paraprofessionals who have completed at least 1 course that earns college credit in early childhood education or child development or enroll in a child development associate credential with at least 6 months of verified experience in early education and care, if the applicant provides to the department of lifelong education, advancement, and potential, and the department of lifelong education, advancement, and potential approves, a plan for each paraprofessional to come into compliance with the standards in this subparagraph. A paraprofessional's compliance plan must be completed within 3 years of the date of employment. Progress toward completion of the compliance plan consists of at least 2 courses, 60 clock hours, or an equivalent of training per calendar year.~~

~~(d) Include a program budget that contains only those costs that are not reimbursed or reimbursable by federal funding, that are clearly and directly attributable to the great start readiness~~



~~program, and that would not be incurred if the program were not being offered. Eligible costs include transportation costs. The program budget must indicate the extent to which these funds will supplement other federal, state, local, or private funds. An applicant shall not use funds received under this section to supplant any federal funds received by the applicant to serve children eligible for a federally funded preschool program that has the capacity to serve those children.~~

~~(7) (9) Beginning in 2025-2026, applications~~ **Applications** for funding under this section must be submitted to the department of lifelong education, advancement, and potential in a form and manner determined by the department of lifelong education, advancement, and potential. The application must demonstrate, at a minimum, compliance with program requirements described in subsection **(3) or (4) or (5)** and must ensure that recipients will only utilize qualified personnel, as determined by the department of lifelong education, advancement, and potential, for eligible great start readiness program options.

~~(10) For a grant recipient that enrolls pupils in a school-day program or GSRP extended program funded under this section, each child enrolled in the school-day program or GSRP extended program is counted as described in section 39 for purposes of determining the amount of the grant award. This subsection does not apply after September 30, 2025.~~

~~(8) (11)~~ For a grant recipient that enrolls pupils in an eligible great start readiness program option that blends GSRP and Head Start programming, the grant recipient shall ensure that all Head Start and GSRP policies and regulations are applied to the blended slots, with adherence to the highest standard from either

1 program, to the extent allowable under federal law. A grant
 2 recipient may request a waiver from the department of lifelong
 3 education, advancement, and potential to align GSRP policies and
 4 regulations with Head Start national standards for quality,
 5 including ratios, and the department of lifelong education,
 6 advancement, and potential may approve the waiver. Not later than
 7 March 1 of each year, the department of lifelong education,
 8 advancement, and potential will report to the legislature and post
 9 on a publicly available website a list by intermediate district or
 10 consortium with the number and type of each waiver requested and
 11 approved.

12 **(9)** ~~(12)~~ To help expand access to great start readiness
 13 programs, the department of lifelong education, advancement, and
 14 potential may allow great start readiness programs to implement
 15 Head Start national performance standards for quality as an
 16 alternative to great start readiness program policies and
 17 regulations if the great start readiness program demonstrates to
 18 the satisfaction of the department of lifelong education,
 19 advancement, and potential that the great start readiness program
 20 is meeting the requirements of the Head Start national performance
 21 standards.

22 **(10)** ~~(13)~~ ~~Beginning in 2025-2026, an~~ **An** intermediate district
 23 or consortia of intermediate districts receiving funding under this
 24 section must publish, on an easily accessible website, a data
 25 dashboard containing the number of allocations requested from the
 26 state, a list of programs offering great start readiness programs
 27 in their boundaries, and current enrollment data for each
 28 subrecipient, including total slots open for enrollment, slots
 29 filled, and waitlist information, if applicable. A link to this



1 website must be provided to families on waitlists for any great
2 start readiness program in their boundaries.

3 **(11)** ~~(14)~~—An intermediate district or consortium of
4 intermediate districts receiving a grant under this section shall
5 designate an early childhood coordinator, and may provide services
6 directly or may contract with 1 or more districts or public or
7 private for-profit or nonprofit providers that meet all
8 requirements of subsection ~~(4), (8), or (9),~~ **(3) or (7)**, as
9 applicable.

10 **(12)** ~~(15)~~—An intermediate district or consortium of
11 intermediate districts may retain for administrative services
12 provided by the intermediate district or consortium of intermediate
13 districts an amount not to exceed 4% of the grant amount. Expenses
14 incurred by subrecipients engaged by the intermediate district or
15 consortium of intermediate districts for directly running portions
16 of the program are considered program costs or a contracted program
17 fee for service. Subrecipients operating early childhood programs
18 may include indirect costs, not to exceed the federal de minimis.

19 **(13)** ~~(16)~~—An intermediate district or consortium of
20 intermediate districts may expend not more than 2% of the total
21 grant amount for outreach, recruiting, and public awareness of the
22 program, if the intermediate district or consortium of intermediate
23 districts also participates in related statewide marketing and
24 outreach efforts.

25 ~~(17) Each grant recipient shall enroll children identified~~
26 ~~under subsection (8) (b) according to how far the child's household~~
27 ~~income is below 400% of the federal poverty guidelines by ranking~~
28 ~~each applicant child's household income from lowest to highest and~~
29 ~~dividing the applicant children into quintiles based on how far the~~



~~child's household income is below 400% of the federal poverty guidelines, and then enrolling children in the quintile with the lowest household income before enrolling children in the quintile with the next lowest household income until slots are completely filled. If the grant recipient determines that all eligible children are being served and that there are no children on the waiting list who live with families with a household income that is equal to or less than 400% of the federal poverty guidelines, the grant recipient may then enroll children who live with families with a household income that is greater than 400% of the federal poverty guidelines. The enrollment process must consider income and risk factors, such that children determined with higher need are enrolled before children with lesser need. For purposes of this subsection, all age-eligible children served in foster care or who are experiencing homelessness or who have individualized education programs recommending placement in an inclusive preschool setting are considered to live with families with household income equal to or less than 400% of the federal poverty guidelines regardless of actual family income and are prioritized for enrollment within the lowest quintile. This subsection does not apply after September 30, 2025.~~

(14) ~~(18)~~ An intermediate district or consortium of intermediate districts receiving a grant under this section shall allow parents of eligible children who are residents of the intermediate district or within the consortium to choose a program operated by or contracted with another intermediate district or consortium of intermediate districts and shall enter into a written agreement regarding payment, in a manner prescribed by the department of lifelong education, advancement, and potential.



1 **(15)** ~~(19)~~ An intermediate district or consortium of
 2 intermediate districts receiving a grant under this section shall
 3 conduct a local process to contract with interested and eligible
 4 public and private for-profit and nonprofit community-based
 5 providers that meet all requirements of subsection ~~(4)~~ **(3)** for at
 6 least 30% of its total allocation. ~~For 2024-2025, for the purposes~~
 7 ~~of this 30% allocation, an intermediate district or consortium of~~
 8 ~~intermediate districts may count children served by a Head Start~~
 9 ~~grantee or delegate in a GSRP/Head Start school-day blended~~
 10 ~~program, GSRP/Head Start extended blended program, GSRP extended~~
 11 ~~program, and great start readiness school-day program. Children~~
 12 ~~served in a program funded only through Head Start are not counted~~
 13 ~~toward this 30% allocation. Beginning in 2025-2026, the~~ **The**
 14 department of lifelong education, advancement, and potential shall
 15 provide guidance to intermediate districts and consortia of
 16 intermediate districts on counting children served by Head Start
 17 programming for the purposes of this 30% allocation. ~~For 2024-2025,~~
 18 ~~an intermediate district or consortium shall report to the~~
 19 ~~department of lifelong education, advancement, and potential, in a~~
 20 ~~manner prescribed by the department of lifelong education,~~
 21 ~~advancement, and potential, a detailed list of community-based~~
 22 ~~providers by provider type, including private for-profit, private~~
 23 ~~nonprofit, community college or university, Head Start grantee or~~
 24 ~~delegate, and district or intermediate district, and the number and~~
 25 ~~proportion of its total allocation allocated to each provider as~~
 26 ~~subrecipient. Beginning in 2025-2026, an~~ **An** intermediate district
 27 or consortium shall report to the department of lifelong education,
 28 advancement, and potential, in a manner prescribed by the
 29 department of lifelong education, advancement, and potential,

1 information necessary for the department of lifelong education,
2 advancement, and potential to determine the intermediate district's
3 or consortium of intermediate districts' compliance with this
4 subsection. If the intermediate district or consortium is not able
5 to contract for at least 30% of its total allocation, the
6 intermediate district or consortium shall notify the department of
7 lifelong education, advancement, and potential and, if the
8 department of lifelong education, advancement, and potential
9 verifies that the intermediate district or consortium attempted to
10 contract for at least 30% of its total allocation and was not able
11 to do so, the intermediate district or consortium may retain and
12 use all of its allocation as provided under this section. To be
13 able to use this exemption, the intermediate district or consortium
14 shall demonstrate to the department of lifelong education,
15 advancement, and potential that the intermediate district or
16 consortium increased the percentage of its total allocation for
17 which it contracts with a community-based provider and the
18 intermediate district or consortium shall submit evidence
19 satisfactory to the department of lifelong education, advancement,
20 and potential, and the department of lifelong education,
21 advancement, and potential must be able to verify this evidence,
22 demonstrating that the intermediate district or consortium took
23 measures to contract for at least 30% of its total allocation as
24 required under this subsection, including, but not limited to, at
25 least all of the following measures:

26 (a) The intermediate district or consortium notified each
27 nonparticipating licensed child care center located in the service
28 area of the intermediate district or consortium regarding the
29 center's eligibility to participate, in a manner prescribed by the



1 department of lifelong education, advancement, and potential.

2 (b) The intermediate district or consortium provided to each
3 nonparticipating licensed child care center located in the service
4 area of the intermediate district or consortium information
5 regarding great start readiness program requirements and a
6 description of the application and selection process for community-
7 based providers.

8 (c) The intermediate district or consortium provided to the
9 public and to participating families a list of community-based
10 great start readiness program subrecipients with a great start to
11 quality level of at least enhancing quality level.

12 **(16) ~~(20)~~—If an intermediate district or consortium of**
13 **intermediate districts receiving a grant under this section fails**
14 **to submit satisfactory evidence to demonstrate its effort to**
15 **contract for at least 30% of its total allocation, as required**
16 **under subsection ~~(19)~~, (15), the department of lifelong education,**
17 **advancement, and potential may reduce the allocation to the**
18 **intermediate district or consortium by a percentage equal to the**
19 **difference between the percentage of an intermediate district's or**
20 **consortium's total allocation awarded to community-based providers**
21 **and 30% of its total allocation. The department of lifelong**
22 **education, advancement, and potential shall submit a report by not**
23 **later than October 1 on any intermediate districts impacted by this**
24 **subsection to the senate and house appropriations subcommittees on**
25 **school aid, the senate and house appropriations committees, the**
26 **senate and house fiscal agencies, the senate and house policy**
27 **offices, and the state budget office.**

28 **(17) ~~(21)~~—To assist intermediate districts and consortia in**
29 **complying with the requirement to contract with community-based**



1 providers, for at least 30% of their total allocation, the
2 department of lifelong education, advancement, and potential shall
3 do all of the following:

4 (a) Ensure that a great start resource center or the
5 department of lifelong education, advancement, and potential
6 provides each intermediate district or consortium receiving a grant
7 under this section with the contact information for each licensed
8 child care center located in the service area of the intermediate
9 district or consortium by March 1 of each year.

10 ~~(b) Provide, or ensure that an organization with which the~~
11 ~~department of lifelong education, advancement, and potential~~
12 ~~contracts provides, a community-based provider with a validated~~
13 ~~great start to quality rating within 90 days of the provider's~~
14 ~~having submitted a request and self-assessment. This subdivision~~
15 ~~does not apply after September 30, 2025.~~

16 (b) ~~(c)~~ Ensure that all intermediate district, district,
17 community college or university, Head Start grantee or delegate,
18 private for-profit, and private nonprofit providers are subject to
19 a single great start to quality continuous quality improvement
20 system. The continuous quality improvement system must ensure that
21 regulators process all prospective providers at the same pace on a
22 first-come, first-served basis and must not allow 1 type of
23 provider to receive a great start to quality level ahead of any
24 other type of provider.

25 (c) ~~(d)~~ By not later than March 1 of each year, compile the
26 results of the information reported by each intermediate district
27 or consortium under subsection ~~(19)~~ **(15)** and report to the
28 legislature and post on a publicly available website a list by
29 intermediate district or consortium with the number and percentage



1 of each intermediate district's or consortium's total allocation
 2 allocated to community-based providers by provider type, including
 3 private for-profit, private nonprofit, community college or
 4 university, Head Start grantee or delegate, and district or
 5 intermediate district.

6 **(d)** ~~(e)~~—Allow intermediate districts and consortia and
 7 eligible community-based providers to utilize materials and
 8 supplies purchased for great start readiness programs within their
 9 facilities for other early care and education activities, in the
 10 following order of priority:

11 (i) Early care and education activities under a federal award.

12 (ii) Early care and education activities under other state
 13 awards.

14 (iii) Early care and education activities under local or
 15 regional awards.

16 **(18)** ~~(22)~~—A recipient of funds under this section shall report
 17 to the center in a form and manner prescribed by the center the
 18 information necessary to derive the number of children
 19 participating in the program, the number of eligible children not
 20 participating in the program and on a waitlist, and the total
 21 number of children participating in the program by various
 22 demographic groups and eligibility factors necessary to analyze
 23 equitable and priority access to services. ~~for the purposes of~~
 24 ~~subsection (3).~~

25 **(19)** ~~(23)~~—As used in this section:

26 (a) "Child care center" means that term as defined in section
 27 1 of 1973 PA 116, MCL 722.111.

28 (b) "Eligible great start readiness program options" means a
 29 program option that operates on a school-day, part-day, or extended



1 schedule length, as determined by the department of lifelong
2 education, advancement, and potential. The department of lifelong
3 education, advancement, and potential must maintain and publish on
4 its website requirements for each eligible schedule length,
5 including the minimum day length, the minimum number of days per
6 week, and the minimum number of weeks per year. These programs may
7 be blended with Head Start programs, if allowable by federal rules
8 and regulations.

9 (c) "Federal poverty guidelines" means the guidelines
10 published annually in the Federal Register by the United States
11 Department of Health and Human Services under its authority to
12 revise the poverty line under 42 USC 9902.

13 (d) "GSRP extended program" means a program that operates for
14 at least the same length of day as a district's first grade program
15 for a minimum of 5 days per week, 36 weeks per year.

16 (e) "GSRP/Head Start extended blended program" means a program
17 funded under this section and a Head Start program that are
18 combined for an extended program.

19 (f) "GSRP/Head Start school-day blended program" means a part-
20 day program funded under this section and a Head Start program,
21 which are combined for a school-day program.

22 (g) "Licensed child care center" means a child care center
23 that has been issued a license under 1973 PA 116, MCL 722.111 to
24 722.128, to operate a child care center.

25 (h) "Part-day program" means a program that operates at least
26 4 days per week, 30 weeks per year, for at least 3 hours of
27 teacher-child contact time per day but for fewer hours of teacher-
28 child contact time per day than a school-day program.

29 (i) "School-day program" means a program that operates for at



1 least the same length of day as a district's first grade program
 2 for a minimum of 4 days per week, 30 weeks per year. A classroom
 3 that offers a school-day program must enroll all children for the
 4 school day to be considered a school-day program.

5 **(20)** ~~(24)~~ From the state school aid fund money allocated in
 6 subsection (1), there is allocated for ~~2024-2025 and 2025-2026~~
 7 **2026-2027** an amount not to exceed \$10,000,000.00 and, from the
 8 great start readiness program reserve fund money allocated in
 9 subsection (1), there is allocated for ~~2024-2025 and 2025-2026~~
 10 **2026-2027** an amount not to exceed \$18,000,000.00 for reimbursement
 11 of transportation costs for children attending great start
 12 readiness programs funded under this section. To receive
 13 reimbursement under this subsection, by not later than November 1
 14 of each year, a program funded under this section that provides
 15 transportation shall submit to the intermediate district that is
 16 the fiscal agent for the program a projected transportation budget.
 17 The amount of the reimbursement for transportation under this
 18 subsection is no more than the projected transportation budget or
 19 \$500.00 multiplied by the number of children funded for the program
 20 under this section. If the amount allocated under this subsection
 21 is insufficient to fully reimburse the transportation costs for all
 22 programs that provide transportation and submit the required
 23 information, the department of lifelong education, advancement, and
 24 potential shall prorate the reimbursement in an equal amount per
 25 child funded. The department of lifelong education, advancement,
 26 and potential shall make payments to the intermediate district that
 27 is the fiscal agent for each program, and the intermediate district
 28 shall then reimburse the program provider for transportation costs
 29 as prescribed under this subsection.



1 ~~(21) (25) For 2024-2025, subject to, and from the funds~~
 2 ~~allocated under, subsection (24), the department of lifelong~~
 3 ~~education, advancement, and potential shall reimburse a program for~~
 4 ~~transportation costs related to parent- or guardian-accompanied~~
 5 ~~transportation provided by transportation service companies, buses,~~
 6 ~~or other public transportation services. Beginning in 2025-2026,~~
 7 ~~subject~~ **Subject** to, and from the funds allocated under, subsection
 8 ~~(24), (20),~~ the department of lifelong education, advancement, and
 9 potential shall allow programs to utilize those funds for costs
 10 related to parent- or guardian-provided transportation and for
 11 costs related to parent- or guardian-accompanied transportation
 12 provided by transportation service companies, buses, or other
 13 public transportation services. For payments related to parent- or
 14 guardian-provided transportation, the department of lifelong
 15 education, advancement, and potential shall develop parameters to
 16 ensure dollars are utilized in a way that improves access to
 17 eligible great start readiness program options for low-income and
 18 geographically isolated families. ~~To be eligible for reimbursement~~
 19 ~~under this subsection in 2024-2025, and to~~ **To** utilize funding under
 20 this subsection, ~~in 2025-2026,~~ a program must submit to the
 21 intermediate district or consortia of intermediate districts all of
 22 the following:

23 (a) The names of families provided with transportation support
 24 along with a documented reason for the need for transportation
 25 support and the type of transportation provided.

26 (b) Financial documentation of actual transportation costs
 27 incurred by the program, including, but not limited to, receipts
 28 and mileage reports, as determined by the department of lifelong
 29 education, advancement, and potential.



1 (c) Any other documentation or information determined
2 necessary by the department of lifelong education, advancement, and
3 potential.

4 **(22)** ~~(26)~~—The department of lifelong education, advancement,
5 and potential shall implement a process to review and approve age-
6 appropriate comprehensive classroom level quality assessments for
7 GSRP grantees that support the early childhood standards of quality
8 for birth to kindergarten children adopted by the state board. The
9 department of lifelong education, advancement, and potential shall
10 make available to intermediate districts at least 2 classroom level
11 quality assessments that have been approved by the department of
12 lifelong education, advancement, and potential.

13 **(23)** ~~(27)~~—An intermediate district that is a GSRP grantee may
14 approve the use of a supplemental curriculum that aligns with and
15 enhances the age-appropriate educational curriculum in the
16 classroom. If the department of lifelong education, advancement,
17 and potential objects to the use of a supplemental curriculum
18 approved by an intermediate district, the director of the
19 department of lifelong education, advancement, and potential shall
20 establish a review committee independent of the department of
21 lifelong education, advancement, and potential. The review
22 committee shall meet within 60 days of the department of lifelong
23 education, advancement, and potential registering its objection in
24 writing and provide a final determination on the validity of the
25 objection within 60 days of the review committee's first meeting.

26 **(24)** ~~(28)~~—The department of lifelong education, advancement,
27 and potential shall implement a process to evaluate and approve
28 age-appropriate educational curricula that are in compliance with
29 the early childhood standards of quality for birth to kindergarten



1 children adopted by the state board.

2 **(25) ~~(29)~~** From the state school aid fund money allocated under
 3 subsection (1), there is allocated for ~~2024-2025 and 2025-2026~~
 4 **2026-2027** an amount not to exceed \$2,000,000.00 for payments to
 5 intermediate districts or consortia of intermediate districts for
 6 professional development and training materials for educators in
 7 programs implementing new curricula or child assessment tools
 8 approved for use in the great start readiness program. **Curricula**
 9 **and child assessment tools purchased with funds received under this**
 10 **subsection must be in compliance with early childhood standards of**
 11 **quality for birth to kindergarten children, including the science**
 12 **of reading, as that term is defined in section 1280f of the revised**
 13 **school code, MCL 380.1280f.**

14 **(26) ~~(30)~~** A great start readiness program, a GSRP extended
 15 program, a GSRP/Head Start school-day blended program, a GSRP/Head
 16 Start extended blended program, or other eligible great start
 17 readiness programs funded under this section are permitted to
 18 utilize AmeriCorps Pre-K Reading Corps members in classrooms
 19 implementing research-based ~~early~~-literacy intervention strategies.

20 **(27) ~~(31)~~** In addition to the allocation under subsection (1),
 21 from the state school aid fund money appropriated under section 11,
 22 there is allocated an amount not to exceed \$25,000,000.00 for 2024-
 23 2025 and an amount not to exceed \$10,000,000.00 for 2025-2026 only
 24 for classroom start up grants to intermediate districts and
 25 consortia of intermediate districts for new or expanding great
 26 start readiness classrooms. All of the following apply to funding
 27 allocated under this subsection:

28 (a) To receive funding under this subsection, intermediate
 29 districts and consortia of intermediate districts must apply for



1 the funding in a form and manner prescribed by the department of
2 lifelong education, advancement, and potential.

3 (b) The department of lifelong education, advancement, and
4 potential shall pay an amount not to exceed \$50,000.00 for each new
5 or expanded classroom. If funding is insufficient to fully fund all
6 eligible applicants, the department of lifelong education,
7 advancement, and potential must prorate the per-classroom amount on
8 an equal basis. If the allocation is not fully paid in the current
9 fiscal year, the department of lifelong education, advancement, and
10 potential may award any remaining funding from fiscal year 2024-
11 2025 during fiscal year 2025-2026, and may award any remaining
12 funding from fiscal year 2025-2026 during fiscal year 2026-2027 for
13 each new or expanded classroom at an equal amount per classroom,
14 based on remaining available funds, not to exceed \$50,000.00 per
15 classroom.

16 (c) Funds received under this subsection by intermediate
17 districts and consortia of intermediate districts must be paid in
18 full to the entity operating the classroom and may be used for 1 or
19 more of the following purposes:

20 (i) Costs associated with attracting, recruiting, retaining,
21 and licensing required classroom education personnel to staff new
22 or expanded classrooms.

23 (ii) Supporting facility improvements or purchasing facility
24 space or modular classroom units necessary to provide a safe, high-
25 quality learning environment for children in each new or expanded
26 classroom, and for costs to become a licensed facility such as
27 architectural drawings, permits, and other prelicensure inspection
28 fees.

29 (iii) Outreach material necessary for public awareness that the



1 great start readiness program has openings in the area and for
2 costs associated with enrolling eligible children in new or
3 expanded classrooms.

4 (iv) Supporting costs in each new or expanded classroom
5 associated with improving a provider's great start to quality
6 level.

7 (d) Recipients of funds under this subsection must demonstrate
8 that instructional staff have completed, or are in the process of
9 completing, professional learning in the science of reading. Grant
10 funds may be used to support this professional learning and are
11 intended to ensure new classrooms are well equipped to implement
12 evidence-based early literacy strategies.

13 (e) The funds allocated under this subsection for 2024-2025
14 are a work project appropriation, and any unexpended funds for
15 2024-2025 do not lapse to the state school aid fund and are carried
16 forward into 2025-2026. The purpose of the work project is to
17 continue support for new or expanded great start readiness
18 classrooms. The estimated completion date of the work project is
19 September 30, 2026.

20 (f) The funds allocated under this subsection for 2025-2026
21 are a work project appropriation, and any unexpended funds for
22 2025-2026 do not lapse to the state school aid fund and are carried
23 forward into 2026-2027. The purpose of the work project is to
24 continue support for new or expanded great start readiness
25 classrooms. The estimated completion date of the work project is
26 September 30, 2027.

27 (g) Notwithstanding section 17b, the department of lifelong
28 education, advancement, and potential shall make payments under
29 this subsection on a schedule determined by the department of



lifelong education, advancement, and potential.

(28) ~~(32)~~—In addition to the funds allocated in subsection (1), there is allocated from the general fund money appropriated under section 11 for 2024-2025 only an amount not to exceed \$1,950,000.00 for an intermediate district or a consortium of intermediate districts to partner with the department of lifelong education, advancement, and potential and community-based organizations to continue implementing statewide outreach and enrollment campaign activities to raise awareness about the availability of services through the great start readiness program, and to promote enrollment.

(29) ~~(33)~~—The funds allocated under subsection ~~(32)~~ **(28)** for 2024-2025 are a work project appropriation, and any unexpended funds for 2024-2025 are carried forward into 2025-2026. The purpose of the work project is to raise awareness of and participation in great start readiness programming. The estimated completion date of the work project is September 30, 2027.

(30) ~~(34)~~—Notwithstanding section 17b, the department of lifelong education, advancement, and potential shall make payments under subsection (32) on a schedule determined by the department of lifelong education, advancement, and potential.

Sec. 32n. (1) ~~From the state school aid fund money appropriated in section 11, there is allocated for 2024-2025 only an amount not to exceed \$79,000,000.00, and from the state school aid pupil support reserve fund money appropriated in section 11, there is allocated for 2025-2026 only an amount not to exceed \$75,000,000.00~~ **2026-2027 only an amount not to exceed \$75,000,000.00** to Clinton County RESA to collaborate with the department of lifelong education, advancement, and potential, for



1 the purposes of this section. ~~It is the intent of the legislature~~
 2 ~~that, for 2026-2027, the allocation from the state school aid pupil~~
 3 ~~support reserve fund money appropriated in section 11 for the~~
 4 ~~purposes described in this section will be \$85,000,000.00. It is~~
 5 ~~the intent of the legislature that, for 2027-2028, the allocation~~
 6 ~~from the state school aid pupil support reserve fund money~~
 7 ~~appropriated in section 11 for the purposes described in this~~
 8 ~~section will be \$100,000,000.00.~~

9 (2) ~~From the state school aid fund money allocated in~~
 10 ~~subsection (1), there is allocated for 2024-2025 only an amount not~~
 11 ~~to exceed \$57,000,000.00, and from the state school aid pupil~~
 12 ~~support reserve fund money allocated in subsection (1), there is~~
 13 ~~allocated for 2025-2026~~ **2026-2027** ~~only an amount not to exceed~~
 14 ~~\$75,000,000.00 for a grant program for eligible applicants to~~
 15 ~~expand access to quality, affordable programming before and after~~
 16 ~~the school day or during the summer for young people. Not more than~~
 17 **25% of the total allocation under this section may be allocated to**
 18 **statewide or regional grant applications.** The department of
 19 lifelong education, advancement, and potential shall establish
 20 competitive grant criteria for the program described in this
 21 ~~subsection.~~ **section.** To be eligible for a grant under this
 22 ~~subsection,~~ **section,** the applicant must meet, at a minimum, all of
 23 the following criteria:

24 (a) Serve children in any of grades K to 12.

25 (b) Be a community-based organization that is exempt from
 26 federal income tax under section 501(c)(3) of the internal revenue
 27 code, 26 USC 501, an institution of higher education, a public
 28 library, ~~a local government,~~ **city or municipality,** or an
 29 intermediate district.



(c) Provide before-school, after-school, before-and-after-school, or summer school programming to children described in subdivision (a). These programs must be used to support expanded learning opportunities, including, but not limited to, mentoring, leadership, community engagement, agriculture, visual and performing arts, literacy, science, technology, engineering, mathematics, health and wellness, recreation, financial literacy, physical fitness, career and college exploration, youth voice, 21st century skills, conflict resolution, and social engagement programming.

(d) Address **at least 3** measurable goals, including, but not limited to, improved school attendance, academic outcomes, improved attitudes toward school, improved positive behaviors, skill development and retention, higher education aspirations, and improved family engagement and include activities linked to research or quality practices. **At least 2 of the measurable goals under this subdivision must address improved school attendance and academic outcomes.**

(e) Be 1 of the following:

(i) A licensed child care organization.

(ii) An entity that has an active application to be a licensed child care organization.

(iii) An exempt entity.

(f) For entities meeting eligibility requirements under subdivision (e) (ii) and (iii), demonstrate in a form and manner determined by the department that all of the following are in place for staff working with youth:

(i) Background checks through the Central Registry Clearance and the Internet Criminal History Access Tool.



1 (ii) First aid and cardiopulmonary resuscitation (CPR)
2 training.

3 (iii) Health and Safety Training Courses for Child Care
4 Providers, Modules A, B, and C.

5 (3) The department of lifelong education, advancement, and
6 potential shall establish a competitive grant process for awarding
7 funding under subsection (2). The department of lifelong education,
8 advancement, and potential shall develop the form and manner for
9 applying for the grants. The application must include a request for
10 information on the applicant's outreach to children, youth, and
11 families who are eligible for free or reduced-price meals under the
12 Richard B. Russell national school lunch act, 42 USC 1751 to 1769j.
13 The application must be open for not less than 30 calendar days.
14 ~~Except as otherwise provided in this subsection, at~~ **At** least 30
15 days before the application is opened, the department of lifelong
16 education, advancement, and potential must publish on its public
17 website the criteria that will be used in evaluating the
18 application that must include, but are not limited to, priorities
19 under subsection (5). ~~For 2025-2026 only, the department of~~
20 ~~lifelong education, advancement, and potential, is not required to~~
21 ~~publish the evaluation criteria at least 30 days before the~~
22 ~~application is opened.~~

23 (4) Subject to subsection ~~(9)~~, **(8)**, in determining award
24 amounts under subsection (2), the department of lifelong education,
25 advancement, and potential shall, to the extent practicable, ensure
26 that eligible entities in all geographic regions of this state are
27 represented in the distribution of grant funding under subsection
28 (2).

29 (5) Subject to subsection ~~(9)~~, **(8)**, the department of lifelong



1 education, advancement, and potential shall prioritize the
 2 distribution of grant funding under subsection (2) based on, at a
 3 minimum, the following:

4 (a) An applicant's demonstrated need.

5 (b) The percentage of low-income families in the geographic
 6 area being served. Prioritization must be determined by the average
 7 percentage of pupils in the district who are eligible for free and
 8 reduced-priced meals as determined under the Richard B. Russell
 9 national school lunch act, 42 USC 1751 to 1769j, where eligible
 10 entities will provide before-and-after-school or summer school
 11 programs.

12 (c) Whether the application provides services for the full
 13 school year.

14 (d) The applicant's track record for providing quality,
 15 affordable before-and-after-school or summer school services.

16 (e) Whether an applicant serving children in any of grades K
 17 to 8 is a licensed child care organization, is an entity that has
 18 an active application to be a licensed child care organization, or
 19 has implemented the Michigan Out-of-School Time Standards of
 20 Quality if the applicant is an exempt entity and ~~, beginning in~~
 21 ~~2025-2026,~~ serves at least 15 school-age youth at a single location
 22 in grades K to 12.

23 ~~(6) Subject to subsection (7), an~~ **An** eligible entity that
 24 receives grant funding under subsection (2) shall use the funding
 25 only to provide before-school, after-school, before-and-after-
 26 school, or summer school programming to children described in
 27 subsection (2)(a). The programming offered under subsection (2)
 28 must meet all of the following:

29 (a) For programming that is offered by a licensed child care



1 organization, be provided to children and youth in a manner in
 2 which the children are physically present at the building or
 3 location for which the licensed child care organization received
 4 its license under 1973 PA 116, MCL 722.111 to 722.128, or, for
 5 programming that is offered by an exempt entity serving grades K to
 6 12, be provided to children and youth in a manner in which the
 7 children and youth are physically present at a building or location
 8 designated by the exempt entity.

9 (b) Provide educational programming in core subject areas,
 10 including, but not limited to, mathematics, reading, and science.

11 (c) Provide data to evaluate the program in a form and manner
 12 as prescribed by the department of lifelong education, advancement,
 13 and potential.

14 ~~(7) For 2024-2025 only, and subject to subsections (4) and~~
 15 ~~(5), up to 2% of funding allocated under subsection (2) must be~~
 16 ~~allocated to a nonprofit entity with experience serving youth-~~
 17 ~~serving organizations to provide start-up grants and capacity~~
 18 ~~building, professional development, and technical assistance for~~
 19 ~~implementation of high-quality, evidence-based out-of-school time~~
 20 ~~learning opportunities.~~

21 ~~(7) (8) Beginning in 2025-2026, all~~ **All** of the following apply
 22 to funding allocated under this section:

23 (a) An amount not to exceed 0.25% of the funding allocated
 24 under subsection (2) or \$250,000.00, whichever is greater, may be
 25 retained by Clinton County RESA for administrative costs.

26 (b) An amount not to exceed \$500,000.00 of the funding
 27 allocated under subsection (2) must be allocated by Clinton County
 28 RESA, as directed by the department of lifelong education,
 29 advancement, and potential, and in collaboration with the center



1 and the Michigan afterschool partnership as needed, to provide
 2 statewide evaluation activities of eligible youth served, their
 3 families, and programs funded under this section. This evaluation
 4 must allow for a comparative analysis between program youth and
 5 their peers in grades K to 12.

6 (c) An amount not to exceed 1.5% of the funding allocated
 7 under subsection (2) must be allocated by Clinton County RESA, as
 8 directed by the department of lifelong education, advancement, and
 9 potential, and in collaboration with the Michigan afterschool
 10 partnership, to provide statewide out-of-school time activities and
 11 supports including, but not limited to, capacity building
 12 initiatives, professional development, and technical assistance to
 13 increase the likelihood for implementation of high quality,
 14 evidence-based, out-of-school time learning opportunities by
 15 eligible entities under subsections (4) and (5).

16 (8) ~~(9)~~—The department of lifelong education, advancement, and
 17 potential shall award not less than 60% of the funding under
 18 subsection (2) to community-based organizations.

19 (9) ~~(10)~~—Notwithstanding section 17b, the department of
 20 lifelong education, advancement, and potential shall make payments
 21 under this section ~~in full upon grant award.~~ **in an amount equal to**
 22 **1/2 of the grant total upon award of the grant, and the remaining**
 23 **1/2 of the grant total on a schedule determined by the department**
 24 **of lifelong education, advancement, and potential. The department**
 25 **of lifelong education, advancement, and potential may make payments**
 26 **in full to grantees demonstrating resource needs as determined by**
 27 **the department of lifelong education, advancement, and potential.**
 28 Grantees that do not comply with reporting requirements, fail to
 29 provide the services proposed in their grant application, or close



1 during the grant period may be required to repay the funding they
 2 received under this section to the department of lifelong
 3 education, advancement, and potential.

4 **(10)** ~~(11)~~—The department of lifelong education, advancement,
 5 and potential, in collaboration with the Michigan Afterschool
 6 Partnership, shall convene an advisory committee to review the
 7 program components listed within this section and make
 8 recommendations to the department of lifelong education,
 9 advancement, and potential for changes on the program described in
 10 this section. The advisory committee shall meet at a schedule set
 11 by the department of lifelong education, advancement, and
 12 potential, or at least quarterly. The advisory committee shall
 13 provide for the involvement of, but not limited to, community-based
 14 organizations, regional intermediaries, district administrators,
 15 youth, parents, and representatives from the business and
 16 philanthropic communities, as appropriate.

17 ~~(12) From the state school aid fund money allocated in~~
 18 ~~subsection (1), Clinton County RESA shall allocate \$22,000,000.00~~
 19 ~~in 2024-2025 only to recipients under this subsection as follows:~~

20 ~~(a) \$4,000,000.00 to support the efforts of FFA.~~

21 ~~(b) \$4,000,000.00 to the Boys and Girls Club of Southeastern~~
 22 ~~Michigan in Detroit to expand programming. Programming expansion~~
 23 ~~includes, but is not limited to, construction or remodeling of~~
 24 ~~facilities to allow for new or extended programs.~~

25 ~~(c) \$4,000,000.00 to the HYPE Athletics Center in Dearborn~~
 26 ~~Heights to provide programming that may include, but is not limited~~
 27 ~~to, science, technology, engineering, arts, and mathematics (STEAM)~~
 28 ~~programs; literacy and reading programs; after-school programs;~~
 29 ~~youth fitness and athletic programs; and mental health and~~



1 ~~behavioral health services.~~

2 ~~(d) \$1,500,000.00 to Brilliant Detroit to support delivery of~~
3 ~~high-dosage neighborhood-based tutoring and direct noninstructional~~
4 ~~services for at-risk pupils who are 3 to 12 years of age. Funding~~
5 ~~under this subdivision is intended to ensure that pupils are~~
6 ~~proficient in English language arts by the end of grade 3 and~~
7 ~~proficient in mathematics by the end of grade 8, that all~~
8 ~~participants are kindergarten ready, and that pupils are prepared~~
9 ~~to attend school regularly. As used in this subdivision, "at-risk~~
10 ~~pupil" means that term as defined in section 31a.~~

11 ~~(e) \$1,200,000.00 to the State Alliance of Michigan YMCAs to~~
12 ~~provide students in grades 6 to 12 with hands-on civics and model-~~
13 ~~government programs that offer statewide engagement with peers~~
14 ~~across this state for the purpose of expanding those students'~~
15 ~~opportunities to improve their social studies knowledge, thinking~~
16 ~~skills, and intellectual processes and dispositions required for~~
17 ~~active engagement in fulfilling responsibilities of civic~~
18 ~~participation.~~

19 ~~(f) \$1,000,000.00 to the Downtown Boxing Gym in Detroit to~~
20 ~~expand programming. Programming expansion includes, but is not~~
21 ~~limited to, construction or remodeling of facilities to allow for~~
22 ~~new or extended programs.~~

23 ~~(g) \$1,000,000.00 to support the operations of the Flint~~
24 ~~Center for Educational Excellence.~~

25 ~~(h) \$800,000.00 to the Detroit Opera for educational~~
26 ~~programming for grades pre-K to 12, including field trips, summer~~
27 ~~camps, and other learning opportunities. The funds allocated under~~
28 ~~this subdivision are a work project appropriation, and any~~
29 ~~unexpended funds for 2024-2025 are carried forward into 2025-2026.~~



~~The purpose of the work project is to support the Detroit Opera educational programming as described in this subdivision. The estimated completion date of the work project is September 30, 2028.~~

~~(i) \$500,000.00 to Special Olympics Michigan, a nonprofit organization organized under the laws of this state that is exempt from federal income tax under section 501(c)(3) of the internal revenue code of 1986, 26 USC 501, that has a mission statement to provide year-round sports training and athletic competition for children and adults with intellectual disabilities. Funding under this subdivision must be used by the organization to expand the organization's programming.~~

~~(j) \$500,000.00 to the Horatio Williams Foundation to support efforts to provide college preparation services, math leagues, sports programming, and literacy services in Detroit.~~

~~(k) \$500,000.00 to Friends of the Children, a nonprofit organization that employs salaried professional mentors who support youth and their families from grades K to 12. The salaried professional mentorship program in this subdivision must employ a 2-generational approach to supporting youth in and outside of the classroom, particularly in reading and math comprehension; support students and their families by connecting them to concrete supports like education and employment pathways, housing, utility assistance, and food security; and be located in a city with a population greater than 600,000 in a county with a population greater than 1,500,000 according to the most recent federal decennial census.~~

~~(l) \$500,000.00 to the Detroit Police Athletic League to support operations and programming including, but not limited to,~~



~~athletic programs and youth enrichment programs.~~

~~(m) \$500,000.00 to the Detroit Science Center, a nonprofit organization that is tax-exempt under section 501(c)(3) of the internal revenue code of 1986, 26 USC 501, and located in a city with a population greater than 600,000 in a county with a population greater than 1,700,000 according to the most recent federal decennial census. Funds under this subdivision must be used by the nonprofit organization to expand the nonprofit organization's mission of providing opportunities for students to discover, explore, and appreciate science, technology, engineering, and mathematics in a creative, dynamic learning environment.~~

~~(n) \$2,000,000.00 to buildOn Detroit to expand the Service Learning Program for high school students.~~

~~(13) For 2024-2025 only, recipients of grants under subsection (12) may not apply for funding under subsection (2).~~

~~(14) Funds allocated under subsection (12) for 2024-2025 are a work project appropriation, and any unexpended funds for 2024-2025 are carried forward into 2025-2026. The purpose of the work project is to provide additional support to out-of-school time programs. The estimated completion date of the work project is September 30, 2026.~~

(11) Subject to subsection (2), the department of lifelong education, advancement, and potential shall establish and implement a multitiered grant funding structure within its competitive grant process to account for statewide or regional grant applications, as well as mid-size grants serving 6 to 14 program sites and smaller grants serving 1 to 5 program sites.

(12) ~~(15)~~As used in this section:

(a) "An entity that has an active application to be a licensed



1 child care organization" means an entity that has an active
2 application to be a licensed child care organization under 1973 PA
3 116, MCL 722.111 to 722.128, and will be a licensed child care
4 organization before the entity provides services for which a child
5 care organization is required to be licensed under 1973 PA 116, MCL
6 722.111 to 722.128.

7 (b) "Child care organization" means that term as defined in
8 section 1 of 1973 PA 116, MCL 722.111.

9 (c) "Exempt entity" means an entity described in section
10 1(1)(i) to (v) of 1973 PA 116, MCL 722.111.

11 (d) "Licensed child care organization" means a child care
12 organization that has been issued a license under 1973 PA 116, MCL
13 722.111 to 722.128, to operate a child care organization.

14 (e) "School-age" means a child who is eligible to attend a
15 grade of kindergarten or higher, but is less than 13 years of age.
16 A child is considered to be school age on the first day of the
17 school year in which the child is eligible under section 1 of 1973
18 PA 116, MCL 722.111.

19 (f) "Statewide or regional grant" means a grant that
20 represents 2 or more entities, community-based organizations,
21 statewide network affiliations, or any combination of these
22 entities working together with the objective of serving more than
23 2,000 children across at least 15 program sites statewide, or to
24 serve more than 2,000 children across at least 15 program sites
25 within a publicly defined boundary region, and that have a
26 demonstrated track record of success in providing or organizing a
27 statewide or regional system of out-of-school-time programs. If an
28 applicant applies for a statewide or regional grant, the applicant
29 and the program sites included on their application may not appear



1 on any other grant application submitted for funding under
2 subsection (2).

3 Sec. 32p. (1) From the state school aid fund money
4 appropriated in section 11, there is allocated for 2026-2027 an
5 amount not to exceed \$29,800,000.00 to create and implement
6 statewide early learning partnerships. It is the intent of the
7 legislature that these early learning partnerships will provide
8 centralized access points to families for trusted entry into the
9 early childhood system, family and community outreach to build
10 awareness, trust, and referral networks, outreach through child
11 health providers to engage pediatric professionals for early
12 detection of developmental delays or other health needs, and data
13 collection and analysis to provide real-time insights necessary to
14 improve services and systems.

15 (2) From the funds allocated in subsection (1), the department
16 of lifelong education, advancement, and potential shall award at
17 least \$16,900,000.00 to eligible intermediate districts for the
18 purposes of this subsection. All of the following apply to funds
19 awarded under this subsection:

20 (a) Intermediate districts must apply for funding in a form
21 and manner determined by the department of lifelong education,
22 advancement, and potential.

23 (b) The department of lifelong education, advancement, and
24 potential shall award funding to eligible intermediate districts in
25 a way that ensures that families statewide have equitable access to
26 services provided by an early learning partnership. The amount
27 awarded to an eligible intermediate district must not be less than
28 the amount received by the intermediate district in 2024-2025 for
29 local great start collaboratives. To be eligible for funds awarded



1 under this subdivision, intermediate districts must partner with an
2 entity with expertise in family leadership, as determined by the
3 department of lifelong education, advancement, and potential.

4 (c) Intermediate districts must use funding received under
5 this subsection for the following purposes:

6 (i) Convening early learning partnerships on a regular basis to
7 ensure early childhood system building and the development of
8 implementation strategies through active partnerships with families
9 and multiple community organizations.

10 (ii) Improving family access, leadership, and engagement in
11 early childhood education that is grounded in the science of
12 reading.

13 (iii) Enhancing child development, learning, and well-being.

14 (iv) Creating strong, efficient community systems.

15 (v) Providing universal developmental screening and follow up
16 support through care coordinators.

17 (vi) Supporting the following staffing costs in each early
18 learning partnership:

19 (A) At least 0.8 FTE for a lead position to provide system-
20 building capacity by facilitating the implementation of program
21 components and activities, ensuring initiatives are data-driven,
22 completing annual program assessments, connecting families to
23 developmental screening, and ensuring intermediate districts have
24 dedicated care coordinators.

25 (B) At least 0.5 FTE for a care coordinator within each
26 intermediate district. Care coordinators are responsible for
27 answering questions from families, providing follow up services
28 related to developmental screenings and referrals, tracking data,
29 and providing cross-sector coordination to ensure families are

1 seamlessly connected to the full scope of services within the
2 intermediate district region.

3 (3) From the funds allocated in subsection (1), there is
4 allocated for 2026-2027 an amount not to exceed \$3,900,000.00 for
5 evidence-based, family-centered, data-driven family support
6 services, including, but not limited to, home visiting programs
7 that comply with the requirements of 2012 PA 291, MCL 400.791 to
8 400.798. Funds allocated under this subsection must be expended in
9 a form and manner determined jointly by the department of lifelong
10 education, advancement, and potential and the department of health
11 and human services. The department of lifelong education,
12 advancement, and potential shall make payments under this
13 subsection to an intermediate district serving as a fiscal agent
14 for these funds on a schedule determined by the department of
15 lifelong education, advancement, and potential.

16 (4) From the funds allocated in subsection (1), the department
17 of lifelong education, advancement, and potential shall award at
18 least \$4,000,000.00 to eligible intermediate districts for the
19 purpose of improving access to books and other literacy materials
20 for children from birth to age 5. An intermediate district must
21 apply for these funds in a form and manner determined by the
22 department of lifelong education, advancement, and potential and
23 may use the funding to support programs, including, but not limited
24 to, the Dolly Parton Imagination Library, Reach Out and Read
25 Michigan, or any other program that provides books and literacy
26 materials to children from birth to age 5 and educates families on
27 the importance of frequently reading aloud with children. If
28 funding available under this subsection is insufficient to fully
29 fund all interested intermediate districts and families, funding to



1 each intermediate district must prioritize enrollment to those
2 families with the highest levels of economic need.

3 (5) From the funds allocated in subsection (1), the department
4 of lifelong education, advancement, and potential may award up to
5 \$5,000,000.00 for grants to intermediate districts to purchase
6 early childhood education curriculum materials targeted at children
7 from birth to age 5. Intermediate districts shall apply in a form
8 and manner determined by the department of lifelong education,
9 advancement, and potential. Early childhood curriculum materials
10 purchased using funds allocated under this subsection must be
11 bilingual and build oral language, vocabulary, phonological
12 awareness, early reading behaviors, and foundational math and
13 cognitive skills.

14 Sec. 35a. (1) From the appropriations in section 11, there is
15 allocated for ~~2024-2025 an amount not to exceed \$82,900,000.00 and~~
16 ~~for 2025-2026 an amount not to exceed \$52,000,000.00~~ **2026-2027 an**
17 **amount not to exceed \$117,000,000.00** from the state school aid fund
18 for the purposes of this section. It is the intent of the
19 legislature that, for ~~2026-2027,~~ **2027-2028**, the allocation from the
20 state school aid fund money appropriated in section 11 for the
21 purposes described in this section will be \$42,000,000.00.
22 ~~Excluding staff or contracted employees funded under subsection~~
23 ~~(8), the~~ **The** superintendent shall designate staff or contracted
24 employees funded under this section as critical shortage. By not
25 later than December 31 of each fiscal year in which funding is
26 allocated under this section, the superintendent of public
27 instruction shall do both of the following:

28 (a) Report in person to the house and senate appropriations
29 subcommittees on school aid regarding progress on ~~early~~-literacy



1 and be available for questioning as prescribed through a process
2 developed by the chairs of the house and senate appropriations
3 subcommittees on school aid.

4 (b) Submit a written report to the house and senate
5 appropriations subcommittees on school aid regarding progress on
6 ~~early literacy. Beginning in 2025-2026, the~~ **The** report described in
7 this subdivision must include the number of literacy coaches
8 supported by funding provided under subsection ~~(4),~~ **(2)**, including
9 the number of coaches supported in each intermediate district, and
10 the percentage of supported coaches that have received, or are in
11 the process of receiving, professional learning by the approved
12 provider described in subsection ~~(11).~~ **(6)**.

13 ~~(2) A district that receives funds under subsection (5) may~~
14 ~~spend up to 5% of those funds for professional development for~~
15 ~~educators in a department approved research-based training program~~
16 ~~related to current state literacy standards for pupils in grades~~
17 ~~pre-K to 5. The professional development must also include training~~
18 ~~in the use of screening and diagnostic tools, progress monitoring,~~
19 ~~and intervention methods used to address barriers to learning and~~
20 ~~delays in learning that are diagnosed through the use of these~~
21 ~~tools.~~

22 ~~(3) A district that receives funds under subsection (5) may~~
23 ~~use up to 5% of those funds to administer department-approved~~
24 ~~screening and diagnostic tools to monitor the development of early~~
25 ~~literacy and early reading skills, and risk factors for word-level~~
26 ~~reading difficulties of pupils in grades pre-K to 5 and to support~~
27 ~~evidence-based professional learning described in subsection (11)~~
28 ~~for educators in administering and using screening, progress~~
29 ~~monitoring, and diagnostic assessment data to inform instruction~~



~~through prevention and intervention in a multi-tiered system of supports framework. A department-approved screening and diagnostic tool administered by a district using funding under this section must include all of the following components: phonemic awareness, phonics, fluency, rapid automatized naming (RAN), and comprehension. Further, all of the following sub-skills must be assessed within each of these components:~~

~~(a) Phonemic awareness — segmentation, blending, and sound manipulation (deletion and substitution).~~

~~(b) Phonics — decoding (reading) and encoding (spelling).~~

~~(c) Fluency.~~

~~(d) Comprehension — making meaning of text.~~

(2) ~~(4)~~ From the allocation under subsection (1), there is allocated an amount not to exceed \$42,000,000.00 for ~~2024-2025 and 2025-2026~~ **2026-2027** for the purpose of providing ~~early~~ literacy coaches at intermediate districts to assist teachers in developing and implementing instructional strategies for pupils in grades pre-K to 5 so that pupils are reading at grade level by the end of grade 3. All of the following apply to funding under this subsection:

(a) The department shall develop an application process consistent with the provisions of this subsection. An application must provide assurances that literacy coaches funded under this subsection are knowledgeable about at least the following:

(i) Current state literacy standards for pupils in grades pre-K to 3.

(ii) Implementing an instructional delivery model based on frequent use of formative, screening, and diagnostic tools, known as a multi-tiered system of supports, to determine individual



1 progress for pupils in grades pre-K to 5 so that pupils are reading
2 at grade level by the end of grade 3.

3 (iii) The use of data from diagnostic tools to determine the
4 necessary additional supports and interventions needed by
5 individual pupils in grades pre-K to 5 to read at grade level.

6 (b) From the allocation under this subsection, the department
7 shall award grants to intermediate districts for the support of
8 ~~early~~-literacy coaches. The department shall provide this funding
9 in the following manner:

10 (i) The department shall award each intermediate district grant
11 funding to support the cost of 2 ~~early~~-literacy coaches in an equal
12 amount per ~~early~~-literacy coach, not to exceed \$125,000.00.

13 (ii) After distribution of the grant funding under subparagraph
14 (i), the department shall distribute the remainder of grant funding
15 for additional ~~early~~-literacy coaches in an amount not to exceed
16 \$125,000.00 per ~~early~~-literacy coach. The number of funded ~~early~~
17 literacy coaches for each intermediate district is based on the
18 percentage of the total statewide number of pupils in grades K to 3
19 who meet the income eligibility standards for the federal free and
20 reduced-price lunch programs who are enrolled in districts in the
21 intermediate district.

22 (c) If an intermediate district that receives funding under
23 this subsection uses an assessment tool that screens for
24 characteristics of dyslexia, the intermediate district shall use
25 the assessment results from that assessment tool to identify pupils
26 who demonstrate characteristics of dyslexia.

27 (d) All literacy coaches funded under this subsection must
28 have already received, or be making progress toward receiving,
29 professional learning by the approved provider described in



subsection ~~(11)~~. **(6)**.

(e) To be eligible to receive funding under this subsection, an intermediate district must provide the department with a list by September 1 of the immediately preceding fiscal year containing contact information for all literacy coaches funded under this subsection, in a form and manner determined by the department. An intermediate district shall communicate any personnel changes and changes to contact information for literacy coaches funded under this subsection to the department within 30 days of the personnel change or change in contact information.

~~(5) From the allocation under subsection (1), there is allocated an amount not to exceed \$19,900,000.00 for 2024-2025 to districts that provide additional instructional time to those pupils in grades pre-K to 5 who have been identified by using department approved screening and diagnostic tools as needing additional supports and interventions to read at grade level by the end of grade 3. Additional instructional time may be provided before, during, and after regular school hours or as part of a year-round balanced school calendar. All of the following apply to funding under this subsection:~~

~~(a) To be eligible to receive funding, a district must demonstrate to the satisfaction of the department that the district has done all of the following:~~

~~(i) Implemented a multi-tiered system of supports instructional delivery model that is an evidence-based model that uses data-driven problem solving to integrate academic and behavioral instruction and that uses intervention delivered to all pupils in varying intensities based on pupil needs. The multi-tiered system of supports must provide at least all of the following essential~~



1 ~~components:~~

2 ~~(A) Team-based leadership.~~

3 ~~(B) A tiered delivery system.~~

4 ~~(C) Selection and implementation of instruction,~~
5 ~~interventions, and supports.~~

6 ~~(D) A comprehensive screening and assessment system.~~

7 ~~(E) Continuous data-based decision making.~~

8 ~~(ii) Used department-approved research-based diagnostic tools~~
9 ~~to identify individual pupils in need of additional instructional~~
10 ~~time.~~

11 ~~(iii) Used a reading instruction method that focuses on the 5~~
12 ~~fundamental building blocks of reading: phonics, phonemic~~
13 ~~awareness, fluency, vocabulary, and comprehension and content~~
14 ~~knowledge.~~

15 ~~(iv) Provided teachers of pupils in grades pre-K to 5 with~~
16 ~~research-based professional development in diagnostic data~~
17 ~~interpretation.~~

18 ~~(v) Complied with the requirements under section 1280f of the~~
19 ~~revised school code, MCL 380.1280f.~~

20 ~~(b) The department shall distribute funding allocated under~~
21 ~~this subsection to eligible districts on an equal per first-grade-~~
22 ~~pupil basis.~~

23 ~~(c) If the funds allocated under this subsection are~~
24 ~~insufficient to fully fund the payments under this subsection,~~
25 ~~payments under this subsection are prorated on an equal per-pupil~~
26 ~~basis based on grade 1 pupils.~~

27 ~~(6) By not later than September 1 of each year, a district~~
28 ~~that receives funding under subsection (5) in conjunction with the~~
29 ~~Michigan student data system, if possible, shall provide to the~~

~~department a report that includes at least both of the following, in a form and manner prescribed by the department:~~

~~(a) For pupils in grades pre-K to 5, the teachers, pupils, schools, and grades served with funds under this section and the categories of services provided.~~

~~(b) For pupils in grades pre-K to 5, pupil proficiency and growth data that allows analysis both in the aggregate and by each of the following subgroups, as applicable:~~

~~(i) School.~~

~~(ii) Grade level.~~

~~(iii) Gender.~~

~~(iv) Race.~~

~~(v) Ethnicity.~~

~~(vi) Economically disadvantaged status.~~

~~(vii) Disability.~~

~~(viii) Pupils identified as having reading deficiencies.~~

~~(7) From the allocation under subsection (1), there is allocated an amount not to exceed \$6,000,000.00 for 2024-2025 to an intermediate district in which the combined total number of pupils in membership of all of its constituent districts is the fewest among all intermediate districts. All of the following apply to the funding under this subsection:~~

~~(a) Funding under this subsection must be used by the intermediate district, in partnership with an association that represents intermediate district administrators in this state, to implement all of the following:~~

~~(i) Literacy essentials teacher and principal training modules.~~

~~(ii) Face-to-face and online professional learning of literacy essentials teacher and principal training modules for literacy~~



1 ~~coaches, principals, and teachers.~~

2 ~~(iii) The placement of regional lead literacy coaches to~~
3 ~~facilitate professional learning for early literacy coaches. These~~
4 ~~regional lead literacy coaches shall provide support for new~~
5 ~~literacy coaches, building teachers, and administrators and shall~~
6 ~~facilitate regional data collection to evaluate the effectiveness~~
7 ~~of statewide literacy coaches funded under this section.~~

8 ~~(iv) Provide \$500,000.00 from this subsection for literacy~~
9 ~~training, modeling, coaching, and feedback for district principals~~
10 ~~or chief administrators, as applicable. The training described in~~
11 ~~this subparagraph must use the pre-K and K to 3 essential~~
12 ~~instructional practices in literacy created by the general~~
13 ~~education leadership network as the framework for all training~~
14 ~~provided under this subparagraph.~~

15 ~~(v) Job-embedded professional learning opportunities for~~
16 ~~mathematics teachers through mathematics instructional coaching.~~
17 ~~Funding must be used for professional learning for coaches,~~
18 ~~professional developers, administrators, and teachers; coaching for~~
19 ~~early mathematics educators; the development of statewide and~~
20 ~~regional professional learning networks in mathematics~~
21 ~~instructions; and the development and support of digital~~
22 ~~professional learning modules.~~

23 ~~(b) By not later than September 1 of each year, the~~
24 ~~intermediate district described in this subsection, in consultation~~
25 ~~with grant recipients, shall submit a report to the chairs of the~~
26 ~~senate and house appropriations subcommittees on school aid, the~~
27 ~~chairs of the senate and house standing committees responsible for~~
28 ~~education legislation, the house and senate fiscal agencies, and~~
29 ~~the state budget director. The report described under this~~



~~subdivision must include student achievement results in English language arts and mathematics and survey results with feedback from parents and teachers regarding the initiatives implemented under this subsection.~~

~~(c) Up to 2% of funds allocated under this subsection may be used by the association representing intermediate district administrators that is in partnership with the intermediate district specified in this subsection to administer this subsection.~~

~~(8) From the allocation under subsection (1), the department shall allocate the amount of \$5,000,000.00 for 2024-2025 only to an intermediate district or a consortium of intermediate districts to partner with the Michigan Education Corps for the PreK Reading Corps, the K3 Reading Corps, and the Math Corps. An intermediate district or a consortium of intermediate districts receiving funding under this subsection must forward the amount received under this subsection to the Michigan Education Corps for statewide services. As conditions of receiving funding from an intermediate district or a consortium of intermediate districts, all of the following apply to funding received by the Michigan Education Corps under this subsection:~~

~~(a) By September 1 of the current fiscal year, the Michigan Education Corps shall provide a report concerning its use of the funding to the senate and house appropriations subcommittees on school aid, the senate and house fiscal agencies, and the senate and house caucus policy offices on outcomes and performance measures of the Michigan Education Corps, including, but not limited to, the degree to which the Michigan Education Corps' replication of the PreK Reading Corps, the K3 Reading Corps, and~~



~~the Math Corps programs is demonstrating sufficient efficacy and impact. The report must include data pertaining to at least all of the following:~~

~~(i) The current impact of the programs on this state in terms of numbers of children and schools receiving support. This portion of the report must specify the number of children tutored, including dosage and completion, and the demographics of those children.~~

~~(ii) Whether the assessments and interventions are implemented with fidelity. This portion of the report must include details on the total number of assessments and interventions completed and the range, mean, and standard deviation.~~

~~(iii) Whether the literacy or math improvement of children participating in the programs is consistent with expectations. This portion of the report must detail at least all of the following:~~

~~(A) Growth rate by grade or age level, in comparison to targeted growth rate.~~

~~(B) Average linear growth rates.~~

~~(C) Exit rates.~~

~~(D) Percentage of children who exit who also meet or exceed spring benchmarks.~~

~~(iv) The impact of the programs on organizations and stakeholders, including, but not limited to, school administrators, internal coaches, and AmeriCorps members.~~

~~(b) If the department determines that the Michigan Education Corps has misused the funds allocated under this subsection, the Michigan Education Corps shall reimburse this state for the amount of state funding misused.~~

~~(c) An intermediate district or a consortium of intermediate~~



~~districts may not reserve any portion of the allocation provided under this subsection for an evaluation of the Michigan Education Corps, the Michigan Education Corps' funding, or the Michigan Education Corps' programming unless agreed to in writing by the Michigan Education Corps. An intermediate district or a consortium of intermediate districts shall award the entire amount allocated under this subsection to the Michigan Education Corps and shall not condition the forwarding of this funding on the implementation of an independent evaluation.~~

(f) The department shall develop a coaching evaluation framework to be implemented in alignment to the literacy coaching model described in section 1280f of the revised school code, MCL 388.1280f.

(3) ~~(9)~~ If a district or intermediate district expends any funding received under subsection ~~(4)~~ or ~~(5)~~ **(2)** for professional development in research-based effective reading instruction, the district or intermediate district shall select a professional development program from the list described in subdivision (a). All of the following apply to the requirement under this subsection:

(a) The department shall issue a request for proposals for professional development programs in research-based effective reading instruction to develop an initial approved list of professional development programs in research-based effective reading instruction. The department shall make the initial approved list public and shall determine if it will, on a rolling basis, approve any new proposals submitted for addition to its initial approved list.

(b) To be included as an approved professional development program in research-based effective reading instruction under



subdivision (a), an applicant must demonstrate to the department in writing the program's competency in all of the following topics:

(i) Understanding of phonemic awareness, phonics, fluency, vocabulary, and comprehension.

(ii) Appropriate use of assessments and differentiated instruction.

(iii) Selection of appropriate instructional materials.

(iv) Application of research-based instructional practices.

(c) As used in this subsection, "effective reading instruction" means reading instruction scientifically proven to result in improvement in pupil reading skills.

(4) ~~(10)~~ From the allocation under subsection (1), there is allocated an amount not to exceed ~~\$10,000,000.00~~ **\$75,000,000.00** for ~~2024-2025 and 2025-2026~~ **2026-2027** only to an intermediate district identified by the department for the provision of professional learning by the approved provider described in subsection ~~(11)~~, ~~first to educators in pre-K, kindergarten, and grade 1 next to educators in grade 2 and grade 3; and then to additional elementary school educators and pre-K to grade 12 certificated special education personnel with endorsements in learning disabilities, emotional impairments, or speech and language impairments.~~ **(6) to the following individuals:**

(a) Certificated individuals who provide, support, or oversee instruction in grades K to 5 that involves reading instruction or language arts, including classroom teachers and teachers with any special education endorsements.

(b) All personnel responsible for the delivery, support, or supervision of literacy instruction in grades K to 5, as determined by the department.



(5) For purposes of ~~this~~ subsection (4), the approved provider must establish and manage professional learning opportunities that are open to all school personnel described in ~~this~~ subsection (4). ~~as follows:~~

~~(a) The approved provider must first open voluntary enrollment for any pre-K through grade 3 teacher on a first-come, first-served basis, with voluntary enrollment prioritized for pre-K, kindergarten, and grade 1 teachers. The approved provider shall then open voluntary enrollment for the remaining school personnel described in this subsection.~~

~~(b) The approved provider~~ **and** must maintain open enrollment until all funds are expended.

(6) ~~(11)~~ For the provision of professional learning to the school personnel described in subsection ~~(10)~~, **(4)**, LETRS is the approved provider of professional learning as long as LETRS continues to meet all of the following:

(a) Be offered through a system of training that provides educators with the knowledge base to effectively implement any class-wide, supplemental, or intervention reading approach and to determine why some students struggle with reading, writing, spelling, and language.

(b) Provide training activities that direct educators to implement effective reading and spelling instruction supported by scientifically based research and foster a direct explicit instructional sequence that uses techniques to support teachers' independence in using their newly-learned skills with students in the classroom.

(c) Include integrated components for educators and administrators in pre-K to grade 3 with embedded evaluation or

1 assessment of knowledge. Evaluation or assessment of knowledge
 2 under this subdivision must incorporate evaluations of learning
 3 throughout each unit and include a summative assessment that must
 4 be completed to demonstrate successful course completion.

5 (d) Build teacher content knowledge and pedagogical knowledge
 6 of the critical components of literacy including how the brain
 7 learns to read, phonological and phonemic awareness; letter
 8 knowledge; phonics; advanced phonics; vocabulary and oral language;
 9 fluency; comprehension; spelling and writing; and the organization
 10 of language.

11 (e) Support educators in understanding how to effectively use
 12 screening, progress monitoring, and diagnostic assessment data to
 13 improve literacy outcomes through prevention and intervention for
 14 reading difficulties in a multi-tiered system of supports. The
 15 multi-tiered system of supports must include at least all of the
 16 following essential components:

17 (i) Team-based leadership.

18 (ii) A tiered delivery system.

19 (iii) Selection and implementation of instruction,
 20 interventions, and supports.

21 (iv) A comprehensive screening and assessment system.

22 (v) Continuous data-based decision making.

23 ~~(12) Notwithstanding section 17b, the department shall make~~
 24 ~~payments made under subsections (7) and (8) on a schedule~~
 25 ~~determined by the department.~~

26 **(f) On a quarterly basis, report all of the following**
 27 **information to the department, in a form and manner prescribed by**
 28 **the department:**

29 **(i) The total number of individuals who have completed the**

1 required professional learning, organized by role group.

2 (ii) The total number of individuals who are enrolled in the
3 professional learning, organized by role group.

4 (iii) The total number of individuals who enrolled but withdrew
5 from the professional learning prior to completion, organized by
6 role group.

7 (iv) The total number of individuals who enrolled but
8 transferred to a different cohort prior to completion, organized by
9 role group.

10 (v) The cost per individual to enroll in the professional
11 learning.

12 (vi) The total grant funds expended for all individuals who
13 completed or enrolled in the professional learning during the
14 quarter reported.

15 (vii) The total unused grant funds for the quarter reported.

16 (viii) The strategies and technical assistance provided to
17 support participant completion.

18 (7) The department shall create a credential for educators
19 that confirms that the educator has completed the training
20 described in subsection (6).

21 (8) Notwithstanding section 17b, the department shall make
22 payments under subsection (4) on a schedule determined by the
23 department.

24 (9) Notwithstanding section 18a, funds allocated under
25 subsection (4) may be available for expenditure until September 30,
26 2029. A recipient of funding under subsection (4) must return any
27 unexpended funds to the department in the manner prescribed by the
28 department by not later than October 30, 2029.

29 (10) ~~(13)~~As used in this section:



1 (a) "Dyslexia" means both of the following:

2 (i) A specific learning disorder that is neurobiological in
3 origin and characterized by difficulties with accurate or fluent
4 word recognition and by poor spelling and decoding abilities that
5 typically result from a deficit in the phonological component of
6 language that is often unexpected in relation to other cognitive
7 abilities and the provision of effective classroom instruction.

8 (ii) A specific learning disorder that may include secondary
9 consequences, such as problems in reading comprehension and a
10 reduced reading experience that can impede the growth of vocabulary
11 and background knowledge and lead to social, emotional, and
12 behavioral difficulties.

13 (b) "Evidence-based" means an activity, program, process,
14 service, strategy, or intervention that demonstrates statistically
15 significant effects on improving pupil outcomes or other relevant
16 outcomes and that meets at least both of the following:

17 (i) At least 1 of the following:

18 (A) Is based on strong evidence from at least 1 well-designed
19 and well-implemented experimental study.

20 (B) Is based on moderate evidence from at least 1 well-
21 designed and well-implemented quasi-experimental study.

22 (C) Is based on promising evidence from at least 1 well-
23 designed and well-implemented correlational study with statistical
24 controls for selection bias.

25 (D) Demonstrates a rationale based on high-quality research
26 findings or positive evaluation that the activity, program,
27 process, service, strategy, or intervention is likely to improve
28 pupil outcomes or other relevant outcomes.

29 (ii) Includes ongoing efforts to examine the effects of the



1 activity, program, process, service, strategy, or intervention.

2 (c) "Explicit" means direct and deliberate instruction through
3 continuous pupil-teacher interaction that includes teacher
4 modeling, guided practice, and independent practice.

5 (d) "Fluency" means the ability to read with speed, accuracy,
6 and proper expression.

7 (e) "Multi-tiered system of supports" means a comprehensive
8 framework that includes 3 distinct tiers of instructional support
9 and is composed of a collection of evidence-based strategies
10 designed to meet the individual needs and assets of a whole pupil
11 at all achievement levels.

12 (f) "Phonemic awareness" means the conscious awareness of all
13 of the following:

14 (i) Individual speech sounds, including, but not limited to,
15 consonants and vowels, in spoken syllables.

16 (ii) The ability to consciously manipulate through, including,
17 but not limited to, matching, blending, segmenting, deleting, or
18 substituting, individual speech sounds described in subparagraph
19 (i).

20 (iii) All levels of the speech sound system, including, but not
21 limited to, word boundaries, rhyme recognition, stress patterns,
22 syllables, onset-rime units, and phonemes.

23 (g) "Phonological" means relating to the system of contrastive
24 relationships among the speech sounds that constitute the
25 fundamental components of a language.

26 (h) "Progress monitoring" means the assessing of students'
27 academic performance, quantifying students' rates of improvement or
28 progress toward goals, and determining how students are responding
29 to instruction.



(i) "Rapid automatized naming (RAN)" means a task that measures how quickly individuals can name objects; pictures; colors; or symbols, including letters and digits, aloud, which can predict later reading abilities for preliterate children.

Sec. 35m. (1) From the state school aid fund money appropriated in section 11, there is allocated for ~~2025-2026 only~~ **2026-2027** an amount not to exceed ~~\$64,400,000.00~~ **\$150,000,000.00** for the purposes described in this section. ~~, including payments to improve educational outcomes in literacy.~~

~~(2) The department shall continue the committee for literacy achievement that includes representatives of higher education and early childhood literacy educators who have expertise in literacy instruction and research. The committee shall exist until at least September 2029. The department shall appoint the members of the committee for literacy achievement. The department shall develop a process to identify and assemble experts for the committee. The primary focus of the committee is to recommend tools and strategies with the goal of increasing student academic outcomes in the area of literacy. The committee is encouraged to collaborate with the Michigan Education Research Institute or other entities with similar expertise on the subject of literacy. The department shall determine the size and benchmarks of the committee. The committee shall do all of the following:~~

~~(a) Critically evaluate early literacy series and materials. The committee shall evaluate with research-based outcomes, using the committee's expertise in the field of literacy. The committee shall assign grade tiers to the series based on the series' likelihood to increase student literacy outcomes. Priority must be given to series that already have a demonstrated history of~~



1 ~~increasing student outcomes. The committee may perform an~~
2 ~~evaluation under this subdivision based on submissions from a~~
3 ~~vendor, but must independently verify the validity of information~~
4 ~~provided by the vendor. The committee is also strongly encouraged~~
5 ~~to evaluate available materials not submitted to the department by~~
6 ~~a vendor.~~

7 ~~(b) Critically evaluate literacy professional development. The~~
8 ~~committee shall evaluate with research based outcomes, using the~~
9 ~~committee's expertise in the field of literacy. The committee shall~~
10 ~~assign grade tiers to the professional development based on the~~
11 ~~professional development's likelihood to increase student literacy~~
12 ~~outcomes. Priority must be given to professional development that~~
13 ~~already has a demonstrated history of increasing student outcomes.~~
14 ~~The committee may perform an evaluation under this subdivision~~
15 ~~based on submissions from a vendor, but must independently verify~~
16 ~~the validity of information provided by the vendor. The committee~~
17 ~~is also strongly encouraged to evaluate available materials not~~
18 ~~submitted to the department by a vendor.~~

19 ~~(c) Critically evaluate other applicable literacy tools or~~
20 ~~services the committee determines to have a high likelihood or~~
21 ~~demonstrated history of increasing student literacy outcomes. The~~
22 ~~committee may perform an evaluation under this subdivision based on~~
23 ~~submissions from a vendor, but must independently verify the~~
24 ~~validity of information provided by the vendor. The committee is~~
25 ~~also strongly encouraged to evaluate available materials not~~
26 ~~submitted to the department by a vendor.~~

27 ~~(d) Create, maintain, and post annually on a publicly~~
28 ~~available website a rankings list of all early literacy series and~~
29 ~~other items the committee has evaluated. This includes items from~~



~~each part of the rankings list, items evaluated in the 2024-2025 school year, and any subsequent items evaluated going forward. The committee shall denote on the list whether major changes have been made to an early literacy series or other item on the list since the early literacy series or other item was evaluated by the committee and if the early literacy series or other item has not been evaluated since the last ranking. The rankings list created in this subdivision must align with the list of evidence based tier 1, classwide elementary reading curricula and materials that are aligned with science of reading methods that research has shown to improve literacy outcomes and help pupils achieve reading proficiency as required under section 1280f of the revised school code, MCL 380.1280f.~~

~~(3) An individual on the committee shall recuse themselves from evaluating early literacy series and other items that the individual has helped create, that the individual would benefit from financially, or for which the individual has any other conflict of interest.~~

~~(2) (4) From the funds allocated in subsection (1), the department shall make payments to districts and intermediate districts in an amount determined by the department. The department shall not make payments under this subsection until it has critically evaluated as many early literacy series and other items from subsection (2) as possible. Payments under this subsection must be made during the current fiscal year to support district implementation in 2026-2027. The department shall use the rankings list described in subsection (2) as the basis for how funding is allocated in subsection (1) to districts and intermediate districts. Districts and intermediate districts using higher ranked~~



1 ~~literacy tools that are proven to increase student outcomes shall~~
2 ~~receive more funding than districts and intermediate districts~~
3 ~~utilizing lower-ranked literacy tools in both the base award and~~
4 ~~the per-pupil awards described in this subsection. The department~~
5 ~~may determine that some districts and intermediate districts will~~
6 ~~not receive funding under this section based on the effectiveness~~
7 ~~of the early literacy series or other items being utilized by the~~
8 ~~district or intermediate district. The department shall award~~
9 ~~funding under this section using the following methodology:~~

10 ~~(a) A base award equal to the~~ **in the** ~~amount necessary for the~~
11 **a** ~~district or intermediate district to implement the chosen early~~
12 ~~literacy series or other item. The department may place a cap on~~
13 ~~the total award per district, intermediate district, or early~~
14 ~~literacy series or other item and may choose not to award funding~~
15 ~~if the early literacy series or other item is determined to be~~
16 ~~ineffective or is determined to be less effective than other~~
17 ~~choices.~~

18 ~~(b) A tiered per-pupil award based on the number of pupils in~~
19 ~~membership at the district and intermediate district. The tiered~~
20 ~~per-pupil award must provide a higher per-pupil payment to~~
21 ~~districts and intermediate districts using higher-ranked early~~
22 ~~literacy series or other items as determined under subsection (2).~~
23 ~~The department may choose not to award funding if the early~~
24 ~~literacy series or other item is determined to be ineffective or is~~
25 ~~determined to be less effective than other choices.~~

26 ~~(5) From the funding allocated in subsection (1), the~~
27 ~~department may pay an annual stipend of up to \$8,000.00 for each~~
28 ~~member of the committee for literacy achievement who is employed by~~
29 ~~or at a public institution of higher education, a district, or an~~



~~intermediate district. A stipend must be commensurate with the committee member's contribution to the committee. Funding must be paid to the public institution of higher education, the district, or the intermediate district where the committee member is employed, and the public institution of higher education, the district, or the intermediate district must then use funding received to award the stipend directly to the individual committee member. A committee member who is not employed by or at a public institution of higher education, a district, or an intermediate district is not eligible to receive a stipend under this subsection.~~
curriculum under subsection (4).

(3) ~~(6)~~ To be eligible for funding under this section, a district or intermediate district must apply in a form and manner determined by the department. ~~As a condition of receiving the funding, the district or intermediate district must agree to provide to the department information twice a year, on or before May 1 and October 1, on the early literacy series and other items used for the previous and current school years, and the early literacy series and other items to be used for the next school year. The early literacy series and other items used by districts and intermediate districts must be added to the annual rankings required under subsection (2).~~

(4) A district or intermediate district may use funds received under this section only to purchase the following literacy series or curricula:

- (a) Amplify CKLA.**
- (b) HMH Into Reading.**
- (c) Savvas Literacy Programs.**
- (d) Great Minds Wit & Wisdom.**



1 **(e) EL Education K-8 Language Arts Curriculum.**

2 ~~(5) (7)~~ Except as otherwise provided in this section and
3 notwithstanding section 17b, the department shall make payments
4 under this section on a schedule determined by the department.

5 ~~(6) (8)~~ Funds allocated under subsection (1) for ~~2025-2026~~
6 **2026-2027** are a work project appropriation, and any unexpended
7 funds for ~~2025-2026-2026-2027~~ are carried forward into ~~2026-2027-~~
8 **2027-2028**. The purpose of the work project is to improve literacy
9 instructional practices. The estimated completion date of the work
10 project is September 30, 2029.

11 ~~(9) In addition to the allocation under subsection (1), from~~
12 ~~the state school aid fund money appropriated in section 11, there~~
13 ~~is allocated an amount not to exceed \$4,000,000.00 for 2025-2026~~
14 ~~only to an intermediate district in which the combined total number~~
15 ~~of pupils in membership of all of its constituent districts is the~~
16 ~~fewest among all intermediate districts in this state. All of the~~
17 ~~following apply to the funding under this subsection:~~

18 ~~(a) Funding under this subsection must be used by the~~
19 ~~intermediate district, in partnership with an association that~~
20 ~~represents intermediate district administrators in this state, to~~
21 ~~implement all of the following:~~

22 ~~(i) Literacy essentials teacher and principal training modules.~~

23 ~~(ii) Face-to-face and online professional learning on literacy~~
24 ~~essentials teacher and principal training modules for literacy~~
25 ~~coaches, principals, and teachers.~~

26 ~~(iii) The placement of regional lead literacy coaches to~~
27 ~~facilitate professional learning for early literacy coaches.~~
28 ~~Regional lead literacy coaches described in this subparagraph shall~~
29 ~~provide support for new literacy coaches, building teachers, and~~



1 ~~administrators, and shall facilitate regional data collection to~~
2 ~~evaluate the effectiveness of statewide literacy coaches funded~~
3 ~~under this section.~~

4 ~~(iv) A provision of \$500,000.00 under this subsection for~~
5 ~~literacy training, modeling, coaching, and feedback for district~~
6 ~~principals or chief administrators, as applicable. The training~~
7 ~~described in this subparagraph must use the pre-K and K to 3~~
8 ~~essential instructional practices in literacy created by the~~
9 ~~general education leadership network as the framework for all~~
10 ~~training provided under this subparagraph.~~

11 ~~(b) By not later than September 1 of each year, the~~
12 ~~intermediate district described in this subsection, in consultation~~
13 ~~with grant recipients, shall submit a report to the chairs of the~~
14 ~~senate and house appropriations subcommittees on school aid, the~~
15 ~~chairs of the senate and house standing committees responsible for~~
16 ~~education legislation, the house and senate fiscal agencies, and~~
17 ~~the state budget director. The report described in this subdivision~~
18 ~~must include student achievement results in English language arts~~
19 ~~and survey results with feedback from parents and teachers~~
20 ~~regarding the initiatives implemented under this subsection.~~

21 ~~(c) Up to 2% of funds allocated under this subsection may be~~
22 ~~used by the association representing intermediate district~~
23 ~~administrators that is in partnership with the intermediate~~
24 ~~district specified in this subsection to administer this~~
25 ~~subsection.~~

26 ~~(10) In addition to the allocation under subsection (1), from~~
27 ~~the state school aid fund money appropriated in section 11, there~~
28 ~~is allocated an amount not to exceed \$1,600,000.00 for 2025-2026 to~~
29 ~~expand the implementation of the literacy and social, emotional,~~



~~and behavioral components of a multi-tiered system of supports, including positive behavioral interventions and supports, using the Michigan Multi-Tiered System of Supports Technical Assistance Center. Both of the following apply to funds allocated under this subsection:~~

~~(a) The department shall use funds allocated under this subsection, through an intermediate district, for the purpose of expanding the statewide expertise, technical assistance, and implementation of the multi-tiered system of supports, dyslexia expertise, and evidence-based instructional practices grounded in the science of reading using the Michigan Multi-Tiered System of Supports Technical Assistance Center, a nationally recognized program. In addition, the department shall identify an intermediate district to act as a fiscal agent for these funds.~~

~~(b) Up to 2% of funds allocated under this subsection may be used by the intermediate district serving as the fiscal agent for these funds to administer this subsection.~~

Sec. 35o. (1) By not later than March 1, 2027, the department, in collaboration with the center, shall publish to a publicly accessible location on the department's website, and shall update periodically thereafter as new data becomes available, a literacy achievement and opportunity transparency dashboard that includes at least the following:

(a) A metric assessing the following:

(i) The percentage of grade K to 5 educators who are trained in the science of reading.

(ii) The percentage of grade K to 5 classrooms using curricula and assessments aligned with the science of reading.

(iii) The percentage of parents and legal guardians who are



1 receiving clear communication from their school about their child's
2 reading action plans and the ability to get extra support as
3 needed.

4 (b) Literacy-related results, including multi-year trend data,
5 from the following assessments:

6 (i) The grade 3 Michigan student test of educational progress
7 (M-STEP).

8 (ii) The grade 7 Michigan student test of educational progress
9 (M-STEP).

10 (iii) The SAT.

11 (iv) The National Assessment of Educational Progress (NAEP).

12 (c) Additional metrics that help the public and policymakers
13 track statewide literacy progress.

14 (d) A summary of activities the state is taking to improve
15 literacy outcomes.

16 (2) Data published under subsection (1) must be disaggregated
17 by district and school demographics where possible.

18 Sec. 35p. (1) From the state school aid fund money
19 appropriated in section 11, there is allocated for 2026-2027 only
20 an amount not to exceed \$50,000,000.00 to implement high-impact
21 tutoring programs in eligible districts.

22 (2) Eligible tutoring partners shall apply for funding in a
23 form and manner determined by the department. An application for
24 funding under this subsection must include at least all of the
25 following:

26 (a) An identification of the district or intermediate district
27 that will serve as a fiscal agent for awarded funds.

28 (b) A list of district partners that will be recipients of
29 high-impact tutoring from the eligible tutoring partner, including



1 a letter of support from each district that affirms their
2 commitment to ensure alignment with tier 1 instruction,
3 implementation fidelity, including, but not limited to, student
4 usage and frequency, and participation in data sharing and training
5 necessary to maximize outcomes.

6 (c) Projections for the number of students who will be served,
7 broken down by partner district.

8 (d) A description of the efficacy of the eligible tutoring
9 partner's program, including the ability of the eligible tutoring
10 partner to hit certain benchmarks and goals, based on evidence.

11 (e) A plan for how the eligible tutoring partner will target
12 high-impact tutoring for the highest-need student populations based
13 on some or all of the following:

14 (i) Statewide assessment data.

15 (ii) Screeners or formative assessment scores.

16 (iii) Economically disadvantaged status.

17 (iv) Special education status.

18 (v) English language learner status.

19 (f) A planned budget for the high-impact tutoring program,
20 including the total dollars necessary to serve the identified
21 student population and an estimate of the percentage of awarded
22 dollars that would be directly deployed for high-impact tutoring.

23 (g) A commitment to provide periodic reporting to each
24 district served and to the department, in a form and manner
25 determined by the department, to ensure funds are being spent in
26 accordance with this section.

27 (h) A commitment to return any funds awarded if the department
28 determines dollars are used in a way that violates this section.

29 (i) Any additional information required by the department to



1 make informed decisions on awarding competitive grants under this
2 section and to ensure financial stewardship of the awarded dollars.

3 (3) The department shall award grants to applicants under
4 subsection (2) on a competitive basis, using at least all of the
5 following in making award determinations:

6 (a) The cost effectiveness of the application based on the
7 number of students projected to be served, the total requested
8 budget, and the demonstrated outcome capacity of the high-impact
9 tutoring program.

10 (b) The reasonability that the applicant will be able to meet
11 the stated outcome benchmarks.

12 (c) Other criteria, as determined by the department, to ensure
13 grants are awarded to the most impactful applicants.

14 (4) If the amount allocated in subsection (1) is not
15 sufficient to fully fund all applicants under subsection (2), the
16 department shall prioritize grant awards to eligible tutoring
17 partners who will work with districts with the lowest levels of
18 literacy proficiency, as determined by student scores on the
19 Michigan student test of educational progress (M-STEP).

20 (5) The department may approve applications from eligible
21 tutoring partners that offer innovative ways to reach students at a
22 lower cost by waiving elements of the high-impact tutoring
23 definition. This must include, but is not limited to, offering
24 virtual programs. In such cases, the applicant must provide
25 evidence of program impact and implement an outcomes-based contract
26 model.

27 (6) It is the intent of the legislature that awarded
28 applicants will receive funding over a 2-year period, with up to
29 50% of the awarded amount being made available in 2026-2027 and the



1 remaining amount being made available in 2027-2028.

2 (7) It is the intent of the legislature that the work
3 associated with the grant application, oversight, and
4 administration of awards under this section be performed primarily
5 by the eligible tutoring partner and not by districts that have
6 agreed to receive high-impact tutoring.

7 (8) If a district or intermediate district agrees to receive
8 high-impact tutoring from an eligible tutoring partner, the
9 district must do all of the following:

10 (a) Work with the eligible tutoring partner to identify
11 students that would benefit from the program. The district or
12 intermediate district must communicate with parents or legal
13 guardians of identified students to describe the available program,
14 outline possible student outcomes, and encourage student
15 participation.

16 (b) To the extent possible, integrate the high-impact tutoring
17 program with the district's continuous improvement plan.

18 (c) If the district or intermediate district is the fiscal
19 agent for the eligible tutoring partner, except as otherwise
20 provided in this subdivision, forward the amount awarded to the
21 tutoring partner. The designated fiscal agent may retain up to 0.5%
22 of the funding awarded to the tutoring partner for administrative
23 purposes.

24 (9) Both of the following apply to the funds allocated under
25 this section:

26 (a) The department shall make award determinations and
27 notifications by not later than November 15, 2026.

28 (b) The department shall make initial payments to identified
29 fiscal agents by not later than January 1, 2027. Identified fiscal



1 agents must forward funding to eligible tutoring partners by not
2 later than January 15, 2027.

3 (10) Eligible tutoring partners shall begin providing high-
4 impact tutoring in recipient districts and intermediate districts
5 before the end of the 2026-2027 school year.

6 (11) The funds allocated under this section for 2026-2027 are
7 a work project appropriation, and any unexpended funds for 2026-
8 2027 are carried forward into 2027-2028. The purpose of the work
9 project is to provide high-impact tutoring through eligible
10 tutoring partners. The estimated completion date of the work
11 project is September 30, 2029.

12 (12) From the allocation in subsection (1), there is allocated
13 \$600,000.00 to Clinton County RESA to work with the Michigan
14 Association of Intermediate School Administrators to do all of the
15 following:

16 (a) Provide a report on high-impact tutoring programs
17 implemented with the funding allocated under subsection (1).

18 (b) Develop and provide technical assistance to districts in
19 selecting high-impact tutoring strategies and integrating these
20 strategies into district Michigan Integrated Continuous Improvement
21 Process (MICIP) plans. Developing and providing technical
22 assistance may include the design, review, and integration of
23 eligible tutoring programs within the MiStrategyBank.

24 (c) Collect, aggregate, and report data in collaboration with
25 the MAISA Michigan Collaborative Hub. An amount not to exceed
26 \$300,000.00 of the funds allocated under this subsection may be
27 used for this purpose.

28 (d) Provide an annual report of the impact of high-impact
29 tutoring programs to the office of the governor, the senate and



1 house education committees, the senate and house appropriations
2 subcommittees on school aid, and the state budget director.

3 (13) As used in this section:

4 (a) "Eligible tutoring partner" means a tutoring provider,
5 including, but not limited to, those created by for-profit vendors,
6 nonprofit vendors, intermediate districts, districts, and the
7 Michigan Schools for the Deaf and Blind, that provides high-impact
8 tutoring and meets at least 1 of the following:

9 (i) Is included on the ProvenTutoring list maintained by the
10 Center for Research and Reform in Education at Johns Hopkins
11 University.

12 (ii) Has a Tutoring Program Design Badge as awarded by the
13 National Student Support Accelerator, a program of the SCALE
14 Initiative at Stanford University.

15 (iii) Is a vetted high-impact tutoring program included in the
16 MiStrategyBank. If necessary, the Michigan Association of
17 Intermediate School Administrators may convene a committee to
18 review tutoring programs for inclusion in the MiStrategyBank.

19 (b) "High-impact tutoring" means, except as otherwise provided
20 in this section, in-person tutoring that meets all of the
21 following:

22 (i) Occurs during or after the school day.

23 (ii) Is individualized with tutor-student ratios not higher
24 than 1:4.

25 (iii) Provides intensive support with a minimum of 2 sessions
26 per week.

27 (iv) Uses a structured, evidence-based curriculum designed for
28 tutoring with formative assessments to track progress.

29 (v) Uses trained tutors.



1 (vi) Includes ongoing assessment and feedback.

2 Sec. 35q. (1) From the state school aid fund money
3 appropriated in section 11, there is allocated for 2026-2027 an
4 amount not to exceed \$40,000,000.00 for a pilot program that
5 reimburses parents and legal guardians for the costs of private
6 tutoring.

7 (2) The department shall partner with not more than 20
8 districts through a grant process to implement the pilot program
9 described in this section. The department shall inform all
10 participating districts of their award under the pilot program by
11 not later than December 1, 2026. All of the following apply to the
12 pilot program:

13 (a) To participate in the pilot program, the district must be
14 in an opportunity index band, as determined under section 31a, of 4
15 or higher.

16 (b) The pilot program must include both urban and rural
17 districts and include districts from all geographic regions of this
18 state.

19 (3) After receiving funding under this section, districts
20 shall allow parents and legal guardians to submit an application
21 for funds to reimburse the parent or legal guardian for the costs
22 of private tutoring. Districts shall provide notice to parents and
23 legal guardians about the pilot program, the application process,
24 and a list of potential private tutors not later than 30 days prior
25 to the application being made available. An application by a parent
26 or legal guardian under this subsection must include at least all
27 of the following:

28 (a) The cost of the private tutoring program.

29 (b) The number of hours per week that the parent or legal



1 guardian's child will receive tutoring in the program.

2 (4) Districts shall prioritize funding for students that are
3 economically disadvantaged and most academically at risk. Districts
4 shall cover 100% of the direct costs for private tutoring for any
5 child approved to participate in the pilot program for not less
6 than 1 year. Upon approval of an application under subsection (3),
7 a district shall inform the parent or legal guardian of the maximum
8 amount of funding that the district will reimburse for private
9 tutoring.

10 (5) A district may make payments through 1 or more of the
11 following methods:

12 (a) A district may make advance payments to parents and legal
13 guardians to cover tutoring costs. A parent or legal guardian shall
14 submit to the district all receipts necessary to ensure
15 reimbursements being made do not exceed program costs. A district
16 or the department may contact a tutoring provider directly to
17 verify program costs and participation.

18 (b) A district may require a parent or legal guardian to
19 submit a receipt documenting payment before providing
20 reimbursement. A district shall reimburse a parent or legal
21 guardian not later than 2 weeks after receiving proof of payment.

22 (c) A district may reimburse a private tutoring provider
23 directly. The private tutoring provider shall provide to the
24 district records of student attendance in the program.

25 (6) From the funds allocated in subsection (1), there is
26 allocated not more than \$200,000.00 to an intermediate district to
27 partner with the department to conduct a study on the outcomes of
28 the pilot program under this section. The study must include, but
29 is not limited to, an analysis of test scores before and after



1 participation in the pilot program and a comparison to students
2 that did not participate in the program. The intermediate district
3 shall submit a report on the study to the house and senate
4 subcommittees on school aid, the house and senate fiscal agencies,
5 and the state budget office by not later than September 30, 2028.

6 (7) A district receiving funding under this section may retain
7 2.5% of funds for administration.

8 (8) Notwithstanding section 17b, the department shall make
9 payments under this section on a schedule determined by the
10 department.

11 (9) The funds allocated under this section for 2026-2027 are a
12 work project appropriation, and any unexpended funds for 2026-2027
13 are carried forward into 2027-2028. The purpose of the work project
14 is to continue to implement the pilot program on private tutoring
15 and associated study. The estimated completion date of the work
16 project is September 30, 2028.

17 Sec. 36. (1) From the state school aid fund money appropriated
18 in section 11, there is allocated for 2026-2027 an amount not to
19 exceed \$100,000,000.00 for the purposes described in this section,
20 including payments to improve educational outcomes in mathematics.

21 (2) The department shall create the committee for mathematics
22 achievement, which shall include representatives of higher
23 education and mathematics educators who have expertise in
24 mathematics instruction and research. The committee shall exist
25 until at least September 2029. The department shall appoint the
26 members of the committee for mathematics achievement. The
27 department shall develop a process to identify and assemble experts
28 for the committee. The primary focus of the committee is to
29 recommend tools and strategies with the goal of increasing student



1 academic outcomes in the area of mathematics. The committee is
2 encouraged to collaborate with entities with expertise on the
3 subject of mathematics. The department shall determine the size and
4 benchmarks of the committee. The committee shall do all of the
5 following:

6 (a) Critically evaluate mathematics curricula and materials.
7 The committee shall evaluate with research-based outcomes, using
8 the committee's expertise in the field of mathematics. The
9 committee shall assign grade tiers to a curriculum based on the
10 curriculum's likelihood of increasing student mathematics outcomes.
11 Priority must be given to curricula that already have a
12 demonstrated history of increasing student outcomes. The committee
13 may perform an evaluation under this subdivision based on
14 submissions from a vendor, but must independently verify the
15 validity of information provided by the vendor. The committee is
16 also strongly encouraged to evaluate available materials not
17 submitted to the department by a vendor.

18 (b) Critically evaluate mathematics professional development.
19 The committee shall evaluate with research-based outcomes, using
20 the committee's expertise in the field of mathematics. The
21 committee shall assign grade tiers to professional development
22 programs based on the professional development program's likelihood
23 of increasing student mathematics outcomes. Priority must be given
24 to professional development programs that already have a
25 demonstrated history of increasing student outcomes. The committee
26 may perform an evaluation under this subdivision based on
27 submissions from a vendor, but must independently verify the
28 validity of information provided by the vendor. The committee is
29 also strongly encouraged to evaluate available materials not



1 submitted to the department by a vendor.

2 (c) Critically evaluate other applicable mathematics tools or
3 services the committee determines to have a high likelihood or
4 demonstrated history of increasing student mathematics outcomes.
5 The committee may perform an evaluation under this subdivision
6 based on submissions from a vendor, but must independently verify
7 the validity of information provided by the vendor. The committee
8 is also strongly encouraged to evaluate available materials not
9 submitted to the department by a vendor.

10 (d) Create, maintain, and annually post on a publicly
11 available website a rankings list of all mathematics curricula and
12 other items the committee has evaluated. This includes items from
13 each part of the rankings list, items evaluated in the 2026-2027
14 school year, and any subsequent items evaluated going forward. The
15 committee shall denote on the list whether major changes have been
16 made to a mathematics curriculum or other item on the list since
17 the mathematics curriculum or other item was evaluated by the
18 committee and if the mathematics curriculum or other item has not
19 been evaluated since the last ranking.

20 (e) The committee must select not more than 5 mathematics
21 curricula to recommend for purchase by districts.

22 (3) An individual on the committee for mathematics achievement
23 shall recuse themselves from evaluating mathematics curricula or
24 other items that the individual has helped create, that the
25 individual would benefit from financially, or for which the
26 individual has any other conflict of interest.

27 (4) From the funds allocated in subsection (1), and subject to
28 subsection (6), the department shall make payments to districts and
29 intermediate districts in an amount determined by the department.



1 The department shall not make payments under this subsection until
2 the committee for mathematics achievement has critically evaluated
3 as many mathematics curricula and other items from subsection (2)
4 as possible. Payments under this subsection must be made during the
5 current fiscal year to support district implementation in 2027-
6 2028. Payments under this section may be used only to purchase 1 of
7 the 5 mathematics curricula described under subsection (2)(e). If
8 funding remains after all payments have been made to districts and
9 intermediate districts, the department may open a second round of
10 applications. Grant awards made under the second round may be used
11 for mathematics professional development and other tools or
12 services described under subsection (2)(b) and (c), with preference
13 given to districts using higher-ranked mathematics tools. The
14 department shall award funding under this section in an amount
15 equal to the amount necessary for the district or intermediate
16 district to implement the chosen mathematics curriculum or other
17 item. The department may place a cap on the total award per
18 district or intermediate district.

19 (5) From the funds allocated in subsection (1), the department
20 may pay an annual stipend of up to \$8,000.00 for each member of the
21 committee for mathematics achievement who is employed by or at a
22 public institution of higher education, a district, or an
23 intermediate district. A stipend paid under this subsection must be
24 commensurate with the committee member's contribution to the
25 committee. Funding must be paid to the public institution of higher
26 education, the district, or the intermediate district where the
27 committee member is employed, and the public institution of higher
28 education, the district, or the intermediate district must then use
29 funding received to award the stipend directly to the individual



1 committee member. A committee member who is not employed by or at a
2 public institution of higher education, a district, or an
3 intermediate district is not eligible to receive a stipend under
4 this subsection.

5 (6) To be eligible for funding under subsection (4), a
6 district or intermediate district must apply in a form and manner
7 determined by the department. As a condition of receiving the
8 funding, the district or intermediate district must agree to
9 provide to the department information twice per year, on or before
10 May 1 and October 1, on the mathematics curriculum and other items
11 used for the previous and current school years, and the mathematics
12 curriculum and other items to be used for the next school year. The
13 mathematics curriculum and other items used by districts and
14 intermediate districts must be added to the annual rankings
15 required under subsection (2).

16 (7) From the funds allocated in subsection (1), there is
17 allocated an amount not to exceed \$1,000,000.00 to an intermediate
18 district to partner with the department to purchase statewide
19 access to supplemental mathematics education tools that meet both
20 of the following:

21 (a) Provide students statewide with complete access to a
22 personalized mathematics learning platform aligned to state
23 standards.

24 (b) Provide aligned professional development or implementation
25 supports for educators.

26 (8) Except as otherwise provided in this section and
27 notwithstanding section 17b, the department shall make payments
28 under this section on a schedule determined by the department.

29 (9) Funds allocated under subsection (1) for 2026-2027 are a



1 work project appropriation, and any unexpended funds for 2026-2027
2 are carried forward into 2027-2028. The purpose of the work project
3 is to improve mathematics instructional practices. The estimated
4 completion date of the work project is September 30, 2029.

5 Sec. 36a. (1) From the state school aid fund money
6 appropriated in section 11, there is allocated for 2026-2027 an
7 amount not to exceed \$50,000,000.00 for the purposes described in
8 this section, including payments to improve educational outcomes in
9 STEM.

10 (2) The department shall create the committee for STEM
11 achievement, which shall include representatives of higher
12 education and STEM educators who have expertise in STEM instruction
13 and research. The committee shall exist until at least September
14 2029. The department shall appoint the members of the committee for
15 STEM achievement. The department shall develop a process to
16 identify and assemble experts for the committee. The primary focus
17 of the committee is to recommend tools and strategies with the goal
18 of increasing student academic outcomes in the areas of STEM. The
19 committee is encouraged to collaborate with entities with expertise
20 on the subject of STEM. The department shall determine the size and
21 benchmarks of the committee. The committee shall do all of the
22 following:

23 (a) Critically evaluate STEM curricula and materials. The
24 committee shall evaluate with research-based outcomes, using the
25 committee's expertise in the field of STEM. The committee shall
26 assign grade tiers to the curricula based on the curriculum's
27 likelihood of increasing student STEM outcomes. Priority must be
28 given to curricula that already have a demonstrated history of
29 increasing student outcomes. The committee may perform an



1 evaluation under this subdivision based on submissions from a
2 vendor, but must independently verify the validity of information
3 provided by the vendor. The committee is also strongly encouraged
4 to evaluate available materials not submitted to the department by
5 a vendor.

6 (b) Critically evaluate STEM professional development
7 programs. The committee shall evaluate with research-based
8 outcomes, using the committee's expertise in the field of STEM. The
9 committee shall assign grade tiers to the professional development
10 program based on the professional development program's likelihood
11 of increasing student STEM outcomes. Priority must be given to
12 professional development programs that already have a demonstrated
13 history of increasing student outcomes. The committee may perform
14 an evaluation under this subdivision based on submissions from a
15 vendor, but must independently verify the validity of information
16 provided by the vendor. The committee is also strongly encouraged
17 to evaluate available materials not submitted to the department by
18 a vendor.

19 (c) Critically evaluate other applicable STEM tools or
20 services the committee determines to have a high likelihood or
21 demonstrated history of increasing student STEM outcomes. The
22 committee may perform an evaluation under this subdivision based on
23 submissions from a vendor, but must independently verify the
24 validity of information provided by the vendor. The committee is
25 also strongly encouraged to evaluate available materials not
26 submitted to the department by a vendor.

27 (d) Create, maintain, and post annually on a publicly
28 available website a rankings list of all STEM curricula and other
29 items the committee has evaluated. This includes items from each



1 part of the rankings list, items evaluated in the 2026-2027 school
2 year, and any subsequent items evaluated going forward. The
3 committee shall denote on the list whether major changes have been
4 made to a STEM curriculum or other item on the list since the STEM
5 curriculum or other item was evaluated by the committee and if the
6 STEM curriculum or other item has not been evaluated since the last
7 ranking.

8 (e) The committee must select not more than 5 STEM curricula
9 to recommend for purchase by districts.

10 (3) An individual on the committee shall recuse themselves
11 from evaluating STEM curricula or other items that the individual
12 has helped create, that the individual would benefit from
13 financially, or for which the individual has any other conflict of
14 interest.

15 (4) From the funds allocated in subsection (1), the department
16 shall make payments to districts and intermediate districts in an
17 amount determined by the department. The department shall not make
18 payments under this subsection until it has critically evaluated as
19 many STEM curricula and other items from subsection (2) as
20 possible. Payments under this subsection must be made during the
21 current fiscal year to support district implementation in 2027-
22 2028. Payments under this section may be used only to purchase 1 of
23 the 5 STEM curricula described under subsection (2)(e). If funding
24 remains after all payments have been made to districts and
25 intermediate districts, the department may open a second round of
26 applications. Grant awards made under the second round may be used
27 for STEM professional development and other tools or services
28 described under subsection (2)(b) and (c), with preference given to
29 districts using higher-ranked STEM tools. The department shall



1 award funding under this section equal to the amount necessary for
2 the district or intermediate district to implement the chosen STEM
3 curriculum or other item. The department may place a cap on the
4 total award per district or intermediate district. Funds under this
5 section may not be used to purchase curricula or other tools that
6 may be purchased using funds under section 36.

7 (5) From the funding allocated in subsection (1), the
8 department may pay an annual stipend of up to \$8,000.00 for each
9 member of the committee for STEM achievement who is employed by or
10 at a public institution of higher education, a district, or an
11 intermediate district. A stipend paid under this subsection must be
12 commensurate with the committee member's contribution to the
13 committee. Funding must be paid to the public institution of higher
14 education, the district, or the intermediate district where the
15 committee member is employed, and the public institution of higher
16 education, the district, or the intermediate district must then use
17 funding received to award the stipend directly to the individual
18 committee member. A committee member who is not employed by or at a
19 public institution of higher education, a district, or an
20 intermediate district is not eligible to receive a stipend under
21 this subsection.

22 (6) To be eligible for funding under this section, a district
23 or intermediate district must apply in a form and manner determined
24 by the department. As a condition of receiving the funding, the
25 district or intermediate district must agree to provide to the
26 department information twice per year, on or before May 1 and
27 October 1, on the STEM curriculum and other items used for the
28 previous and current school years, and the STEM curriculum and
29 other items to be used for the next school year. The STEM



1 curriculum and other items used by districts and intermediate
2 districts must be added to the annual rankings required under
3 subsection (2).

4 (7) Except as otherwise provided in this section and
5 notwithstanding section 17b, the department shall make payments
6 under this section on a schedule determined by the department.

7 (8) Funds allocated under subsection (1) for 2026-2027 are a
8 work project appropriation, and any unexpended funds for 2026-2027
9 are carried forward into 2027-2028. The purpose of the work project
10 is to improve STEM instructional practices. The estimated
11 completion date of the work project is September 30, 2029.

12 (9) As used in this section, "STEM" means science, technology,
13 engineering, and mathematics.

14 Sec. 39. (1) An eligible applicant receiving funds under
15 section 32d shall submit an application, in a form and manner
16 prescribed by the department of lifelong education, advancement,
17 and potential, by a date specified by the department of lifelong
18 education, advancement, and potential in the immediately preceding
19 fiscal year. An eligible applicant is not required to amend the
20 applicant's current accounting cycle or adopt this state's fiscal
21 year accounting cycle in accounting for financial transactions
22 under this section. The application must include all of the
23 following:

24 (a) The estimated total number of age-eligible children in the
25 community, as provided to the applicant by the department of
26 lifelong education, advancement, and potential utilizing the most
27 recent population data available from the American Community Survey
28 conducted by the United States Census Bureau. The department of
29 lifelong education, advancement, and potential shall ensure that it



1 provides updated American Community Survey population data at least
2 once every 3 years.

3 (b) The estimated number of age-eligible children in the
4 community who are being served exclusively by Head Start programs
5 operating in the community.

6 (c) The number of children whom the applicant will have the
7 capacity to serve in each eligible great start readiness program
8 option who meet the age-eligible criteria of section 32d.

9 (2) The great start readiness target foundation amount for
10 ~~2025-2026-2026-2027~~ is ~~\$10,650.00-~~**\$10,916.00.**

11 (3) After notification of funding allocations, an applicant
12 receiving funds under section 32d shall also submit an
13 implementation plan for approval, in a form and manner prescribed
14 by the department of lifelong education, advancement, and
15 potential, by a date specified by the department of lifelong
16 education, advancement, and potential, that details how the
17 applicant complies with the program components established by the
18 department of lifelong education, advancement, and potential under
19 section 32d.

20 (4) Subject to subsection (5), the initial allocation to each
21 eligible applicant under section 32d is equal to the sum of the
22 following:

23 (a) The number of children in the current school year served
24 in a program determined by the department of lifelong education,
25 advancement, and potential to be a school-day program multiplied by
26 the great start readiness target foundation.

27 (b) The number of children in the current school year served
28 in a program determined by the department of lifelong education,
29 advancement, and potential to be a part-day program or a school-day



1 blended with Head Start multiplied by the great start readiness
2 target foundation divided by 2.

3 (c) The total number of children in the current school year
4 served in a program determined by the department of lifelong
5 education, advancement, and potential to be an extended program
6 multiplied by the great start readiness target foundation
7 multiplied by 1.2.

8 (d) The number of children in the current school year served
9 in a program determined by the department of lifelong education,
10 advancement, and potential to be an extended program blended with
11 Head Start or a part-day extended program multiplied by the great
12 start readiness target foundation multiplied by 0.6.

13 (5) Subject to subsection (6), if the calculations under
14 subsection (4) result in a total allocation exceeding the amount
15 available as allocated or appropriated under section 32d(2),
16 initial allocations to each eligible applicant under section 32d
17 are calculated as the sum of the following:

18 (a) An amount equal to the calculations described in
19 subsection (4) but using for those calculations the lesser of the
20 number of children served in the immediately preceding fiscal year
21 or the number of children the applicant has the capacity to serve
22 in the current fiscal year instead of the number of children served
23 in the current fiscal year.

24 (b) An amount equal to the remaining available dollars after
25 calculations in subdivision (a) distributed proportionately to
26 eligible applicants where calculations under subdivision (a) are
27 less than the amount originally calculated under subsection (4).

28 (6) If the calculations under subsection (5) result in a total
29 allocation exceeding the amount available as allocated or



1 appropriated under section 32d(2), the initial allocation to each
2 eligible applicant is the amount calculated under subsection (4)
3 prorated on an equal percentage basis.

4 (7) If, taking into account the total amount to be allocated
5 to the applicant as calculated under this section, an applicant
6 determines that it is able to include additional eligible children
7 in the great start readiness program without additional funds under
8 section 32d, the applicant may include additional eligible children
9 but does not receive additional funding under section 32d for those
10 children.

11 (8) The department of lifelong education, advancement, and
12 potential shall review the program components under section 32d and
13 under this section at least biennially. The department of lifelong
14 education, advancement, and potential also shall convene a
15 committee of internal and external stakeholders at least once every
16 5 years to ensure that the funding structure under this section
17 reflects current system needs under section 32d.

18 **(9) By not later than the first business day of each month,**
19 **each intermediate district or consortium of intermediate districts**
20 **that receives funds under section 32d shall report all of the**
21 **following to the department of lifelong education, advancement, and**
22 **potential:**

23 **(a) The total number of children enrolled in all great start**
24 **readiness programs administered by the intermediate district or**
25 **consortium of intermediate districts, disaggregated by program type**
26 **and by provider type.**

27 **(b) The total number of children on a waitlist for a great**
28 **start readiness program administered by the intermediate district**
29 **or consortium of intermediate districts.**



(c) The estimated total capacity of all great start readiness programs administered by the intermediate district or consortium of intermediate districts.

(10) By not later than the twentieth day of each month, the department of lifelong education, advancement, and potential shall report to the house and senate fiscal agencies and the state budget office on the data collected under subsection (9), disaggregated by intermediate district or consortium of intermediate districts. The report shall include grant application information included under subsection (1) for each intermediate district or consortium of intermediate districts. The department of lifelong education, advancement, and potential shall submit the report described in this subsection in a spreadsheet-compatible format.

(11) To assist the legislature in determining necessary funding levels to support payments for the great start readiness program as calculated under this section, each revenue estimating conference conducted under section 367b of the management and budget act, 1984 PA 431, MCL 18.1367b, must include an estimated enrollment in great start readiness programs for the current and subsequent fiscal years.

Sec. 39a. (1) From the federal funds appropriated in section 11, there is allocated for ~~2025-2026~~**2026-2027** to districts, intermediate districts, and other eligible entities all available federal funding, estimated at \$824,700,000.00, for the federal programs under the no child left behind act of 2001, Public Law 107-110, or the every student succeeds act, Public Law 114-95. These funds are allocated as follows:

(a) An amount estimated at \$1,200,000.00 for ~~2025-2026~~**2026-2027** to provide students with drug- and violence-prevention



1 programs and to implement strategies to improve school safety,
 2 funded from DED-OESE, drug-free schools and communities funds.

3 (b) An amount estimated at \$100,000,000.00 for ~~2025-2026-2026-~~
 4 **2027** for the purpose of preparing, training, and recruiting high-
 5 quality teachers and class size reduction, funded from DED-OESE,
 6 improving teacher quality funds.

7 (c) An amount estimated at \$13,000,000.00 for ~~2025-2026-2026-~~
 8 **2027** for programs to teach English to limited English proficient
 9 (LEP) children, funded from DED-OESE, language acquisition state
 10 grant funds.

11 (d) An amount estimated at \$2,800,000.00 for ~~2025-2026-2026-~~
 12 **2027** for rural and low-income schools, funded from DED-OESE, rural
 13 and low income school funds.

14 (e) An amount estimated at \$585,000,000.00 for ~~2025-2026-2026-~~
 15 **2027** to provide supplemental programs to enable educationally
 16 disadvantaged children to meet challenging academic standards,
 17 funded from DED-OESE, title I, disadvantaged children funds.

18 (f) An amount estimated at \$9,200,000.00 for ~~2025-2026-2026-~~
 19 **2027** for the purpose of identifying and serving migrant children,
 20 funded from DED-OESE, title I, migrant education funds.

21 (g) An amount estimated at \$40,400,000.00 for ~~2025-2026-2026-~~
 22 **2027** for the purpose of providing high-quality extended learning
 23 opportunities, after school and during the summer, for children in
 24 low-performing schools, funded from DED-OESE, twenty-first century
 25 community learning center funds.

26 (h) An amount estimated at \$14,000,000.00 for ~~2025-2026-2026-~~
 27 **2027** to help support local school improvement efforts, funded from
 28 DED-OESE, title I, local school improvement grants.

29 (i) An amount estimated at \$55,000,000.00 for ~~2025-2026-2026-~~



1 **2027** to improve the academic achievement of students, funded from
 2 DED-OESE, title IV, student support and academic enrichment grants.

3 (j) An amount estimated at \$3,100,000.00 for ~~2025-2026-2026-~~
 4 **2027** for literacy programs that advance literacy skills for
 5 students from birth through grade 12, including, but not limited
 6 to, English-proficient students and students with disabilities,
 7 funded from DED-OESE, striving readers comprehensive literacy
 8 program.

9 (k) An amount estimated at \$1,000,000.00 for ~~2025-2026-2026-~~
 10 **2027** for grants to support and demonstrate innovative partnerships
 11 to train school-based mental health service providers, funded from
 12 DED-OESE, mental health service professional demonstration grant
 13 program.

14 (2) From the federal funds appropriated in section 11, there
 15 is allocated to districts, intermediate districts, and other
 16 eligible entities all available federal funding, estimated at
 17 \$66,415,000.00 for ~~2025-2026-2026-2027~~ for the following programs
 18 that are funded by federal grants:

19 (a) An amount estimated at \$3,000,000.00 for ~~2025-2026-2026-~~
 20 **2027** to provide services to homeless children and youth, funded
 21 from DED-OVAE, homeless children and youth funds.

22 (b) An amount estimated at \$30,000,000.00 for ~~2025-2026-2026-~~
 23 **2027** for providing career and technical education services to
 24 pupils, funded from DED-OVAE, basic grants to states.

25 (c) An amount estimated at \$14,000,000.00 for ~~2025-2026-2026-~~
 26 **2027** for the Michigan charter school subgrant program, funded from
 27 DED-OII, public charter schools program funds.

28 (d) An amount estimated at \$17,700,000.00 for ~~2025-2026-2026-~~
 29 **2027** for the purpose of promoting and expanding high-quality



1 preschool services, funded from HHS-OCC, preschool development
2 funds.

3 (e) An amount estimated at \$1,715,000.00 for ~~2025-2026~~**2026-**
4 **2027** for the purpose of addressing priority substance abuse
5 treatment, prevention, and mental health needs, funded from HHS-
6 SAMHSA.

7 (3) The department, or, for subsections (1)(g) and (2)(d), the
8 department of lifelong education, advancement, and potential, shall
9 distribute all federal funds allocated under this section in
10 accordance with federal law and with flexibility provisions
11 outlined in Public Law 107-116, and in the education flexibility
12 partnership act of 1999, Public Law 106-25. Notwithstanding section
13 17b, the department or the department of lifelong education,
14 advancement, and potential, as applicable, shall make payments of
15 federal funds to districts, intermediate districts, and other
16 eligible entities under this section on a schedule determined by
17 the department.

18 (4) For the purposes of applying for federal grants
19 appropriated under this article, the department, or, for
20 subsections (1)(g) and (2)(d), the department of lifelong
21 education, advancement, and potential, shall allow an intermediate
22 district to submit a consortium application on behalf of 2 or more
23 districts with the agreement of those districts as appropriate
24 according to federal rules and guidelines.

25 (5) For the purposes of funding federal title I grants under
26 this article, in addition to any other federal grants for which the
27 strict discipline academy is eligible, the department, or, for
28 subsections (1)(g) and (2)(d), the department of lifelong
29 education, advancement, and potential, shall allocate to a strict



discipline academy out of title I, part A an amount equal to what the strict discipline academy would have received if included and calculated under title I, part D, or what it would receive under the formula allocation under title I, part A, whichever is greater.

(6) As used in this section:

(a) "DED" means the United States Department of Education.

(b) "DED-OESE" means the DED Office of Elementary and Secondary Education.

(c) "DED-OII" means the DED Office of Innovation and Improvement.

(d) "DED-OVAE" means the DED Office of Vocational and Adult Education.

(e) "HHS" means the United States Department of Health and Human Services.

(f) "HHS-OCC" means the HHS Office of Child Care.

(g) "HHS-SAMHSA" means the HHS Substance Abuse and Mental Health Services Project.

Sec. 41. (1) For a district to be eligible to receive funding under this section, the district must administer to English language learners the English language proficiency assessment known as the "WIDA ACCESS for English language learners" or the "WIDA Alternate ACCESS". From the state school aid fund money appropriated in section 11, there is allocated an amount not to exceed ~~\$62,732,600.00~~ **\$65,869,300.00** for ~~2025-2026~~ **2026-2027** for payments to eligible districts for services for English language learners who have been administered the WIDA ACCESS for English language learners. Services for English language learners under this section may include software used to assist learning.

(2) The department shall distribute funding allocated under



subsection (1) to eligible districts based on the number of full-time equivalent English language learners as follows:

(a) ~~\$2,329.00~~ **\$2,445.00** per full-time equivalent English language learner who has been assessed under the WIDA ACCESS for English language learners or the WIDA Alternate ACCESS with a WIDA ACCESS or WIDA Alternate ACCESS composite score between 1.0 and 1.9, or less, as applicable to each assessment. It is the intent of the legislature to increase this amount until it reaches 75% of the target foundation allowance.

(b) ~~\$1,608.00~~ **\$1,688.00** per full-time equivalent English language learner who has been assessed under the WIDA ACCESS for English language learners or the WIDA Alternate ACCESS with a WIDA ACCESS or WIDA Alternate ACCESS composite score between 2.0 and 2.9, or less, as applicable to each assessment. It is the intent of the legislature to increase this amount until it reaches 50% of the target foundation allowance.

(c) ~~\$263.00~~ **\$276.00** per full-time equivalent English language learner who has been assessed under the WIDA ACCESS for English language learners or the WIDA Alternate ACCESS with a WIDA ACCESS or WIDA Alternate ACCESS composite score between 3.0 and 3.9, or less, as applicable to each assessment. It is the intent of the legislature to increase this amount until it reaches 35% of the target foundation allowance.

(3) If funds allocated under subsection (1) are insufficient to fully fund the payments as prescribed under subsection (2), the department shall prorate payments on an equal percentage basis, with the same percentage proration applied to all funding categories.

(4) By October 15 of the fiscal year following the receipt of



1 funding under subsection (1), each district receiving funds under
2 subsection (1) shall submit to the department a report, not to
3 exceed 10 pages, on the usage by the district of funds under
4 subsection (1) in a form and manner determined by the department,
5 including a brief description of each program conducted or services
6 performed by the district using funds under subsection (1) and the
7 amount of funds under subsection (1) allocated to each of those
8 programs or services. If a district does not comply with this
9 subsection, the department shall withhold an amount equal to the
10 December payment due under this section until the district complies
11 with this subsection. If the district does not comply with this
12 subsection by the end of the fiscal year, the withheld funds are
13 forfeited to the state school aid fund.

14 (5) To receive funds under subsection (1), a district must
15 allow access for the department or the department's designee to
16 audit all records related to the program for which it receives
17 those funds. The district shall reimburse this state for all
18 disallowances found in the audit.

19 (6) Beginning July 1, 2020, and every 3 years thereafter, the
20 department shall review the per-pupil distribution under subsection
21 (2), to ensure that funding levels are appropriate and make
22 recommendations for adjustments to the members of the senate and
23 house subcommittees on K to 12 school aid appropriations.

24 (7) The department shall establish English language learner
25 program models that establish a minimum number of minutes per week
26 that districts must provide direct English language development
27 instruction for students according to the student's proficiency
28 levels. These models must be compliant with federal requirements
29 related to English language learner program services. To be



1 considered an eligible recipient of funding under this section, a
 2 district must agree to meet or exceed the minimum number of minutes
 3 per week, as determined by the department, that the district
 4 provides direct English language development instruction.

5 Sec. 51a. (1) From the state school aid fund money in section
 6 11, there is allocated ~~an amount not to exceed \$2,028,696,100.00~~
 7 ~~for 2024-2025 and there is allocated an amount not to exceed~~
 8 ~~\$2,219,596,100.00~~ **\$2,126,096,100.00** for 2025-2026 ~~from~~ **and there is**
 9 **allocated an amount not to exceed \$2,264,937,500.00 for 2026-2027.**

10 **From** state sources and all available federal funding under sections
 11 1411 to 1419 of part B of the individuals with disabilities
 12 education act, 20 USC 1411 to 1419, **there is allocated an amount**
 13 estimated at ~~\$450,000,000.00 for 2024-2025 and \$500,000,000.00 for~~
 14 2025-2026 **and \$500,000,000.00 for 2026-2027**, plus any carryover
 15 federal funds from previous year appropriations. The allocations
 16 under this subsection are for the purpose of reimbursing districts
 17 and intermediate districts for special education programs,
 18 services, and special education personnel as prescribed in article
 19 3 of the revised school code, MCL 380.1701 to 380.1761; net tuition
 20 payments made by intermediate districts to the Michigan Schools for
 21 the Deaf and Blind; and special education programs and services for
 22 pupils who are eligible for special education programs and services
 23 according to statute or rule. For meeting the costs of special
 24 education programs and services not reimbursed under this article,
 25 a district or intermediate district may use money in general funds
 26 or special education funds, not otherwise restricted, or
 27 contributions from districts to intermediate districts, tuition
 28 payments, gifts and contributions from individuals or other
 29 entities, or federal funds that may be available for this purpose,



1 as determined by the intermediate district plan prepared under
2 article 3 of the revised school code, MCL 380.1701 to 380.1761.
3 Notwithstanding section 17b, the department shall make payments of
4 federal funds to districts, intermediate districts, and other
5 eligible entities under this section on a schedule determined by
6 the department.

7 (2) From the funds allocated under subsection (1), there is
8 allocated the amount necessary, estimated at ~~\$441,400,000.00 for~~
9 ~~2024-2025 and \$492,400,000.00~~ **\$457,800,000.00** for 2025-2026 **and**
10 **\$495,100,000.00 for 2026-2027**, for payments toward reimbursing
11 districts and intermediate districts for 28.6138% of total approved
12 costs of special education, excluding costs reimbursed under
13 section 53a, and 70.4165% of total approved costs of special
14 education transportation.

15 (3) If the department determines that the amount allocated for
16 a fiscal year to a district or intermediate district under
17 subsection (2) is insufficient to fulfill the specified percentages
18 in subsection (2), the department shall pay the shortfall to the
19 district or intermediate district during the fiscal year beginning
20 on the October 1 following the determination. If the department
21 determines that the amount allocated for a fiscal year to a
22 district or intermediate district under subsection (2) exceeds the
23 sum of the amount necessary to fulfill the specified percentages in
24 subsection (2), the department shall deduct the amount of the
25 excess from the district's or intermediate district's payments
26 under this article for the fiscal year beginning on the October 1
27 following the determination.

28 (4) State funds are allocated on a total approved cost basis.
29 Federal funds are allocated under applicable federal requirements.



1 (5) From the amount allocated in subsection (1), there is
2 allocated an amount not to exceed \$3,200,000.00 for ~~2024-2025 and~~
3 2025-2026 **and 2026-2027** to reimburse 100% of the net increase in
4 necessary costs incurred by a district or intermediate district in
5 implementing the revisions in the administrative rules for special
6 education that became effective on July 1, 1987. As used in this
7 subsection, "net increase in necessary costs" means the necessary
8 additional costs incurred solely because of new or revised
9 requirements in the administrative rules minus cost savings
10 permitted in implementing the revised rules. The department shall
11 determine net increase in necessary costs in a manner specified by
12 the department.

13 (6) For purposes of this section and sections 51b to 58, all
14 of the following apply:

15 (a) "Total approved costs of special education" are determined
16 in a manner specified by the department and may include indirect
17 costs, but must not exceed 115% of approved direct costs for
18 section 52 and section 53a programs. The total approved costs
19 include salary and other compensation for all approved special
20 education personnel for the program, including payments for Social
21 Security and Medicare and public school employee retirement system
22 contributions. The total approved costs do not include salaries or
23 other compensation paid to administrative personnel who are not
24 special education personnel as that term is defined in section 6 of
25 the revised school code, MCL 380.6. Costs reimbursed by federal
26 funds, other than those federal funds included in the allocation
27 made under this article, are not included. Special education
28 approved personnel not utilized full time in the evaluation of
29 students or in the delivery of special education programs,



1 ancillary, and other related services are reimbursed under this
2 section only for that portion of time actually spent providing
3 these programs and services, with the exception of special
4 education programs and services provided to youth placed in child
5 caring institutions or juvenile detention programs approved by the
6 department to provide an on-grounds education program.

7 (b) Reimbursement for ancillary and other related services, as
8 that term is defined by R 340.1701c of the Michigan Administrative
9 Code, is not provided when those services are covered by and
10 available through private group health insurance carriers or
11 federal reimbursed program sources unless the department and
12 district or intermediate district agree otherwise and that
13 agreement is approved by the state budget director. Expenses, other
14 than the incidental expense of filing, must not be borne by the
15 parent. In addition, the filing of claims must not delay the
16 education of a pupil. A district or intermediate district is
17 responsible for payment of a deductible amount and for an advance
18 payment required until the time a claim is paid.

19 (c) If an intermediate district purchases a special education
20 pupil transportation service from a constituent district that was
21 previously purchased from a private entity; if the purchase from
22 the constituent district is at a lower cost, adjusted for changes
23 in fuel costs; and if the cost shift from the intermediate district
24 to the constituent does not result in any net change in the revenue
25 the constituent district receives from payments under sections 22b
26 and 51c, then upon application by the intermediate district, the
27 department shall direct the intermediate district to continue to
28 report the cost associated with the specific identified special
29 education pupil transportation service and shall adjust the costs



1 reported by the constituent district to remove the cost associated
2 with that specific service.

3 (7) A pupil who is enrolled in a full-time special education
4 program conducted or administered by an intermediate district or a
5 pupil who is enrolled in the Michigan Schools for the Deaf and
6 Blind is not included in the membership count of a district, but is
7 counted in membership in the intermediate district of residence.

8 (8) Special education personnel transferred from 1 district to
9 another to implement the revised school code are entitled to the
10 rights, benefits, and tenure to which the individual would
11 otherwise be entitled had that individual been employed by the
12 receiving district originally.

13 (9) If a district or intermediate district uses money received
14 under this section for a purpose other than the purpose or purposes
15 for which the money is allocated, the department may require the
16 district or intermediate district to refund the amount of money
17 received. The department shall deposit money that is refunded in
18 the state treasury to the credit of the state school aid fund.

19 (10) From the funds allocated in subsection (1), there is
20 allocated the amount necessary, estimated at ~~\$1,600,000.00 for~~
21 ~~2024-2025 and estimated at \$1,600,000.00~~ **\$1,900,000.00** for 2025-
22 **2026 and estimated at \$1,900,000.00 for 2026-2027**, to pay the
23 foundation allowances for pupils described in this subsection. The
24 department shall calculate the allocation to a district under this
25 subsection by multiplying the number of pupils described in this
26 subsection who are counted in membership in the district times the
27 sum of the foundation allowance under section 20 of the pupil's
28 district of residence, plus the amount of the district's per-pupil
29 allocation under section 20m, not to exceed the target foundation



allowance for the current fiscal year, or, for a pupil described in this subsection who is counted in membership in a district that is a public school academy, times an amount equal to the amount per membership pupil under section 20(6). The department shall calculate the allocation to an intermediate district under this subsection in the same manner as for a district, using the foundation allowance under section 20 of the pupil's district of residence not to exceed the target foundation allowance for the current fiscal year and that district's per-pupil allocation under section 20m. This subsection applies to all of the following pupils:

(a) Pupils described in section 53a.

(b) Pupils counted in membership in an intermediate district who are not special education pupils and are served by the intermediate district in a juvenile detention or child caring facility.

(c) Pupils with an emotional impairment counted in membership by an intermediate district and provided educational services by the department of health and human services.

(11) If it is determined that funds allocated under subsection (2) or (10) or under section 51c will not be expended, funds up to the amount necessary and available may be used to supplement the allocations under subsection (2) or (10) or under section 51c to fully fund those allocations. After payments under subsections (2) and (10) and section 51c, the department shall expend the remaining funds from the allocation in subsection (1) in the following order:

(a) One hundred percent of the reimbursement required under section 53a.

(b) One hundred percent of the reimbursement required under



1 subsection (5).

2 (c) One hundred percent of the payment required under section
3 54.

4 (d) One hundred percent of the payments under section 56.

5 (12) The allocations under subsections (2) and (10) are
6 allocations to intermediate districts only and are not allocations
7 to districts, but instead are calculations used only to determine
8 the state payments under section 22b.

9 (13) If a public school academy that is not a cyber school, as
10 that term is defined in section 551 of the revised school code, MCL
11 380.551, enrolls under this section a pupil who resides outside of
12 the intermediate district in which the public school academy is
13 located and who is eligible for special education programs and
14 services according to statute or rule, or who is a child with a
15 disability, as that term is defined under the individuals with
16 disabilities education act, Public Law 108-446, the intermediate
17 district in which the public school academy is located and the
18 public school academy shall enter into a written agreement with the
19 intermediate district in which the pupil resides for the purpose of
20 providing the pupil with a free appropriate public education, and
21 the written agreement must include at least an agreement on the
22 responsibility for the payment of the added costs of special
23 education programs and services for the pupil. If the public school
24 academy that enrolls the pupil does not enter into an agreement
25 under this subsection, the public school academy shall not charge
26 the pupil's resident intermediate district or the intermediate
27 district in which the public school academy is located the added
28 costs of special education programs and services for the pupil, and
29 the public school academy is not eligible for any payouts based on



1 the funding formula outlined in the resident or nonresident
2 intermediate district's plan. If a pupil is not enrolled in a
3 public school academy under this subsection, the provision of
4 special education programs and services and the payment of the
5 added costs of special education programs and services for a pupil
6 described in this subsection are the responsibility of the district
7 and intermediate district in which the pupil resides.

8 (14) For the purpose of receiving its federal allocation under
9 part B of the individuals with disabilities education act, Public
10 Law 108-446, a public school academy that is a cyber school, as
11 that term is defined in section 551 of the revised school code, MCL
12 380.551, and is in compliance with section 553a of the revised
13 school code, MCL 380.553a, directly receives the federal allocation
14 under part B of the individuals with disabilities education act,
15 Public Law 108-446, from the intermediate district in which the
16 cyber school is located, as the subrecipient. If the intermediate
17 district does not distribute the funds described in this subsection
18 to the cyber school by the part B application due date of July 1,
19 the department may distribute the funds described in this
20 subsection directly to the cyber school according to the formula
21 prescribed in 34 CFR 300.705 and 34 CFR 300.816. Beginning July 1,
22 2021, this subsection is subject to section 8c. It is the intent of
23 the legislature that the immediately preceding sentence apply
24 retroactively and is effective July 1, 2021.

25 (15) For a public school academy that is a cyber school, as
26 that term is defined in section 551 of the revised school code, MCL
27 380.551, and is in compliance with section 553a of the revised
28 school code, MCL 380.553a, that enrolls a pupil under this section,
29 the intermediate district in which the cyber school is located



1 shall ensure that the cyber school complies with sections 1701a,
 2 1703, 1704, 1751, 1752, 1756, and 1757 of the revised school code,
 3 MCL 380.1701a, 380.1703, 380.1704, 380.1751, 380.1752, 380.1756,
 4 and 380.1757; applicable rules; and the individuals with
 5 disabilities education act, Public Law 108-446. Beginning July 1,
 6 2021, this subsection is subject to section 8c. It is the intent of
 7 the legislature that the immediately preceding sentence apply
 8 retroactively and is effective July 1, 2021.

9 (16) For the purposes of this section, the department or the
 10 center shall only require a district or intermediate district to
 11 report information that is not already available from the financial
 12 information database maintained by the center.

13 Sec. 51c. As required by the court in the consolidated cases
 14 known as *Durant v State of Michigan*, 456 Mich 175 (1997), from the
 15 allocation under section 51a(1), there is allocated for ~~2024-2025~~
 16 ~~and for 2025-2026~~ **and for 2026-2027** the amount necessary, estimated
 17 at ~~\$993,100,000.00 for 2024-2025 and \$1,107,900,000.00~~
 18 **\$1,055,000,000.00 for 2025-2026 and \$1,140,700,000.00 for 2026-**
 19 **2027**, for payments to reimburse districts for 28.6138% of total
 20 approved costs of special education excluding costs reimbursed
 21 under section 53a, and 70.4165% of total approved costs of special
 22 education transportation. Funds allocated under this section that
 23 are not expended in the fiscal year for which they were allocated,
 24 as determined by the department, may be used to supplement the
 25 allocations under sections 22a and 22b to fully fund those
 26 allocations for the same fiscal year.

27 Sec. 51d. (1) From the federal funds appropriated in section
 28 11, there is allocated for ~~2025-2026~~ **2026-2027** all available
 29 federal funding, estimated at \$83,000,000.00, for special education



1 programs and services that are funded by federal grants. The
 2 department shall distribute all federal funds allocated under this
 3 section in accordance with federal law. Notwithstanding section
 4 17b, the department shall make payments of federal funds to
 5 districts, intermediate districts, and other eligible entities
 6 under this section on a schedule determined by the department.

7 (2) From the federal funds allocated under subsection (1), the
 8 following amounts are allocated:

9 (a) For ~~2025-2026,~~ **2026-2027**, an amount estimated at
 10 \$14,000,000.00 for handicapped infants and toddlers, funded from
 11 DED-OSERS, handicapped infants and toddlers funds.

12 (b) For ~~2025-2026,~~ **2026-2027**, an amount estimated at
 13 \$14,000,000.00 for preschool grants under Public Law 94-142, funded
 14 from DED-OSERS, handicapped preschool incentive funds.

15 (c) For ~~2025-2026,~~ **2026-2027**, an amount estimated at
 16 \$55,000,000.00 for special education programs funded by DED-OSERS,
 17 handicapped program, individuals with disabilities act funds.

18 (3) As used in this section, "DED-OSERS" means the United
 19 States Department of Education Office of Special Education and
 20 Rehabilitative Services.

21 Sec. 51e. (1) From the allocation under section 51a(1), there
 22 is allocated for the amount necessary, estimated at ~~\$503,000,000.00~~
 23 ~~for 2024-2025 and \$528,100,000.00~~ **\$521,800,000.00** for 2025-2026 **and**
 24 **\$534,800,000.00 for 2026-2027**, for payments to districts and
 25 intermediate districts for 100% of foundation allowance costs
 26 associated with special education pupils.

27 (2) The department shall calculate the amount allocated to a
 28 district under this section by multiplying the district's special
 29 education pupil membership, excluding pupils described in section



1 51a(11), times 100% of the foundation allowance under section 20 of
2 the pupil's district of residence, plus 100% of the amount of the
3 district's per-pupil allocation under section 20m, not to exceed
4 100% of the target foundation allowance for the current fiscal
5 year, or, for a special education pupil in membership in a district
6 that is a public school academy, times an amount equal to 100% of
7 the amount per membership pupil calculated under section 20(6). For
8 an intermediate district, the amount allocated under this
9 subsection is an amount per special education membership pupil,
10 excluding pupils described in section 51a(11), and is calculated in
11 the same manner as for a district, using 100% of the foundation
12 allowance under section 20 of the pupil's district of residence,
13 not to exceed 100% of the target foundation allowance for the
14 current fiscal year, and 100% of that district's per-pupil
15 allocation under section 20m.

16 Sec. 51g. From the general fund money appropriated in section
17 11, \$3,000,000.00 is allocated for ~~2025-2026~~**2026-2027** to an
18 association for administrators of special education services to
19 develop content for use by special education students, teachers,
20 and others. Any content that is developed as described in this
21 section must be accessible throughout this state. Funds received by
22 an association under this section may be used to support the
23 development of assessment tools to measure the needs of students
24 with special education needs in remote learning environments and
25 the effectiveness of various educational methods and tools, in
26 collaboration with the department. Funds under this section may
27 also be utilized to identify any available federal funds for
28 research related to special education in remote learning.

29 **Sec. 51i. (1) The special education reserve fund is created as**



1 a separate account within the state school aid fund for the purpose
2 of reimbursing districts for special education costs.

3 (2) The state treasurer may receive money or other assets from
4 any source for deposit into the special education reserve fund. The
5 state treasurer shall direct the investment of the special
6 education reserve fund. The state treasurer shall credit to the
7 special education reserve fund interest and earnings from special
8 education reserve fund investments.

9 (3) Money in the special education reserve fund at the close
10 of the fiscal year remains in the special education reserve fund
11 and does not lapse to the state school aid fund or the general
12 fund.

13 (4) The department of treasury is the administrator of the
14 special education reserve fund for auditing purposes.

15 (5) Money available in the special education reserve fund must
16 not be expended without a specific appropriation.

17 (6) For the fiscal year ending September 30, 2027 only,
18 \$20,000,000.00 from the state school aid fund must be deposited
19 into the special education reserve fund.

20 Sec. 53a. (1) For districts, reimbursement for pupils
21 described in subsection (2) is 100% of the total approved costs of
22 operating special education programs and services approved by the
23 department and included in the intermediate district plan adopted
24 under article 3 of the revised school code, MCL 380.1701 to
25 380.1761, minus the district's foundation allowance calculated
26 under section 20 and minus the district's per-pupil allocation
27 under section 20m. For intermediate districts, the department shall
28 calculate reimbursement for pupils described in subsection (2) in
29 the same manner as for a district, using the foundation allowance



1 under section 20 of the pupil's district of residence, not to
2 exceed the target foundation allowance under section 20 for the
3 current fiscal year plus the amount of the district's per-pupil
4 allocation under section 20m.

5 (2) Reimbursement under subsection (1) is for the following
6 special education pupils:

7 (a) Pupils assigned to a district or intermediate district
8 through the community placement program of the courts or a state
9 agency, if the pupil was a resident of another intermediate
10 district at the time the pupil came under the jurisdiction of the
11 court or a state agency.

12 (b) Pupils who are residents of institutions operated by the
13 department of health and human services.

14 (c) Pupils who are former residents of department of community
15 health institutions for the developmentally disabled who are placed
16 in community settings other than the pupil's home.

17 (d) Pupils enrolled in a department-approved on-grounds
18 educational program longer than 180 days, but not longer than 233
19 days, at a residential child care institution, if the child care
20 institution offered in 1991-92 an on-grounds educational program
21 longer than 180 days but not longer than 233 days.

22 (e) Pupils placed in a district by a parent for the purpose of
23 seeking a suitable home, if the parent does not reside in the same
24 intermediate district as the district in which the pupil is placed.

25 (3) Only those costs that are clearly and directly
26 attributable to educational programs for pupils described in
27 subsection (2), and that would not have been incurred if the pupils
28 were not being educated in a district or intermediate district, are
29 reimbursable under this section.



(4) The costs of transportation are funded under this section and are not reimbursed under section 58.

(5) The department shall not allocate more than \$10,500,000.00 of the allocation for ~~2025-2026~~**2026-2027** in section 51a(1) under this section.

Sec. 54. Each intermediate district receives an amount per pupil for each pupil in attendance at the Michigan Schools for the Deaf and Blind. The amount is proportionate to the total instructional cost at each school. The department shall not allocate more than ~~\$1,688,000.00~~**\$4,529,400.00** of the allocation for ~~2025-2026~~**2026-2027** in section 51a(1) under this section.

Sec. 54d. (1) From the state school aid fund money appropriated in section 11, there is allocated an amount not to exceed ~~\$23,670,700.00~~**\$28,670,700.00** for ~~2025-2026~~**2026-2027** to intermediate districts for the purpose of providing state early on services programs for children from birth to 3 years of age with a developmental delay or a disability, or both, and their families, as described in the early on Michigan state plan, as approved by the department of lifelong education, advancement, and potential.

(2) To be eligible to receive grant funding under this section, each intermediate district must apply in a form and manner determined by the department of lifelong education, advancement, and potential.

(3) The grant funding allocated under this section must be used to increase early on services and resources available to children that demonstrate developmental delays to help prepare them for success as they enter school. State early on services include evaluating and providing early intervention services for eligible infants and toddlers and their families to address developmental



1 delays, including those affecting physical, cognitive,
2 communication, adaptive, social, or emotional development. Grant
3 funds must not be used to supplant existing services that are
4 currently being provided.

5 (4) The department of lifelong education, advancement, and
6 potential shall distribute the funds allocated under subsection (1)
7 to intermediate districts according to the department of lifelong
8 education, advancement, and potential's early on funding formula
9 utilized to distribute the federal award to Michigan under part C
10 of the individuals with disabilities education act, Public Law 108-
11 446. Funds received under this section must not supplant existing
12 funds or resources allocated for early on early intervention
13 services. An intermediate district receiving funds under this
14 section shall maximize the capture of Medicaid funds to support
15 early on early intervention services to the extent possible.

16 (5) Each intermediate district that receives funds under this
17 section shall report data and other information to the department
18 of lifelong education, advancement, and potential in a form,
19 manner, and frequency prescribed by the department of lifelong
20 education, advancement, and potential to allow for monitoring and
21 evaluation of the program and to ensure that the children described
22 in subsection (1) received appropriate levels and types of services
23 delivered by qualified personnel, based on the individual needs of
24 the children and their families.

25 (6) Notwithstanding section 17b, the department of lifelong
26 education, advancement, and potential shall make payments under
27 this section on a schedule determined by the department of lifelong
28 education, advancement, and potential.

29 (7) Grant funds awarded and allocated to an intermediate



1 district under this section must be expended by the grant recipient
2 before June 30 of the fiscal year immediately following the fiscal
3 year in which the funds were received.

4 Sec. 56. (1) For the purposes of this section:

5 (a) "Membership" means for a particular fiscal year the total
6 membership of the intermediate district and the districts
7 constituent to the intermediate district, except that if a district
8 has elected not to come under part 30 of the revised school code,
9 MCL 380.1711 to 380.1741, membership of the district is not
10 included in the membership of the intermediate district.

11 (b) "Millage levied" means the millage levied for special
12 education under part 30 of the revised school code, MCL 380.1711 to
13 380.1741, including a levy for debt service obligations.

14 (c) "Taxable value" means the total taxable value of the
15 districts constituent to an intermediate district, except that if a
16 district has elected not to come under part 30 of the revised
17 school code, MCL 380.1711 to 380.1741, taxable value of the
18 district is not included in the taxable value of the intermediate
19 district.

20 (2) From the allocation under section 51a(1), there is
21 allocated an amount not to exceed \$40,008,100.00 for ~~2024-2025~~
22 **2025-2026** and \$40,008,100.00 for ~~2025-2026-2026-2027~~ to reimburse
23 intermediate districts levying millages for special education under
24 part 30 of the revised school code, MCL 380.1711 to 380.1741. The
25 purpose, use, and expenditure of the reimbursement are limited as
26 if the funds were generated by these millages and governed by the
27 intermediate district plan adopted under article 3 of the revised
28 school code, MCL 380.1701 to 380.1761. As a condition of receiving
29 funds under this section, an intermediate district distributing any



1 portion of special education millage funds to its constituent
 2 districts must submit for departmental approval and implement a
 3 distribution plan.

4 (3) Except as otherwise provided in this subsection,
 5 reimbursement for those millages levied in ~~2023-2024~~ **2024-2025** is
 6 made in ~~2024-2025~~ **2025-2026** at an amount per ~~2023-2024~~ **2024-2025**
 7 membership pupil computed by subtracting from ~~\$260,200.00~~
 8 **\$278,700.00** the ~~2023-2024~~ **2024-2025** taxable value behind each
 9 membership pupil and multiplying the resulting difference by the
 10 ~~2023-2024~~ **2024-2025** millage levied, and then subtracting from that
 11 amount the ~~2023-2024~~ **2024-2025** local community stabilization share
 12 revenue for special education purposes and ~~2023-2024~~ **2024-2025** tax
 13 increment revenues captured by a brownfield redevelopment authority
 14 created under the brownfield redevelopment financing act, 1996 PA
 15 381, MCL 125.2651 to 125.2670, behind each membership pupil for
 16 reimbursement of personal property exemption loss under the local
 17 community stabilization authority act, 2014 PA 86, MCL 123.1341 to
 18 123.1362, and reimbursements paid under section 26d for tax
 19 increment revenues captured by a brownfield redevelopment authority
 20 under the brownfield redevelopment financing act, 1996 PA 381, MCL
 21 125.2651 to 125.2670. For the purposes of the calculation described
 22 in the previous sentence only, for an intermediate district
 23 receiving funds under this section and section 62, reimbursements
 24 paid under section 26d must be multiplied by the ratio of special
 25 education millage levied, as defined in this section, and the sum
 26 of special education millage levied and vocational-technical
 27 education millage levied, as defined in section 62. Reimbursement
 28 in ~~2024-2025~~ **2025-2026** for an intermediate district whose 2017-2018
 29 allocation was affected by the operation of subsection (5) is an



1 amount equal to 102.5% of the 2017-2018 allocation to that
2 intermediate district.

3 (4) Except as otherwise provided in this subsection,
4 reimbursement for those millages levied in ~~2024-2025-2025-2026~~ is
5 made in ~~2025-2026-2026-2027~~ at an amount per ~~2024-2025-2025-2026~~
6 membership pupil computed by subtracting from ~~\$278,500.00~~
7 **\$294,200.00** the ~~2024-2025-2025-2026~~ taxable value behind each
8 membership pupil and multiplying the resulting difference by the
9 ~~2024-2025-2025-2026~~ millage levied, and then subtracting from that
10 amount the ~~2024-2025-2025-2026~~ local community stabilization share
11 revenue for special education purposes and ~~2024-2025-2025-2026~~ tax
12 increment revenues captured by a brownfield redevelopment authority
13 created under the brownfield redevelopment financing act, 1996 PA
14 381, MCL 125.2651 to 125.2670, behind each membership pupil for
15 reimbursement of personal property exemption loss under the local
16 community stabilization authority act, 2014 PA 86, MCL 123.1341 to
17 123.1362, and reimbursements paid under section 26d for tax
18 increment revenues captured by a brownfield redevelopment authority
19 under the brownfield redevelopment financing act, 1996 PA 381, MCL
20 125.2651 to 125.2670. For the purposes of the calculation described
21 in the previous sentence only, for an intermediate district
22 receiving funds under this section and section 62, reimbursements
23 paid under section 26d must be multiplied by the ratio of special
24 education millage levied, as defined in this section, and the sum
25 of special education millage levied and vocational-technical
26 education millage levied, as defined in section 62. Reimbursement
27 in ~~2025-2026-2026-2027~~ for an intermediate district whose 2017-2018
28 allocation was affected by the operation of subsection (5) is an
29 amount equal to 102.5% of the 2017-2018 allocation to that



1 intermediate district.

2 (5) The department shall ensure that the amount paid to a
3 single intermediate district under subsection (2) does not exceed
4 62.9% of the total amount allocated under subsection (2).

5 (6) The department shall ensure that the amount paid to a
6 single intermediate district under subsection (2) is not less than
7 75% of the amount allocated to the intermediate district under
8 subsection (2) for the immediately preceding fiscal year.

9 (7) From the allocation under section 51a(1), there is
10 allocated an amount not to exceed \$34,200,000.00 for ~~2024-2025 and~~
11 ~~2025-2026~~ **and 2026-2027** to provide payments to intermediate
12 districts levying millages for special education under part 30 of
13 the revised school code, MCL 380.1711 to 380.1741. The purpose,
14 use, and expenditure of the payments under this subsection are
15 limited as if the funds were generated by these millages and
16 governed by the intermediate district plan adopted under article 3
17 of the revised school code, MCL 380.1701 to 380.1761. The
18 department shall provide a payment under this subsection to each
19 intermediate district described in this subsection as follows:

20 (a) For ~~2024-2025 and 2025-2026~~ **and 2026-2027**, except as
21 otherwise provided in this subsection, for an intermediate district
22 with a 3-year average special education millage revenue per pupil
23 in the immediately preceding fiscal year that is less than \$251.00
24 and that is levying at least 46.2% but less than 60.0% of its
25 maximum millage rate allowed under section 1724a of the revised
26 school code, MCL 380.1724a, an amount computed by subtracting from
27 \$251.00 the 3-year average special education millage revenue per
28 pupil in the immediately preceding fiscal year and, only if the
29 millage levied by the intermediate district is less than 1,



1 multiplying that amount by the number of mills levied divided by 1,
2 and then multiplying that amount by the 3-year average membership
3 in the immediately preceding fiscal year, and then subtracting from
4 that amount the amount allocated under subsection (2) for the
5 current fiscal year. If the calculation under this subdivision
6 results in an amount below zero, there is no payment under this
7 subdivision.

8 (b) For ~~2024-2025 and 2025-2026~~ **and 2026-2027**, except as
9 otherwise provided in this subsection, for an intermediate district
10 with a 3-year average special education millage revenue per pupil
11 in the immediately preceding fiscal year that is less than \$296.00
12 and that is levying at least 60.0% of its maximum millage rate
13 allowed under section 1724a of the revised school code, MCL
14 380.1724a, an amount computed by subtracting from \$296.00 the 3-
15 year average special education millage revenue per pupil in the
16 immediately preceding fiscal year, and, only if the millage levied
17 by the intermediate district is less than 1, multiplying that
18 amount by the number of mills levied divided by 1, and then
19 multiplying that amount by the 3-year average membership in the
20 immediately preceding fiscal year, and then subtracting from that
21 amount the amount allocated under subsection (2) for the current
22 fiscal year. If the calculation under this subdivision results in
23 an amount below zero, there is no payment under this subdivision.

24 (8) After making allocations to eligible intermediate
25 districts under subsections (3), (4), and (7), if funds remain
26 unallocated from the allocations under subsections (2) and (7), the
27 department must allocate remaining funds to intermediate districts
28 proportional to the amounts allocated to intermediate districts
29 under subsections (3) and (4).



(9) As used in subsection (7):

(a) "3-year average membership" means the 3-year average pupil membership for each of the 3 most recent fiscal years.

(b) "3-year average special education millage revenue per pupil" means the 3-year average taxable value per mill levied behind each membership pupil for each of the 3 most recent fiscal years multiplied by the millage levied in the most recent fiscal year.

Sec. 61a. (1) From the state school aid fund money appropriated in section 11, there is allocated an amount not to exceed ~~\$41,733,800.00~~ **\$43,820,500.00** for ~~2025-2026~~ **2026-2027** to reimburse on an added cost basis districts, except for a district that served as the fiscal agent for a vocational education consortium in the 1993-94 school year and that has a foundation allowance as calculated under section 20 greater than the target foundation allowance under that section, and secondary area vocational-technical education centers for secondary-level career and technical education programs according to rules approved by the superintendent. Applications for participation in the programs must be submitted in the form prescribed by the department. The department shall determine the added cost for each career and technical education program area. The department shall prioritize the allocation of added cost funds based on the capital and program expenditures needed to operate the career and technical education programs provided; the number of pupils enrolled; the advancement of pupils through the instructional program; the existence of an articulation agreement with at least 1 postsecondary institution that provides pupils with opportunities to earn postsecondary credit during the pupil's participation in the career and technical



1 education program and transfers those credits to the postsecondary
2 institution upon completion of the career and technical education
3 program; and the program rank in student placement, job openings,
4 and wages, and shall ensure that the allocation does not exceed 75%
5 of the added cost of any program. Notwithstanding any rule or
6 department determination to the contrary, when determining a
7 district's allocation or the formula for making allocations under
8 this section, the department shall include the participation of
9 pupils in grade 9 in all of those determinations and in all
10 portions of the formula. With the approval of the department, the
11 board of a district maintaining a secondary career and technical
12 education program may offer the program for the period from the
13 close of the school year until September 1. The program shall use
14 existing facilities and must be operated as prescribed by rules
15 promulgated by the superintendent.

16 (2) Except for a district that served as the fiscal agent for
17 a vocational education consortium in the 1993-94 school year, the
18 department shall reimburse districts and intermediate districts for
19 local career and technical education administration, shared time
20 career and technical education administration, and career education
21 planning district career and technical education administration.
22 The superintendent shall adopt guidelines for the definition of
23 what constitutes administration and shall make reimbursement
24 pursuant to those guidelines. The department shall not distribute
25 more than \$800,000.00 of the allocation in subsection (1) under
26 this subsection.

27 (3) A career and technical education program funded under this
28 section may provide an opportunity for participants who are
29 eligible to be funded under section 107 to enroll in the career and



1 technical education program funded under this section if the
2 participation does not occur during regular school hours.

3 **(4) New career and technical education programs and existing**
4 **career and technical education programs are eligible for funding**
5 **under this section.**

6 Sec. 61b. (1) From the state school aid fund money
7 appropriated under section 11, there is allocated for ~~2025-2026~~
8 **2026-2027** an amount not to exceed ~~\$8,368,000.00~~ **\$9,368,000.00** for
9 CTE early middle college and CTE dual enrollment programs
10 authorized under this section and for planning grants for the
11 development or expansion of CTE early middle college programs. The
12 purpose of these programs is to increase the number of Michigan
13 residents with high-quality degrees or credentials, and to increase
14 the number of students who are college and career ready upon high
15 school graduation. **It is the intent of the legislature that the**
16 **allocation under this section for 2027-2028 will be \$8,368,000.00.**

17 (2) From the funds allocated under subsection (1), the
18 department shall allocate an amount as determined under this
19 subsection to each intermediate district serving as a fiscal agent
20 for state-approved CTE early middle college and CTE dual enrollment
21 programs in each of the career education planning districts
22 identified by the department. An intermediate district shall not
23 use more than 5% of the funds allocated under this subsection for
24 administrative costs for serving as the fiscal agent.

25 (3) To be an eligible fiscal agent, an intermediate district
26 must agree to do all of the following in a form and manner
27 determined by the department:

28 (a) Distribute funds to eligible CTE early middle college and
29 CTE dual enrollment programs in a career education planning



1 district as described in this section.

2 (b) Collaborate with the career and educational advisory
3 council in the workforce development board service delivery area to
4 develop 1 regional strategic plan under subsection (4) that aligns
5 CTE programs and services into an efficient and effective delivery
6 system for high school students. The department will align career
7 education planning districts, workforce development board service
8 delivery areas, and intermediate districts for the purpose of
9 creating 1 regional strategic plan for each workforce development
10 board service delivery area.

11 (c) Implement a regional process to rank career clusters in
12 the workforce development board service delivery area as described
13 under subsection (4). Regional processes must be approved by the
14 department before the ranking of career clusters.

15 (d) Report CTE early middle college and CTE dual enrollment
16 program and student data and information as prescribed by the
17 department and the center.

18 (e) The local education agency responsible for student
19 reporting in the Michigan student data system (MSDS) will report
20 the total number of college credits the student earned, at the time
21 of high school graduation, as determined by the department and the
22 center.

23 (f) The local education agency will report each award outcome
24 in the Michigan student data system (MSDS) that the CTE early
25 middle college student attained. For purposes of this subsection,
26 an on-track CTE early middle college graduate is a graduate who
27 obtained their high school diploma and at least 1 of the following:

28 (i) An associate degree.

29 (ii) 60 transferable college credits.



1 (iii) Professional certification.

2 (iv) A Michigan Early Middle College Association certificate.

3 (v) Participation in a registered apprenticeship.

4 (4) A regional strategic plan must be approved by the career
5 and educational advisory council before submission to the
6 department. A regional strategic plan must include, but is not
7 limited to, the following:

8 (a) An identification of regional employer need based on a
9 ranking of all career clusters in the workforce development board
10 service delivery area ranked by 10-year projections of annual job
11 openings and median wage for each standard occupational code in
12 each career cluster as obtained from the United States Bureau of
13 Labor Statistics. Standard occupational codes within high-ranking
14 clusters also may be further ranked by median wage and annual job
15 openings. The career and educational advisory council located in
16 the workforce development board service delivery area shall review
17 the rankings and modify them if necessary to accurately reflect
18 employer demand for talent in the workforce development board
19 service delivery area. A career and educational advisory council
20 shall document that it has conducted this review and certify that
21 it is accurate. These career cluster rankings must be determined
22 and updated once every 4 years.

23 (b) An identification of educational entities in the workforce
24 development board service delivery area that will provide eligible
25 CTE early middle college and CTE dual enrollment programs including
26 districts, intermediate districts, postsecondary institutions, and
27 noncredit occupational training programs leading to an industry-
28 recognized credential.

29 (c) A strategy to inform parents and students of CTE early



1 middle college and CTE dual enrollment programs in the workforce
2 development board service delivery area.

3 (d) Any other requirements as defined by the department.

4 (5) An eligible CTE program is a program that meets all of the
5 following:

6 (a) Has been identified in the highest 5 career cluster
7 rankings in any of the 16 workforce development board service
8 delivery area strategic plans jointly approved by the department of
9 labor and economic opportunity and the department.

10 (b) Has a coherent sequence of courses in a specific career
11 cluster that will allow a student to earn a high school diploma and
12 achieve at least 1 of the following:

13 (i) For CTE early middle college, outcomes as defined in
14 subsection (3) (f).

15 (ii) For CTE dual enrollment, 1 of the following:

16 (A) An associate degree.

17 (B) An industry-recognized technical certification approved by
18 the department of labor and economic opportunity.

19 (C) Up to 60 transferable college credits.

20 (D) Participation in a registered apprenticeship, pre-
21 apprenticeship, or apprentice readiness program.

22 (c) Is aligned with the Michigan merit curriculum.

23 (d) Has an articulation or a college credit agreement with at
24 least 1 postsecondary institution that provides students with
25 opportunities to receive postsecondary credits during the student's
26 participation in the CTE early middle college or CTE dual
27 enrollment program and transfers those credits to the postsecondary
28 institution upon completion of the CTE early middle college or CTE
29 dual enrollment program.



1 (e) Provides instruction that is supervised, directed, or
2 coordinated by an appropriately certificated CTE teacher or, for
3 concurrent enrollment courses, a postsecondary faculty member.

4 (f) Provides for highly integrated student support services
5 that include at least the following:

6 (i) Teachers as academic advisors.

7 (ii) Supervised course selection.

8 (iii) Monitoring of student progress and completion.

9 (iv) Career planning services provided by a local one-stop
10 service center as described in the Michigan works one-stop service
11 center system act, 2006 PA 491, MCL 408.111 to 408.135, or by a
12 high school counselor or advisor.

13 (g) Has courses that are taught on a college campus, are
14 college courses offered at the high school and taught by college
15 faculty, or are courses taught in combination with online
16 instruction.

17 (6) The department shall distribute funds to eligible CTE
18 early middle college and CTE dual enrollment programs as follows:

19 (a) The department shall determine statewide average CTE costs
20 per pupil for each CIP code program by calculating statewide
21 average costs for each CIP code program for the 3 most recent
22 fiscal years.

23 (b) The distribution to each eligible CTE early middle college
24 or CTE dual enrollment program is the product of 50% of CTE costs
25 per pupil times the pupil enrollment of each eligible CTE early
26 middle college or CTE dual enrollment program in the immediately
27 preceding school year.

28 (7) To receive funds under this section, a CTE early middle
29 college or CTE dual enrollment program shall furnish to the



1 intermediate district that is the fiscal agent identified in
2 subsection (2), in a form and manner determined by the department,
3 all information needed to administer this program and meet federal
4 reporting requirements; shall allow the department or the
5 department's designee to review all records related to the program
6 for which it receives funds; and shall reimburse the state for all
7 disallowances found in the review, as determined by the department.

8 (8) There is allocated for ~~2025-2026~~**-2026-2027** from the funds
9 under subsection (1) an amount not to exceed \$500,000.00 from the
10 state school aid fund allocation for grants to intermediate
11 districts or consortia of intermediate districts for the purpose of
12 planning for new or expanded early middle college programs.
13 Applications for grants must be submitted in a form and manner
14 determined by the department. The amount of a grant under this
15 subsection must not exceed \$50,000.00. To be eligible for a grant
16 under this subsection, an intermediate district or consortia of
17 intermediate districts must provide matching funds equal to the
18 grant received under this subsection. Notwithstanding section 17b,
19 the department shall make payments under this subsection in the
20 manner determined by the department.

21 (9) Funds distributed under this section may be used to fund
22 program expenditures that would otherwise be paid from foundation
23 allowances. A program receiving funding under section 61a may
24 receive funding under this section for allowable costs that exceed
25 the reimbursement the program received under section 61a. The
26 combined payments received by a program under section 61a and this
27 section must not exceed the total allowable costs of the program. A
28 program provider shall not use more than 5% of the funds allocated
29 under this section to the program for administrative costs.



1 (10) If the allocation under subsection (1) is insufficient to
2 fully fund payments as otherwise calculated under this section, the
3 department shall prorate payments under this section on an equal
4 percentage basis, using for that proration calculation payments
5 made for CTE dual enrollment programs only.

6 (11) If pupils enrolled in a career cluster in an eligible CTE
7 early middle college or CTE dual enrollment program qualify to be
8 reimbursed under this section, those pupils continue to qualify for
9 reimbursement until graduation, even if the career cluster is no
10 longer identified as being in the highest 5 career cluster
11 rankings.

12 (12) As used in this section:

13 (a) "Allowable costs" means those costs directly attributable
14 to the program as jointly determined by the department of labor and
15 economic opportunity and the department.

16 (b) "Career and educational advisory council" means an
17 advisory council to the local workforce development boards located
18 in a workforce development board service delivery area consisting
19 of educational, employer, labor, and parent representatives.

20 (c) "CIP" means classification of instructional programs.

21 (d) "CTE" means career and technical education programs.

22 (e) "CTE dual enrollment program" means a 4-year high school
23 program of postsecondary courses offered by eligible postsecondary
24 educational institutions that leads to an industry-recognized
25 certification or degree.

26 (f) "Early middle college program" means a 5-year high school
27 program.

28 (g) "Eligible postsecondary educational institution" means
29 that term as defined in section 3 of the career and technical



1 preparation act, 2000 PA 258, MCL 388.1903.

2 Sec. 61w. (1) From the state school aid fund money
3 appropriated in section 11, there is allocated for 2026-2027 only
4 an amount not to exceed \$5,000,000.00 for competitive grants to
5 districts and intermediate districts to support virtual reality
6 simulation programs that enhance and expand existing career and
7 technical education programs.

8 (2) Eligible districts and intermediate districts shall apply
9 for funds under this section on a competitive basis in a form and
10 manner determined by the department.

11 (3) A virtual reality simulation program described in this
12 section must offer tactile, multimodal learning experiences that
13 derive and teach core state standards-aligned concepts and skills
14 for grades 6 to 12 math and science, including middle school math
15 and algebra I. The virtual reality simulation program should
16 immerse students in real-world problems across the economy to build
17 career exposure and relevance, using 3-D models and interactives
18 that visualize and manipulate abstract mathematical concepts that
19 students typically struggle to grasp, retain, and apply.

20 (4) Awards received under this section must be used to support
21 career and technical education programs aligned with high-skill,
22 high-wage, and high-demand occupations across career clusters
23 aligned with local and market needs. A recipient may use an award
24 under this section to support virtual reality simulation programs
25 that reach multiple career clusters.

26 (5) Notwithstanding section 17b, the department shall make
27 payments under this section on a schedule determined by the
28 department.

29 Sec. 61x. (1) From the state school aid fund money



1 appropriated in section 11, there is allocated for 2026-2027 only
2 an amount not to exceed \$30,000,000.00 to reimburse districts and
3 intermediate districts with career and technical education programs
4 for the costs of providing career and technical education and
5 transportation to students outside the geographic boundaries of the
6 intermediate district. Funds allocated under this section are
7 intended to expand student access to, and enrollment in, career and
8 technical education programs.

9 (2) Districts and intermediate districts may enter into an
10 agreement with other intermediate districts, or districts residing
11 in the geographic boundaries of a different intermediate district,
12 to provide career and technical education and transportation to and
13 from career and technical education programs. Districts and
14 intermediate districts receiving funding under this section may not
15 charge other districts or intermediate districts for the provision
16 of services.

17 (3) The department shall determine the amount of the awards
18 provided under this section. It is the intent of the legislature
19 that payments are sufficient to incentivize districts and
20 intermediate districts to participate.

21 (4) Funds allocated in this section are a work project
22 appropriation, and any unexpended funds for 2026-2027 are carried
23 forward into 2027-2028. The purpose of the work project is to allow
24 sustained partnerships between districts and intermediate districts
25 for the provision of career and technical education. The estimated
26 completion date of the work project is September 30, 2029.

27 Sec. 62. (1) For the purposes of this section:

28 (a) "Membership" means for a particular fiscal year the total
29 membership of the intermediate district and the districts



1 constituent to the intermediate district or the total membership of
2 the area vocational-technical program, except that if a district
3 has elected not to come under sections 681 to 690 of the revised
4 school code, MCL 380.681 to 380.690, the membership of that
5 district are not included in the membership of the intermediate
6 district. However, the membership of a district that has elected
7 not to come under sections 681 to 690 of the revised school code,
8 MCL 380.681 to 380.690, is included in the membership of the
9 intermediate district if the district meets both of the following:

10 (i) The district operates the area vocational-technical
11 education program pursuant to a contract with the intermediate
12 district.

13 (ii) The district contributes an annual amount to the operation
14 of the program that is commensurate with the revenue that would
15 have been raised for operation of the program if millage were
16 levied in the district for the program under sections 681 to 690 of
17 the revised school code, MCL 380.681 to 380.690.

18 (b) "Millage levied" means the millage levied for area
19 vocational-technical education under sections 681 to 690 of the
20 revised school code, MCL 380.681 to 380.690, including a levy for
21 debt service obligations incurred as the result of borrowing for
22 capital outlay projects and in meeting capital projects fund
23 requirements of area vocational-technical education.

24 (c) "Taxable value" means the total taxable value of the
25 districts constituent to an intermediate district or area
26 vocational-technical education program, except that if a district
27 has elected not to come under sections 681 to 690 of the revised
28 school code, MCL 380.681 to 380.690, the taxable value of that
29 district is not included in the taxable value of the intermediate



1 district. However, the taxable value of a district that has elected
 2 not to come under sections 681 to 690 of the revised school code,
 3 MCL 380.681 to 380.690, is included in the taxable value of the
 4 intermediate district if the district meets both of the following:

5 (i) The district operates the area vocational-technical
 6 education program pursuant to a contract with the intermediate
 7 district.

8 (ii) The district contributes an annual amount to the operation
 9 of the program that is commensurate with the revenue that would
 10 have been raised for operation of the program if millage were
 11 levied in the district for the program under sections 681 to 690 of
 12 the revised school code, MCL 380.681 to 380.690.

13 (2) From the state school aid fund money appropriated in
 14 section 11, there is allocated an amount not to exceed
 15 \$9,190,000.00 each fiscal year for ~~2024-2025 and 2025-2026~~ **and**
 16 **2026-2027** to reimburse intermediate districts and area vocational-
 17 technical education programs established under section 690(3) of
 18 the revised school code, MCL 380.690, levying millages for area
 19 vocational-technical education under sections 681 to 690 of the
 20 revised school code, MCL 380.681 to 380.690. The purpose, use, and
 21 expenditure of the reimbursement are limited as if the funds were
 22 generated by those millages.

23 ~~(3) Reimbursement for those millages levied in 2023-2024 is~~
 24 ~~made in 2024-2025 at an amount per 2023-2024 membership pupil~~
 25 ~~computed by subtracting from \$269,800.00 the 2023-2024 taxable~~
 26 ~~value behind each membership pupil and multiplying the resulting~~
 27 ~~difference by the 2023-2024 millage levied, and then subtracting~~
 28 ~~from that amount the 2023-2024 local community stabilization share~~
 29 ~~revenue for area vocational technical education and 2023-2024 tax~~



~~increment revenues captured by a brownfield redevelopment authority created under the brownfield redevelopment financing act, 1996 PA 381, MCL 125.2651 to 125.2670, behind each membership pupil for reimbursement of personal property exemption loss under the local community stabilization authority act, 2014 PA 86, MCL 123.1341 to 123.1362, and reimbursements paid under section 26d for tax increment revenues captured by a brownfield redevelopment authority under the brownfield redevelopment financing act, 1996 PA 381, MCL 125.2651 to 125.2670. For the purposes of the calculation described in the previous sentence only, for an intermediate district receiving funds under this section and section 56, reimbursements paid under section 26d must be multiplied by the ratio of vocational-technical education millage levied, as defined in this section, and the sum of vocational-technical education millage levied and special education.~~

(3) ~~(4)~~ Reimbursement for those millages levied in 2024-2025 is made in 2025-2026 at an amount per 2024-2025 membership pupil computed by subtracting from ~~\$287,400.00~~ **\$288,300.00** the 2024-2025 taxable value behind each membership pupil and multiplying the resulting difference by the 2024-2025 millage levied, and then subtracting from that amount the 2024-2025 local community stabilization share revenue for area vocational technical education and 2024-2025 tax increment revenues captured by a brownfield redevelopment authority created under the brownfield redevelopment financing act, 1996 PA 381, MCL 125.2651 to 125.2670, behind each membership pupil for reimbursement of personal property exemption loss under the local community stabilization authority act, 2014 PA 86, MCL 123.1341 to 123.1362, and reimbursements paid under section 26d for tax increment revenues captured by a brownfield



1 redevelopment authority under the brownfield redevelopment
2 financing act, 1996 PA 381, MCL 125.2651 to 125.2670. For the
3 purposes of the calculation described in the previous sentence
4 only, for an intermediate district receiving funds under this
5 section and section 56, reimbursements paid under section 26d must
6 be multiplied by the ratio of vocational-technical education
7 millage levied, as defined in this section, and the sum of
8 vocational-technical education millage levied and special education
9 millage levied, as defined in section 56.

10 **(4) Reimbursement for those millages levied in 2025-2026 is**
11 **made in 2026-2027 at an amount per 2025-2026 membership pupil**
12 **computed by subtracting from \$303,400.00 the 2025-2026 taxable**
13 **value behind each membership pupil and multiplying the resulting**
14 **difference by the 2025-2026 millage levied, and then subtracting**
15 **from that amount the 2025-2026 local community stabilization share**
16 **revenue for area vocational technical education and 2025-2026 tax**
17 **increment revenues captured by a brownfield redevelopment authority**
18 **created under the brownfield redevelopment financing act, 1996 PA**
19 **381, MCL 125.2651 to 125.2670, behind each membership pupil for**
20 **reimbursement of personal property exemption loss under the local**
21 **community stabilization authority act, 2014 PA 86, MCL 123.1341 to**
22 **123.1362, and reimbursements paid under section 26d for tax**
23 **increment revenues captured by a brownfield redevelopment authority**
24 **under the brownfield redevelopment financing act, 1996 PA 381, MCL**
25 **125.2651 to 125.2670. For the purposes of the calculation described**
26 **in the previous sentence only, for an intermediate district**
27 **receiving funds under this section and section 56, reimbursements**
28 **paid under section 26d must be multiplied by the ratio of**
29 **vocational-technical education millage levied, as defined in this**



1 **section, and the sum of vocational-technical education millage**
2 **levied and special education millage levied, as defined in section**
3 **56.**

4 (5) The department shall ensure that the amount paid to a
5 single intermediate district under this section does not exceed
6 38.4% of the total amount allocated under subsection (2).

7 (6) The department shall ensure that the amount paid to a
8 single intermediate district under this section is not less than
9 75% of the amount allocated to the intermediate district under this
10 section for the immediately preceding fiscal year.

11 Sec. 67. (1) From the general fund money appropriated in
12 section 11, there is allocated an amount not to exceed
13 \$3,000,000.00 for ~~2025-2026~~**2026-2027** for college access programs.
14 The programs funded under this section are intended to inform
15 students of college and career options, to provide resources
16 intended to increase the number of pupils who are adequately
17 prepared with the information needed to make informed decisions on
18 college and career, support adult learners, support college
19 completion, and support workforce and employer engagement. The
20 funds appropriated under this section are intended to be used to
21 increase the number of Michigan residents with high-quality degrees
22 or credentials. Funds appropriated under this section must not be
23 used to supplant funding for counselors already funded by
24 districts.

25 (2) The department of lifelong education, advancement, and
26 potential shall administer funds allocated under this section in
27 collaboration with the Michigan college access network. These funds
28 may be used for any of the following purposes:

29 (a) Michigan college access network operations, programming,



1 and services to local college access networks.

2 (b) Local college access networks, which are community-based
3 college access/success partnerships committed to increasing the
4 college participation and completion rates within geographically
5 defined communities through a coordinated strategy.

6 (c) The Michigan college advising program, a program intended
7 to place trained, recently graduated college advisors in high
8 schools that serve significant numbers of low-income and first-
9 generation college-going pupils. State funds used for this purpose
10 may not exceed 33% of the total funds available under this
11 subsection.

12 (d) Subgrants of up to \$5,000.00 to districts with
13 comprehensive high schools that establish a college access team and
14 implement specific strategies to create a college-going culture in
15 a high school in a form and manner approved by the Michigan college
16 access network and the department of lifelong education,
17 advancement, and potential.

18 (e) The Michigan college access portal, an online one-stop
19 portal to help pupils and families plan and apply for college.

20 (f) Public awareness and outreach campaigns to encourage low-
21 income and first-generation college-going pupils to take necessary
22 steps toward college and to assist pupils and families in
23 completing a timely and accurate free application for federal
24 student aid.

25 (g) Subgrants to postsecondary institutions to recruit, hire,
26 and train college student mentors and college advisors to assist
27 high school pupils in navigating the postsecondary planning and
28 enrollment process.

29 (3) For the purposes of this section, "college" means any



1 postsecondary educational opportunity that leads to a career,
 2 including, but not limited to, a postsecondary degree, industry-
 3 recognized technical certification, or registered apprenticeship.

4 **Sec. 67d. (1) From the state school aid pupil support reserve**
 5 **fund money appropriated in section 11, there is allocated for 2026-**
 6 **2027 only an amount not to exceed \$900,000.00 to an intermediate**
 7 **district to partner with the department for the administration of a**
 8 **grant program to support hospitality and tourism CTE programs.**

9 **(2) Districts and intermediate districts may use funds**
 10 **received through grants under this section to partner with**
 11 **nonprofit organizations for the provision of hospitality and**
 12 **tourism CTE programs.**

13 **(3) Districts and intermediate districts shall apply for**
 14 **funding under this section in a form and manner determined by the**
 15 **department.**

16 **(4) Notwithstanding section 17b, the department shall make**
 17 **payments under this section on a schedule determined by the**
 18 **department.**

19 **(5) As used in this section, "hospitality and tourism CTE**
 20 **programs" means career and technical education programs that teach**
 21 **or train students in restaurant management, culinary arts or**
 22 **hospitality, and tourism management as part of career and**
 23 **professional development.**

24 **Sec. 74. (1) From the state school aid fund money appropriated**
 25 **in section 11, there is allocated an amount not to exceed**
 26 **~~\$3,949,900.00~~ \$4,003,100.00 for 2025-2026-2026-2027** **for the**
 27 **purposes of this section.**

28 **(2) From the allocation in subsection (1), there is allocated**
 29 **for ~~2025-2026~~ 2026-2027** **the amount necessary for payments to state**



1 supported colleges or universities and intermediate districts
2 providing school bus driver safety instruction under section 51 of
3 the pupil transportation act, 1990 PA 187, MCL 257.1851. The
4 department shall make payments in an amount determined by the
5 department not to exceed the actual cost of instruction and driver
6 compensation for each public or nonpublic school bus driver
7 attending a course of instruction. For the purpose of computing
8 compensation, the hourly rate allowed each school bus driver must
9 not exceed the hourly rate received for driving a school bus. The
10 department shall make reimbursement compensating the driver during
11 the course of instruction to the college or university or
12 intermediate district providing the course of instruction.

13 (3) From the allocation in subsection (1), there is allocated
14 for ~~2025-2026~~**2026-2027** the amount necessary to pay the reasonable
15 costs of nonspecial education auxiliary services transportation
16 provided under section 1323 of the revised school code, MCL
17 380.1323. Districts funded under this subsection do not receive
18 funding under any other section of this article for nonspecial
19 education auxiliary services transportation.

20 (4) From the funds allocated in subsection (1), there is
21 allocated an amount not to exceed ~~\$1,924,900.00~~**\$1,978,100.00** for
22 ~~2025-2026~~**2026-2027** for the inspection of school buses and pupil
23 transportation vehicles by the department of state police as
24 required under section 715a of the Michigan vehicle code, 1949 PA
25 300, MCL 257.715a, and section 39 of the pupil transportation act,
26 1990 PA 187, MCL 257.1839. The department of state police shall
27 prepare a statement of costs and submit it to the department and to
28 an intermediate district serving as fiduciary in a time and manner
29 determined jointly by the department and the department of state



1 police. Upon review and approval of the statement of cost, the
2 department shall forward to the designated intermediate district
3 serving as fiduciary the amount detailed on the statement within 45
4 days after receipt of the statement. The designated intermediate
5 district fiduciary shall make payment in the amount specified on
6 the statement to the department of state police within 45 days
7 after receipt of the statement. The total reimbursement of costs
8 under this subsection must not exceed the amount allocated under
9 this subsection. Notwithstanding section 17b, the department shall
10 make payments to eligible entities under this subsection on a
11 schedule prescribed by the department.

12 Sec. 81. (1) From the state school aid fund money appropriated
13 in section 11, there is allocated for ~~2025-2026~~**2026-2027** to
14 intermediate districts the sum necessary, but not to exceed
15 ~~\$83,157,700.00,~~**\$85,236,700.00,** to provide state aid to
16 intermediate districts under this section.

17 (2) The amount allocated under this section to each
18 intermediate school district for the current fiscal year is equal
19 to the allocation for the immediately preceding fiscal year plus an
20 equal percentage increase for all intermediate school districts. An
21 intermediate district shall use funding provided under this section
22 to comply with requirements of this article and the revised school
23 code that are applicable to intermediate districts, and for which
24 funding is not provided elsewhere in this article, and to provide
25 technical assistance to districts as authorized by the intermediate
26 school board.

27 (3) Intermediate districts receiving funds under this section
28 shall collaborate with the department to develop expanded
29 professional development opportunities for teachers to update and



1 expand their knowledge and skills needed to support the Michigan
2 merit curriculum.

3 (4) From the allocation in subsection (1), there is allocated
4 to an intermediate district, formed by the consolidation or
5 annexation of 2 or more intermediate districts or the attachment of
6 a total intermediate district to another intermediate district or
7 the annexation of all of the constituent K to 12 districts of a
8 previously existing intermediate district which has disorganized,
9 an additional allotment of \$3,500.00 each fiscal year for each
10 intermediate district included in the new intermediate district for
11 3 years following consolidation, annexation, or attachment.

12 (5) To receive funding under this section, an intermediate
13 district shall do all of the following:

14 (a) Demonstrate to the satisfaction of the department that the
15 intermediate district employs at least 1 person who is trained in
16 pupil accounting and auditing procedures, rules, and regulations.

17 (b) Demonstrate to the satisfaction of the department that the
18 intermediate district employs at least 1 person who is trained in
19 rules, regulations, and district reporting procedures for the
20 individual-level student data that serves as the basis for the
21 calculation of the district and high school graduation and dropout
22 rates.

23 (c) Comply with sections 1278a and 1278b of the revised school
24 code, MCL 380.1278a and 380.1278b.

25 (d) Furnish data and other information required by state and
26 federal law to the center and the department in the form and manner
27 specified by the center or the department, as applicable.

28 (e) Comply with section 1230g of the revised school code, MCL
29 380.1230g.



(f) Ensure that all districts located within the intermediate district's geographic boundaries have equitable access to the intermediate district's coordination activities and services, intermediate district-wide or regional meetings, regularly scheduled superintendent meetings, programming, events, email distribution lists, listservs, or other coordination or collaboration activities organized by or hosted in the intermediate district. In ensuring that all districts located within the geographic boundaries of the intermediate district have equitable access to the services, meetings, programming, events, email distribution lists, listservs, or activities, the intermediate district shall ensure that districts that are public school academies and that are located within the intermediate district's geographic boundaries are not excluded from the services, meetings, programming, events, email distribution lists, listservs, or activities organized by or hosted in the intermediate district if districts that are not public school academies and that are located within the geographic boundaries of the intermediate district are not excluded.

Sec. 94. (1) From the general fund money appropriated in section 11, there is allocated to the department for ~~2025-2026~~ **2026-2027** an amount not to exceed ~~\$2,600,000.00~~ **\$1,200,000.00** for efforts to increase the number of pupils who participate and succeed in advanced placement and international baccalaureate programs, and to support the college-level examination program (CLEP). ~~It is the intent of the legislature that, for 2026-2027, the allocation from the general fund money appropriated in section 11 for purposes described in this section will be \$1,200,000.00.~~

(2) From the funds allocated under this section, the



1 department shall award funds to cover all or part of the costs of
2 advanced placement test fees or international baccalaureate test
3 fees and international baccalaureate registration fees for low-
4 income pupils who take an advanced placement or an international
5 baccalaureate test and CLEP fees for low-income pupils who take a
6 CLEP test.

7 (3) The department shall only award funds under this section
8 if the department determines that all of the following criteria are
9 met:

10 (a) Each pupil for whom payment is made meets eligibility
11 requirements of the federal advanced placement test fee program
12 under the no child left behind act of 2001, Public Law 107-110, or
13 the every student succeeds act, Public Law 114-95, as applicable.

14 (b) The tests are administered by the college board, the
15 international baccalaureate organization, or another test provider
16 approved by the department.

17 (c) The pupil for whom payment is made pays at least \$5.00
18 toward the cost of each test for which payment is made.

19 (4) If funds remain after the awards granted in subsection
20 (2), the department shall award funds to reimburse a portion of the
21 costs associated with the provision of advanced placement (AP),
22 international baccalaureate (IB), or college-level examination
23 program (CLEP) exams for students whose family income exceeds low-
24 income status as determined by the department.

25 (5) The department shall establish procedures for awarding
26 funds under this section.

27 (6) Notwithstanding section 17b, the department shall make
28 payments under this section on a schedule determined by the
29 department.



1 Sec. 94a. (1) There is created within the state budget office
2 in the department of technology, management, and budget the center
3 for educational performance and information. The center shall do
4 all of the following:

5 (a) Coordinate the collection of all data required by state
6 and federal law from districts, intermediate districts, and
7 postsecondary institutions.

8 (b) Create, maintain, and enhance this state's P-20
9 longitudinal data system and ensure that it meets the requirements
10 of subsection (4).

11 (c) Collect data in the most efficient manner possible to
12 reduce the administrative burden on reporting entities, including,
13 but not limited to, electronic transcript services.

14 (d) Create, maintain, and enhance this state's web-based
15 educational portal to provide information to school leaders,
16 teachers, researchers, and the public in compliance with all
17 federal and state privacy laws. Data must include, but are not
18 limited to, all of the following:

19 (i) Data sets that link teachers to student information,
20 allowing districts to assess individual teacher impact on student
21 performance and consider student growth factors in teacher and
22 principal evaluation systems.

23 (ii) Data access or, if practical, data sets, provided for
24 regional data hubs that, in combination with local data, can
25 improve teaching and learning in the classroom.

26 (iii) Research-ready data sets for researchers to perform
27 research that advances this state's educational performance.

28 (e) Provide data in a useful manner to allow state and local
29 policymakers to make informed policy decisions.



1 (f) Provide public reports to the residents of this state to
2 allow them to assess allocation of resources and the return on
3 their investment in the education system of this state.

4 (g) Other functions as assigned by the state budget director.

5 (2) Each state department, officer, or agency that collects
6 information from districts, intermediate districts, or
7 postsecondary institutions as required under state or federal law
8 shall make arrangements with the center to ensure that the state
9 department, officer, or agency is in compliance with subsection
10 (1). This subsection does not apply to information collected by the
11 department of treasury under the uniform budgeting and accounting
12 act, 1968 PA 2, MCL 141.421 to 141.440a; the revised municipal
13 finance act, 2001 PA 34, MCL 141.2101 to 141.2821; the school bond
14 qualification, approval, and loan act, 2005 PA 92, MCL 388.1921 to
15 388.1939; or section 1351a of the revised school code, MCL
16 380.1351a.

17 (3) The center may enter into any interlocal agreements
18 necessary to fulfill its functions.

19 (4) The center shall ensure that the P-20 longitudinal data
20 system required under subsection (1)(b) meets all of the following:

21 (a) Includes data at the individual student level from
22 preschool through postsecondary education and into the workforce.

23 (b) Supports interoperability by using standard data
24 structures, data formats, and data definitions to ensure linkage
25 and connectivity in a manner that facilitates the exchange of data
26 among agencies and institutions within the state and between
27 states.

28 (c) Enables the matching of individual teacher and student
29 records so that an individual student may be matched with those



1 teachers providing instruction to that student.

2 (d) Enables the matching of individual teachers with
3 information about their certification and the institutions that
4 prepared and recommended those teachers for state certification.

5 (e) Enables data to be easily generated for continuous
6 improvement and decision-making, including timely reporting to
7 parents, teachers, and school leaders on student achievement.

8 (f) Ensures the reasonable quality, validity, and reliability
9 of data contained in the system.

10 (g) Provides this state with the ability to meet federal and
11 state reporting requirements.

12 (h) For data elements related to preschool through grade 12
13 and postsecondary, meets all of the following:

14 (i) Contains a unique statewide student identifier that does
15 not permit a student to be individually identified by users of the
16 system, except as allowed by federal and state law.

17 (ii) Contains student-level enrollment, demographic, and
18 program participation information, including data associated with
19 students who have been identified as having an affiliation to 1 or
20 more federally recognized Indian tribes and student participation
21 in federal programs funded under 20 USC 7401 to 7546 and
22 participation in federal programs funded under the Johnson-O'Malley
23 ~~Supplemental-supplemental Indian Education Program Modernization~~
24 ~~Act, education program modernization act~~, Public Law 115-404. Any
25 reports or data access related specifically to tribal affiliation
26 must be done through ongoing consultation with the federally
27 recognized tribes in the state with the expectation that the
28 center, the department, and the tribes will work iteratively toward
29 meaningful reports, access, and use of these records to improve



1 shared education interests and outcomes.

2 (iii) Contains student-level information about the points at
3 which students exit, transfer in, transfer out, drop out, or
4 complete education programs.

5 (iv) Has the capacity to communicate with higher education data
6 systems.

7 (i) For data elements related to preschool through grade 12
8 only, meets all of the following:

9 (i) Contains yearly test records of individual students for
10 assessments approved by DED-OESE for accountability purposes under
11 section 1111(b) of the elementary and secondary education act of
12 1965, 20 USC 6311, including information on individual students not
13 tested, by grade and subject.

14 (ii) Contains student-level transcript information, including
15 information on courses completed and grades earned.

16 (iii) Contains student-level college readiness test scores.

17 (j) For data elements related to postsecondary education only:

18 (i) Contains data that provide information regarding the extent
19 to which individual students transition successfully from secondary
20 school to postsecondary education, including, but not limited to,
21 all of the following:

22 (A) Enrollment in remedial coursework.

23 (B) Completion of 1 year's worth of college credit applicable
24 to a degree within 2 years of enrollment.

25 (ii) Contains data that provide other information determined
26 necessary to address alignment and adequate preparation for success
27 in postsecondary education.

28 (5) From the general fund money appropriated in section 11,
29 there is allocated an amount not to exceed ~~\$19,364,700.00~~



1 **\$19,548,500.00** for ~~2025-2026~~**-2026-2027** to the department of
2 technology, management, and budget to support the operations of the
3 center. In addition, from the federal funds appropriated in section
4 11, there is allocated for ~~2025-2026~~**-2026-2027** the amount
5 necessary, estimated at ~~\$2,193,500.00,~~**\$193,500.00**, to support the
6 operations of the center and to establish a P-20 longitudinal data
7 system necessary for state and federal reporting purposes. The
8 center shall cooperate with the department to ensure that this
9 state is in compliance with federal law and is maximizing
10 opportunities for increased federal funding to improve education in
11 this state.

12 (6) From the funds allocated in subsection (5), the center may
13 use an amount determined by the center for competitive grants for
14 ~~2025-2026~~**-2026-2027** to support collaborative efforts on the P-20
15 longitudinal data system. All of the following apply to grants
16 awarded under this subsection:

17 (a) The center shall award competitive grants to eligible
18 intermediate districts or a consortium of intermediate districts
19 based on criteria established by the center.

20 (b) Activities funded under the grant must support the P-20
21 longitudinal data system portal and may include portal hosting,
22 hardware and software acquisition, maintenance, enhancements, user
23 support and related materials, and professional learning tools and
24 activities aimed at improving the utility of the P-20 longitudinal
25 data system.

26 (c) An applicant that received a grant under this subsection
27 for the immediately preceding fiscal year has priority for funding
28 under this section. However, after 3 fiscal years of continuous
29 funding, an applicant is required to compete openly with new



1 applicants.

2 (7) Funds allocated under this section that are not expended
3 in the fiscal year in which they were allocated may be carried
4 forward to a subsequent fiscal year and are appropriated for the
5 purposes for which the funds were originally allocated.

6 (8) The center may bill departments as necessary to fulfill
7 reporting requirements of state and federal law. The center may
8 also enter into agreements to supply custom data, analysis, and
9 reporting to other principal executive departments, state agencies,
10 local units of government, and other individuals and organizations.
11 The center may receive and expend funds in addition to those
12 authorized in subsection (5) to cover the costs associated with
13 salaries, benefits, supplies, materials, and equipment necessary to
14 provide such data, analysis, and reporting services.

15 (9) As used in this section, "DED-OESE" means the United
16 States Department of Education Office of Elementary and Secondary
17 Education.

18 **Sec. 94f. (1) From the general fund money appropriated in**
19 **section 11, there is allocated not more than \$350,000.00 for 2026-**
20 **2027 to the department for the purposes described in this section.**

21 (2) Beginning with the 2026-2027 school year, and by not later
22 than the beginning of each subsequent school year, the department
23 shall develop a school accountability system that assigns a letter
24 grade of A, B, C, D, or F for each of the following indicators for
25 each public school in this state:

26 (a) Pupil proficiency in mathematics and English language
27 arts, as measured by the percentage of all pupils who achieve
28 proficiency on the applicable state assessment, as determined by
29 the department.



1 (b) Pupils who achieved adequate growth in mathematics and
2 English language arts on the applicable state assessment during the
3 preceding school year, with emphasis on the progress of the lowest
4 25% of pupils in the school.

5 (c) Pupils who are English language learners and who achieve
6 adequate growth toward proficiency in the English language, as
7 determined by the department and as required under the every
8 student succeeds act, Public Law 114-95.

9 (d) The 4-year graduation rate of pupils enrolled in high
10 school, as applicable and as defined by and reported to the center.

11 (e) Pupil proficiency in science, as measured by the
12 percentage of all pupils who achieved proficiency on the applicable
13 state assessment, as determined by the department.

14 (f) Pupil proficiency in high school social studies, as
15 measured by the percentage of all pupils who achieve proficiency on
16 the applicable state assessment, as determined by the department.

17 (g) Pupil participation and performance in accelerated
18 courses, including, but not limited to, advanced placement,
19 international baccalaureate, and dual credit college courses.

20 (h) Pupil performance on college and career readiness
21 assessments.

22 (3) The department shall annually collect and publicly report,
23 by district, the local school board's student promotion and
24 retention policy. This report must be published on the department's
25 website by May 1. Any school that does not provide this information
26 must be designated in the report as having failed to comply.

27 (4) The department must annually collect and publicly report,
28 by district, the number and percentage of students in grade 3 who
29 scored "not proficient" on the state English language arts test and

1 were promoted to grade 4. This report must be published on the
2 department's website by May 1. Any school that does not provide
3 this information must be designated in the report as having failed
4 to comply.

5 Sec. 95b. (1) From the state school aid fund money
6 appropriated under section 11, there is allocated for 2026-2027
7 only an amount not to exceed \$1,000,000.00 for a growth and
8 projection analytics system with student and teacher growth
9 reports.

10 (2) The growth and projections reporting platform must provide
11 continued hosting and delivery of reporting and offer the
12 department additional supports in the areas of research, analysis,
13 web reporting, and training.

14 (3) Funding under this section must be awarded to an
15 intermediate district to partner with the department and a platform
16 vendor to meet the requirements of this section. The platform
17 vendor must be determined through a competitive grant process.

18 (4) The department and the platform vendor shall provide
19 statewide training for educators to understand the reporting that
20 details the impact to student learning and growth

21 (5) The department shall provide internet-based electronic
22 student growth and projection reporting under this section to
23 educators at the school, district, and state levels. The reporting
24 must include role-based permissions that allow educators to access
25 information about the performance of the students within their
26 immediate responsibility in accordance with applicable privacy
27 laws.

28 (6) By not later than March 31, the department shall work with
29 the center to make data available on a publicly accessible website



1 **that provides student growth metrics at the district and school**
2 **level by grade and subject.**

3 Sec. 98. (1) From the general fund money appropriated in
4 section 11, there is allocated an amount not to exceed
5 \$9,800,000.00 for ~~2025-2026~~**-2026-2027** for the purposes described in
6 this section. The Michigan Virtual University shall provide a
7 report to the legislature not later than November 1 of each fiscal
8 year for which funding is allocated under this section that
9 includes its mission, its plans, and proposed benchmarks it must
10 meet, including a plan to achieve the organizational priorities
11 identified in this section, to receive full funding for the next
12 fiscal year for which funding is allocated under this section. By
13 not later than March 1 of each fiscal year for which funding is
14 allocated under this section, the Michigan Virtual University shall
15 provide an update to the house and senate appropriations
16 subcommittees on school aid to show the progress being made to meet
17 the benchmarks identified.

18 (2) The Michigan Virtual University shall operate the Michigan
19 Virtual Learning Research Institute. The Michigan Virtual Learning
20 Research Institute shall do all of the following:

21 (a) Support and accelerate innovation in education through the
22 following activities:

23 (i) Test, evaluate, and recommend as appropriate new
24 technology-based instructional tools and resources.

25 (ii) Research, design, and recommend virtual education delivery
26 models for use by pupils and teachers that include age-appropriate
27 multimedia instructional content.

28 (iii) Research, develop, and recommend annually to the
29 department criteria by which cyber schools and virtual course



1 providers should be monitored and evaluated to ensure a quality
2 education for their pupils.

3 (iv) Based on pupil completion and performance data reported to
4 the department or the center from cyber schools and other virtual
5 course providers operating in this state, analyze the effectiveness
6 of virtual learning delivery models in preparing pupils to be
7 college- and career-ready and publish a report that highlights
8 enrollment totals, completion rates, and the overall impact on
9 pupils. The Michigan Virtual Learning Research Institute shall
10 submit the report to the house and senate appropriations
11 subcommittees on school aid, the state budget director, the house
12 and senate fiscal agencies, the department, districts, and
13 intermediate districts by not later than March 31 of each fiscal
14 year for which funding is allocated under this section.

15 (v) Provide an extensive professional development program to
16 at least 30,000 educational personnel, including teachers, school
17 administrators, and school board members, that focuses on the
18 effective integration of virtual learning into curricula and
19 instruction. The Michigan Virtual Learning Research Institute is
20 encouraged to work with the MiSTEM council described in section 99s
21 to coordinate professional development of teachers in applicable
22 fields. In addition, the Michigan Virtual Learning Research
23 Institute and external stakeholders are encouraged to coordinate
24 with the department for professional development in this state,
25 including professional development for employees in child care
26 facilities, early childhood facilities, and after-school programs.
27 By not later than December 1 of each fiscal year for which funding
28 is allocated under this section, the Michigan Virtual Learning
29 Research Institute shall submit a report to the house and senate



1 appropriations subcommittees on school aid, the state budget
2 director, the house and senate fiscal agencies, and the department
3 on the number of teachers, school administrators, and school board
4 members who have received professional development services from
5 the Michigan Virtual University. The report must also include both
6 of the following:

7 (A) The identification of barriers and other opportunities to
8 encourage the adoption of virtual learning in the public education
9 system.

10 (B) A link to, and explanation of, the Michigan Virtual
11 University's online course standards for professional development
12 programming. The standards described in this sub-subparagraph must
13 inform learners how to file a complaint about course content and
14 detail the steps that will be taken for the review and resolution
15 of complaints.

16 (vi) Identify and share best practices for planning,
17 implementing, and evaluating virtual and blended education delivery
18 models with intermediate districts, districts, and public school
19 academies to accelerate the adoption of innovative education
20 delivery models statewide.

21 (b) Provide leadership for this state's system of virtual
22 learning education by doing the following activities:

23 (i) Develop and report policy recommendations to the governor
24 and the legislature that accelerate the expansion of effective
25 virtual learning in this state's schools.

26 (ii) Provide a clearinghouse for research reports, academic
27 studies, evaluations, and other information related to virtual
28 learning.

29 (iii) Promote and distribute the most current instructional



1 design standards and guidelines for virtual teaching.

2 (iv) In collaboration with the department and interested
3 colleges and universities in this state, support implementation and
4 improvements related to effective virtual learning instruction.

5 (v) Pursue public/private partnerships that include districts
6 to study and implement competency-based technology-rich virtual
7 learning models.

8 (vi) Create a statewide network of school-based mentors serving
9 as liaisons between pupils, virtual instructors, parents, and
10 school staff, as provided by the department or the center, and
11 provide mentors with research-based training and technical
12 assistance designed to help more pupils be successful virtual
13 learners.

14 (vii) Convene focus groups and conduct annual surveys of
15 teachers, administrators, pupils, parents, and others to identify
16 barriers and opportunities related to virtual learning.

17 (viii) Produce an annual consumer awareness report for schools
18 and parents about effective virtual education providers and
19 education delivery models, performance data, cost structures, and
20 research trends.

21 (ix) Provide an internet-based platform that educators can use
22 to create student-centric learning tools and resources for sharing
23 in the state's open educational resource repository and facilitate
24 a user network that assists educators in using the content creation
25 platform and state repository for open educational resources. As
26 part of this initiative, the Michigan Virtual University shall work
27 collaboratively with districts and intermediate districts to
28 establish a plan to make available virtual resources that align to
29 Michigan's K to 12 curriculum standards for use by students,



educators, and parents.

(x) Create and maintain a public statewide catalog of virtual learning courses being offered by all public schools and community colleges in this state. The Michigan Virtual Learning Research Institute shall identify and develop a list of nationally recognized best practices for virtual learning and use this list to support reviews of virtual course vendors, courses, and instructional practices. The Michigan Virtual Learning Research Institute shall also provide a mechanism for intermediate districts to use the identified best practices to review content offered by constituent districts. The Michigan Virtual Learning Research Institute shall review the virtual course offerings of the Michigan Virtual University, and make the results from these reviews available to the public as part of the statewide catalog. The Michigan Virtual Learning Research Institute shall ensure that the statewide catalog is made available to the public on the Michigan Virtual University website and shall allow the ability to link it to each district's website as provided for in section 21f. The statewide catalog must also contain all of the following:

(A) The number of enrollments in each virtual course in the immediately preceding school year.

(B) The number of enrollments that earned 60% or more of the total course points for each virtual course in the immediately preceding school year.

(C) The pass rate for each virtual course.

(xi) Support registration, payment services, and transcript functionality for the statewide catalog and train key stakeholders on how to use new features.

(xii) Collaborate with key stakeholders to examine district



1 level accountability and teacher effectiveness issues related to
2 virtual learning under section 21f and make findings and
3 recommendations publicly available.

4 (xiii) Provide a report on the activities of the Michigan
5 Virtual Learning Research Institute.

6 (3) To further enhance its expertise and leadership in virtual
7 learning, the Michigan Virtual University shall continue to operate
8 the Michigan Virtual School as a statewide laboratory and quality
9 model of instruction by implementing virtual and blended learning
10 solutions for Michigan schools in accordance with the following
11 parameters:

12 (a) The Michigan Virtual School must maintain its
13 accreditation status from recognized national and international
14 accrediting entities.

15 (b) The Michigan Virtual University shall use no more than
16 \$1,000,000.00 of the amount allocated under this section to
17 subsidize the cost paid by districts for virtual courses.

18 (c) In providing educators responsible for the teaching of
19 virtual courses as provided for in this section, the Michigan
20 Virtual School shall follow the requirements to request and assess,
21 and the department of state police shall provide, a criminal
22 history check and criminal records check under sections 1230 and
23 1230a of the revised school code, MCL 380.1230 and 380.1230a, in
24 the same manner as if the Michigan Virtual School were a school
25 district under those sections.

26 (4) From the funds allocated under subsection (1), the
27 Michigan Virtual University shall support the expansion of new
28 online and blended educator professional development programs.

29 (5) From the funds allocated under subsection (1), the



1 Michigan Virtual University shall operate a comprehensive statewide
2 laboratory designed to function as a hub for cutting-edge research,
3 the identification and dissemination of best practices, rigorous
4 experimentation, policy formulation, and proactive efforts to
5 enhance awareness about the responsible utilization of artificial
6 intelligence in schools.

7 (6) If the course offerings are included in the statewide
8 catalog of virtual courses under subsection (2)(b)(x), the Michigan
9 Virtual School operated by the Michigan Virtual University may
10 offer virtual course offerings, including, but not limited to, all
11 of the following:

12 (a) Information technology courses.

13 (b) College level equivalent courses, as that term is defined
14 in section 1471 of the revised school code, MCL 380.1471.

15 (c) Courses and dual enrollment opportunities.

16 (d) Programs and services for at-risk pupils.

17 (e) High school equivalency test preparation courses for
18 adjudicated youth.

19 (f) Special interest courses.

20 (g) Professional development programs for teachers, school
21 administrators, other school employees, and school board members.

22 (7) If a home-schooled or nonpublic school student is a
23 resident of a district that subscribes to services provided by the
24 Michigan Virtual School, the student may use the services provided
25 by the Michigan Virtual School to the district without charge to
26 the student beyond what is charged to a district pupil using the
27 same services.

28 (8) By not later than December 1 of each fiscal year for which
29 funding is allocated under this section, the Michigan Virtual



1 University shall provide a report to the house and senate
2 appropriations subcommittees on school aid, the state budget
3 director, the house and senate fiscal agencies, and the department
4 that includes at least all of the following information related to
5 the Michigan Virtual School for the preceding fiscal year:

6 (a) A list of the districts served by the Michigan Virtual
7 School.

8 (b) A list of virtual course titles available to districts.

9 (c) The total number of virtual course enrollments and
10 information on registrations and completions by course.

11 (d) The overall course completion rate percentage.

12 (9) In addition to the information listed in subsection (8),
13 the report under subsection (8) must also include a plan to serve
14 at least 600 schools with courses from the Michigan Virtual School
15 or with content available through the internet-based platform
16 identified in subsection (2) (b) (ix).

17 (10) The governor may appoint an advisory group for the
18 Michigan Virtual Learning Research Institute established under
19 subsection (2). The members of the advisory group serve at the
20 pleasure of the governor and without compensation. The purpose of
21 the advisory group is to make recommendations to the governor, the
22 legislature, and the president and board of the Michigan Virtual
23 University that will accelerate innovation in this state's
24 education system in a manner that will prepare elementary and
25 secondary students to be career and college ready and that will
26 promote the goal of increasing the percentage of residents of this
27 state with high-quality degrees and credentials to at least 60% by
28 2030.

29 (11) By not later than November 1 of each fiscal year for



1 which funding is allocated under this section, the Michigan Virtual
2 University shall submit to the house and senate appropriations
3 subcommittees on school aid, the state budget director, and the
4 house and senate fiscal agencies a detailed budget for that fiscal
5 year that includes a breakdown on its projected costs to deliver
6 virtual educational services to districts and a summary of the
7 anticipated fees to be paid by districts for those services. By not
8 later than March 1 each fiscal year for which funding is allocated
9 under this section, the Michigan Virtual University shall submit to
10 the house and senate appropriations subcommittees on school aid,
11 the state budget director, and the house and senate fiscal agencies
12 a breakdown on its actual costs to deliver virtual educational
13 services to districts and a summary of the actual fees paid by
14 districts for those services based on audited financial statements
15 for the immediately preceding fiscal year.

16 (12) As used in this section:

17 (a) "Blended learning" means a hybrid instructional delivery
18 model where pupils are provided content, instruction, and
19 assessment, in part at a supervised educational facility away from
20 home where the pupil and a teacher with a valid Michigan teaching
21 certificate are in the same physical location and in part through
22 internet-connected learning environments with some degree of pupil
23 control over time, location, and pace of instruction.

24 (b) "Cyber school" means a full-time instructional program of
25 virtual courses for pupils that may or may not require attendance
26 at a physical school location.

27 (c) "Virtual course" means a course of study that is capable
28 of generating a credit or a grade and that is provided in an
29 interactive learning environment in which the majority of the



1 curriculum is delivered using the internet and in which pupils are
2 separated from their instructor or teacher of record by time or
3 location, or both.

4 Sec. 99h. (1) From the state school aid pupil support reserve
5 fund money appropriated in section 11, there is allocated an amount
6 not to exceed \$5,000,000.00 for ~~2025-2026-2026-2027~~ only for
7 competitive grants to districts and intermediate districts, and
8 from the general pupil support reserve fund money appropriated in
9 section 11, there is allocated \$600,000.00 for ~~2025-2026-2026-2027~~
10 only for competitive grants to nonpublic schools, that provide
11 pupils in grades pre-K to 12 with expanded opportunities to improve
12 mathematics, science, computer science, and technology skills by
13 participating in robotics competition programs hosted by program
14 providers including, but not limited to, FIRST (for inspiration and
15 recognition of science and technology) Robotics, including FIRST
16 Lego League - Discover, Explore, and Challenge, FIRST Tech
17 challenge, and FIRST Robotics competition, LTU Robofest, MATE
18 (Marine Advanced Technical Education), REC (Robotics Education
19 Competition) Foundation, Square One Education Network, VEX, and
20 other providers approved by the department. It is the intent of the
21 legislature that the appropriations under this section will be
22 funded with state school aid pupil support reserve fund money and
23 general pupil support reserve fund money through 2027-2028. All
24 approved providers shall make all programs available to students in
25 this state regardless of geographical location. Programs funded
26 under this section are intended to increase the number of pupils
27 demonstrating proficiency in science and mathematics on the state
28 assessments and to increase the number of pupils who are college-
29 and career-ready upon high school graduation. Notwithstanding



1 section 17b, the department shall make grant payments to districts,
2 nonpublic schools, and intermediate districts under this section on
3 a schedule determined by the department. The department shall set
4 maximum grant awards for each different level of programming and
5 competition in a manner that both maximizes the number of teams
6 that will be able to receive funds and expands the geographical
7 distribution of teams. Districts and intermediate districts that
8 receive funds under this section must provide relevant student
9 participation information, as determined by the department, to
10 program and competition providers described in this section. For a
11 district or intermediate district to count a program competition
12 provider for purposes of payments under this section, the program
13 and competition providers must agree to aggregate data received by
14 districts and intermediate districts and provide this information
15 to the department in a form and manner determined by the
16 department.

17 (2) The department shall do all of the following for purposes
18 of this section:

19 (a) Both of the following by not later than 60 days after the
20 state school aid appropriations bill for the current fiscal year is
21 enacted into law or October 1 of the current fiscal year, whichever
22 is later:

23 (i) Open applications for funding under this section to all
24 districts, nonpublic schools, and intermediate districts.

25 (ii) Publish a list of approved programs and vendors for
26 purposes of this section in a manner that is accessible to all
27 applicants. To obtain approval under this subparagraph, a program
28 or vendor must submit to the department registration information,
29 including any fees; pledge that it will post this information on



1 its website; and, by not later than January 1 of the current fiscal
2 year, submit this information to the department for publication on
3 the department's website.

4 (b) By not later than 60 days after applications are opened as
5 described in subdivision (a), close applications under this
6 section.

7 (c) By not later than 60 days after applications are closed as
8 described in subdivision (b), make all determinations concerning
9 funding under this section.

10 (d) By not later than July 1 of the current fiscal year,
11 publish a document listing the requirements for becoming an
12 approved program or vendor under subdivision (a).

13 (3) Except as otherwise provided under this subsection, if
14 funding under this section is insufficient to fulfill all funding
15 requests by qualified applicants under this section, the department
16 shall prorate the total funding allocated under this section
17 equally among all qualified applicants. However, for funding under
18 this section toward grants under subsection (5)(b), in its
19 proration under this subsection, the department shall ensure that
20 each district is paid in an amount equal to the percentage the
21 department would have paid the district in grant funding under
22 subsection (5)(b), but for proration under this subsection, with no
23 district receiving a grant under subsection (5)(b) in an amount
24 that is greater than the district's total accrued costs under
25 subsection (5)(b).

26 (4) A district, nonpublic school, or intermediate district
27 applying for a grant under this section must submit an application
28 in a form and manner prescribed by the department. To be eligible
29 for a grant, a district, nonpublic school, or intermediate district



1 must demonstrate in its application that the district, nonpublic
2 school, or intermediate district has established a partnership for
3 the purposes of the robotics program with at least 1 sponsor,
4 business entity, higher education institution, technical school, or
5 individual, must submit a budget, and must provide a local in-kind
6 or cash match from other private or local funds of at least 25% of
7 the cost of the robotics program award.

8 (5) The department shall distribute the grant funding under
9 this section for the following purposes:

10 (a) Grants to districts, nonpublic schools, or intermediate
11 districts to pay for stipends not to exceed \$1,500.00 per building
12 for coaching.

13 (b) Grants to districts, nonpublic schools, or intermediate
14 districts for event registrations, materials, travel costs, and
15 other expenses associated with the preparation for and attendance
16 at robotics events and competitions.

17 (c) Grants to districts, nonpublic schools, or intermediate
18 districts for awards to teams that advance to the next levels of
19 competition as determined by the department. The department shall
20 determine an equal amount per team for those teams that advance.

21 (6) A nonpublic school that receives a grant under this
22 section may use the funds for either robotics or Science Olympiad
23 programs.

24 (7) To be eligible to receive funds under this section, a
25 nonpublic school must be a nonpublic school registered with the
26 department and must meet all applicable state reporting
27 requirements for nonpublic schools.

28 (8) To be eligible to receive a grant under this section, a
29 district, nonpublic school, or intermediate district must do all of



1 the following:

2 (a) If the district, nonpublic school, or intermediate
3 district is requesting funding for more than 1 team for a building,
4 meet the minimum requirements for team size as determined by the
5 approved program provider.

6 (b) Participate in at least the minimum number of competitions
7 as determined by the approved program provider.

8 (c) Participate in at least 1 in-person competition.

9 (9) For purposes of this section, an approved program or
10 vendor under this section that provides a program under this
11 section shall not work with the department to set prices or
12 policies for the program.

13 (10) As used in this section, "current fiscal year" means the
14 fiscal year for which an allocation is made under this section.

15 Sec. 101. (1) To be eligible to receive state aid under this
16 article, not later than the fifth Wednesday after the pupil
17 membership count day and not later than the fifth Wednesday after
18 the supplemental count day, each district superintendent shall
19 submit and certify to the center and the intermediate
20 superintendent, in the form and manner prescribed by the center,
21 the number of pupils enrolled and in regular daily attendance,
22 including identification of tuition-paying pupils, in the district
23 as of the pupil membership count day and as of the supplemental
24 count day, as applicable, for the current school year. In addition,
25 a district maintaining school during the entire year shall submit
26 and certify to the center and the intermediate superintendent, in
27 the form and manner prescribed by the center, the number of pupils
28 enrolled and in regular daily attendance in the district for the
29 current school year pursuant to rules promulgated by the



1 superintendent. Not later than the sixth Wednesday after the pupil
2 membership count day and not later than the sixth Wednesday after
3 the supplemental count day, the district shall resolve any pupil
4 membership conflicts with another district, correct any data
5 issues, and recertify the data in a form and manner prescribed by
6 the center and file the certified data with the intermediate
7 superintendent. If a district fails to submit and certify the
8 attendance data, as required under this subsection, the center
9 shall notify the department and the department shall withhold state
10 aid due to be distributed under this article from the defaulting
11 district immediately, beginning with the next payment after the
12 failure and continuing with each payment until the district
13 complies with this subsection. If a district does not comply with
14 this subsection by the end of the fiscal year, the district
15 forfeits the amount withheld. A person who willfully falsifies a
16 figure or statement in the certified and sworn copy of enrollment
17 is subject to penalty as prescribed by section 161.

18 (2) To be eligible to receive state aid under this article,
19 not later than the twenty-fourth Wednesday after the pupil
20 membership count day and not later than the twenty-fourth Wednesday
21 after the supplemental count day, an intermediate district shall
22 submit to the center, in a form and manner prescribed by the
23 center, the audited enrollment and attendance data as described in
24 subsection (1) for the pupils of its constituent districts and of
25 the intermediate district. If an intermediate district fails to
26 submit the audited data as required under this subsection, the
27 department shall withhold state aid due to be distributed under
28 this article from the defaulting intermediate district immediately,
29 beginning with the next payment after the failure and continuing



1 with each payment until the intermediate district complies with
2 this subsection. If an intermediate district does not comply with
3 this subsection by the end of the fiscal year, the intermediate
4 district forfeits the amount withheld.

5 (3) Except as otherwise provided in subsections (11) and (12)
6 all of the following apply to the provision of pupil instruction:

7 (a) Except as otherwise provided in this section, each
8 district shall provide at least 1,098 hours and 180 days of pupil
9 instruction. If a collective bargaining agreement that provides a
10 complete school calendar was in effect for employees of a district
11 as of June 24, 2014, and if that school calendar is not in
12 compliance with this subdivision, then this subdivision does not
13 apply to that district until after the expiration of that
14 collective bargaining agreement. A district may apply for a waiver
15 under subsection (9) or subdivision (h) from the requirements of
16 this subdivision.

17 (b) Except as otherwise provided in this article, a district
18 failing to comply with the required minimum hours and days of pupil
19 instruction under this subsection forfeits from its total state aid
20 allocation an amount determined by applying a ratio of the number
21 of hours or days the district was in noncompliance in relation to
22 the required minimum number of hours and days under this
23 subsection. Not later than the first business day in August, the
24 board of each district shall either certify to the department that
25 the district was in full compliance with this section regarding the
26 number of hours and days of pupil instruction in the previous
27 school year, or report to the department, in a form and manner
28 prescribed by the center, each instance of noncompliance. If the
29 district did not provide at least the required minimum number of



1 hours and days of pupil instruction under this subsection, the
2 department shall make the deduction of state aid in the following
3 fiscal year from the first payment of state school aid. A district
4 is not subject to forfeiture of funds under this subsection for a
5 fiscal year in which a forfeiture was already imposed under
6 subsection (6).

7 (c) Hours or days lost because of strikes or teachers'
8 conferences are not counted as hours or days of pupil instruction.

9 (d) Except as otherwise provided in subdivisions (e), ~~and (f)~~,
10 **(h), and (i)**, if a district does not have at least 75% of the
11 district's membership in attendance on any day of pupil
12 instruction, the department shall pay the district state aid in
13 that proportion of 1/180 that the actual percent of attendance
14 bears to 75%.

15 (e) If a district adds 1 or more days of pupil instruction to
16 the end of its instructional calendar for a school year to comply
17 with subdivision (a) because the district otherwise would fail to
18 provide the required minimum number of days of pupil instruction
19 even after the operation of subsection (4) due to conditions not
20 within the control of school authorities, then subdivision (d) does
21 not apply for any day of pupil instruction that is added to the end
22 of the instructional calendar. Instead, for any of those days, if
23 the district does not have at least 60% of the district's
24 membership in attendance on that day, the department shall pay the
25 district state aid in that proportion of 1/180 that the actual
26 percentage of attendance bears to 60%. For any day of pupil
27 instruction added to the instructional calendar as described in
28 this subdivision, the district shall report to the department the
29 percentage of the district's membership that is in attendance, in



1 the form and manner prescribed by the department.

2 (f) At the request of a district that operates a department-
3 approved alternative education program and that does not provide
4 instruction for pupils in all of grades K to 12, the superintendent
5 shall grant a waiver from the requirements of subdivision (d). The
6 waiver must provide that an eligible district is subject to the
7 proration provisions of subdivision (d) only if the district does
8 not have at least 50% of the district's membership in attendance on
9 any day of pupil instruction. In order to be eligible for this
10 waiver, a district must maintain records to substantiate its
11 compliance with the following requirements:

12 (i) The district offers the minimum hours of pupil instruction
13 as required under this section.

14 (ii) For each enrolled pupil, the district uses appropriate
15 academic assessments to develop an individual education plan that
16 leads to a high school diploma.

17 (iii) The district tests each pupil to determine academic
18 progress at regular intervals and records the results of those
19 tests in that pupil's individual education plan.

20 (g) All of the following apply to a waiver granted under
21 subdivision (f):

22 (i) If the waiver is for a blended model of delivery, a waiver
23 that is granted for the 2011-2012 fiscal year or a subsequent
24 fiscal year remains in effect unless it is revoked by the
25 superintendent.

26 (ii) If the waiver is for a 100% online model of delivery and
27 the educational program for which the waiver is granted makes
28 educational services available to pupils for a minimum of at least
29 1,098 hours during a school year and ensures that each pupil



1 participates in the educational program for at least 1,098 hours
 2 during a school year, a waiver that is granted for the 2011-2012
 3 fiscal year or a subsequent fiscal year remains in effect unless it
 4 is revoked by the superintendent.

5 (iii) A waiver that is not a waiver described in subparagraph
 6 (i) or (ii) is valid for 3 fiscal years, unless it is revoked by the
 7 superintendent, and must be renewed at the end of the 3-year period
 8 to remain in effect.

9 ~~(h) For the 2024-2025 school year only, a district does not~~
 10 ~~need to meet the minimum number of hours and days of pupil~~
 11 ~~instruction requirement under subdivision (a) if that district~~
 12 ~~meets all of the following requirements:~~

13 ~~(i) The district is located wholly or partially in a county~~
 14 ~~that is covered by a state of emergency declared by the governor.~~

15 ~~(ii) A majority of the district board votes to exempt the~~
 16 ~~district from the minimum number of hours and days of pupil~~
 17 ~~instruction required under subdivision (a).~~

18 ~~(iii) The vote by the district board under subparagraph (ii)~~
 19 ~~exempts the district from providing only the hours and days of~~
 20 ~~pupil instruction actually missed due to the state of emergency.~~

21 ~~(iv) The vote by the district board under subparagraph (ii)~~
 22 ~~exempts the district from not more than 15 days of pupil~~
 23 ~~instruction required under subdivision (a). The amount that may be~~
 24 ~~exempted under this subdivision is in addition to any days counted~~
 25 ~~as pupil instruction under subsection (4).~~

26 **(h) Subdivision (d) does not apply to a district-operated**
 27 **special education program approved by the department if the**
 28 **program's instructional calendar exceeds 180 days of pupil**
 29 **instruction. For any day of instruction provided as part of a**

1 qualifying program under this subdivision, the district-operated
2 special education program is exempt from the attendance threshold
3 established under subdivision (d), provided that the district-
4 operated special education program offers the minimum hours of
5 pupil instruction required under this section and maintains
6 documentation of the program's approved instructional calendar.

7 (i) At the request of a district with fewer than 100 pupils in
8 membership as reported in the most recent fall pupil count, the
9 superintendent shall grant a waiver from the requirements of
10 subdivision (d) if the district demonstrates that the absence of a
11 single household may materially reduce the district's daily
12 attendance percentage below the threshold established in
13 subdivision (d). A waiver granted under this subdivision must
14 provide that the district is subject to the proration provisions of
15 subdivision (d) only if the district does not have at least 60% of
16 the district's membership in attendance on any day of pupil
17 instruction. The district shall maintain records necessary to
18 substantiate its eligibility for the waiver granted under this
19 subdivision.

20 (j) ~~(i)~~—The superintendent shall promulgate rules for the
21 implementation of this subsection.

22 (4) All of the following apply to the counting of days and
23 hours of pupil instruction under this section:

24 (a) Except as otherwise provided in this subsection, the first
25 6 days or the equivalent number of hours for which pupil
26 instruction is not provided because of conditions not within the
27 control of school authorities, such as severe storms, fires,
28 epidemics, utility power unavailability, water or sewer failure, or
29 health conditions as defined by the city, county, or state health



1 authorities, are counted as hours and days of pupil instruction.

2 (b) With the approval of the superintendent of public
3 instruction, the department shall count as hours and days of pupil
4 instruction for a fiscal year not more than 3 additional days or
5 the equivalent number of additional hours for which pupil
6 instruction is not provided in a district due to unusual and
7 extenuating occurrences resulting from conditions not within the
8 control of school authorities such as those conditions described in
9 this subsection.

10 (c) A district that counts hours or days of professional
11 development for teachers as hours or days of pupil instruction, as
12 provided under subsection (10), is eligible to have additional
13 hours or days counted as hours and days of pupil instruction as
14 provided under subdivision (b) to the same extent as a district
15 that does not count hours or days of professional development for
16 teachers as hours or days of pupil instruction.

17 (d) In deciding whether or not to approve the counting of
18 additional hours or days of pupil instruction under subdivision (b)
19 for a district, the superintendent of public instruction shall not
20 take into account whether or not the district counts hours or days
21 of professional development for teachers as hours or days of pupil
22 instruction, as provided under subsection (10).

23 (e) Subsequent hours or days beyond those described in
24 subdivisions (a) and (b) are not counted as hours or days of pupil
25 instruction.

26 (5) A district does not forfeit part of its state aid
27 appropriation because it adopts or has in existence an alternative
28 scheduling program for pupils in kindergarten if the program
29 provides at least the number of hours required under subsection (3)



1 for a full-time equated membership for a pupil in kindergarten as
2 provided under section 6(4).

3 (6) In addition to any other penalty or forfeiture under this
4 section, if at any time the department determines that 1 or more of
5 the following have occurred in a district, the district forfeits in
6 the current fiscal year beginning in the next payment to be
7 calculated by the department a proportion of the funds due to the
8 district under this article that is equal to the proportion below
9 the required minimum number of hours and days of pupil instruction
10 under subsection (3), as specified in the following:

11 (a) The district fails to operate its schools for at least the
12 required minimum number of hours and days of pupil instruction
13 under subsection (3) in a school year, including hours and days
14 counted under subsection (4).

15 (b) The board of the district takes formal action not to
16 operate its schools for at least the required minimum number of
17 hours and days of pupil instruction under subsection (3) in a
18 school year, including hours and days counted under subsection (4).

19 (7) In providing the minimum number of hours and days of pupil
20 instruction required under subsection (3), a district shall use the
21 following guidelines, and a district shall maintain records to
22 substantiate its compliance with the following guidelines:

23 (a) Except as otherwise provided in this subsection, a pupil
24 must be scheduled for at least the required minimum number of hours
25 of instruction, excluding study halls, or at least the sum of 90
26 hours plus the required minimum number of hours of instruction,
27 including up to 2 study halls.

28 (b) The time a pupil is assigned to any tutorial activity in a
29 block schedule may be considered instructional time, unless that



1 time is determined in an audit to be a study hall period.

2 (c) Except as otherwise provided in this subdivision, a pupil
3 in grades 9 to 12 for whom a reduced schedule is determined to be
4 in the individual pupil's best educational interest, or a pupil in
5 grades 6 to 8 for whom a reduced schedule is determined to be in
6 the individual pupil's best educational interest due to the pupil's
7 participation in an advanced curriculum, must be scheduled for a
8 number of hours equal to at least 80% of the required minimum
9 number of hours of pupil instruction to be considered a full-time
10 equivalent pupil. A pupil in grades 6 to 12 who is scheduled in a
11 4-block schedule may receive a reduced schedule under this
12 subsection if the pupil is scheduled for a number of hours equal to
13 at least 75% of the required minimum number of hours of pupil
14 instruction to be considered a full-time equivalent pupil.

15 (d) For a pupil in grades 9 to 12 enrolled in a cooperative
16 education program, or for a special education pupil, in determining
17 full-time equated membership for that pupil, the pupil is not
18 considered less than a full-time equated pupil solely because of
19 the effect of the pupil's enrollment in the cooperative education
20 program or special education program, including necessary travel
21 time, on the number of class hours provided by the district to the
22 pupil.

23 (e) In grades 7 through 12, instructional time that is part of
24 a Junior Reserve Officer Training Corps (JROTC) program is
25 considered to be pupil instruction time regardless of whether the
26 instructor is a certificated teacher if all of the following are
27 met:

28 (i) The instructor has met all of the requirements established
29 by the United States Department of Defense and the applicable



1 branch of the armed services for serving as an instructor in the
2 Junior Reserve Officer Training Corps program.

3 (ii) The board of the district or intermediate district
4 employing or assigning the instructor complies with the
5 requirements of sections 1230 and 1230a of the revised school code,
6 MCL 380.1230 and 380.1230a, with respect to the instructor to the
7 same extent as if employing the instructor as a regular classroom
8 teacher.

9 (8) Except as otherwise provided in subsections (11) and (12),
10 the department shall apply the guidelines under subsection (7) in
11 calculating the full-time equivalency of pupils.

12 (9) Upon application by the district for a particular fiscal
13 year, the superintendent shall waive for a district the minimum
14 number of hours and days of pupil instruction requirement of
15 subsection (3) for a department-approved alternative education
16 program or another innovative program approved by the department,
17 including a 4-day school week. If a district applies for and
18 receives a waiver under this subsection and complies with the terms
19 of the waiver, the district is not subject to forfeiture under this
20 section for the specific program covered by the waiver. If the
21 district does not comply with the terms of the waiver, the amount
22 of the forfeiture is calculated based upon a comparison of the
23 number of hours and days of pupil instruction actually provided to
24 the minimum number of hours and days of pupil instruction required
25 under subsection (3). A district shall report pupils enrolled in a
26 department-approved alternative education program under this
27 subsection to the center in a form and manner determined by the
28 center. All of the following apply to a waiver granted under this
29 subsection:



1 (a) If the waiver is for a blended model of delivery, a waiver
2 that is granted for the 2011-2012 fiscal year or a subsequent
3 fiscal year remains in effect unless it is revoked by the
4 superintendent.

5 (b) If the waiver is for a 100% online model of delivery and
6 the educational program for which the waiver is granted makes
7 educational services available to pupils for a minimum of at least
8 1,098 hours during a school year and ensures that each pupil is on
9 track for course completion at proficiency level, a waiver that is
10 granted for the 2011-2012 fiscal year or a subsequent fiscal year
11 remains in effect unless it is revoked by the superintendent.

12 (c) A waiver that is not a waiver described in subdivision (a)
13 or (b) is valid for 3 fiscal years, unless it is revoked by the
14 superintendent, and must be renewed at the end of the 3-year period
15 to remain in effect.

16 (10) A district may count up to 38 hours of professional
17 development for teachers as hours of pupil instruction. All of the
18 following apply to the counting of professional development as
19 pupil instruction under this subsection:

20 (a) If the professional development exceeds 5 hours in a
21 single day, that day may be counted as a day of pupil instruction.

22 (b) At least 8 hours of the professional development counted
23 as hours of pupil instruction under this subsection must be
24 recommended by a districtwide professional development advisory
25 committee appointed by the district board. The advisory committee
26 must be composed of teachers employed by the district who represent
27 a variety of grades and subject matter specializations, including
28 special education; nonteaching staff; parents; and administrators.
29 The majority membership of the committee must be composed of



1 teaching staff.

2 (c) Professional development provided online is allowable and
3 encouraged, as long as the instruction has been approved by the
4 district. The department shall issue a list of approved online
5 professional development providers that must include the Michigan
6 Virtual School.

7 (d) Professional development may only be counted as hours of
8 pupil instruction under this subsection for the pupils of those
9 teachers scheduled to participate in the professional development.

10 (e) The professional development must meet all of the
11 following to be counted as pupil instruction under this subsection:

12 (i) Be aligned to the school or district improvement plan for
13 the school or district in which the professional development is
14 being provided.

15 (ii) Be linked to 1 or more criteria in the evaluation tool
16 developed or adopted by the district or intermediate district under
17 section 1249 of the revised school code, MCL 380.1249.

18 (iii) Has been approved by the department as counting for state
19 continuing education clock hours. The number of hours of
20 professional development counted as hours of pupil instruction
21 under this subsection may not exceed the number of state continuing
22 education clock hours for which the professional development was
23 approved.

24 (iv) Not more than a combined total of 10 hours of the
25 professional development takes place before the first scheduled day
26 of school for the school year ending in the fiscal year and after
27 the last scheduled day of school for that school year.

28 (v) Not more than 10 hours of the professional development
29 takes place in a single month.



(vi) At least 75% of teachers scheduled to participate in the professional development are in attendance.

(11) Subsections (3) and (8) do not apply to a school of excellence that is a cyber school, as that term is defined in section 551 of the revised school code, MCL 380.551, and is in compliance with section 553a of the revised school code, MCL 380.553a. Beginning July 1, 2021, this subsection is subject to section 8c. It is the intent of the legislature that the immediately preceding sentence apply retroactively and is effective July 1, 2021.

(12) Subsections (3) and (8) do not apply to eligible pupils enrolled in a dropout recovery program that meets the requirements of section 23a. As used in this subsection, "eligible pupil" means that term as defined in section 23a.

(13) At least every 2 years the superintendent shall review the waiver standards set forth in the pupil accounting and auditing manuals to ensure that the waiver standards and waiver process continue to be appropriate and responsive to changing trends in online learning. The superintendent shall solicit and consider input from stakeholders as part of this review.

Sec. 104. (1) To receive state aid under this article, a district shall comply with sections 1249, 1278a, 1278b, 1279g, and 1280b of the revised school code, MCL 380.1249, 380.1278a, 380.1278b, 380.1279g, and 380.1280b, and 1970 PA 38, MCL 388.1081 to 388.1086. Subject to subsection (2), from the state school aid fund money appropriated in section 11, there is allocated for ~~2024-2025 \$39,509,400.00, and there is allocated for 2025-2026 \$37,509,400.00,~~ **\$40,000,000.00, and there is allocated for 2026-2027 \$44,500,000.00,** for payments on behalf of districts for costs



1 associated with complying with those provisions of law. In
2 addition, from the federal funds appropriated in section 11, there
3 is allocated for 2025-2026 **and 2026-2027** an amount estimated at
4 \$8,000,000.00 funded from DED-OESE, title VI, state assessment
5 funds, and from DED-OSERS, part B of the individuals with
6 disabilities education act, 20 USC 1411 to 1419, plus any carryover
7 federal funds from previous year appropriations, for the purposes
8 of complying with the every student succeeds act, Public Law 114-
9 95.

10 (2) The results of each test administered as part of the
11 Michigan student test of educational progress (M-STEP), including
12 tests administered to high school students, must include an item
13 analysis that lists all items that are counted for individual pupil
14 scores and the percentage of pupils choosing each possible
15 response. The department shall work with the center to identify the
16 number of students enrolled at the time assessments are given by
17 each district. In calculating the percentage of pupils assessed for
18 a district's scorecard, the department shall use only the number of
19 pupils enrolled in the district at the time the district
20 administers the assessments and shall exclude pupils who enroll in
21 the district after the district administers the assessments.

22 (3) The department shall distribute federal funds allocated
23 under this section in accordance with federal law and with
24 flexibility provisions outlined in Public Law 107-116, and in the
25 education flexibility partnership act of 1999, Public Law 106-25.

26 (4) The department may recommend, but may not require,
27 districts to allow pupils to use an external keyboard with tablet
28 devices for online M-STEP testing, including, but not limited to,
29 open-ended test items such as constructed response or equation



1 builder items.

2 (5) Notwithstanding section 17b, the department shall make
3 payments on behalf of districts, intermediate districts, and other
4 eligible entities under this section on a schedule determined by
5 the department.

6 (6) From the allocation in subsection (1), there is allocated
7 \$500,000.00 for ~~2024-2025 and 2025-2026~~ **and 2026-2027** for the
8 operation of an online reporting tool to provide student-level
9 assessment data in a secure environment to educators, parents, and
10 pupils immediately after assessments are scored. The department and
11 the center shall ensure that any data collected by the online
12 reporting tool do not provide individually identifiable student
13 data to the federal government.

14 (7) As used in this section:

15 (a) "DED" means the United States Department of Education.

16 (b) "DED-OESE" means the DED Office of Elementary and
17 Secondary Education.

18 (c) "DED-OSERS" means the DED Office of Special Education and
19 Rehabilitative Services.

20 Sec. 104h. (1) From the state school aid fund money
21 appropriated under section 11, there is allocated for ~~2025-2026~~
22 **2026-2027** an amount not to exceed \$11,500,000.00 to districts to
23 implement benchmark assessments. ~~during the 2025-2026 school year.~~
24 All of the following apply to the benchmark assessment system
25 described in this subsection:

26 (a) The system must provide for all of the following:

27 (i) That, within the first 9 weeks of the ~~2025-2026~~ school
28 year, the district shall administer 1 or more benchmark assessments
29 provided by a provider approved under subsection ~~(6)~~, **(5)**,



1 benchmark assessments described in subdivision (b), or local
 2 benchmark assessments, or any combination thereof, to all pupils in
 3 grades K to 8 to measure proficiency in reading and mathematics.

4 (ii) That, in addition to the benchmark assessment or benchmark
 5 assessments administered under subparagraph (i), by not later than
 6 the last day of the ~~2025-2026~~ school year, the district shall
 7 administer the benchmark assessment or assessments administered
 8 under subparagraph (i) to all pupils in grades K to 8 to measure
 9 proficiency in reading and mathematics. To support fall to spring
 10 growth calculations, the same benchmark assessment that is
 11 administered in the fall must be administered in the ~~spring~~-last
 12 **marking period of the school year.**

13 (b) Except as otherwise provided in this section, a district
 14 may administer 1 or more of the following benchmark assessments
 15 toward meeting the requirements under subdivision (a):

16 (i) A benchmark assessment in reading for students in grades K
 17 to 9 that contains progress monitoring tools and enhanced
 18 diagnostic assessments.

19 (ii) A benchmark assessment in math for students in grades K to
 20 8 that contains progress monitoring tools.

21 (c) The system must provide that, to the extent practicable,
 22 if a district administers a benchmark assessment or benchmark
 23 assessments under this section, the district shall administer the
 24 same benchmark assessment or benchmark assessments provided by a
 25 provider approved under subsection ~~(6)~~, **(5)**, benchmark assessment
 26 or benchmark assessments described in subdivision (b), or local
 27 benchmark assessment or local benchmark assessments that it
 28 administered to pupils in previous school years, as applicable.

29 (d) The system must provide that, if a district administers a

1 benchmark assessment or benchmark assessments under this section,
2 the district shall provide each pupil's data from the benchmark
3 assessment or benchmark assessments, as available, to the pupil's
4 parent or legal guardian within 30 days of administering the
5 benchmark assessment or benchmark assessments.

6 (e) The system must provide that, if a local benchmark
7 assessment or local benchmark assessments are administered under
8 subdivision (a), the district shall report to the department, in a
9 form and manner prescribed by the department, the local benchmark
10 assessment or local benchmark assessments that were administered
11 and how that assessment or those assessments measure changes,
12 including any losses, as applicable, in learning, and the
13 district's plan for addressing any losses in learning.

14 ~~(f) The system must provide that, by not later than 30 days~~
15 ~~after a benchmark assessment or benchmark assessments are~~
16 ~~administered under subdivision (a) (ii), or within a time frame~~
17 ~~specified by the department, the district shall send benchmark~~
18 ~~assessment data, including grade level, student demographics, and~~
19 ~~mode of instruction, to the department in a form and manner~~
20 ~~prescribed by the department, from all benchmark assessments~~
21 ~~administered in the 2025-2026 school year, excluding data from a~~
22 ~~local benchmark assessment, as applicable. If available, the data~~
23 ~~described in this subdivision must include information concerning~~
24 ~~pupil growth from fall 2025 to spring 2026.~~

25 (2) To receive funding under this section, a district must do
26 all of the following:

27 (a) Apply for the funding in a form and manner prescribed by
28 the department.

29 (b) Administer 1 or more of the benchmark assessments



described in subsection ~~(6)~~, **(5)**, excluding the benchmark assessment described in subsection (4).

(c) Administer the same benchmark assessment or assessments in both the fall and spring, as required under this section.

(d) Meet all reporting requirements ~~pertaining to assessment and mode-of-instruction data outlined~~ **parents and legal guardians as described** in this section.

(3) Subject to subsection (2), the department shall pay an equal amount per membership pupil in grades K to 8 in the district to each district that applies for funding under this section.

(4) The department shall make 1 of the benchmark assessments provided by a provider approved under subsection ~~(6)~~ **(5)** available to districts at no cost to the districts for purposes of meeting the requirements under this section. The benchmark assessment described in this subsection must meet all of the following:

(a) Be aligned to the content standards of this state.

(b) Complement the state's summative assessment system.

(c) Be internet-delivered and include a standards-based assessment.

(d) Provide information on pupil achievement with regard to learning content required in a given year or grade span.

(e) Provide timely feedback to pupils and teachers.

(f) Be nationally normed.

(g) Provide information to educators about student growth and allow for multiple testing opportunities.

~~(5) By not later than November 15 of each year subsequent to a year in which funding is appropriated under this section, the department shall submit a report to the house and senate appropriations committees, the house and senate appropriations~~



~~subcommittees on school aid, and the house and senate fiscal agencies regarding the benchmark assessment data received under this section, disaggregated by grade level and demographic subgroup for each district. If information concerning pupil growth is included in the data described in this subsection, it must be incorporated in the report described in this subsection.~~

(h) Include a digital library of teaching resources that are tied directly to the benchmark assessment and aligned to Michigan standards.

(5) ~~(6)~~ The department shall approve at least 4 but not more than 6 providers of benchmark assessments for the purposes of this section. The department shall inform districts of all of the providers approved under this subsection in an equitable manner. The benchmark assessments, with the exclusion of the benchmark assessment described in subsection (4), provided by approved providers under this subsection must meet all of the following:

(a) Be aligned to the content standards of this state.

(b) Complement the state's summative assessment system.

(c) Be internet-delivered and include a standards-based remote, in-person, or both remote and in-person assessment using a computer-adaptive model to target the instructional level of each pupil.

(d) Provide information on pupil achievement with regard to learning content required in a given year or grade span.

(e) Provide immediate feedback to pupils and teachers.

(f) Be nationally normed.

(g) Provide multiple measures of growth and provide for multiple testing opportunities.

Sec. 107. (1) From the state school aid fund appropriation in



1 section 11, there is allocated an amount not to exceed
2 ~~\$32,913,600.00~~ **\$40,500,000.00** for ~~2025-2026~~ **2026-2027** for adult
3 education programs authorized under this section. Except as
4 otherwise provided under subsections (14) and (15), funds allocated
5 under this section are restricted for adult education programs as
6 authorized under this section only. A recipient of funds under this
7 section shall not use those funds for any other purpose. **It is the**
8 **intent of the legislature that the allocation under this section**
9 **for 2027-2028 will be \$32,913,600.00.**

10 (2) To be eligible for funding under this section, an eligible
11 adult education provider shall employ certificated teachers and
12 qualified administrative staff and shall offer continuing education
13 opportunities for teachers to allow them to maintain certification.

14 (3) To be eligible to be a participant funded under this
15 section, an individual must be enrolled in an adult basic education
16 program, an adult secondary education program, an adult English as
17 a second language program, a high school equivalency test
18 preparation program, or a high school completion program, that
19 meets the requirements of this section, and for which instruction
20 is provided, and the individual must be at least 18 years of age by
21 July 1 of the program year and the individual's graduating class
22 must have graduated.

23 (4) By April 1 of each fiscal year for which funding is
24 allocated under this section, the intermediate districts within a
25 prosperity region or subregion shall determine which intermediate
26 district will serve as the prosperity region's or subregion's
27 fiscal agent for the next fiscal year and shall notify the
28 department in a form and manner determined by the department. The
29 department shall approve or disapprove of the prosperity region's



1 or subregion's selected fiscal agent. From the funds allocated
2 under subsection (1), an amount as determined under this subsection
3 is allocated to each intermediate district serving as a fiscal
4 agent for adult education programs in each of the prosperity
5 regions or subregions identified by the department. An intermediate
6 district shall not use more than 5% of the funds allocated under
7 this subsection for administration costs for serving as the fiscal
8 agent. The allocation provided to each intermediate district
9 serving as a fiscal agent must be calculated as follows:

10 (a) Sixty percent of this portion of the funding must be
11 distributed based upon the proportion of the state population of
12 individuals between the ages of 18 and 24 that are not high school
13 graduates that resides in each of the prosperity regions or
14 subregions located within the intermediate district, as reported by
15 the most recent 5-year estimates from the American Community Survey
16 (ACS) from the United States Census Bureau.

17 (b) Thirty-five percent of this portion of the funding must be
18 distributed based upon the proportion of the state population of
19 individuals age 25 or older who are not high school graduates that
20 resides in each of the prosperity regions or subregions located
21 within the intermediate district, as reported by the most recent 5-
22 year estimates from the ACS from the United States Census Bureau.

23 (c) Five percent of this portion of the funding must be
24 distributed based upon the proportion of the state population of
25 individuals age 18 or older who lack basic English language
26 proficiency that resides in each of the prosperity regions or
27 subregions located within the intermediate district, as reported by
28 the most recent 5-year estimates from the ACS from the United
29 States Census Bureau.



1 (5) To be an eligible fiscal agent, an intermediate district
2 must agree to do the following in a form and manner determined by
3 the department:

4 (a) Distribute funds to adult education programs in a
5 prosperity region or subregion as described in this section.

6 (b) Collaborate with the career and educational advisory
7 council, which is an advisory council of the workforce development
8 boards located in the prosperity region or subregion, or its
9 successor, to develop a regional strategy that aligns adult
10 education programs and services into an efficient and effective
11 delivery system for adult education learners, with special
12 consideration for providing contextualized learning and career
13 pathways and addressing barriers to education and employment.

14 (c) Collaborate with the career and educational advisory
15 council, which is an advisory council of the workforce development
16 boards located in the prosperity region or subregion, or its
17 successor, to create a local process and criteria that will
18 identify eligible adult education providers to receive funds
19 allocated under this section based on location, demand for
20 services, past performance, quality indicators as identified by the
21 department, and cost to provide instructional services. The fiscal
22 agent shall determine all local processes, criteria, and provider
23 determinations. However, the local processes, criteria, and
24 provider services must be approved by the department before funds
25 may be distributed to the fiscal agent.

26 (d) Provide oversight to its adult education providers
27 throughout the program year to ensure compliance with the
28 requirements of this section.

29 (e) Report adult education program and participant data and



1 information as prescribed by the department.

2 (6) An adult basic education program, an adult secondary
3 education program, or an adult English as a second language program
4 operated on a year-round or school year basis may be funded under
5 this section, subject to all of the following:

6 (a) The program enrolls adults who are determined by a
7 department-approved assessment, in a form and manner prescribed by
8 the department, to be below twelfth grade level in reading or
9 mathematics, or both, or to lack basic English proficiency.

10 (b) The program tests individuals for eligibility under
11 subdivision (a) before enrollment and upon completion of the
12 program in compliance with the state-approved assessment policy.

13 (c) A participant in an adult basic education program is
14 eligible for reimbursement until 1 of the following occurs:

15 (i) The participant's reading and mathematics proficiency are
16 assessed at or above the ninth grade level.

17 (ii) The participant fails to show progress on 2 successive
18 assessments after having completed at least 450 hours of
19 instruction.

20 (d) A participant in an adult secondary education program is
21 eligible for reimbursement until 1 of the following occurs:

22 (i) The participant's reading and mathematics proficiency are
23 assessed above the twelfth grade level.

24 (ii) The participant fails to show progress on 2 successive
25 assessments after having at least 450 hours of instruction.

26 (e) A funding recipient enrolling a participant in an English
27 as a second language program is eligible for funding according to
28 subsection (9) until the participant meets 1 of the following:

29 (i) The participant is assessed as having attained basic



1 English proficiency as determined by a department-approved
2 assessment.

3 (ii) The participant fails to show progress on 2 successive
4 department-approved assessments after having completed at least 450
5 hours of instruction. The department shall provide information to a
6 funding recipient regarding appropriate assessment instruments for
7 this program.

8 (7) A high school equivalency test preparation program
9 operated on a year-round or school year basis may be funded under
10 this section, subject to all of the following:

11 (a) The program enrolls adults who do not have a high school
12 diploma or a high school equivalency certificate.

13 (b) The program administers a pre-test approved by the
14 department before enrolling an individual to determine the
15 individual's literacy levels, administers a high school equivalency
16 practice test to determine the individual's potential for success
17 on the high school equivalency test, and administers a post-test
18 upon completion of the program in compliance with the state-
19 approved assessment policy.

20 (c) A funding recipient receives funding according to
21 subsection (9) for a participant, and a participant may be enrolled
22 in the program until 1 of the following occurs:

23 (i) The participant achieves a high school equivalency
24 certificate.

25 (ii) The participant fails to show progress on 2 successive
26 department-approved assessments used to determine readiness to take
27 a high school equivalency test after having completed at least 450
28 hours of instruction.

29 (8) A high school completion program operated on a year-round



1 or school year basis may be funded under this section, subject to
2 all of the following:

3 (a) The program enrolls adults who do not have a high school
4 diploma.

5 (b) The program tests participants described in subdivision
6 (a) before enrollment and upon completion of the program in
7 compliance with the state-approved assessment policy.

8 (c) A funding recipient receives funding according to
9 subsection (9) for a participant in a course offered under this
10 subsection until 1 of the following occurs:

11 (i) The participant passes the course and earns a high school
12 diploma.

13 (ii) The participant fails to earn credit in 2 successive
14 semesters or terms in which the participant is enrolled after
15 having completed at least 900 hours of instruction.

16 (9) The department shall make payments to a funding recipient
17 under this section in accordance with all of the following:

18 (a) Statewide allocation criteria, including 3-year average
19 enrollments, census data, and local needs.

20 (b) Participant completion of the adult basic education
21 objectives by achieving an educational gain as determined by the
22 national reporting system levels; for achieving basic English
23 proficiency, as determined by the department; for achieving a high
24 school equivalency certificate or passage of 1 or more individual
25 high school equivalency tests; for attainment of a high school
26 diploma or passage of a course required for a participant to attain
27 a high school diploma; for enrollment in a postsecondary
28 institution; or for entry into or retention of employment, as
29 applicable.



1 (c) Participant completion of core indicators as identified in
2 the workforce innovation and opportunity act, Public Law 113-128.

3 (d) Allowable expenditures.

4 (10) An individual who is not eligible to be a participant
5 funded under this section may receive adult education services upon
6 the payment of tuition. In addition, an individual who is not
7 eligible to be served in a program under this section due to the
8 program limitations specified in subsection (6), (7), or (8) may
9 continue to receive adult education services in that program upon
10 the payment of tuition. The local or intermediate district
11 conducting the program shall determine the tuition amount.

12 (11) An individual who is an inmate in a state correctional
13 facility is not counted as a participant under this section.

14 (12) A funding recipient shall not commingle money received
15 under this section or from another source for adult education
16 purposes with any other funds and shall establish a separate ledger
17 account for funds received under this section. This subsection does
18 not prohibit a district from using general funds of the district to
19 support an adult education or community education program.

20 (13) A funding recipient receiving funds under this section
21 may establish a sliding scale of tuition rates based upon a
22 participant's family income. A funding recipient may charge a
23 participant tuition to receive adult education services under this
24 section from that sliding scale of tuition rates on a uniform
25 basis. The amount of tuition charged per participant must not
26 exceed the actual operating cost per participant minus any funds
27 received under this section per participant. A funding recipient
28 may not charge a participant tuition under this section if the
29 participant's income is at or below 200% of the federal poverty



1 guidelines published by the United States Department of Health and
2 Human Services.

3 (14) To receive funds under this section, a funding recipient
4 shall furnish to the department, in a form and manner determined by
5 the department, all information needed to administer this program
6 and meet federal reporting requirements; shall allow the department
7 or the department's designee to review all records related to the
8 program for which it receives funds; and shall reimburse the state
9 for all disallowances found in the review, as determined by the
10 department. In addition, a funding recipient shall agree to pay to
11 a career and technical education program under section 61a the
12 amount of funding received under this section in the proportion of
13 career and technical education coursework used to satisfy adult
14 basic education programming, as billed to the funding recipient by
15 programs operating under section 61a.

16 (15) From the amount appropriated in subsection (1), an amount
17 not to exceed \$4,000,000.00 is allocated for ~~2025-2026~~**2026-2027** to
18 approved adult education programs that connect adult education
19 participants with employers as provided under this subsection. The
20 department shall determine regional planning allocations under this
21 subsection to each intermediate district serving as a fiscal agent
22 for adult education programs in each of the prosperity regions or
23 subregions identified by the department in the same proportion as
24 funding calculated and allocated under subsection (4). Funds not
25 fully utilized within a region may be transferred to other regions
26 as appropriate. To be eligible for funding under this subsection, a
27 program must provide a collaboration linking adult education
28 programs within the county, state-approved career and technical
29 education programs, and local employers. To receive funding under



1 this subsection, an eligible program must satisfy all of the
2 following:

3 (a) Connect adult education participants directly with
4 employers by linking adult education, career and technical skills,
5 and workforce development.

6 (b) Require adult education staff to work with Michigan Works!
7 agency to identify a cohort of participants who are most prepared
8 to successfully enter the workforce. Except as otherwise provided
9 under this subdivision, participants identified under this
10 subsection must be dually enrolled in adult education programming
11 and in at least 1 state-approved technical course through a career
12 and technical education program. A program that links participants
13 identified under this subsection with adult education programming
14 and commercial driver license courses does not need to enroll the
15 participants in at least 1 state-approved technical course through
16 a career and technical education program to be considered an
17 eligible program under this subsection.

18 (c) Employ an individual staffed as an adult education
19 navigator who will serve as a caseworker for each participant
20 identified under subdivision (b). The navigator shall work with
21 adult education staff and potential employers to design an
22 educational program best suited to the personal and employment
23 needs of the participant and shall work with human service agencies
24 or other entities to address any barrier in the way of participant
25 access.

26 (16) By not later than December 1 of each year, a program
27 funded under subsection (15) shall provide a report to the senate
28 and house appropriations subcommittees on school aid, to the senate
29 and house fiscal agencies, and to the state budget director



1 identifying the number of participants, graduation rates, and a
2 measure of transition to employment.

3 (17) Except as otherwise provided in this subsection,
4 participants under subsection (15) must be concurrently enrolled
5 and actively working toward obtaining a high school diploma or a
6 high school equivalency certificate. Concurrent enrollment is not
7 required under this subsection for a participant that was enrolled
8 in adult education during the same program year and obtained a high
9 school diploma or a high school equivalency certificate before
10 enrollment in an eligible career and technical skills program under
11 subsection (15). Up to 10% of adult education participants served
12 under subsection (15) may already have a high school diploma or a
13 high school equivalency certificate at the time of enrollment in an
14 eligible career and technical skills program under subsection (15)
15 and receive remediation services. It is intended that the cap
16 described in the immediately preceding sentence is continually
17 lowered on an annual basis until it eventually is 0%.

18 (18) The department shall approve at least 2 high school
19 equivalency tests and determine whether a high school equivalency
20 certificate meets the requisite standards for high school
21 equivalency in this state.

22 (19) As used in this section:

23 (a) "Career and educational advisory council" means an
24 advisory council to the local workforce development boards located
25 in a prosperity region consisting of educational, employer, labor,
26 and parent representatives.

27 (b) "Career pathway" means a combination of rigorous and high-
28 quality education, training, and other services that comply with
29 all of the following:



1 (i) Aligns with the skill needs of industries in the economy of
2 this state or in the regional economy involved.

3 (ii) Prepares an individual to be successful in any of a full
4 range of secondary or postsecondary education options, including
5 apprenticeships registered under the act of August 16, 1937,
6 commonly referred to as the national apprenticeship act, 29 USC 50
7 et seq.

8 (iii) Includes counseling to support an individual in achieving
9 the individual's education and career goals.

10 (iv) Includes, as appropriate, education offered concurrently
11 with and in the same context as workforce preparation activities
12 and training for a specific occupation or occupational cluster.

13 (v) Organizes education, training, and other services to meet
14 the particular needs of an individual in a manner that accelerates
15 the educational and career advancement of the individual to the
16 extent practicable.

17 (vi) Enables an individual to attain a secondary school diploma
18 or its recognized equivalent, and at least 1 recognized
19 postsecondary credential.

20 (vii) Helps an individual enter or advance within a specific
21 occupation or occupational cluster.

22 (c) "Department" means the department of labor and economic
23 opportunity.

24 (d) "Eligible adult education provider" means a district,
25 intermediate district, a consortium of districts, a consortium of
26 intermediate districts, or a consortium of districts and
27 intermediate districts that is identified as part of the local
28 process described in subsection (5)(c) and approved by the
29 department.



1 Sec. 147. (1) The allocation for ~~2025-2026~~**2026-2027** for the
 2 public school employees' retirement system pursuant to the public
 3 school employees retirement act of 1979, 1980 PA 300, MCL 38.1301
 4 to 38.1437, is made using the individual projected benefit entry
 5 age normal cost method of valuation and risk assumptions adopted by
 6 the public school employees retirement board and the department of
 7 technology, management, and budget.

8 (2) The annual level percentage of payroll contribution rates
 9 for the ~~2025-2026~~**2026-2027** fiscal year, as determined by the
 10 retirement system, are estimated as follows:

11 (a) For public school employees who first worked for a public
 12 school reporting unit before July 1, 2010 and who are enrolled in
 13 the health premium subsidy, the annual level percentage of payroll
 14 contribution rate is estimated at ~~44.93%~~**41.02%** with ~~29.91%~~**27.51%**
 15 paid directly by the employer.

16 (b) For public school employees who first worked for a public
 17 school reporting unit on or after July 1, 2010 and who are enrolled
 18 in the health premium subsidy, the annual level percentage of
 19 payroll contribution rate is estimated at ~~40.19%~~**36.28%** with ~~25.17%~~
 20 **22.77%** paid directly by the employer.

21 (c) For public school employees who first worked for a public
 22 school reporting unit on or after July 1, 2010 and who participate
 23 in the personal healthcare fund, the annual level percentage of
 24 payroll contribution rate is estimated at ~~36.36%~~**34.85%** with 21.34%
 25 paid directly by the employer.

26 (d) For public school employees who first worked for a public
 27 school reporting unit on or after September 4, 2012, who elect
 28 defined contribution, and who participate in the personal
 29 healthcare fund, the annual level percentage of payroll



1 contribution rate is estimated at ~~30.23%~~**28.72%** with 15.21% paid
2 directly by the employer.

3 (e) For public school employees who first worked for a public
4 school reporting unit before July 1, 2010, who elect defined
5 contribution, and who are enrolled in the health premium subsidy,
6 the annual level percentage of payroll contribution rate is
7 estimated at ~~34.06%~~**30.15%** with ~~19.04%~~**16.64%** paid directly by the
8 employer.

9 (f) For public school employees who first worked for a public
10 school reporting unit before July 1, 2010, who elect defined
11 contribution, and who participate in the personal healthcare fund,
12 the annual level percentage of payroll contribution rate is
13 estimated at ~~30.23%~~**28.72%** with 15.21% paid directly by the
14 employer.

15 (g) For public school employees who first worked for a public
16 school reporting unit before July 1, 2010 and who participate in
17 the personal healthcare fund, the annual level percentage of
18 payroll contribution rate is estimated at ~~41.10%~~**39.59%** with 26.08%
19 paid directly by the employer.

20 (h) For public school employees who first worked for a public
21 school reporting unit after January 31, 2018 and who elect to
22 become members of the MPSERS plan, the annual level percentage of
23 payroll contribution rate is estimated at ~~36.43%~~**34.92%** with 21.41%
24 paid directly by the employer.

25 (3) In addition to the employer payments described in
26 subsection (2), the employer shall pay the applicable contributions
27 to the Tier 2 plan, as determined by the public school employees
28 retirement act of 1979, 1980 PA 300, MCL 38.1301 to 38.1437.

29 (4) The contribution rates in subsection (2) reflect an



1 amortization period of ~~13~~**12** years for ~~2024-2025~~**2026-2027**. The
 2 public school employees' retirement system board shall notify each
 3 district and intermediate district by February 28 of each fiscal
 4 year of the estimated contribution rate for the next fiscal year.

5 Sec. 147a. ~~(1) From the state school aid fund money~~
 6 ~~appropriated in section 11, there is allocated for 2024-2025 an~~
 7 ~~amount not to exceed \$100,000,000.00 for payments to participating~~
 8 ~~districts. A participating district that receives money under this~~
 9 ~~subsection shall use that money solely for the purpose of~~
 10 ~~offsetting a portion of the retirement contributions owed by the~~
 11 ~~district for the fiscal year in which it is received. The amount~~
 12 ~~allocated to each participating district under this subsection is~~
 13 ~~based on each participating district's percentage of the total~~
 14 ~~statewide payroll for all participating districts for the~~
 15 ~~immediately preceding fiscal year. As used in this subsection,~~
 16 ~~"participating district" means a district that is a reporting unit~~
 17 ~~of the Michigan public school employees' retirement system under~~
 18 ~~the public school employees retirement act of 1979, 1980 PA 300,~~
 19 ~~MCL 38.1301 to 38.1437, and that reports employees to the Michigan~~
 20 ~~public school employees' retirement system for the applicable~~
 21 ~~fiscal year.~~

22 ~~(2) In addition to the allocation under subsection (1), from~~
 23 **From** the state school aid fund money appropriated under section 11,
 24 there is allocated ~~an amount not to exceed \$414,900,000.00 for~~
 25 ~~2024-2025 and an amount not to exceed \$336,200,000.00~~
 26 **\$361,100,000.00 for 2025-2026 and an amount not to exceed**
 27 **\$307,400,000.00 for 2026-2027** for payments to participating
 28 districts and intermediate districts and from the general fund
 29 money appropriated under section 11, there is allocated an amount



not to exceed \$100,000.00 for ~~2024-2025 and 2025-2026~~ **and 2026-2027** for payments to participating district libraries. The amount allocated to each participating entity under this subsection is based on each participating entity's reported quarterly payroll for members that became tier 1 before February 1, 2018 for the current fiscal year. A participating entity that receives money under this subsection shall use that money solely for the purpose of offsetting a portion of the normal cost contribution rate. As used in this ~~subsection:~~**section:**

(a) "District library" means a district library established under the district library establishment act, 1989 PA 24, MCL 397.171 to 397.196.

(b) "Participating entity" means a district, intermediate district, or district library that is a reporting unit of the Michigan public school employees' retirement system under the public school employees retirement act of 1979, 1980 PA 300, MCL 38.1301 to 38.1437, and that reports employees to the Michigan public school employees' retirement system for the applicable fiscal year.

~~(3) In addition to the allocations under subsections (1) and (2), from the state school aid fund money appropriated in section 11, there is allocated for 2024-2025 only an amount not to exceed \$11,939,000.00 for payments to participating intermediate districts and participating district libraries. A participating intermediate district or participating district library shall use that money solely for the purpose of offsetting a portion of the retirement contributions owed by the participating intermediate district or participating district library for the fiscal year in which it is received. The amount allocated to each participating intermediate~~



~~district or participating district library under this subsection is calculated as follows:~~

~~(a) For each participating intermediate district, \$11,912,000.00 multiplied by each participating intermediate district's percentage of the total statewide payroll for all participating intermediate districts for the immediately preceding fiscal year.~~

~~(b) For each participating district library, \$27,000.00 multiplied by each participating district library's percentage of the total statewide payroll for all participating district libraries for the immediately preceding fiscal year.~~

~~(c) As used in this subsection:~~

~~(i) "Participating district library" means a district library that is a reporting unit of the Michigan public school employees' retirement system under the public school employees retirement act of 1979, 1980 PA 300, MCL 38.1301 to 38.1437, and that reports employees to the Michigan public school employees' retirement system for the applicable fiscal year.~~

~~(ii) "Participating intermediate district" means an intermediate district that is a reporting unit of the Michigan public school employees' retirement system under the public school employees retirement act of 1979, 1980 PA 300, MCL 38.1301 to 38.1437, and that reports employees to the Michigan public school employees' retirement system for the applicable fiscal year.~~

~~(4) In addition to the allocations under subsections (1), (2), and (3), from the state school aid fund money appropriated in section 11, there is allocated for 2024-2025 an amount not to exceed \$598,000,000.00 for payments to participating entities. The amount allocated to each participating entity under this subsection~~



~~is based on each participating entity's percentage of the total statewide payroll for all participating entities for the immediately preceding fiscal year. The amount allocated in this subsection represents an amount to effectively reduce each participating entity's unfunded actuarial accrued liability from 20.96% to an estimated 15.21% of covered payroll. It is the intent of the legislature that the allocation under this subsection be used to support student mental health, school safety, the educator workforce, and academic interventions.~~

~~(a) As used in this subsection:~~

~~(i) "District library" means a district library established under the district library establishment act, 1989 PA 24, MCL 397.171 to 397.196.~~

~~(ii) "Participating entity" means a district, intermediate district, district library, or community college that is a reporting unit of the Michigan public school employees' retirement system under the public school employees retirement act of 1979, 1980 PA 300, MCL 38.1301 to 38.1437, and that reports employees to the Michigan public school employees' retirement system for the applicable fiscal year.~~

Sec. 147b. (1) The MPSEERS retirement obligation reform reserve fund is created as a separate account within the state school aid fund.

(2) The state treasurer may receive money or other assets from any source for deposit into the MPSEERS retirement obligation reform reserve fund. The state treasurer shall direct the investment of the MPSEERS retirement obligation reform reserve fund. The state treasurer shall credit to the MPSEERS retirement obligation reform reserve fund interest and earnings from the MPSEERS retirement



1 obligation reform reserve fund.

2 (3) Money available in the MPSERS retirement obligation reform
3 reserve fund must not be expended without a specific appropriation.

4 (4) Money in the MPSERS retirement obligation reform reserve
5 fund at the close of the fiscal year ~~remains in the MPSERS~~
6 ~~retirement obligation reform reserve fund and does not lapse~~ **lapses**
7 to the state school aid fund. ~~or to the general fund.~~ The
8 department of treasury is the administrator of the MPSERS
9 retirement obligation reform reserve fund for auditing purposes.

10 ~~(5) For 2022-2023, \$825,000,000.00 from the state school aid~~
11 ~~fund is deposited into the MPSERS retirement obligation reform~~
12 ~~reserve fund. It is the intent of the legislature that~~
13 ~~\$425,000,000.00 of the funds deposited under this subsection for~~
14 ~~2022-2023 are used to offset costs associated with accelerating the~~
15 ~~reduction of the payroll growth assumption for reporting units that~~
16 ~~are not university reporting units until that rate is zero by~~
17 ~~October 1, 2026.~~

18 Sec. 147c. (1) From the state school aid fund money
19 appropriated in section 11, there is allocated for 2025-2026 an
20 amount not to exceed \$1,536,500,000.00 **and there is allocated for**
21 **2026-2027 an amount not to exceed \$1,454,400,000.00** for payments to
22 districts and intermediate districts that are participating
23 entities of the Michigan public school employees' retirement
24 system. In addition, from the general fund money appropriated in
25 section 11, there is allocated for 2025-2026 **and 2026-2027** an
26 amount not to exceed \$300,000.00 for payments to district libraries
27 that are participating entities of the Michigan public school
28 employees' retirement system. All of the following apply to funding
29 under this subsection:



1 (a) ~~Except as otherwise provided in this subdivision, for~~ **For**
 2 2025-2026 ~~, and 2026-2027~~, the amounts allocated under this
 3 subsection are estimated to provide an average MPSERS rate cap per
 4 pupil amount for districts of \$1,100.00. ~~, which represents an~~
 5 ~~average increase of \$362.00 per pupil compared to the immediately~~
 6 ~~preceding state fiscal year.~~

7 (b) Payments made under this subsection are equal to the
 8 difference between the unfunded actuarial accrued liability
 9 contribution rate as calculated under section 41 of the public
 10 school employees retirement act of 1979, 1980 PA 300, MCL 38.1341,
 11 as calculated without taking into account the maximum employer rate
 12 of ~~20.96%~~ **15.21%** included in section 41 of the public school
 13 employees retirement act of 1979, 1980 PA 300, MCL 38.1341, and the
 14 maximum employer rate of ~~20.96%~~ **15.21%** included in section 41 of
 15 the public school employees retirement act of 1979, 1980 PA 300,
 16 MCL 38.1341.

17 (c) The amount allocated to each participating entity under
 18 this subsection is based on each participating entity's proportion
 19 of the total covered payroll for the immediately preceding fiscal
 20 year for the same type of participating entities. A participating
 21 entity that receives funds under this subsection shall use the
 22 funds solely for the purpose of retirement contributions as
 23 specified in subdivision (d).

24 (d) Each participating entity receiving funds under this
 25 subsection shall forward an amount equal to the amount allocated
 26 under subdivision (c) to the retirement system in a form, manner,
 27 and time frame determined by the retirement system.

28 (e) Funds allocated under this subsection should be considered
 29 when comparing a district's growth in total state aid funding from



1 1 fiscal year to the next.

2 (f) By not later than December 20 of each fiscal year for
3 which funding is allocated under this subsection, the department
4 shall publish and post on its website an estimated MPSERS rate cap
5 per pupil for each district.

6 (2) As used in this section:

7 (a) "District library" means a district library established
8 under the district library establishment act, 1989 PA 24, MCL
9 397.171 to 397.196.

10 (b) "MPSERS rate cap per pupil" means an amount equal to the
11 quotient of the district's payment under this section divided by
12 the district's pupils in membership.

13 (c) "Participating entity" means, except as otherwise provided
14 in this subdivision, a district, intermediate district, or district
15 library that is a reporting unit of the Michigan public school
16 employees' retirement system under the public school employees
17 retirement act of 1979, 1980 PA 300, MCL 38.1301 to 38.1437, and
18 that reports employees to the Michigan public school employees'
19 retirement system for the applicable fiscal year.

20 (d) "Retirement system" means the Michigan public school
21 employees' retirement system under the public school employees
22 retirement act of 1979, 1980 PA 300, MCL 38.1301 to 38.1437.

23 Sec. 147e. (1) From the state school aid fund money
24 appropriated in section 11, ~~there is allocated for 2024-2025 an~~
25 ~~amount not to exceed \$71,600,000.00, and there is allocated for~~
26 ~~2025-2026 an amount not to exceed \$118,400,000.00~~ **\$116,500,000.00**
27 **and there is allocated for 2026-2027 an amount not to exceed**
28 **\$136,200,000.00** for payments to participating entities.

29 (2) The payment to each participating entity under this



1 section is the sum of the amounts under this subsection as follows:

2 (a) An amount equal to the contributions made by a
3 participating entity for the additional contribution made to a
4 qualified participant's Tier 2 account in an amount equal to the
5 contribution made by the qualified participant not to exceed 3% of
6 the qualified participant's compensation as provided for under
7 section 131(6) of the public school employees retirement act of
8 1979, 1980 PA 300, MCL 38.1431.

9 (b) Beginning October 1, 2017, an amount equal to the
10 contributions made by a participating entity for a qualified
11 participant who is only a Tier 2 qualified participant under
12 section 81d of the public school employees retirement act of 1979,
13 1980 PA 300, MCL 38.1381d, not to exceed 4%, and, beginning
14 February 1, 2018, not to exceed 1%, of the qualified participant's
15 compensation.

16 (c) An amount equal to the increase in employer normal cost
17 contributions under section 41b(2) of the public school employees
18 retirement act of 1979, 1980 PA 300, MCL 38.1341b, for a member
19 that was hired after February 1, 2018 and chose to participate in
20 Tier 1, compared to the employer normal cost contribution for a
21 member under section 41b(1) of the public school employees
22 retirement act of 1979, 1980 PA 300, MCL 38.1341b.

23 (3) As used in this section:

24 (a) "Member" means that term as defined under the public
25 school employees retirement act of 1979, 1980 PA 300, MCL 38.1301
26 to 38.1437.

27 (b) "Participating entity" means a district, intermediate
28 district, or community college that is a reporting unit of the
29 Michigan public school employees' retirement system under the



1 public school employees retirement act of 1979, 1980 PA 300, MCL
2 38.1301 to 38.1437, and that reports employees to the Michigan
3 public school employees' retirement system for the applicable
4 fiscal year.

5 (c) "Qualified participant" means that term as defined under
6 section 124 of the public school employees retirement act of 1979,
7 1980 PA 300, MCL 38.1424.

8 Sec. 152a. (1) As required by the court in the consolidated
9 cases known as *Adair v State of Michigan*, 486 Mich 468 (2010), from
10 the state school aid fund money appropriated in section 11, there
11 is allocated for ~~2025-2026-2026-2027~~ an amount not to exceed
12 \$41,000,500.00 to be used solely for the purpose of paying
13 necessary costs related to the state-mandated collection,
14 maintenance, and reporting of data to this state. From this
15 allocation, \$3,000,000.00 is allocated for costs associated with
16 collecting data necessary to provide reporting to tribal
17 governments on the status of students affiliated with their
18 particular tribe and data necessary to determine student
19 participation in federal programs funded under 20 USC 7401 to 7546
20 and participation in federal programs funded under the Johnson-
21 O'Malley Supplemental ~~supplemental~~ Indian Education Program
22 Modernization Act, **education program modernization act**, Public Law
23 115-404.

24 (2) From the allocation in subsection (1), the department
25 shall make payments to districts and intermediate districts in an
26 equal amount per pupil based on the total number of pupils in
27 membership in each district and intermediate district. The
28 department shall not make any adjustment to these payments after
29 the final installment payment under section 17b is made.



1 Sec. 152b. (1) From the general fund money appropriated under
2 section 11, there is allocated an amount not to exceed
3 \$1,000,000.00 for ~~2025-2026~~**2026-2027** to reimburse actual costs
4 incurred by nonpublic schools in complying with a health, safety,
5 or welfare requirement mandated by a law or administrative rule of
6 this state.

7 (2) By January 1 of each applicable fiscal year, the
8 department shall publish a form for reporting actual costs incurred
9 by a nonpublic school in complying with a health, safety, or
10 welfare requirement mandated under state law containing each
11 health, safety, or welfare requirement mandated by a law or
12 administrative rule of this state applicable to a nonpublic school
13 and with a reference to each relevant provision of law or
14 administrative rule for the requirement. The form must be posted on
15 the department's website in electronic form.

16 (3) By June 30 of each applicable fiscal year, a nonpublic
17 school seeking reimbursement for actual costs incurred in complying
18 with a health, safety, or welfare requirement under a law or
19 administrative rule of this state during each applicable school
20 year must submit a completed form described in subsection (2) to
21 the department. This section does not require a nonpublic school to
22 submit a form described in subsection (2). A nonpublic school is
23 not eligible for reimbursement under this section if the nonpublic
24 school does not submit the form described in subsection (2) in a
25 timely manner.

26 (4) By August 15 of each applicable fiscal year, the
27 department shall distribute funds to each nonpublic school that
28 submits a completed form described under subsection (2) in a timely
29 manner. The superintendent shall determine the amount of funds to



1 be paid to each nonpublic school in an amount that does not exceed
2 the nonpublic school's actual costs in complying with a health,
3 safety, or welfare requirement under a law or administrative rule
4 of this state. The superintendent shall calculate a nonpublic
5 school's actual cost in accordance with this section.

6 (5) If the funds allocated under this section are insufficient
7 to fully fund payments as otherwise calculated under this section,
8 the department shall distribute funds under this section on a
9 prorated or other equitable basis as determined by the
10 superintendent.

11 (6) The department may review the records of a nonpublic
12 school submitting a form described in subsection (2) only for the
13 limited purpose of verifying the nonpublic school's compliance with
14 this section. If a nonpublic school does not allow the department
15 to review records under this subsection, the nonpublic school is
16 not eligible for reimbursement under this section.

17 (7) The funds appropriated under this section are for purposes
18 that are incidental to teaching and the provision of educational
19 services to nonpublic school students; that are noninstructional in
20 nature; that do not constitute a primary function or element
21 necessary for a nonpublic school's existence, operation, and
22 survival; that do not involve or result in excessive religious
23 entanglement; and that are intended for the public purpose of
24 ensuring the health, safety, and welfare of the children in
25 nonpublic schools and to reimburse nonpublic schools for costs
26 described in this section.

27 (8) Funds allocated under this section are not intended to aid
28 or maintain any nonpublic school, support the attendance of any
29 student at a nonpublic school, employ any person at a nonpublic



1 school, support the attendance of any student at any location where
2 instruction is offered to a nonpublic school student, or support
3 the employment of any person at any location where instruction is
4 offered to a nonpublic school student.

5 (9) For purposes of this section, "actual cost" means the
6 hourly wage for the employee or employees performing a task or
7 tasks required to comply with a health, safety, or welfare
8 requirement under a law or administrative rule of this state
9 identified by the department under subsection (2) and is to be
10 calculated in accordance with the form published by the department
11 under subsection (2), which must include a detailed itemization of
12 costs. The nonpublic school shall not charge more than the hourly
13 wage of its lowest-paid employee capable of performing a specific
14 task regardless of whether that individual is available and
15 regardless of who actually performs a specific task. Labor costs
16 under this subsection must be estimated and charged in increments
17 of 15 minutes or more, with all partial time increments rounded
18 down. When calculating costs under subsection (4), fee components
19 must be itemized in a manner that expresses both the hourly wage
20 and the number of hours charged. The nonpublic school may not
21 charge any applicable labor charge amount to cover or partially
22 cover the cost of health or fringe benefits. A nonpublic school
23 shall not charge any overtime wages in the calculation of labor
24 costs.

25 (10) Training fees, inspection fees, and criminal background
26 check fees are considered actual costs in complying with a health,
27 safety, or welfare requirement under a law or administrative rule
28 of this state.

29 (11) The funds allocated under this section for ~~2025-2026~~



1 **2026-2027** are a work project appropriation, and any unexpended
 2 funds for ~~2025-2026-2026-2027~~ are carried forward into ~~2026-2027-~~
 3 **2027-2028**. The purpose of the work project is to continue to
 4 reimburse nonpublic schools for actual costs incurred in complying
 5 with a health, safety, or welfare requirement mandated by a law or
 6 administrative rule of this state. The estimated completion date of
 7 the work project is September 30, ~~2027-2028~~.

8 (12) The department shall reimburse nonpublic schools for
 9 actual costs incurred in complying with health, safety, or welfare
 10 requirements under a law or administrative rule of this state from
 11 2017-2018 through 2022-2023 using work project funds or, if those
 12 funds are insufficient to fund reimbursements under this
 13 subsection, from the allocation under subsection (1).

14 Sec. 163. (1) Except as otherwise provided in the revised
 15 school code, the board of a district or intermediate district shall
 16 not permit any of the following:

17 (a) An individual who is not appropriately placed under a
 18 valid certificate, valid substitute permit, authorization, or
 19 approval issued under rules promulgated by the department to teach
 20 in an elementary or secondary school.

21 (b) ~~An individual who does not satisfy the requirements of~~
 22 ~~section 1233 of the revised school code, MCL 380.1233, and rules~~
 23 ~~promulgated by the department to provide school counselor services~~
 24 ~~to pupils in an elementary or secondary school.~~

25 ~~(c)~~ An individual who does not satisfy the requirements of
 26 section 1246 of the revised school code, MCL 380.1246, and rules
 27 promulgated by the department to be employed as a superintendent,
 28 principal, or assistant principal, or as an individual whose
 29 primary responsibility is to administer instructional programs in



1 an elementary or secondary school or in a district or intermediate
 2 district, unless the individual is working under a valid substitute
 3 permit issued under rules promulgated by the department.

4 (2) Except as otherwise provided under subsection (4) or (5),
 5 **if** a district or intermediate district ~~employing~~**employs** an
 6 individual in violation of this section, **all of the following**
 7 **apply:**

8 (a) The district or intermediate district shall, not later
 9 than 10 school days after receiving notice of the violation,
 10 rectify the noncompliance.

11 (b) For the first violation within a 3-year period, the
 12 department shall provide a letter to the district or intermediate
 13 district regarding the violation and potential penalties as a
 14 result of further violations.

15 (c) For the second violation within a 3-year period, the
 16 **district or intermediate district** must have deducted an amount
 17 equal to ~~50%~~**25%** of the amount paid to the individual for the
 18 period of employment that is in violation of this section. ~~Except~~
 19 ~~as otherwise provided under subsection (4) or (5), if a district or~~
 20 ~~intermediate district is notified by the department that it is~~
 21 ~~employing an individual in violation of this section and it~~
 22 ~~continues to employ the individual in violation of this section 10~~
 23 ~~business days after receiving the notification, both of the~~
 24 ~~following apply:~~

25 (d) ~~(a) The~~ **For the third violation within a 3-year period,**
 26 **the** district or intermediate district must have deducted an amount
 27 equal to 50% of the amount paid to the individual for the period of
 28 employment that is in violation of this section. ~~that occurs before~~
 29 ~~the expiration of the 10 day period described in this subsection.~~



~~(b) The district or intermediate district must have deducted an amount equal to 100% of the amount paid to the individual for the period of employment that is in violation of this section that occurs after the 10-day period described in this subsection.~~

(3) For purposes of subsection (2), **~~if both of the following~~ apply:**

(a) If a district or intermediate district on behalf of an individual or an individual successfully completes the credential application process through the department, including the submission of an appropriate application, required fees, and all required supporting documentation, the individual's employment with the district or intermediate district after this completion is not considered a period of employment that is in violation of this section.

(b) If a district or intermediate district has no further violations of this section for a period of 3 years after violations under subsection (2), the district or intermediate district is subject only to the penalties described in subsections (2)(a) and (2)(b) upon the next violation.

(4) A deduction under subsection (2) for employment in violation of this section may be less than the amount required under that subsection if the superintendent of public instruction finds that the district or intermediate district was hindered in its ability to obtain a substitute credential to enable the district or intermediate district to employ the individual in compliance with this section due to unusual and extenuating circumstances resulting from conditions not within the control of school authorities, including, but not limited to, a natural disaster, death or serious illness of the individual or another



1 employee, an emergency school closure, fraud or other intentional
2 wrongdoing of the individual or another employee, or an emergency
3 health condition as defined by city, county, or state health
4 authorities.

5 ~~(5) There must be no deduction under subsection (2) for~~
6 ~~employment of an individual if there is a membership adjustment~~
7 ~~under section 15 based on the same employment.~~**This section provides**
8 **the sole and exclusive penalty for a violation of subsection (1). A**
9 **district or intermediate district will not also be subject to a**
10 **membership adjustment under section 15(4).**

11 (6) If a school official is notified by the department that
12 the school official is employing an individual in violation of this
13 section and knowingly continues to employ that individual **for a**
14 **period longer than 10 school days**, the school official is guilty of
15 a misdemeanor punishable by a fine of \$1,500.00 for each incident.
16 This penalty is in addition to all other financial penalties
17 otherwise specified in this article.

18 Sec. 164k. If the department receives a report that a district
19 or intermediate district is violating any of the following
20 requirements, and the department confirms the violation, the
21 department shall withhold 5% of the payment the district is
22 eligible to receive under section 22b, or 5% of the payment the
23 intermediate district is eligible to receive under section 81, as
24 applicable, for as long as the district or intermediate district is
25 out of compliance:

26 (a) A district or intermediate district shall ensure that all
27 food made available to a student in the breakfast or lunch program
28 complies with all federal rules and regulations related to school
29 meals.



1 (b) To the extent practicable under federal regulations, a
2 district or intermediate district shall require each student
3 household to complete the child nutrition and education benefits
4 application, as provided by the department, for free and reduced-
5 price school meals regardless of whether the district or
6 intermediate district opts to provide universal breakfast or lunch.

7 (c) For pupil membership count days after the fall 2025 count,
8 a district or intermediate district shall not provide a financial
9 incentive to students for attending pupil membership count day.

10 (d) A district or intermediate district shall ensure that
11 student survey questions and results are made available to the
12 public, posted on the district's or intermediate district's
13 website, and that parents and legal guardians are notified of the
14 survey. As used in this subsection, "survey" includes any survey
15 from the district or intermediate district or from the local,
16 state, or federal government.

17 (e) Beginning with the fiscal year ending September 30, 2026,
18 if a district is not using a curriculum from the department's
19 evidence-based curriculum list required under section 1280f of the
20 revised school code, MCL 380.1280f, the district must provide a
21 notification to all parents or legal guardians of students in
22 grades K to 5 receiving instruction with that curriculum that
23 includes all of the following:

24 (i) A statement informing parents or legal guardians that the
25 curriculum used by the district is not evidence-based or not
26 aligned to state standards, which could negatively impact student
27 academic outcomes.

28 (ii) A statement explaining why the district is not using a
29 curriculum that is evidence-based or aligned to state standards.



(iii) A plan, including a projected timeline, for when a new curriculum will be adopted that is evidence-based and aligned to state standards.

(f) A district or intermediate district shall ensure that all students participate in the presidential fitness test.

Sec. 164/. (1) ~~Not~~ **By not** later than 30 days after the enactment of the amendatory act that added ~~this~~ section **164m**, the legislature shall provide to the responsible entity and the state budget director a list of legislatively directed spending items, which may be referred to in this section as grants or direct appropriation grants, funded under the amendatory act that added this section consistent with house or senate rules and this section. The list must include all information and documents pertaining to the funded items as publicly disclosed in accordance with house or senate rules and this section.

~~(2) Notwithstanding any other conditions or requirements for direct appropriation grants, the responsible entity shall perform, at a minimum, at least all of the following activities to administer the grants described in subsection (1):~~

~~(a) Establish a process to review, complete, and execute a grant agreement with a grant recipient. The responsible entity shall not execute a grant agreement unless all necessary documentation has been submitted and reviewed.~~

~~(b) Verify to the extent possible that a grant recipient is a not-for-profit entity and will use funds as publicly disclosed and for a public purpose that serves the economic prosperity, health, safety, or general welfare of the residents of this state.~~

~~(c) Review and verify all necessary information to ensure the grant recipient is reasonably able to execute the grant agreement,~~



1 ~~perform its fiduciary duty, and comply with all applicable state~~
2 ~~and federal statutes. The responsible entity may deduct the cost of~~
3 ~~background checks and any other efforts performed as part of this~~
4 ~~verification from the amount of the designated grant award.~~

5 ~~(d) Disburse the grant money per the grant disbursement~~
6 ~~schedule in the executed grant agreement on a reimbursement basis~~
7 ~~after the grantee has provided sufficient documentation, as~~
8 ~~determined by the responsible entity, to verify that expenditures~~
9 ~~were made in accordance with the project purpose.~~

10 ~~(e) If the state budget director determines that information~~
11 ~~provided by the grantee does not meet the disclosure requirements,~~
12 ~~that the grant will be used to pay a tax lien, delinquent tax, or~~
13 ~~other obligation owed to this state, or that the grant will create~~
14 ~~a conflict of interest, the responsible entity shall not release~~
15 ~~the grant money to the grantee. Money that is not released under~~
16 ~~this subdivision lapses at the end of the fiscal year. There is not~~
17 ~~a conflict of interest if the sponsoring legislator certifies that~~
18 ~~the sponsoring legislator's immediate family members, legislative~~
19 ~~staff members that have worked for the sponsoring legislator within~~
20 ~~the past 2 years, and the sponsoring legislator do not have a~~
21 ~~direct or indirect pecuniary interest in the legislatively directed~~
22 ~~spending item.~~

23 ~~(3) An executed grant agreement under this section between the~~
24 ~~responsible entity and a grant recipient must include at least all~~
25 ~~of the following:~~

26 ~~(a) All necessary identifying information for the grant~~
27 ~~recipient, including any tax and financial information necessary~~
28 ~~for the responsible entity to administer grant money under this~~
29 ~~section.~~



~~(b) A description of the project for which the grant money will be expended, including tentative timelines and the estimated budget. Project budget must include how all grant money will be used and must indicate if any grant money will be provided to a third party or subrecipient. The responsible entity shall not reimburse expenditures that are outside of the project purpose, as stated in the executed grant agreement, from appropriations under the amendatory act that added this section. The grantee shall return to the state treasury any interest in excess of \$1,000.00 earned on the grant money while unexpended and in possession of the grantee.~~

~~(c) Unless otherwise specified in the responsible entity's policy, a requirement that funds appropriated for the grants described in subsection (1) may be used only for expenditures that occur on or after the effective date of the amendatory act that added this section.~~

~~(d) A requirement for reporting by the grant recipient to the responsible entity and the legislative sponsor that provides the status of the project and an accounting of all money expended by the grant recipient, as determined by the responsible entity.~~

~~(e) A clawback provision that allows the department of treasury to recoup or otherwise collect any grant money that is declined, unspent, or otherwise misused.~~

~~(f) The documents publicly disclosed under subsection (1).~~

~~(4) If appropriate to improve the administration or oversight of a grant described in subsection (1), the responsible entity may adopt a memorandum of understanding with another state department to perform the required duties under this section.~~

~~(5) A grant recipient shall respond to all reasonable~~



~~information requests from the responsible entity related to grant expenditures and retain grant records for not less than 7 years, and the grant may be subject to monitoring, site visits, and audit as determined by the responsible entity. The grant agreement required under this section must include signed assurance by the chief executive officer or other executive officer of the grant recipient authorized to bind the grant recipient that the requirements of this subsection will be met.~~

~~(6) The grant recipient shall expend all grant money awarded and complete all projects not later than September 30, 2030. If, at that time, any unexpended money remains, the grant recipient shall return that money to the state treasury. If a grant recipient does not provide information sufficient to execute a grant agreement not later than June 1, 2026, the responsible entity shall return money associated with the grant to the state treasury.~~

~~(7) Any grant money that is awarded to a responsible entity is appropriated in that responsible entity for the purpose of the intended grant.~~

~~(8) Except as otherwise provided in subsection (9), beginning March 15 of the current fiscal year, the responsible entity shall post a report in a publicly accessible location on its website. The report must list the grant recipient, project purpose, and location of the project for each grant described in subsection (1), the status of money allocated and disbursed under the grant agreement, and the legislative sponsor, if applicable. The responsible entity shall update the report and post the updated report in a publicly accessible location on its website not later than June 15 of the current fiscal year and again not later than September 15 of the current fiscal year. The responsible entity shall include in the~~

~~report the most comprehensive information the responsible entity has available at the time of posting for grants awarded.~~

~~(9) If the state budget office determines that it is more efficient for the state budget office to compile all affected responsible entities' information and post a report of the compiled information rather than the report required under subsection (8) being posted by individual responsible entities, the state budget office may compile that information across all affected responsible entities and other state departments and post the compiled report and any updates on the same time schedule as identified in subsection (8).~~

~~(10) If the responsible entity reasonably determines that the money allocated for an executed grant agreement under this section was misused or that use of the money was misrepresented by the grant recipient, the responsible entity shall not award any additional funds under the executed grant agreement and shall refer the grant for review following internal audit protocols, which may include referral for criminal investigation.~~

~~(11) As used in this section, "responsible entity" means the department, the department of lifelong education, advancement, and potential, a district, an intermediate district, or other person that administers a grant under this article.~~ **state budget office shall post a list of legislatively directed spending items funded under this article as defined in sections 364 and 364a of the management and budget act, 1984 PA 431, MCL 18.1364 and 18.1364a. The list must include all information and documents pertaining to the funded items as publicly disclosed in accordance with sections 364 and 364a of the management and budget act, 1984 PA 431, MCL 18.1364 and 18.1364a.**



1 (2) In accordance with section 364(4) of the management and
2 budget act, 1984 PA 431, MCL 18.1364, the department or agency
3 administering the grant shall submit a report not later than
4 November 1. The department or agency shall update the report and
5 shall submit updated reports not later than March 15 and September
6 15 of the current fiscal year. The department or agency shall
7 include in the report the most comprehensive information the
8 department or agency has available at the time of posting for
9 grants awarded, including, but not limited to, project milestones,
10 percent completed, funding expended, and funding encumbered.

11 (3) Before executing a grant agreement, all grant recipients
12 must provide a spending plan that specifies the scope of service,
13 the program goals, the measurement for meeting program goals, and
14 how all grant funds will be used, and must indicate if any grant
15 funds will be provided to a third party or subrecipient.

16 (4) Each department or agency responsible for awarding or
17 disbursing grant funds must annually audit the entity's use of the
18 grant funds for each fiscal year in which the grant is active. Each
19 entity must submit information requested by the department or
20 agency to confirm compliance.

21 (5) Each department or agency shall work with the office of
22 the auditor general to conduct an audit of the grant according to
23 generally accepted accounting practices and audit standards. The
24 office of the auditor general must be given access to all internal
25 and external records. All contracts or agreements between a
26 department or agency and a grant recipient or between a grant
27 recipient and a third party must include a clause granting the
28 office of the auditor general access to all internal and external
29 records.



1 (6) Grant recipients and their immediate family members are
2 prohibited from being employed by the executive branch or
3 legislative branch of this state. In addition, grant recipients are
4 prohibited from serving on any state board that has direct or
5 indirect responsibility for approving or auditing grant funds
6 awarded or disbursed by any department or agency.

7 (7) Full and complete audits of grant funds issued by the
8 department or an agency of this state, without redaction unless
9 required by law, must be posted to the department's or agency's
10 website in a conspicuous place for public review.

11 (8) On a quarterly basis, the department or agency shall
12 submit a report on legislatively sponsored grant funds that
13 includes, but is not limited to, all of the following:

14 (a) The name of each grant recipient and the status of each
15 grant.

16 (b) The amount distributed to each grant recipient.

17 (c) Any changes to scope or costs of program.

18 (9) The report under subsection (8) must include the following
19 statements made by the department or agency:

20 (a) A statement that confirms the department or agency
21 reviewed and affirmed compliance by each grant recipient with
22 program scope and expenditure of grant funding.

23 (b) A statement that confirms the department or agency
24 reviewed applicable program reports and requests for reimbursement.

25 Sec. 164m. Districts and intermediate districts are encouraged
26 to evaluate and pursue efficiency and cost-containment measures
27 that maximize state funding. Districts and intermediate districts
28 shall identify practices that increase efficiencies, including, but
29 not limited to, establishing joint ventures, consolidating



1 **services, utilizing program collaborations, maximizing educational**
 2 **benefits through optimal class sizes and frequency of course**
 3 **offerings, eliminating low-enrollment and high-cost instructional**
 4 **programs, using self-insurance, practicing energy conservation, and**
 5 **utilizing group purchasing.**

6 Sec. 201. (1) Subject to the conditions set forth in this
 7 article, the amounts listed in this section are appropriated for
 8 community colleges for the fiscal year ending September 30, ~~2026,~~
 9 **2027**, from the funds indicated in this section. The following is a
 10 summary of the appropriations in this section: ~~and section 201f:-~~

11 (a) The gross appropriation is ~~\$493,032,100.00.~~
 12 **\$491,039,800.00.** After deducting total interdepartmental grants and
 13 intradepartmental transfers in the amount of \$0.00, the adjusted
 14 gross appropriation is ~~\$493,032,100.00.~~ **\$491,039,800.00.**

15 (b) The sources of the adjusted gross appropriation described
 16 in subdivision (a) are as follows:

17 (i) Total federal revenues, \$0.00.

18 (ii) Total local revenues, \$0.00.

19 (iii) Total private revenues, \$0.00.

20 (iv) Total other state restricted revenues,
 21 ~~\$493,032,100.00.~~ **\$491,039,800.00.**

22 (v) State general fund/general purpose money, \$0.00.

23 (2) Subject to subsection (3), the amount appropriated for
 24 community college operations is ~~\$363,570,600.00,~~ **\$378,500,800.00,**
 25 allocated as follows:

26 (a) The appropriation for Alpena Community College is
 27 ~~\$6,416,800.00,~~ **\$6,694,500.00,** \$6,403,300.00 for operations, ~~\$0.00~~
 28 ~~for performance funding,~~ **\$263,100.00 for infrastructure,**
 29 **technology, equipment, maintenance, and safety,** and ~~\$13,500.00~~



1 **\$28,100.00** for costs incurred under the North American Indian
2 tuition waiver.

3 (b) The appropriation for Bay de Noc Community College is
4 ~~\$6,390,000.00, \$6,672,300.00, \$6,298,000.00 for operations, \$0.00~~
5 ~~for performance funding, \$262,000.00 for infrastructure,~~
6 **technology, equipment, maintenance, and safety,** and ~~\$92,000.00~~
7 **\$112,300.00** for costs incurred under the North American Indian
8 tuition waiver.

9 (c) The appropriation for Delta College is ~~\$16,934,200.00,~~
10 **\$17,622,700.00,** \$16,882,400.00 for operations, ~~\$0.00 for~~
11 ~~performance funding, \$694,300.00 for infrastructure, technology,~~
12 **equipment, maintenance, and safety,** and ~~\$51,800.00 \$46,000.00~~ for
13 costs incurred under the North American Indian tuition waiver.

14 (d) The appropriation for Glen Oaks Community College is
15 ~~\$2,987,000.00, \$3,107,000.00, \$2,984,100.00 for operations, \$0.00~~
16 ~~for performance funding, \$122,500.00 for infrastructure,~~
17 **technology, equipment, maintenance, and safety,** and ~~\$2,900.00~~
18 **\$400.00** for costs incurred under the North American Indian tuition
19 waiver.

20 (e) The appropriation for Gogebic Community College is
21 ~~\$5,439,100.00, \$5,640,900.00, \$5,399,000.00 for operations, \$0.00~~
22 ~~for performance funding, \$223,000.00 for infrastructure,~~
23 **technology, equipment, maintenance, and safety,** and ~~\$40,100.00~~
24 **\$18,900.00** for costs incurred under the North American Indian
25 tuition waiver.

26 (f) The appropriation for Grand Rapids Community College is
27 ~~\$21,337,300.00, \$22,262,000.00, \$21,184,200.00 for operations,~~
28 ~~\$0.00 for performance funding, \$874,800.00 for infrastructure,~~
29 **technology, equipment, maintenance, and safety,** and ~~\$153,100.00~~



1 **\$203,000.00** for costs incurred under the North American Indian
2 tuition waiver.

3 (g) The appropriation for Henry Ford College is
4 ~~\$25,305,200.00, \$26,345,600.00,~~ \$25,300,700.00 for operations,
5 ~~\$0.00 for performance funding, \$1,037,500.00 for infrastructure,~~
6 **technology, equipment, maintenance, and safety,** and ~~\$4,500.00~~
7 **\$7,400.00** for costs incurred under the North American Indian
8 tuition waiver.

9 (h) The appropriation for Jackson College is ~~\$14,059,700.00,~~
10 **\$14,631,200.00,** \$14,032,600.00 for operations, ~~\$0.00 for~~
11 ~~performance funding, \$576,400.00 for infrastructure, technology,~~
12 **equipment, maintenance, and safety,** and ~~\$27,100.00~~ **\$22,200.00** for
13 costs incurred under the North American Indian tuition waiver.

14 (i) The appropriation for Kalamazoo Valley Community College
15 is ~~\$14,751,300.00, \$15,349,400.00,~~ \$14,704,400.00 for operations,
16 ~~\$0.00 for performance funding, \$604,800.00 for infrastructure,~~
17 **technology, equipment, maintenance, and safety,** and ~~\$46,900.00~~
18 **\$40,200.00** for costs incurred under the North American Indian
19 tuition waiver.

20 (j) The appropriation for Kellogg Community College is
21 ~~\$11,453,400.00, \$11,939,600.00,~~ \$11,426,700.00 for operations,
22 ~~\$0.00 for performance funding, \$469,600.00 for infrastructure,~~
23 **technology, equipment, maintenance, and safety,** and ~~\$26,700.00~~
24 **\$43,300.00** for costs incurred under the North American Indian
25 tuition waiver.

26 (k) The appropriation for Kirtland Community College is
27 ~~\$3,881,400.00, \$4,040,500.00,~~ \$3,835,100.00 for operations, ~~\$0.00~~
28 ~~for performance funding, \$159,100.00 for infrastructure,~~
29 **technology, equipment, maintenance, and safety,** and ~~\$46,300.00~~



1 **\$46,300.00** for costs incurred under the North American Indian
 2 tuition waiver.

3 (l) The appropriation for Lake Michigan College is
 4 ~~\$6,427,600.00, \$6,680,800.00, \$6,408,200.00 for operations, \$0.00~~
 5 ~~for performance funding, \$263,500.00 for infrastructure,~~
 6 **technology, equipment, maintenance, and safety,** and ~~\$19,400.00~~
 7 **\$9,100.00** for costs incurred under the North American Indian
 8 tuition waiver.

9 (m) The appropriation for Lansing Community College is
 10 ~~\$36,216,500.00, \$37,691,100.00, \$36,134,400.00 for operations,~~
 11 ~~\$0.00 for performance funding, \$1,484,900.00 for infrastructure,~~
 12 **technology, equipment, maintenance, and safety,** and ~~\$82,100.00~~
 13 **\$71,800.00** for costs incurred under the North American Indian
 14 tuition waiver.

15 (n) The appropriation for Macomb Community College is
 16 ~~\$38,251,500.00, \$39,755,900.00, \$38,160,600.00 for operations,~~
 17 ~~\$0.00 for performance funding, \$1,568,300.00 for infrastructure,~~
 18 **technology, equipment, maintenance, and safety,** and ~~\$90,900.00~~
 19 **\$27,000.00** for costs incurred under the North American Indian
 20 tuition waiver.

21 (o) The appropriation for Mid Michigan Community College is
 22 ~~\$5,919,500.00, \$6,164,100.00, \$5,837,000.00 for operations, \$0.00~~
 23 ~~for performance funding, \$242,700.00 for infrastructure,~~
 24 **technology, equipment, maintenance, and safety,** and ~~\$82,500.00~~
 25 **\$84,400.00** for costs incurred under the North American Indian
 26 tuition waiver.

27 (p) The appropriation for Monroe County Community College is
 28 ~~\$5,368,900.00, \$5,591,300.00, \$5,368,500.00 for operations, \$0.00~~
 29 ~~for performance funding, \$220,100.00 for infrastructure,~~



1 **technology, equipment, maintenance, and safety**, and ~~\$400.00~~
 2 **\$2,700.00** for costs incurred under the North American Indian
 3 tuition waiver.

4 (q) The appropriation for Montcalm Community College is
 5 ~~\$4,035,000.00, \$4,208,200.00~~, \$4,033,300.00 for operations, ~~\$0.00~~
 6 ~~for performance funding, \$165,400.00 for infrastructure,~~
 7 **technology, equipment, maintenance, and safety**, and ~~\$1,700.00~~
 8 **\$9,500.00** for costs incurred under the North American Indian
 9 tuition waiver.

10 (r) The appropriation for C.S. Mott Community College is
 11 ~~\$18,028,100.00, \$18,771,300.00~~, \$18,017,800.00 for operations,
 12 ~~\$0.00 for performance funding, \$739,200.00 for infrastructure,~~
 13 **technology, equipment, maintenance, and safety**, and ~~\$10,300.00~~
 14 **\$14,300.00** for costs incurred under the North American Indian
 15 tuition waiver.

16 (s) The appropriation for Muskegon Community College is
 17 ~~\$10,403,400.00, \$10,838,600.00~~, \$10,359,900.00 for operations,
 18 ~~\$0.00 for performance funding, \$426,500.00 for infrastructure,~~
 19 **technology, equipment, maintenance, and safety**, and ~~\$43,500.00~~
 20 **\$52,200.00** for costs incurred under the North American Indian
 21 tuition waiver.

22 (t) The appropriation for North Central Michigan College is
 23 ~~\$4,110,100.00, \$4,279,100.00~~, \$3,947,700.00 for operations, ~~\$0.00~~
 24 ~~for performance funding, \$168,500.00 for infrastructure,~~
 25 **technology, equipment, maintenance, and safety**, and ~~\$162,400.00~~
 26 **\$162,900.00** for costs incurred under the North American Indian
 27 tuition waiver.

28 (u) The appropriation for Northwestern Michigan College is
 29 ~~\$10,874,500.00, \$11,331,700.00~~, \$10,619,800.00 for operations,



~~\$0.00 for performance funding, \$445,900.00 for infrastructure,~~
~~technology, equipment, maintenance, and safety,~~ and ~~\$254,700.00~~
\$266,000.00 for costs incurred under the North American Indian
 tuition waiver.

(v) The appropriation for Oakland Community College is
~~\$25,168,400.00, \$26,198,800.00,~~ \$25,130,000.00 for operations,
~~\$0.00 for performance funding, \$1,031,900.00 for infrastructure,~~
~~technology, equipment, maintenance, and safety,~~ and ~~\$38,400.00~~
\$36,900.00 for costs incurred under the North American Indian
 tuition waiver.

(w) The appropriation for Schoolcraft College is
~~\$14,997,300.00, \$15,604,000.00,~~ \$14,972,000.00 for operations,
~~\$0.00 for performance funding, \$614,900.00 for infrastructure,~~
~~technology, equipment, maintenance, and safety,~~ and ~~\$25,300.00~~
\$17,100.00 for costs incurred under the North American Indian
 tuition waiver.

(x) The appropriation for Southwestern Michigan College is
~~\$7,805,700.00, \$8,123,100.00,~~ \$7,786,600.00 for operations, ~~\$0.00~~
~~for performance funding, \$320,000.00 for infrastructure,~~
~~technology, equipment, maintenance, and safety,~~ and ~~\$19,100.00~~
\$16,500.00 for costs incurred under the North American Indian
 tuition waiver.

(y) The appropriation for St. Clair County Community College
 is ~~\$8,355,300.00, \$8,693,900.00,~~ \$8,342,000.00 for operations,
~~\$0.00 for performance funding, \$342,600.00 for infrastructure,~~
~~technology, equipment, maintenance, and safety,~~ and ~~\$13,300.00~~
\$9,300.00 for costs incurred under the North American Indian
 tuition waiver.

(z) The appropriation for Washtenaw Community College is



1 ~~\$16,276,300.00, \$16,957,000.00~~, \$16,257,300.00 for operations,
 2 ~~\$0.00 for performance funding, \$667,300.00 for infrastructure,~~
 3 **technology, equipment, maintenance, and safety**, and ~~\$19,000.00~~
 4 **\$32,400.00** for costs incurred under the North American Indian
 5 tuition waiver.

6 (aa) The appropriation for Wayne County Community College is
 7 ~~\$19,462,800.00, \$20,262,000.00~~, \$19,460,300.00 for operations,
 8 ~~\$0.00 for performance funding, \$798,000.00 for infrastructure,~~
 9 **technology, equipment, maintenance, and safety**, and ~~\$2,500.00~~
 10 **\$3,700.00** for costs incurred under the North American Indian
 11 tuition waiver.

12 (bb) The appropriation for West Shore Community College is
 13 ~~\$2,914,300.00, \$3,044,200.00~~, \$2,896,700.00 for operations, ~~\$0.00~~
 14 ~~for performance funding, \$119,500.00 for infrastructure,~~
 15 **technology, equipment, maintenance, and safety**, and ~~\$17,600.00~~
 16 **\$28,000.00** for costs incurred under the North American Indian
 17 tuition waiver.

18 (3) The amount appropriated in subsection (2) for community
 19 college operations is ~~\$363,570,600.00 \$378,500,800.00~~ and is
 20 appropriated from the state school aid fund.

21 (4) From the appropriations described in subsection (1), both
 22 of the following apply:

23 (a) Subject to section 207a, the amount appropriated for
 24 fiscal year ~~2025-2026-2026-2027~~ to offset certain fiscal year ~~2025-~~
 25 ~~2026-2026-2027~~ retirement contributions is \$7,189,000.00,
 26 appropriated from the state school aid fund.

27 (b) For fiscal year ~~2025-2026, 2026-2027~~, there is allocated
 28 an amount not to exceed ~~\$19,600,000.00 \$18,350,000.00~~ for payments
 29 to participating community colleges, appropriated from the state



1 school aid fund. A community college that receives money under this
 2 subdivision shall use that money solely for the purpose of
 3 offsetting the normal cost contribution rate.

4 (5) From the appropriations described in subsection (1),
 5 subject to section 207b, the amount appropriated for payments to
 6 community colleges that are participating entities of the
 7 retirement system is ~~\$89,500,000.00~~, **\$84,800,000.00** appropriated
 8 from the state school aid fund.

9 (6) From the appropriations described in subsection (1),
 10 subject to section 207c, the amount appropriated for renaissance
 11 zone tax reimbursements is \$2,200,000.00, appropriated from the
 12 state school aid fund. Each community college receiving funds in
 13 this subsection shall accrue these payments to its institutional
 14 fiscal year ending June 30, ~~2026~~.**2027**.

15 Sec. 201i. ~~(1) Not later than 30 days after the enactment of~~
 16 ~~the amendatory act that added this section, the legislature shall~~
 17 ~~provide to the responsible entity and the state budget director a~~
 18 ~~list of legislatively directed spending items, which may be~~
 19 ~~referred to in this section as grants or direct appropriation~~
 20 ~~grants, funded under the amendatory act that added this section~~
 21 ~~consistent with house or senate rules and this section. The list~~
 22 ~~must include all information and documents pertaining to the funded~~
 23 ~~items as publicly disclosed in accordance with house or senate~~
 24 ~~rules and this section.~~

25 ~~(2) Notwithstanding any other conditions or requirements for~~
 26 ~~direct appropriation grants, the responsible entity shall perform,~~
 27 ~~at a minimum, at least all of the following activities to~~
 28 ~~administer the grants described in subsection (1):~~

29 ~~(a) Establish a process to review, complete, and execute a~~



~~grant agreement with a grant recipient. The responsible entity shall not execute a grant agreement unless all necessary documentation has been submitted and reviewed.~~

~~(b) Verify to the extent possible that a grant recipient is a not-for-profit entity and will use funds as publicly disclosed and for a public purpose that serves the economic prosperity, health, safety, or general welfare of the residents of this state.~~

~~(c) Review and verify all necessary information to ensure the grant recipient is reasonably able to execute the grant agreement, perform its fiduciary duty, and comply with all applicable state and federal statutes. The responsible entity may deduct the cost of background checks and any other efforts performed as part of this verification from the amount of the designated grant award.~~

~~(d) Disburse the grant money per the grant disbursement schedule in the executed grant agreement on a reimbursement basis after the grantee has provided sufficient documentation, as determined by the responsible entity, to verify that expenditures were made in accordance with the project purpose.~~

~~(e) If the state budget director determines that information provided by the grantee does not meet the disclosure requirements, that the grant will be used to pay a tax lien, delinquent tax, or other obligation owed to this state, or that the grant will create a conflict of interest, the responsible entity shall not release the grant money to the grantee. Money that is not released under this subdivision lapses at the end of the fiscal year. There is not a conflict of interest if the sponsoring legislator certifies that the sponsoring legislator's immediate family members, legislative staff members that have worked for the sponsoring legislator within the past 2 years, and the sponsoring legislator do not have a~~



1 ~~direct or indirect pecuniary interest in the legislatively directed~~
2 ~~spending item.~~

3 ~~(3) An executed grant agreement under this section between the~~
4 ~~responsible entity and a grant recipient must include at least all~~
5 ~~of the following:~~

6 ~~(a) All necessary identifying information for the grant~~
7 ~~recipient, including any tax and financial information necessary~~
8 ~~for the responsible entity to administer grant money under this~~
9 ~~section.~~

10 ~~(b) A description of the project for which the grant money~~
11 ~~will be expended, including tentative timelines and the estimated~~
12 ~~budget. Project budget must include how all grant money will be~~
13 ~~used and must indicate if any grant money will be provided to a~~
14 ~~third party or subrecipient. The responsible entity shall not~~
15 ~~reimburse expenditures that are outside of the project purpose, as~~
16 ~~stated in the executed grant agreement, from appropriations under~~
17 ~~the amendatory act that added this section. The grantee shall~~
18 ~~return to the state treasury any interest in excess of \$1,000.00~~
19 ~~earned on the grant money while unexpended and in possession of the~~
20 ~~grantee.~~

21 ~~(c) Unless otherwise specified in the responsible entity's~~
22 ~~policy, a requirement that funds appropriated for the grants~~
23 ~~described in subsection (1) may be used only for expenditures that~~
24 ~~occur on or after the effective date of the amendatory act that~~
25 ~~added this section.~~

26 ~~(d) A requirement for reporting by the grant recipient to the~~
27 ~~responsible entity and the legislative sponsor that provides the~~
28 ~~status of the project and an accounting of all money expended by~~
29 ~~the grant recipient, as determined by the responsible entity.~~



1 ~~(e) A clawback provision that allows the department of~~
2 ~~treasury to recoup or otherwise collect any grant money that is~~
3 ~~declined, unspent, or otherwise misused.~~

4 ~~(f) The documents publicly disclosed under subsection (1).~~

5 ~~(4) If appropriate to improve the administration or oversight~~
6 ~~of a grant described in subsection (1), the responsible entity may~~
7 ~~adopt a memorandum of understanding with another state department~~
8 ~~to perform the required duties under this section.~~

9 ~~(5) A grant recipient shall respond to all reasonable~~
10 ~~information requests from the responsible entity related to grant~~
11 ~~expenditures and retain grant records for not less than 7 years,~~
12 ~~and the grant may be subject to monitoring, site visits, and audit~~
13 ~~as determined by the responsible entity. The grant agreement~~
14 ~~required under this section must include signed assurance by the~~
15 ~~chief executive officer or other executive officer of the grant~~
16 ~~recipient authorized to bind the grant recipient that the~~
17 ~~requirements of this subsection will be met.~~

18 ~~(6) The grant recipient shall expend all grant money awarded~~
19 ~~and complete all projects not later than September 30, 2030. If at~~
20 ~~that time any unexpended money remains, the grant recipient shall~~
21 ~~return that money to the state treasury. If a grant recipient does~~
22 ~~not provide information sufficient to execute a grant agreement not~~
23 ~~later than June 1, 2026, the responsible entity shall return money~~
24 ~~associated with the grant to the state treasury.~~

25 ~~(7) Any grant money that is awarded to a responsible entity is~~
26 ~~appropriated in that responsible entity for the purpose of the~~
27 ~~intended grant.~~

28 ~~(8) Except as otherwise provided in subsection (9), beginning~~
29 ~~March 15 of the current fiscal year, the responsible entity shall~~



~~1 post a report in a publicly accessible location on its website. The
2 report must list the grant recipient, project purpose, and location
3 of the project for each grant described in subsection (1), the
4 status of money allocated and disbursed under the grant agreement,
5 and the legislative sponsor, if applicable. The responsible entity
6 shall update the report and post the updated report in a publicly
7 accessible location on its website not later than June 15 of the
8 current fiscal year and again not later than September 15 of the
9 current fiscal year. The responsible entity shall include in the
10 report the most comprehensive information the responsible entity
11 has available at the time of posting for grants awarded.~~

~~12 (9) If the state budget office determines that it is more
13 efficient for the state budget office to compile all affected
14 responsible entities' information and post a report of the compiled
15 information rather than the report required under subsection (8)
16 being posted by individual responsible entities, the state budget
17 office may compile that information across all affected responsible
18 entities and other state departments and post the compiled report
19 and any updates on the same time schedule as identified in
20 subsection (8).~~

~~21 (10) If the responsible entity reasonably determines that the
22 money allocated for an executed grant agreement under this section
23 was misused or that use of the money was misrepresented by the
24 grant recipient, the responsible entity shall not award any
25 additional funds under the executed grant agreement and shall refer
26 the grant for review following internal audit protocols, which may
27 include referral for criminal investigation.~~

~~28 (11) As used in this section, "responsible entity" means the
29 department of lifelong education, advancement, and potential, a~~



1 ~~community college, or other person that administers a grant under~~
2 ~~this article.~~

3 (1) Within 30 days of enactment of this act, the state budget
4 office shall post a list of legislatively directed spending items
5 funded in section 201 as defined in sections 364 and 364a of the
6 management and budget act, 1984 PA 431, MCL 18.1364 and 18.1364a.
7 The list must include all information and documents pertaining to
8 the funded items as publicly disclosed in accordance with sections
9 364 and 364a of the management and budget act, 1984 PA 431, MCL
10 18.1364 and 18.1364a.

11 (2) In accordance with section 364(4) of the management and
12 budget act, 1984 PA 431, MCL 18.1364(4), the department or agency
13 administering a grant described in subsection (1) shall submit a
14 report not later than November 1 of each year. The department or
15 entity shall submit updated reports not later than March 15 and
16 September 15 of the current fiscal year. The department or entity
17 shall include in the report the most comprehensive information the
18 department or agency has available at the time of submittal for
19 grants awarded, including, but not limited to, project milestones,
20 percent completed, funding expended, and funding encumbered.

21 (3) Before the department or agency executes a grant agreement
22 for a grant described in subsection (1), all grant recipients shall
23 provide a spending plan that specifies all of the following:

- 24 (a) The scope of service.
- 25 (b) The program goals.
- 26 (c) The measurement for meeting program goals.
- 27 (d) How all grant funds will be used.
- 28 (e) Whether any grant funds will be provided to a third party
29 or subrecipient.



1 (4) The department or agency responsible for awarding or
2 disbursing grant funds shall annually audit the grant recipient's
3 use of the grant funds for each fiscal year the grant is active.
4 Each grant recipient shall submit information requested by the
5 department or agency to confirm compliance with this section.

6 (5) Each department or agency that administers a grant
7 described in subsection (1) shall work with the office of the
8 auditor general to conduct an audit of the grant according to
9 generally accepted accounting practices and audit standards. Each
10 department or agency shall provide the office of the auditor
11 general access to all internal and external records. All contracts
12 or agreements between a department or agency and a grant recipient
13 or between a grant recipient and a third party or subrecipient must
14 include a clause granting the office of the auditor general access
15 to all internal and external records.

16 (6) Grant recipients and grant recipients' immediate family
17 members are prohibited from being employed by the executive branch
18 or legislative branch of this state. In addition, grant recipients
19 are prohibited from serving on any state board that has direct or
20 indirect responsibility for approving or auditing the grant funds
21 described in subsection (1) awarded or disbursed by any department
22 or agency.

23 (7) Full and complete audits of the grant funds described in
24 subsection (1) issued by a department or agency, without redaction
25 unless otherwise required by law, must be posted to the
26 department's or agency's website in a conspicuous place for public
27 review.

28 (8) On a quarterly basis, the department or agency shall
29 submit a report on legislatively sponsored grant funds that



1 includes, but is not limited to, all of the following:

2 (a) The name of each grant recipient and the status of each
3 grant.

4 (b) The amount of funds distributed to each grant recipient.

5 (c) Any changes to the scope or costs of the program.

6 (9) The report described in subsection (8) must include both
7 of the following statements made by the department or agency that
8 administers a grant described in subsection (1):

9 (a) A statement that confirms that the department or agency
10 reviewed and affirmed compliance by each grant recipient to program
11 scope and expenditure of grant funding.

12 (b) A statement that confirms that the department or agency
13 reviewed applicable program reports and requests for reimbursement.

14 (10) As used in this section, "department" means the
15 department of lifelong education, advancement, and potential.

16 Sec. 202a. As used in this article:

17 (a) "Center" means the center for educational performance and
18 information created in section 94a.

19 (b) "College level equivalent credit examination" means an
20 examination that is administered by an independent testing service
21 and that is used by colleges and universities generally to award
22 postsecondary credit for achievement of a particular score, and
23 includes, but is not limited to, advanced placement examinations,
24 the DANTES Subject Standardized Test (DSST), and college-level
25 examination program (CLEP) examinations.

26 (c) "Participating college" means a community college that is
27 a reporting unit of the retirement system and that reports
28 employees to the retirement system for the state fiscal year.

29 (d) "Retirement system" means the Michigan public school



employees' retirement system under the public school employees retirement act of 1979, 1980 PA 300, MCL 38.1301 to 38.1437.

(e) "Standard report recipients" means the senate and house appropriations committees, the senate and house appropriations subcommittees on community colleges, the senate and house fiscal agencies, the senate and house policy offices, and the state budget office.

Sec. 203. (1) Unless otherwise specified, a community college that receives appropriations in section 201 and the center shall use the internet to fulfill the reporting requirements of this article. This requirement includes transmission of reports via electronic mail to the recipients identified for each reporting requirement and placement of ~~reports~~**each required report in a single archivable location** on an internet site, **not later than the due date required for each report.**

(2) In addition to placing all required reports in the current fiscal year on the community college's website, a community college shall maintain on its website all reports placed on the website from previous fiscal years, posted by fiscal year in the same single archivable location.

Sec. 206. (1) Except for the funds appropriated in section 201(4)(b), the funds appropriated in section 201 are appropriated for community colleges with fiscal years ending June 30, ~~2026~~**2027** and must be paid out of the state treasury and distributed by the state treasurer to the respective community colleges in 11 monthly installments on the sixteenth of each month, or the next succeeding business day, beginning with October 16, ~~2025~~**2026**. Each community college shall accrue its July and August ~~2026~~**2027** payments to its institutional fiscal year ending June 30, ~~2026~~**2027**.



(2) The funds appropriated in section 201(4) (b) are appropriated for community colleges with fiscal years ending June 30, ~~2026-2027~~ and must be distributed to the respective community colleges in quarterly installments on the sixteenth of each November, February, May, and August. Each community college shall accrue its August ~~2026-2027~~ payments to its institutional fiscal year ending June 30, ~~2026-2027~~.

Sec. 207c. All of the following apply to the allocation of the appropriations described in section 201(6) to community colleges described in section 12(3) of the Michigan renaissance zone act, 1996 PA 376, MCL 125.2692:

(a) The amount allocated to each community college under section 201(6) for fiscal year ~~2025-2026-2026-2027~~ must be based on that community college's proportion of total revenue lost by community colleges as a result of the exemption of property taxes levied in ~~2025-2026~~ under the Michigan renaissance zone act, 1996 PA 376, MCL 125.2681 to 125.2696.

(b) The appropriations described in section 201(6) must be made to each eligible community college within 60 days after the department of treasury certifies to the state budget director that it has received all necessary information to properly determine the amounts payable to each eligible community college under section 12 of the Michigan renaissance zone act, 1996 PA 376, MCL 125.2692.

Sec. 210b. By March 1 of each year, the Michigan Community College Association and the Michigan Association of State Universities shall submit a report to the ~~senate and house appropriations subcommittees on community colleges, the senate and house fiscal agencies,~~ **standard report recipients** and the department of lifelong education, advancement, and potential ~~, and~~



~~the state budget director~~ on the activities and programs focused on improving transfer student outcomes since March 1 of the previous year, including all of the following:

(a) The direct transferability of mathematics gateway courses between and among community colleges and universities.

(b) The implementation of MiTransfer pathways.

(c) The progress on increasing participation in MiTransfer pathways among community colleges and public universities.

(d) The implementation of the Michigan Transfer Network at mitransfer.org.

(e) A progress report on the implementation of the Michigan transfer agreement.

Sec. 216c. Funds appropriated in section 201 for infrastructure, technology, equipment, maintenance, and safety are intended to be used for necessary improvements and deferred maintenance of community college buildings, facilities, and other physical infrastructure; necessary improvements and deferred maintenance of information technology, other technology infrastructure, and other equipment; and other purposes related to infrastructure, technology, equipment, and maintenance. A community college may also use these funds to upgrade safety and security infrastructure. These funds are not intended to be used for any other purpose than what is specified in this section.

Sec. 216e. (1) Payments under section 201 for performance funding must be made only to a community college that certifies to the state budget director by the last business day of August each year that it complies with the following:

(a) The institutional best practice described in subdivision (c).



1 (b) One or more of the institutional best practices described
2 in subdivisions (d) to ~~(g)~~ **(h)**.

3 (c) The community college accepts the Michigan Transfer
4 Agreement, partners with the Michigan Transfer Network, and
5 promotes clear transfer pathways for interested students by doing
6 all of the following:

7 (i) Has a policy to help transfer or accept associate degrees
8 from other accredited Michigan postsecondary education
9 institutions.

10 (ii) Publishes the policy described in subparagraph (i) on the
11 institution's website in an easily accessible way and in admissions
12 materials.

13 (iii) Provides publicly available information on the Michigan
14 Transfer Network, applicable transfer pathways, and financial aid
15 available to transfer students, at no cost to the student.

16 (iv) Begins negotiations to increase the number of reverse
17 transfer agreements or articulation agreements and reports on the
18 progress toward completing the agreements to the state budget
19 director by the last business day in February.

20 (d) The community college requires all students to receive an
21 academic degree or certificate map that outlines required course
22 sequencing, program and institution requirements, declared minor
23 program academic requirements, and a recommended timeline within
24 which courses should be taken and in which specific semester or
25 term in order to satisfy all program requirements to allow the
26 student to graduate on time.

27 (e) The community college provides non-credit-bearing
28 developmental or remedial courses at a reduced cost to students.

29 (f) The community college provides each degree- or



1 certificate-seeking student with a designated, trained academic
 2 advisor to support student retention, persistence, and completion.
 3 The community college shall require students to meet with their
 4 academic advisor at least once per semester or term.

5 (g) The community college provides employees during business
 6 hours to assist prospective and current students in completing the
 7 Free Application for Federal Student Aid.

8 **(h) The community college posts the costs of degree**
 9 **attainment, separated by degree level, and the earnings associated**
 10 **with degree attainment, separated by degree level.**

11 (2) The state budget director shall implement uniform
 12 reporting requirements to ensure that a community college receiving
 13 a payment under section 201 for performance funding has satisfied
 14 the institutional best practices requirements of this section. The
 15 state budget director has the sole authority to determine if a
 16 community college has met the requirements of this section.
 17 Information reported by a community college to the state budget
 18 director under this subsection must also be reported to the ~~house~~
 19 ~~and senate appropriations subcommittees on higher education and the~~
 20 ~~house and senate fiscal agencies.~~ **standard report recipients.**

21 (3) If a community college fails to comply with the
 22 certification requirements of this section, the state treasurer may
 23 withhold the monthly installments under section 206 to the
 24 community college until the certification is completed. If a
 25 community college does not comply with the certification
 26 requirements described in this section by the end of the fiscal
 27 year, the community college forfeits the amount withheld. Forfeited
 28 funds must lapse to the state school aid fund. The state budget
 29 director shall notify the ~~chairs of the house and senate~~

1 ~~appropriations subcommittees on higher education~~ **standard report**
2 **recipients** at least 10 days before withholding funds from any
3 community college.

4 Sec. 217a. (1) Each community college that receives an
5 appropriation in section 201 shall submit all of the following
6 information in the form and manner specified by the center:

7 (a) The Michigan community colleges verified data inventory
8 data for the preceding academic year to the center by the first
9 business day of November of each year as specified in section 217.

10 (b) Tuition and mandatory fees information as specified in
11 section 217b.

12 (c) The longitudinal data set to the center as specified in
13 section 219.

14 (d) The number and type of associate degrees, baccalaureate
15 degrees, and other certificates awarded as specified in section
16 219.

17 (e) The annual independent audit as specified in section 222.

18 (2) If the state budget director determines that a community
19 college failed to submit any of the information described in
20 subsection (1) in the form and manner specified by the center, the
21 state ~~treasurer~~ **budget director** may withhold the monthly state
22 operations installments described in section 201 from that
23 community college until those data are submitted. If a community
24 college does not submit any of the information described in
25 subsection (1) by the end of the fiscal year, the community college
26 forfeits any withheld amount. The state budget director shall
27 notify the chairs of the house and senate appropriations
28 subcommittees on community colleges at least 10 days before
29 withholding funds from any community college.



(3) It is intended that accountability reporting for community colleges will be streamlined through the center. The state budget director and the center shall work to combine the reporting requirements outlined in this subsection with the existing Michigan community colleges verified data inventory collection cycle. All of the following must be reported to the ~~house and senate fiscal agencies and the state budget director~~: **standard report recipients:**

(a) Each community college's certification of its compliance with the requirements described in subsections (4) and (5).

(b) The reporting and certification requirements of subsections (6) and (7) and section 217b.

(4) No later than the ~~last~~**first** business day of November of each year, each community college that receives an appropriation in section 201 shall make all of the information described in subdivisions (a) to (g) available through a link on its website homepage **and send the link to the standard report recipients,** subject to subdivision (h), as follows **and shall archive the previous versions from prior fiscal years:**

(a) The annual operating budget and subsequent budget revisions.

(b) A link to the most recent "Michigan Community College Data Inventory Report".

(c) General fund revenue and expenditure projections for the current fiscal year and the next fiscal year.

(d) A listing of all debt service obligations, detailed by project, anticipated payment of each project, and total outstanding debt for the current fiscal year.

(e) Links to all of the following for the community college:

(i) The current collective bargaining agreement for each



1 bargaining unit.

2 (ii) Each health care benefits plan, including, but not limited
3 to, medical, dental, vision, disability, long-term care, or any
4 other type of benefits that would constitute health care services,
5 offered to any bargaining unit or employee of the community
6 college.

7 (iii) Audits and financial reports for the most recent fiscal
8 year for which they are available.

9 (iv) A copy of the board of trustees resolution regarding
10 compliance with best practices for the local strategic value
11 component described in section 230(2).

12 (f) A map that includes the boundaries of the community
13 college district.

14 (g) A prominent link to the financial aid website created
15 under section 260.

16 (h) For statewide consistency and public visibility, community
17 colleges shall use the icon badge provided by the department of
18 technology, management, and budget consistent with the icon badge
19 developed by the department of education for K-12 school districts.
20 It must appear on the front of each community college's homepage.
21 The size of the icon may be reduced to 150 x 150 pixels.

22 (5) No later than the ~~last~~**first** business day of November of
23 each year, each community college that receives an appropriation in
24 section 201 shall develop, maintain, and update a "campus safety
25 information and resources" link, prominently displayed on the
26 homepage of its website, that links to a section of the community
27 college's website containing, at a minimum, all of the following
28 information:

29 (a) Emergency contact numbers for police, fire, health, and



1 other services.

2 (b) Hours, locations, telephone numbers, and email contacts
3 for campus public safety offices and title IX offices.

4 (c) A list of safety and security services provided by the
5 community college, including transportation, escort services,
6 building surveillance, anonymous tip lines, and other available
7 security services.

8 (d) The community college's policies applicable to minors on
9 community college property.

10 (e) A directory of resources available at the community
11 college or in the surrounding community for students or employees
12 who are survivors of sexual assault or sexual abuse.

13 (f) An electronic copy of "A Resource Handbook for Campus
14 Sexual Assault Survivors, Friends and Family", published in 2018.

15 (g) Campus security policies and crime statistics pursuant to
16 the student right-to-know and campus security act, Public Law 101-
17 542, 104 Stat 2381. Information must include all material prepared
18 pursuant to the public information reporting requirements under the
19 crime awareness and campus security act of 1990, title II of the
20 student right-to-know and campus security act, Public Law 101-542,
21 104 Stat 2381.

22 (6) No later than the ~~last~~**first** business day of November of
23 each year, each community college that receives an appropriation in
24 section 201 shall report to the ~~house and senate appropriations~~
25 ~~subcommittees on community colleges, the house and senate fiscal~~
26 ~~agencies, and the state budget director~~**standard report recipients**
27 its annual title IX report, also known as the student sexual
28 misconduct report, issued by the title IX coordinator, as required
29 under the federal campus SaVE act of 2013, Public Law 113-4,



1 section 304, 127 Stat 54, 89-92 (2013).

2 (7) No later than the ~~last~~**first** business day of November of
3 each year, each community college that receives an appropriation in
4 section 201 shall certify that the community college complies with
5 federal regulations under title IX, as required by the United
6 States Department of Education, including, but not limited to, the
7 following:

8 (a) Use of medical experts that do not have an actual or
9 apparent conflict of interest.

10 (b) Issuance of title IX reports to complainants and
11 respondents that are not divergent.

12 (c) Notification of resources to each individual who reports
13 having experienced sexual assault by a member of the community
14 college.

15 **(8) Each community college that receives funding in section**
16 **201 shall certify to the state budget director by the first**
17 **business day of November of each year that it complies with student**
18 **privacy protections granted under the family educational rights and**
19 **privacy act of 1974, 20 USC 1232g, and the driver's privacy**
20 **protection act, 18 USC 2721.**

21 Sec. 217b. (1) Each community college that receives an
22 appropriation in section 201 shall report to the center by the last
23 business day of August of each year the tuition and mandatory fees
24 paid by a full-time in-district student and a full-time out-of-
25 district student as established by the community college governing
26 board for the current academic year. This report should also
27 include the annual cost of tuition and fees based on a full-time
28 course load of 30 credits. This report must also specify the amount
29 that tuition and fees have increased for the community college from



1 the prior academic year. Each community college shall also report
 2 any revisions to the reported current academic year tuition and
 3 mandatory fees adopted by the community college governing board to
 4 the center within 15 days of being adopted. The center shall
 5 provide this information and any revisions to the ~~house and senate~~
 6 ~~fiscal agencies and the state budget director.~~ **standard report**
 7 **recipients.**

8 (2) Each community college that receives an appropriation in
 9 section 201 shall certify to the state budget director by the ~~first~~
 10 **last** business day of ~~November~~ **August** of each year that its board
 11 will not adopt an increase in tuition and fee rates for in-district
 12 students for the academic year that is greater than the tuition
 13 restraint described in this subsection. ~~For the academic year 2025-~~
 14 ~~2026, the tuition restraint level is equal to the greater of 4.5%~~
 15 ~~or \$227.00.~~ For the academic year 2026-2027, the tuition restraint
 16 level is equal to the greater of 4.0% or \$199.00. **For the academic**
 17 **year 2027-2028, the tuition restraint level is equal to the greater**
 18 **of 3.0% or \$153.00.** It is intended that in the next fiscal year,
 19 the tuition restraint rate will be adjusted only for the subsequent
 20 academic year. As used in this subsection:

21 (a) "Fee" means any board-authorized fee that will be paid by
 22 more than 1/2 of all in-district students at least once during
 23 their enrollment at a community college. A community college
 24 increasing a fee that applies to a specific subset of students or
 25 courses shall provide sufficient information to prove that the
 26 increase applied to that subset will not cause the increase in the
 27 average amount of board-authorized total tuition and fees paid by
 28 in-district students in the academic year to exceed the limit
 29 established in this section.



(b) "Tuition and fee rate" means the average of full-time rates paid by a majority of students in each class, based on an unweighted average of the rates authorized by the community college board and actually charged to students, deducting any uniformly rebated or refunded amounts, for the 2 semesters with the highest levels of full-time equated in-district enrollment during the academic year.

(3) Community colleges that exceed the tuition and fee rate cap described in subsection (2) are not eligible to receive payments under section ~~201f-201~~ for ~~1-time performance funding~~ **infrastructure, technology, equipment, maintenance, and safety** payments for fiscal year ~~2025-2026. 2026-2027~~. The state budget director shall implement uniform reporting requirements to ensure that a community college receiving a payment under section ~~201f-201~~ for ~~1-time performance funding~~ **infrastructure, technology, equipment, maintenance, and safety** has satisfied the tuition restraint requirements of this section. The state budget director has the sole authority to determine if a community college has met the requirements of this section. Information reported by a community college to the state budget director under this subsection must also be reported to the ~~house and senate appropriations subcommittees on community colleges and the house and senate fiscal agencies.~~ **standard report recipients.**

(4) Notwithstanding any other provision of this act, the legislature may at any time adjust appropriations for a community college that adopts an increase in tuition and fee rates for in-district students that exceeds the rate cap established in subsection (2).

Sec. 217f. ~~It is the intent of the legislature that taxpayer~~



Taxpayer funds appropriated under this article are to be used to educate community college students and continue maintenance of community college buildings and other assets. The goal of the legislature is that taxpayer funds not be used excessively for administration. Therefore, a community college that receives an appropriation under this article shall not spend more than 10% of that appropriation on administration. A sum of money spent in excess of the 10% cap described in this section by a community college results in a forfeiture of an amount equal to 50% of that sum from funds appropriated to that community college, not to exceed the total amount appropriated to that community college under this article. The auditor general may investigate allegations of violations of this section. Funds forfeited under this section must revert, to the extent permitted by law, to the general fund or the state school aid fund. For the purpose of calculations under this section, the amount spent by a community college on administrative costs does not include costs associated with staff working in the following roles: teachers, facilities, public safety, technology, research, instruction, academic support, student services, auxiliary services, or public service.

Sec. 222. Each community college shall have an annual audit of all income and expenditures performed by an independent auditor and shall furnish the independent auditor's management letter and an annual audited accounting of all general and current funds income and expenditures including audits of college foundations to the center before November 15 of each year. The center shall provide this information ~~to members of the senate and house appropriations subcommittees on community colleges, the senate and house fiscal agencies,~~ **the standard report recipients**, the auditor general, the



department of labor and economic opportunity, **and** the department of lifelong education, advancement, and potential. ~~7 and the state budget director.~~ If a community college fails to furnish the audit materials, the monthly state operations installments must be withheld from that college until the information is submitted. All reporting must conform to the requirements set forth in the "2001 Manual for Uniform Financial Reporting, Michigan Public Community Colleges". A community college shall make the information the community college is required to provide under this section available to the public on its website.

Sec. 223. (1) By January 15 of each year, the department of lifelong education, advancement, and potential shall submit to the ~~state budget director, the house and senate appropriations subcommittees on community colleges, and the house and senate fiscal agencies~~ **standard report recipients** a report on North American Indian tuition waivers for the preceding academic year that includes, but is not limited to, all of the following information:

(a) The number of waiver applications received and the number of waiver applications approved.

(b) For each community college submitting information under subsection (2), all of the following:

(i) The number of ~~North~~ **Native** American ~~Indian~~ students enrolled each term for the previous academic year.

(ii) The number of North American Indian waivers granted each term, including continuing education students, and the monetary value of the waivers for the previous academic year.

(iii) The number of ~~North~~ **Native** American Indian students who receive a granted waiver for the previous academic year.



1 (iv) The number of students attending under a North American
2 Indian tuition waiver who withdrew from the college each term
3 during the previous academic year. For purposes of this
4 subparagraph, a withdrawal occurs when a student who has been
5 awarded the waiver withdraws from the institution at any point
6 during the term, regardless of enrollment in subsequent terms.

7 (v) The number of students attending under a North American
8 Indian tuition waiver who successfully transfer to a 4-year public
9 or private university, or complete a degree or certificate program,
10 separated by degree or certificate level, and the graduation rate
11 for students attending under a North American Indian tuition waiver
12 who complete a degree or certificate within 150% of the normal time
13 to complete, separated by the level of the degree or certificate.

14 (2) By January 1 of each year, a community college that
15 receives an appropriation in section 201 or a tribal institution
16 that receives funding for the North American Indian tuition waiver
17 shall provide to the department of lifelong education, advancement,
18 and potential any information necessary for preparing the report
19 described in subsection (1), using guidelines and procedures
20 developed by the department of lifelong education, advancement, and
21 potential.

22 (3) The department of lifelong education, advancement, and
23 potential may consolidate the report required under this section
24 with the report required under section 268, but a consolidated
25 report must separately identify data for universities and data for
26 community colleges.

27 Sec. 226e. It is the goal of the governor ~~and legislature~~ to
28 ensure that 60% of Michigan's residents achieve a postsecondary
29 credential, high-quality industry certification, associate degree,



or bachelor's degree by 2030.

Sec. 229a. Included in the fiscal year ~~2025-2026~~**2026-2027** appropriations for the department of technology, management, and budget are appropriations totaling ~~\$38,032,600.00~~**\$40,398,900.00** to provide funding for the state share of costs for previously constructed capital projects for community colleges. Those appropriations for state building authority rent represent additional state general fund support for community colleges, and the following is an estimate of the amount of that support to each community college:

(a) Alpena Community College, \$855,000.00.

(b) Bay de Noc Community College, \$515,000.00.

(c) Delta College, ~~\$2,881,100.00~~**\$2,881,000.00**.

(d) Glen Oaks Community College, \$380,000.00.

(e) Gogebic Community College, \$56,000.00.

(f) Grand Rapids Community College,
~~\$2,346,000.00~~**\$2,430,000.00**.

(g) Henry Ford College, \$1,505,000.00.

(h) Jackson College, \$2,044,000.00.

(i) Kalamazoo Valley Community College,
~~\$1,942,000.00~~**\$3,404,500.00**.

(j) Kellogg Community College, \$679,000.00.

(k) Kirtland Community College, \$225,000.00.

(l) Lake Michigan College, \$966,000.00.

(m) Lansing Community College, \$757,000.00.

(n) Macomb Community College, \$4,682,200.00.

(o) Mid Michigan Community College, \$1,615,000.00.

(p) Monroe County Community College,
~~\$1,540,000.00~~**\$2,359,900.00**.



- (q) Montcalm Community College, \$446,000.00.
- (r) C.S. Mott Community College, \$3,103,000.00.
- (s) Muskegon Community College, \$982,000.00.
- (t) North Central Michigan College, \$646,000.00.
- (u) Northwestern Michigan College, \$1,787,000.00.
- (v) Oakland Community College, \$0.00.
- (w) Schoolcraft College, \$2,232,000.00.
- (x) Southwestern Michigan College, \$822,500.00.
- (y) St. Clair County Community College, \$718,000.00.
- (z) Washtenaw Community College, \$1,676,000.00.
- (aa) Wayne County Community College, \$1,895,800.00.
- (bb) West Shore Community College, \$736,000.00.

Sec. 230. (1) Subject to subsection (4), money included in the appropriations for community college operations under section 201 for performance funding ~~and allocated under section 201f for 1-time performance funding payments~~ is distributed based on the following formula:

(a) Allocated proportionate to fiscal year ~~2024-2025~~ **2025-2026** base appropriations, 30%.

(b) Based on a weighted student contact hour formula as provided for in the 2016 recommendations of the performance indicators task force, 30%.

(c) Based on the performance improvement as provided for in the 2016 recommendations of the performance indicators task force and based on data provided by the center, 10%.

(d) Based on the performance completion number as provided for in the 2016 recommendations of the performance indicators task force, 10%.

(e) Based on the performance completion rate as provided for



1 in the 2016 recommendations of the performance indicators task
2 force and based on data provided by the center, 10%.

3 (f) Based on administrative costs, 5%.

4 (g) Based on the local strategic value component, as developed
5 in cooperation with the Michigan Community College Association and
6 described in subsection (2), 5%.

7 (2) Money included in the appropriations for community college
8 operations under section 201(2) for local strategic value is
9 allocated only to each community college that certifies to the
10 state budget director, through a board of trustees resolution on or
11 before October 15, ~~2025~~, **2026**, that the college has met 4 out of 5
12 best practices listed in each category described in subsection (3).
13 The resolution must provide specifics as to how the community
14 college meets each best practice measure within each category. One-
15 third of funding available under the strategic value component is
16 allocated to each category described in subsection (3). Amounts
17 distributed under local strategic value must be on a proportionate
18 basis to each college's fiscal year ~~2024-2025~~ **2025-2026** operations
19 funding. Payments to community colleges that qualify for local
20 strategic value funding must be distributed with the November
21 installment payment described in section 206.

22 (3) For purposes of subsection (2), the following categories
23 of best practices reflect functional activities of community
24 colleges that have strategic value to the local communities and
25 regional economies:

26 (a) For Category A, economic development and business or
27 industry partnerships, the following:

28 (i) The community college has active partnerships with local
29 employers including hospitals and health care providers.



1 (ii) The community college provides customized on-site training
2 for area companies, employees, or both.

3 (iii) The community college supports entrepreneurship through a
4 small business assistance center or other training or consulting
5 activities targeted toward small businesses.

6 (iv) The community college supports technological advancement
7 through industry partnerships, incubation activities, or operation
8 of a Michigan technical education center or other advanced
9 technology center.

10 (v) The community college has active partnerships with local
11 or regional workforce and economic development agencies.

12 (b) For Category B, educational partnerships, the following:

13 (i) The community college has active partnerships with regional
14 high schools, intermediate school districts, and career-tech
15 centers to provide instruction through dual enrollment, concurrent
16 enrollment, direct credit, middle college, or academy programs.

17 (ii) The community college hosts, sponsors, or participates in
18 enrichment programs for area K-12 students, such as college days,
19 summer or after-school programming, or Science Olympiad.

20 (iii) The community college provides, supports, or participates
21 in programming to promote successful transitions to college for
22 traditional age students, including grant programs such as talent
23 search, upward bound, or other activities to promote college
24 readiness in area high schools and community centers.

25 (iv) The community college provides, supports, or participates
26 in programming to promote successful transitions to college for new
27 or reentering adult students, such as adult basic education, a high
28 school equivalency test preparation program and testing, or
29 recruiting, advising, or orientation activities specific to adults.



1 As used in this subparagraph, "high school equivalency test
2 preparation program" means that term as defined in section 4.

3 (v) The community college has active partnerships with
4 regional 4-year colleges and universities to promote successful
5 transfer, such as articulation, 2+2, or reverse transfer agreements
6 or operation of a university center.

7 (c) For Category C, community services, the following:

8 (i) The community college provides continuing education
9 programming for leisure, wellness, personal enrichment, or
10 professional development.

11 (ii) The community college operates or sponsors opportunities
12 for community members to engage in activities that promote leisure,
13 wellness, cultural or personal enrichment such as community sports
14 teams, theater or musical ensembles, or artist guilds.

15 (iii) The community college operates public facilities to
16 promote cultural, educational, or personal enrichment for community
17 members, such as libraries, computer labs, performing arts centers,
18 museums, art galleries, or television or radio stations.

19 (iv) The community college operates public facilities to
20 promote leisure or wellness activities for community members,
21 including gymnasiums, athletic fields, tennis courts, fitness
22 centers, hiking or biking trails, or natural areas.

23 (v) The community college promotes, sponsors, or hosts
24 community service activities for students, staff, or community
25 members.

26 (4) Payments for performance funding under section 201 ~~and for~~
27 ~~1-time performance funding payments under section 201f~~ must be made
28 to a community college only if that community college actively
29 participates in the Michigan Transfer Network sponsored by the



Michigan Association of Collegiate Registrars and Admissions Officers and submits timely updates, including updated course equivalencies at least every 6 months, to the Michigan Transfer Network. The state budget director shall determine if a community college has not satisfied this requirement. The state budget director may withhold payments for performance funding under section 201 and ~~1-time performance funding under section 201f~~ until a community college is in compliance with this subsection.

Sec. 236. (1) Subject to the conditions set forth in this article, the amounts listed in this section are appropriated for higher education for the fiscal year ending September 30, ~~2026,~~ **2027**, from the funds indicated in this section. The following is a summary of the appropriations in this section and ~~sections 236d,~~ **section 236e: , and 236j:**

(a) The gross appropriation is ~~\$2,336,912,000.00.~~ **\$2,161,916,700.00.** After deducting total interdepartmental grants and intradepartmental transfers in the amount of \$0.00, the adjusted gross appropriation is ~~\$2,336,912,000.00.~~ **\$2,161,916,700.00.**

(b) The sources of the adjusted gross appropriation described in subdivision (a) are as follows:

(i) Total federal revenues, \$3,200,000.00.

(ii) Total local revenues, \$0.00.

(iii) Total private revenues, \$0.00.

(iv) Total other state restricted revenues, ~~\$850,768,300.00.~~ **\$1,026,918,300.00.**

(v) State general fund/general purpose money, ~~\$1,482,943,700.00.~~ **\$1,131,798,400.00.**

~~(c) The totals and subtotals reflected in subdivisions (a) and~~



~~(b) do not include amounts appropriated under subsection (7) (d) or (8) (b) to avoid duplicating totals of amounts appropriated in this section and section 236j.~~

(2) Amounts appropriated for public universities are as follows:

(a) The appropriation for Central Michigan University is ~~\$99,466,100.00, \$95,226,900.00~~ **\$102,843,200.00, \$97,785,700.00** for operations, ~~\$0.00 for operations increase, \$2,558,800.00 for MPSERS support payment,~~ **\$3,083,400.00 for infrastructure, technology, equipment, maintenance, and safety,** and ~~\$1,680,400.00~~ **\$1,974,100.00** for costs incurred under the North American Indian tuition waiver.

(b) The appropriation for Eastern Michigan University is ~~\$86,649,200.00, \$83,979,800.00~~ **\$89,346,300.00, \$86,236,300.00** for operations, ~~\$0.00 for operations increase, \$2,256,500.00 for MPSERS support payment,~~ **\$2,686,100.00 for infrastructure, technology, equipment, maintenance, and safety,** and ~~\$412,900.00~~ **\$423,900.00** for costs incurred under the North American Indian tuition waiver.

(c) The appropriation for Ferris State University is ~~\$62,221,900.00, \$59,816,300.00~~ **\$64,124,000.00, \$61,423,600.00** for operations, ~~\$0.00 for operations increase, \$1,607,300.00 for MPSERS support payment,~~ **\$1,928,900.00 for infrastructure, technology, equipment, maintenance, and safety,** and ~~\$798,300.00~~ **\$771,500.00** for costs incurred under the North American Indian tuition waiver.

(d) The appropriation for Grand Valley State University is ~~\$98,772,000.00, \$101,850,300.00, \$97,552,900.00~~ for operations, ~~\$0.00 for operations increase, \$0.00 for MPSERS support payment,~~ **\$3,061,900.00 for infrastructure, technology, equipment, maintenance, and safety,** and ~~\$1,219,100.00~~ **\$1,235,500.00** for costs incurred under the North American Indian tuition waiver.



(e) The appropriation for Lake Superior State University is ~~\$16,301,400.00, \$14,465,600.00~~ **\$16,924,500.00, \$14,854,300.00** for operations, ~~\$0.00 for operations increase, \$388,700.00 for MPSERS support payment,~~ **\$505,300.00 for infrastructure, technology, equipment, maintenance, and safety,** and ~~\$1,447,100.00~~ **\$1,564,900.00** for costs incurred under the North American Indian tuition waiver.

(f) The appropriation for Michigan State University is ~~\$396,845,300.00, \$321,516,900.00~~ **\$197,735,200.00, \$122,502,100.00** for operations, ~~\$0.00 for operations increase, \$0.00 for MPSERS support payment,~~ ~~\$2,508,800.00~~ **infrastructure, technology, equipment, maintenance, and safety, \$2,413,500.00** for costs incurred under the North American Indian tuition waiver, \$39,096,200.00 for MSU AgBioResearch, and \$33,723,400.00 for MSU Extension.

(g) The appropriation for Michigan Technological University is ~~\$56,659,000.00, \$54,463,700.00~~ **\$58,484,200.00, \$55,927,100.00** for operations, ~~\$0.00 for operations increase, \$1,463,400.00 for MPSERS support payment,~~ **\$1,756,400.00 for infrastructure, technology, equipment, maintenance, and safety,** and ~~\$731,900.00~~ **\$800,700.00** for costs incurred under the North American Indian tuition waiver.

(h) The appropriation for Northern Michigan University is ~~\$55,688,200.00, \$52,850,300.00~~ **\$57,651,300.00, \$54,270,400.00** for operations, ~~\$0.00 for operations increase, \$1,420,100.00 for MPSERS support payment,~~ **\$1,726,300.00 for infrastructure, technology, equipment, maintenance, and safety,** and ~~\$1,417,800.00~~ **\$1,654,600.00** for costs incurred under the North American Indian tuition waiver.

(i) The appropriation for Oakland University is ~~\$73,361,600.00, \$73,036,400.00~~ **\$75,688,900.00, \$73,036,400.00** for operations, ~~\$0.00 for operations increase, \$0.00 for MPSERS support~~



1 ~~payment, \$2,274,200.00 for infrastructure, technology, equipment,~~
 2 ~~maintenance, and safety, and \$325,200.00 \$378,300.00 for costs~~
 3 incurred under the North American Indian tuition waiver.

4 (j) The appropriation for Saginaw Valley State University is
 5 ~~\$34,379,000.00, \$35,502,500.00, \$34,196,000.00 for operations,~~
 6 ~~\$0.00 for operations increase, \$0.00 for MPERS support payment,~~
 7 **\$1,065,700.00 for infrastructure, technology, equipment,**
 8 **maintenance, and safety,** and ~~\$183,000.00 \$240,800.00~~ for costs
 9 incurred under the North American Indian tuition waiver.

10 (k) The appropriation for University of Michigan - Ann Arbor
 11 is ~~\$362,507,900.00, \$360,607,300.00 \$140,055,400.00,~~
 12 **\$138,309,300.00** for operations, ~~\$0.00 for operations increase,~~
 13 ~~\$0.00 for MPERS support payment, infrastructure, technology,~~
 14 **equipment, maintenance, and safety,** and ~~\$1,900,600.00 \$1,746,100.00~~
 15 for costs incurred under the North American Indian tuition waiver.

16 (l) The appropriation for University of Michigan - Dearborn is
 17 ~~\$31,708,000.00, \$32,745,400.00, \$31,513,700.00 for operations,~~
 18 ~~\$0.00 for operations increase, \$0.00 for MPERS support payment,~~
 19 **\$982,900.00 for infrastructure, technology, equipment, maintenance,**
 20 **and safety,** and ~~\$194,300.00 \$248,800.00~~ for costs incurred under
 21 the North American Indian tuition waiver.

22 (m) The appropriation for University of Michigan - Flint is
 23 ~~\$26,884,600.00, \$27,774,700.00, \$26,403,700.00 for operations,~~
 24 ~~\$0.00 for operations increase, \$0.00 for MPERS support payment,~~
 25 **\$833,400.00 for infrastructure, technology, equipment, maintenance,**
 26 **and safety,** and ~~\$480,900.00 \$537,600.00~~ for costs incurred under
 27 the North American Indian tuition waiver.

28 (n) The appropriation for Wayne State University is
 29 ~~\$227,787,300.00, \$234,970,300.00, \$227,310,200.00 for operations,~~



~~\$0.00 for operations increase, \$0.00 for MPERS support payment,~~
\$7,061,400.00 for infrastructure, technology, equipment,
maintenance, and safety, and ~~\$477,100.00~~ **\$598,700.00** for costs
 incurred under the North American Indian tuition waiver.

(o) The appropriation for Western Michigan University is
~~\$125,246,700.00, \$121,231,800.00~~ **\$129,148,400.00, \$124,489,300.00**
 for operations, ~~\$0.00 for operations increase, \$3,257,500.00 for~~
~~MPERS support payment,~~ **\$3,882,600.00 for infrastructure,**
technology, equipment, maintenance, and safety, and ~~\$757,400.00~~
\$776,500.00 for costs incurred under the North American Indian
 tuition waiver.

(3) The amount appropriated in subsection (2) for public
 universities is ~~\$1,754,478,200.00,~~ **\$1,364,844,600.00,** appropriated
 from the following:

(a) State school aid fund, \$643,168,300.00.

(b) State general fund/general purpose money,
~~\$1,111,309,900.00.~~ **\$721,676,300.00.**

(4) The amount appropriated for Michigan public school
 employees' retirement system reimbursement is \$0.00.

(5) The amount appropriated for state and regional programs is
 \$322,100.00, appropriated from general fund/general purpose money
 and allocated as follows:

(a) Higher education database modernization and conversion,
 \$200,000.00.

(b) Midwestern Higher Education Compact, \$122,100.00.

~~(6) The amount appropriated for the Martin Luther King, Jr. -~~
~~Cesar Chavez - Rosa Parks program is \$2,691,500.00, appropriated~~
~~from general fund/general purpose money and allocated as follows:~~

~~(a) Select student support services, \$1,956,100.00.~~



~~(b) Michigan college/university partnership program,~~
~~\$586,800.00.~~

~~(c) Morris Hood, Jr. educator development program,~~
~~\$148,600.00.~~

(6) ~~(7)~~ Subject to subsection ~~(8)~~, **(7)**, the amount
 appropriated for grants and financial aid is ~~\$469,500,000.00,~~
\$745,000,000.00, allocated as follows:

(a) Tuition incentive program, ~~\$122,300,000.00.~~
\$165,800,000.00.

(b) Children of veterans and officer's survivor tuition grant
 programs, \$2,000,000.00.

(c) Project GEAR-UP, \$3,200,000.00.

(d) Michigan achievement scholarships, ~~\$300,000,000.00.~~
\$532,000,000.00. From this amount, up to \$10,000,000.00 may be used
 to award skills scholarships under section 248a.

(e) Michigan reconnect, \$42,000,000.00.

(7) ~~(8)~~ The money appropriated in subsection ~~(7)~~ **(6)** for
 grants and financial aid is appropriated from the following:

(a) Federal revenues under the United States Department of
 Education, Office of Elementary and Secondary Education, GEAR-UP
 program, \$3,200,000.00.

(b) Postsecondary scholarship fund, ~~\$300,000,000.00.~~
\$182,000,000.00.

(c) State general fund/general purpose money, ~~\$166,300,000.00.~~
\$359,800,000.00.

(d) State school aid fund, \$200,000,000.00.

(e) ~~(d)~~ At the close of the fiscal year, state general
~~fund/general purpose~~ money appropriated in subsection ~~(7)~~ **(6)** for
 grants and scholarships that is unspent must be deposited into the



1 postsecondary scholarship fund created in section 236j.

2 **(8) ~~(9)~~**For fiscal year ~~2025-2026~~**2026-2027** only, in addition
 3 to the allocation under subsection (4), from the appropriations
 4 described in subsection (1), there is allocated an amount not to
 5 exceed ~~\$7,600,000.00~~**\$1,750,000.00** for payments to participating
 6 public universities, appropriated from the state school aid fund. A
 7 public university that receives money under this subsection shall
 8 use that money solely for the purpose of offsetting the normal cost
 9 contribution rate. As used in this subsection, "participating
 10 public universities" means public universities that are a reporting
 11 unit of the Michigan public school employees' retirement system
 12 under the public school employees retirement act of 1979, 1980 PA
 13 300, MCL 38.1301 to 38.1437, and that pay contributions to the
 14 Michigan public school employees' retirement system for the state
 15 fiscal year.

16 Sec. 236c. In addition to the funds appropriated for fiscal
 17 year ~~2025-2026~~**2026-2027** in section 236, appropriations to the
 18 department of technology, management, and budget in the act
 19 providing general appropriations for fiscal year ~~2025-2026~~**2026-**
 20 **2027** for state building authority rent, totaling an estimated
 21 ~~\$142,153,900.00~~**\$153,218,900.00**, provide funding for the state
 22 share of costs for previously constructed capital projects for
 23 state universities. These appropriations for state building
 24 authority rent represent additional state general fund support
 25 provided to public universities, and the following is an estimate
 26 of the amount of that support to each public university:

27 (a) Central Michigan University, \$12,914,000.00.

28 (b) Eastern Michigan University, ~~\$6,022,000.00~~**\$8,272,000.00**.

29 (c) Ferris State University, \$9,546,000.00.



(d) Grand Valley State University, ~~\$8,614,000.00.~~
\$10,864,000.00.

(e) Lake Superior State University, \$2,229,000.00.

(f) Michigan State University, \$16,598,000.00.

(g) Michigan Technological University, \$5,521,000.00.

(h) Northern Michigan University, \$9,735,900.00.

(i) Oakland University, ~~\$11,245,000.00.~~**\$13,310,000.00.**

(j) Saginaw Valley State University, \$7,820,000.00.

(k) University of Michigan - Ann Arbor, \$14,068,000.00.

(l) University of Michigan - Dearborn, \$10,725,000.00.

(m) University of Michigan - Flint, ~~\$6,057,000.00.~~
\$8,307,000.00.

(n) Wayne State University, ~~\$10,072,000.00.~~**\$12,322,000.00.**

(o) Western Michigan University, \$10,987,000.00.

Sec. 236e. (1) For fiscal year ~~2025-2026~~**2026-2027** only, from the general fund/general purpose money appropriated in section 236(1), \$50,000,000.00 is allocated for the purpose of sunsetting the state competitive scholarship and state tuition grant programs. The allocation in this section must be distributed in the same manner as funds are distributed for state competitive scholarships under section 251 and state tuition grants under section 252.

(2) The funds allocated under this section for fiscal year ~~2025-2026~~**2026-2027** are a work project appropriation, and any unexpended funds remaining at the end of fiscal year ~~2025-2026~~ are ~~carried forward into fiscal year 2026-2027, and any unexpended funds remaining at the end of fiscal year 2026-2027~~ are carried forward into fiscal year 2027-2028, and any unexpended funds remaining at the end of fiscal year 2027-2028 are carried forward into fiscal year 2028-2029. The purpose of the work project is to



1 support remaining students in the state competitive scholarship
2 program and the state tuition grant program in this state. The
3 estimated completion date of the work project is September 30,
4 2029.

5 Sec. 236j. (1) The postsecondary scholarship fund is created
6 in the department of treasury for the purpose of providing
7 scholarship awards to eligible students who attend eligible
8 postsecondary educational institutions in this state, as provided
9 in subsection (5).

10 (2) The state treasurer may receive money or other assets from
11 any source for deposit into the postsecondary scholarship fund. The
12 state treasurer shall direct the investment of the postsecondary
13 scholarship fund. The state treasurer shall credit to the
14 postsecondary scholarship fund interest and earnings from
15 postsecondary scholarship fund investments.

16 (3) Money in the postsecondary scholarship fund at the close
17 of the fiscal year must remain in the postsecondary scholarship
18 fund and not lapse to the general fund.

19 (4) The department of treasury is the administrator of the
20 postsecondary scholarship fund for auditing purposes.

21 (5) Money must be expended from the postsecondary scholarship
22 fund ~~only for the purpose of providing Michigan achievement~~
23 ~~scholarship awards to eligible students who attend eligible~~
24 ~~postsecondary educational institutions in this state and for other~~
25 ~~purposes described in this section. From the funds appropriated in~~
26 ~~section 236(7) for the Michigan achievement scholarship, the~~
27 ~~department of lifelong education, advancement, and potential may~~
28 ~~use up to \$10,000,000.00 annually for the purposes of outreach~~
29 ~~programs to raise awareness of the Michigan achievement scholarship~~



~~and other state scholarship programs allocated in section 236(7). The department of lifelong education, advancement, and potential shall ensure that state scholarships are well publicized and that high school students are provided information on the availability of financial aid. The department of lifelong education, advancement, and potential may receive and expend funds received from outside sources for scholarships, marketing, or other purposes related to Michigan state scholarships. The department of lifelong education, advancement, and potential shall provide the necessary funding and staff to fully operate the programs.~~
supporting state grants and financial aid allocated in section 236(6) .

~~(6) For the fiscal year ending September 30, 2026, \$300,000,000.00 of ongoing funding is deposited into the postsecondary scholarship fund from the following:~~

~~(a) State school aid fund, \$200,000,000.00.~~

~~(b) State general fund/general purpose money, \$100,000,000.00.~~

(6) (7)—It is the intent of the legislature that the postsecondary scholarship fund serves as the primary a funding source of the Michigan achievement scholarship. To ensure the Michigan achievement scholarship provides ongoing supports for students, it is the intent of the legislature to increase annual deposits into the postsecondary scholarship fund until the fully implemented costs of the Michigan achievement scholarship are deposited annually into the postsecondary scholarship fund. provide annual ongoing increases for the Michigan achievement scholarship allocated in section 236(6) and to use funds from the postsecondary scholarship fund to support the scale up to the fully implemented costs of the Michigan achievement scholarship.

(7) (8)—In addition to the appropriations in section 236, if



the amount of ~~general fund money~~ **state money** allocated in section 236(7)(a), ~~236(6)(a)~~, (b), (d), or (e) is not sufficient to fully fund 1 or more of those awards, there is appropriated from the postsecondary scholarship fund the amount necessary to fully fund those awards. The state budget director shall provide written notification to the ~~house and senate appropriations subcommittee on higher education and the house and senate fiscal agencies~~ **standard report recipients** prior to any additional appropriation described in this subsection.

~~(9) In addition to the deposit to the postsecondary scholarship fund described in subsection (6), for the fiscal year ending September 30, 2025 only, an amount not to exceed \$80,000,000.00 from the unspent and unreserved state school aid fund balances appropriated under section 11, as recorded as part of the state book closing process for the 2024-2025 fiscal year, is deposited into the postsecondary scholarship fund.~~

Sec. 236m. Funds appropriated in section 236(2) for infrastructure, technology, equipment, maintenance, and safety are intended to be used for necessary improvements and deferred maintenance of public university buildings, facilities, and other physical infrastructure; necessary improvements and deferred maintenance of information technology, other technology infrastructure, and other equipment; and other purposes related to infrastructure, technology, equipment, and maintenance. A public university may also use these funds for debt or to upgrade safety and security infrastructure. These funds are not intended to be used for any other purpose than what is specified in this section.

~~Sec. 236s. (1) Not later than 30 days after the enactment of the amendatory act that added this section, the legislature shall~~



1 ~~provide to the responsible entity and the state budget director a~~
2 ~~list of legislatively directed spending items, which may be~~
3 ~~referred to in this section as grants or direct appropriation~~
4 ~~grants, funded under the amendatory act that added this section~~
5 ~~consistent with house or senate rules and this section. The list~~
6 ~~must include all information and documents pertaining to the funded~~
7 ~~items as publicly disclosed in accordance with house or senate~~
8 ~~rules and this section.~~

9 ~~(2) Notwithstanding any other conditions or requirements for~~
10 ~~direct appropriation grants, the responsible entity shall perform,~~
11 ~~at a minimum, at least all of the following activities to~~
12 ~~administer the grants described in subsection (1):~~

13 ~~(a) Establish a process to review, complete, and execute a~~
14 ~~grant agreement with a grant recipient. The responsible entity~~
15 ~~shall not execute a grant agreement unless all necessary~~
16 ~~documentation has been submitted and reviewed.~~

17 ~~(b) Verify to the extent possible that a grant recipient is a~~
18 ~~not-for-profit entity and will use funds as publicly disclosed and~~
19 ~~for a public purpose that serves the economic prosperity, health,~~
20 ~~safety, or general welfare of the residents of this state.~~

21 ~~(c) Review and verify all necessary information to ensure the~~
22 ~~grant recipient is reasonably able to execute the grant agreement,~~
23 ~~perform its fiduciary duty, and comply with all applicable state~~
24 ~~and federal statutes. The responsible entity may deduct the cost of~~
25 ~~background checks and any other efforts performed as part of this~~
26 ~~verification from the amount of the designated grant award.~~

27 ~~(d) Disburse the grant money per the grant disbursement~~
28 ~~schedule in the executed grant agreement on a reimbursement basis~~
29 ~~after the grantee has provided sufficient documentation, as~~



1 ~~determined by the responsible entity, to verify that expenditures~~
2 ~~were made in accordance with the project purpose.~~

3 ~~(c) If the state budget director determines that information~~
4 ~~provided by the grantee does not meet the disclosure requirements,~~
5 ~~that the grant will be used to pay a tax lien, delinquent tax, or~~
6 ~~other obligation owed to this state, or that the grant will create~~
7 ~~a conflict of interest, the responsible entity shall not release~~
8 ~~the grant money to the grantee. Money that is not released under~~
9 ~~this subdivision lapses at the end of the fiscal year. There is not~~
10 ~~a conflict of interest if the sponsoring legislator certifies that~~
11 ~~the sponsoring legislator's immediate family members, legislative~~
12 ~~staff members that have worked for the sponsoring legislator within~~
13 ~~the past 2 years, and the sponsoring legislator do not have a~~
14 ~~direct or indirect pecuniary interest in the legislatively directed~~
15 ~~spending item.~~

16 ~~(3) An executed grant agreement under this section between the~~
17 ~~responsible entity and a grant recipient must include at least all~~
18 ~~of the following:~~

19 ~~(a) All necessary identifying information for the grant~~
20 ~~recipient, including any tax and financial information necessary~~
21 ~~for the responsible entity to administer grant money under this~~
22 ~~section.~~

23 ~~(b) A description of the project for which the grant money~~
24 ~~will be expended, including tentative timelines and the estimated~~
25 ~~budget. Project budget must include how all grant money will be~~
26 ~~used and must indicate if any grant money will be provided to a~~
27 ~~third party or subrecipient. The responsible entity shall not~~
28 ~~reimburse expenditures that are outside of the project purpose, as~~
29 ~~stated in the executed grant agreement, from appropriations under~~



1 ~~the amendatory act that added this section. The grantee shall~~
2 ~~return to the state treasury any interest in excess of \$1,000.00~~
3 ~~earned on the grant money while unexpended and in possession of the~~
4 ~~grantee.~~

5 ~~(c) Unless otherwise specified in the responsible entity's~~
6 ~~policy, a requirement that funds appropriated for the grants~~
7 ~~described in subsection (1) may be used only for expenditures that~~
8 ~~occur on or after the effective date of the amendatory act that~~
9 ~~added this section.~~

10 ~~(d) A requirement for reporting by the grant recipient to the~~
11 ~~responsible entity and the legislative sponsor that provides the~~
12 ~~status of the project and an accounting of all money expended by~~
13 ~~the grant recipient, as determined by the responsible entity.~~

14 ~~(e) A clawback provision that allows the department of~~
15 ~~treasury to recoup or otherwise collect any grant money that is~~
16 ~~declined, unspent, or otherwise misused.~~

17 ~~(f) The documents publicly disclosed under subsection (1).~~

18 ~~(4) If appropriate to improve the administration or oversight~~
19 ~~of a grant described in subsection (1), the responsible entity may~~
20 ~~adopt a memorandum of understanding with another state department~~
21 ~~to perform the required duties under this section.~~

22 ~~(5) A grant recipient shall respond to all reasonable~~
23 ~~information requests from the responsible entity related to grant~~
24 ~~expenditures and retain grant records for not less than 7 years,~~
25 ~~and the grant may be subject to monitoring, site visits, and audit~~
26 ~~as determined by the responsible entity. The grant agreement~~
27 ~~required under this section must include signed assurance by the~~
28 ~~chief executive officer or other executive officer of the grant~~
29 ~~recipient authorized to bind the grant recipient that the~~



1 ~~requirements of this subsection will be met.~~

2 ~~(6) The grant recipient shall expend all grant money awarded~~
3 ~~and complete all projects not later than September 30, 2030. If at~~
4 ~~that time any unexpended money remains, the grant recipient shall~~
5 ~~return that money to the state treasury. If a grant recipient does~~
6 ~~not provide information sufficient to execute a grant agreement not~~
7 ~~later than June 1, 2026, the responsible entity shall return money~~
8 ~~associated with the grant to the state treasury.~~

9 ~~(7) Any grant money that is awarded to a responsible entity is~~
10 ~~appropriated in that responsible entity for the purpose of the~~
11 ~~intended grant.~~

12 ~~(8) Except as otherwise provided in subsection (9), beginning~~
13 ~~March 15 of the current fiscal year, the responsible entity shall~~
14 ~~post a report in a publicly accessible location on its website. The~~
15 ~~report must list the grant recipient, project purpose, and location~~
16 ~~of the project for each grant described in subsection (1), the~~
17 ~~status of money allocated and disbursed under the grant agreement,~~
18 ~~and the legislative sponsor, if applicable. The responsible entity~~
19 ~~shall update the report and post the updated report in a publicly~~
20 ~~accessible location on its website not later than June 15 of the~~
21 ~~current fiscal year and again not later than September 15 of the~~
22 ~~current fiscal year. The responsible entity shall include in the~~
23 ~~report the most comprehensive information the responsible entity~~
24 ~~has available at the time of posting for grants awarded.~~

25 ~~(9) If the state budget office determines that it is more~~
26 ~~efficient for the state budget office to compile all affected~~
27 ~~responsible entities' information and post a report of the compiled~~
28 ~~information rather than the report required under subsection (8)~~
29 ~~being posted by individual responsible entities, the state budget~~



~~office may compile that information across all affected responsible entities and other state departments and post the compiled report and any updates on the same time schedule as identified in subsection (8).~~

~~(10) If the responsible entity reasonably determines that the money allocated for an executed grant agreement under this section was misused or that use of the money was misrepresented by the grant recipient, the responsible entity shall not award any additional funds under the executed grant agreement and shall refer the grant for review following internal audit protocols, which may include referral for criminal investigation.~~

~~(11) As used in this section, "responsible entity" means the department of lifelong education, advancement, and potential, a public university, or other person that administers a grant under this article.~~

(1) Within 30 days of enactment of this act, the state budget office shall post a list of legislative directed spending items funded in section 236 as defined in sections 364 and 364a of the management and budget act, 1984 PA 431, MCL 18.1364 and MCL 18.1364a. The list must include all information and documents pertaining to the funded items as publicly disclosed in accordance with sections 364 and 364a of the management and budget act, 1984 PA 431, MCL 18.1364 and MCL 18.1364a.

(2) In accordance with section 364(4) of the management and budget act, 1984 PA 431, MCL 18.1364, the department or agency administering the grant shall submit a report not later than November 1. The department or agency shall update the report and shall submit updated reports not later than March 15 and September 15 of the current fiscal year. The department or agency shall



1 include in the report the most comprehensive information the
2 department or agency has available at the time of posting for
3 grants awarded, including, but not limited to, project milestones,
4 percent completed, funding expended, and funding encumbered.

5 (3) Before executing a grant agreement, all grant recipients
6 must provide a spending plan that specifies the scope of service,
7 the program goals, the measurement for meeting program goals, and
8 how all grant funds will be used and must indicate if any grant
9 funds will be provided to a third party or subrecipient.

10 (4) Each department or agency responsible for awarding or
11 disbursing grant funds must annually audit the entity's use of the
12 grant funds for each fiscal year in which the grant is active. Each
13 entity must submit information requested by the department or
14 agency to confirm compliance.

15 (5) Each department or agency shall work with the office of
16 the auditor general to conduct an audit of the grant according to
17 generally accepted accounting practices and audit standards. The
18 office of the auditor general must be given access to all internal
19 and external records. All contracts or agreements between a
20 department or agency and a grant recipient or between a grant
21 recipient and a third party must include a clause granting the
22 office of the auditor general access to all internal and external
23 records.

24 (6) Grant recipients and their immediate family members are
25 prohibited from being employed by the executive branch or
26 legislative branch of this state. In addition, grant recipients are
27 prohibited from serving on any state board that has direct or
28 indirect responsibility for approving or auditing grant funds
29 awarded or disbursed by any department or agency.



1 (7) Full and complete audits of grant funds issued by the
2 department or an agency of this state, without redaction unless
3 required by law, must be posted to the department's website in a
4 conspicuous place for public review.

5 (8) On a quarterly basis, the department or agency shall
6 submit a report on legislatively sponsored grant funds that
7 includes, but is not limited to, all of the following:

8 (a) The name of each grant recipient and the status of each
9 grant.

10 (b) The amount distributed to each grant recipient.

11 (c) Any changes to scope or costs of program.

12 (9) The report under subsection (8) must include the following
13 statements made by the department or agency:

14 (a) A statement that confirms the department or agency
15 reviewed and affirmed compliance by each grant recipient to program
16 scope and expenditure of grant funding.

17 (b) A statement that confirms the department or agency
18 reviewed applicable program reports and requests for reimbursement.

19 (10) As used in this section, "department" means the
20 department of lifelong education, advancement, and potential.

21 Sec. 237b. As used in this article:

22 (a) "Center" means the center for educational performance and
23 information created in section 94a.

24 (b) "College level equivalent credit examination" means an
25 examination that is administered by an independent testing service
26 and that is used by colleges and universities generally to award
27 postsecondary credit for achievement of a particular score, and
28 includes, but is not limited to, advanced placement examinations,
29 the DANTES Subject Standardized Test (DSST), and college-level



1 examination program (CLEP) examinations.

2 (c) "Standard report recipients" means the senate and house
3 appropriations committees, the senate and house appropriations
4 subcommittees on higher education, the senate and house fiscal
5 agencies, the senate and house policy offices, and the state budget
6 office.

7 Sec. 238. (1) Unless otherwise specified, a public university
8 receiving appropriations in section 236 shall use the internet to
9 fulfill the reporting requirements of this article. This
10 requirement includes transmission of reports via electronic mail to
11 the recipients identified for each reporting requirement and
12 placement of ~~reports~~ **each required report in a single archivable**
13 **location** on an internet site **not later than the due date required**
14 **for each report.**

15 (2) In addition to placing all reports required in the current
16 fiscal year on the public university's website, the public
17 university shall maintain on its website all reports placed on the
18 website from previous fiscal years, posted by fiscal year in the
19 same single archivable location.

20 Sec. 239a. Public universities are encouraged to evaluate and
21 pursue efficiency and cost-containment measures that maximize state
22 funding. Public universities shall identify practices that increase
23 efficiencies, including, but not limited to, establishing joint
24 ventures, consolidating services, utilizing program collaborations,
25 maximizing educational benefits through optimal class sizes and
26 frequency of course offerings, eliminating low-enrollment and high-
27 cost instructional programs, using self-insurance, practicing
28 energy conservation, and utilizing group purchasing. Public
29 universities shall also review proposed capital outlay projects to



1 **increase coordination and utilization of new facilities, renovation**
 2 **projects, and technology improvements.**

3 Sec. 241. Subject to sections 241a, 241b, 241c, 241e,~~241h,~~
 4 and 244, the funds appropriated in ~~sections~~**section** 236 and ~~236d~~ to
 5 public universities must be paid out of the state treasury and
 6 distributed by the state treasurer to the respective institutions
 7 in 11 equal monthly installments on the sixteenth of each month, or
 8 the next succeeding business day, beginning with October 16, ~~2025-~~
 9 **2026**. Except for Wayne State University, each institution shall
 10 accrue its July and August ~~2026-2027~~ payments to its institutional
 11 fiscal year ending June 30, ~~2026-2027~~.

12 Sec. 241a. (1) All public universities shall submit higher
 13 education institutional data inventory (HEIDI) data and associated
 14 financial aid program information requested by and in a manner
 15 prescribed by the state budget director. For public universities
 16 with fiscal years ending June 30, these data must be submitted to
 17 the state budget director by October 15 of each fiscal year. Public
 18 universities with a fiscal year ending September 30 shall submit
 19 preliminary HEIDI data by November 15 and final data by December
 20 15.

21 (2) It is intended that accountability reporting for public
 22 universities will be streamlined through HEIDI. The state budget
 23 director and the center will work to combine the reporting
 24 requirements outlined in this subsection with the existing HEIDI
 25 collection cycle. All of the following must be reported to the
 26 house and senate fiscal agencies and the state budget director:

27 (a) Each public university's certification of its compliance
 28 with the requirements described in subsections (4), ~~and~~ (5), **and**
 29 **(6)**.



(b) The reporting requirements described in sections 241b and 241c.

(3) If a public university fails to submit HEIDI data and associated ~~financial aid program information~~ **reporting in sections 241a, 241b, 241c, and 244** in accordance with the required reporting schedule, the state ~~treasurer~~ **budget director** may withhold the monthly operations installments under section 236 to the public university until those ~~data~~ **reports** are submitted. If a public university does not comply with all of the requirements described in ~~subsections (4) and (5)~~ **sections 241a, 241b, 241c, and 244** by the end of the fiscal year, the public university forfeits the amount withheld. The state budget director shall notify the ~~chairs of the house and senate appropriations subcommittees on higher education~~ **standard report recipients** at least 10 days before withholding funds from any public university.

(4) No later than **the first business day of** November ~~1~~ **of** each year, a public university shall maintain a public transparency website available through a link on its website homepage **and send the link to the standard report recipients**. The website must include all of the following concerning the public university **and must archive the previous versions from prior fiscal years:**

(a) The annual operating budget and subsequent budget revisions.

(b) A summary of current expenditures for the most recent fiscal year for which they are available, expressed as pie charts in the following 2 categories:

(i) A chart of personnel expenditures, broken into the following subcategories:

(A) Earnings and wages.



1 (B) Employee benefit costs, including, but not limited to,
2 medical, dental, vision, life, disability, and long-term care
3 benefits.

4 (C) Retirement benefit costs.

5 (D) All other personnel costs.

6 (ii) A chart of all current expenditures the public university
7 reported as part of its higher education institutional data
8 inventory data under subsection (1), broken into the same
9 subcategories in which it reported those data.

10 (c) Links to all of the following for the public university:

11 (i) The current collective bargaining agreement for each
12 bargaining unit.

13 (ii) Each health care benefits plan, including, but not limited
14 to, medical, dental, vision, disability, long-term care, or any
15 other type of benefits that would constitute health care services,
16 offered to any bargaining unit or employee of the public
17 university.

18 (iii) Audits and financial reports for the most recent fiscal
19 year for which they are available.

20 (d) General fund revenue and expenditure projections for the
21 current fiscal year and the next fiscal year.

22 (e) A listing of all debt service obligations, detailed by
23 project, anticipated fiscal year payment for each project, and
24 total outstanding debt for the current fiscal year.

25 (f) The institution's policy regarding the transferability of
26 core college courses between community colleges and the public
27 university.

28 (g) A listing of all community colleges that have entered into
29 reverse transfer agreements with the public university.



1 (h) A dashboard or report card demonstrating the public
2 university's performance in several "best practice" measures. The
3 dashboard or report card must include at least all of the following
4 for the 3 most recent academic years for which the data are
5 available:

6 (i) Enrollment.

7 (ii) Student retention rate.

8 (iii) Six-year graduation rates.

9 (iv) Number of Pell grant recipients and graduating Pell grant
10 recipients.

11 (v) Geographic origination of students, categorized as in-
12 state, out-of-state, and international.

13 (vi) Faculty to student ratios and total public university
14 employee to student ratios.

15 (vii) Teaching load by faculty classification.

16 (viii) Graduation outcome rates, including employment and
17 continuing education.

18 (i) An icon badge that provides statewide consistency and
19 public visibility. For this purpose, public universities shall use
20 the icon badge provided by the department of technology,
21 management, and budget consistent with the icon badge developed by
22 the department of education for K-12 school districts. It must
23 appear on the front of each public university's homepage. The size
24 of the icon may be reduced to 150 x 150 pixels. The font size and
25 style for this reporting must be consistent with other documents on
26 each public university's website.

27 (j) A collection and report of the number and percentage of
28 all enrolled students who complete the Free Application for Federal
29 Student Aid, broken out by undergraduate and graduate/professional



1 classifications, reported to the center and posted on its website
2 under the budget transparency icon badge.

3 (k) The name of the current president, the names of the city
4 and state where the president currently resides, and the
5 president's annual salary.

6 (5) No later than **the first business day of** November ~~1~~**of** each
7 year, a public university shall develop, maintain, and update a
8 "campus safety information and resources" link, prominently
9 displayed on the homepage of its website, to a section of its
10 website containing, at a minimum, all of the following information:

11 (a) Emergency contact numbers for police, fire, health, and
12 other services.

13 (b) Hours, locations, telephone numbers, and email contacts
14 for campus public safety offices and title IX offices.

15 (c) A list of safety and security services provided by the
16 public university, including transportation, escort services,
17 building surveillance, anonymous tip lines, and other available
18 security services.

19 (d) The public university's policies applicable to minors on
20 university property.

21 (e) A directory of resources available at the public
22 university or surrounding community for students or employees who
23 are survivors of sexual assault or sexual abuse.

24 (f) An electronic copy of "A Resource Handbook for Campus
25 Sexual Assault Survivors, Friends and Family", published in 2018.

26 (g) Campus security policies and crime statistics pursuant to
27 the student right-to-know and campus security act, Public Law 101-
28 542, 104 Stat 2381. Information must include all material prepared
29 pursuant to the public information reporting requirements under the



1 crime awareness and campus security act of 1990, title II of the
2 student right-to-know and campus security act, Public Law 101-542,
3 104 Stat 2381.

4 (6) Each public university shall certify to the state budget
5 director by the first business day of November of each year that it
6 complies with all of the following requirements:

7 (a) The public university participates in reverse transfer
8 agreements described in section 286 with at least 3 community
9 colleges in this state.

10 (b) The public university does not and will not apply any of
11 the following criteria when determining whether credits earned
12 outside the public university by a student count toward a degree or
13 certificate program offered by the public university:

14 (i) Whether the credits were earned in a dual enrollment
15 program that counted the credits toward high school graduation
16 requirements.

17 (ii) Whether the credits were earned in a course that was
18 delivered in a high school classroom, community college classroom
19 or campus, or another location.

20 (iii) Whether the credits were earned in a course that was
21 delivered online, in person, or hybrid.

22 (iv) Whether other students enrolled in the course in which the
23 credits were earned were enrolled in high school or counted the
24 course toward high school graduation requirements.

25 (c) The public university actively participates in and submits
26 timely updates to the Michigan Transfer Network created as part of
27 the Michigan Association of Collegiate Registrars and Admissions
28 Officers transfer agreement.

29 (7) Each public university that receives funding in section



1 **236 shall certify to the state budget director by the first**
 2 **business day of November of each year that it complies with student**
 3 **privacy protections granted under the family educational rights and**
 4 **privacy act, 20 USC 1232g, and the driver privacy protection act,**
 5 **18 USC 2721 to 2725.**

6 Sec. 241b. (1) No later than **the first business day of**
 7 November ~~1~~**of** each year, each public university that receives an
 8 appropriation in section 236 shall report its annual security
 9 report, also known as the Clery Act Report, as required under 20
 10 USC 1092(f). Each public university shall include a title IX
 11 summary report that includes all of the following information:

12 (a) The amounts and descriptions of all fees incurred in title
 13 IX-related civil and criminal litigation.

14 (b) The number of title IX complaints.

15 (c) The average length of time for investigation and
 16 resolution of title IX complaints.

17 (d) The aggregate number of title IX cases, investigations,
 18 and complaints for each of the categories described in
 19 subparagraphs (i) to (v), subject to subparagraph (vi), as follows:

20 (i) Cases investigated for less than 15 days.

21 (ii) Cases investigated for at least 15 days and less than 30
 22 days.

23 (iii) Cases investigated for at least 30 days and less than 60
 24 days.

25 (iv) Cases investigated for at least 60 days and less than 90
 26 days.

27 (v) Cases investigated for 90 days or more.

28 (vi) If, for any category of cases under subparagraphs (i) to
 29 (v), there is an aggregate of fewer than 5 cases investigated, the



1 public university shall not report the aggregate number of cases
2 and instead shall report that fewer than 5 cases were investigated.

3 (e) The number of title IX appeals and the resolutions of
4 those appeals.

5 (f) The number of title IX-related complaints filed by the
6 public university with law enforcement agencies.

7 (2) No later than **the first business day of** November ~~1~~**of** each
8 year, each public university that receives an appropriation in
9 section 236 shall certify all of the following:

10 (a) The public university complies with federal regulations
11 under title IX, as required by the United States Department of
12 Education, including, but not limited to, the following:

13 (i) Use of medical experts that do not have an actual or
14 apparent conflict of interest.

15 (ii) Issuance of title IX reports to complainants and
16 respondents that are not divergent.

17 (iii) Notification of resources to each individual who reports
18 having experienced sexual assault by a public university member.

19 (iv) Consistent annual training for title IX staff and law
20 enforcement.

21 (b) The public university provides both of the following:

22 (i) An in-person sexual misconduct prevention presentation or
23 course for all freshman and incoming transfer students, which must
24 include contact information for the title IX office of the public
25 university. For a student who does not have any in-person credit
26 hours on campus, the university may provide the presentation or
27 course electronically.

28 (ii) An online or electronic sexual misconduct prevention
29 presentation or course for all students not considered freshmen or



1 incoming transfer students.

2 (c) The public university had a third party review its title
3 IX compliance office and related policies and procedures by the end
4 of the 2018-2019 academic year. A copy of the third-party review
5 must be transmitted to the ~~state budget director, the house and~~
6 ~~senate appropriations subcommittees on higher education, and the~~
7 ~~house and senate fiscal agencies.~~ **standard report recipients.** Each
8 public university shall have a third-party review once every 4
9 years and a copy of the third-party review must be transmitted to
10 the ~~state budget director, the house and senate appropriations~~
11 ~~subcommittees on higher education, and the house and senate fiscal~~
12 ~~agencies.~~ **standard report recipients.**

13 (d) The public university requires that the governing board
14 and the president or chancellor of the public university receive
15 quarterly reports from their title IX coordinator or title IX
16 office. The report must contain aggregated data of the number of
17 sexual misconduct reports that the office received for the academic
18 year, the types of reports received, including reports received
19 against employees, and a summary of the general outcomes of the
20 reports and investigations. A member of the governing board may
21 request to review a title IX investigation report involving a
22 complaint against an employee, and the public university shall
23 provide the report in a manner it considers appropriate. The public
24 university shall protect the complainant's anonymity, and the
25 report must not contain specific identifying information.

26 (e) If allegations against an employee are made in more than 1
27 title IX complaint that resulted in the public university finding
28 that no misconduct occurred, the public university requires that
29 the title IX officer promptly notify the president or chancellor



1 and a member of the public university's governing board in writing
 2 and take all appropriate steps to ensure that the matter is being
 3 investigated thoroughly, including hiring an outside investigator
 4 for future cases involving that employee. A third-party title IX
 5 investigation under this subdivision does not prohibit the public
 6 university from simultaneously conducting its own title IX
 7 investigation through its own title IX coordinator.

8 (f) The public university's president or chancellor and a
 9 member of its governing board has reviewed all title IX reports
 10 involving the alleged sexual misconduct of an employee of the
 11 public university.

12 (3) As used in this section, "sexual misconduct" includes, but
 13 is not limited to, intimate partner violence, nonconsensual sexual
 14 conduct, sexual assault, sexual exploitation, sexual harassment,
 15 and stalking.

16 Sec. 241c. (1) No later than the ~~first~~**last** business day of
 17 ~~November~~**August of** each year, each public university that receives
 18 an appropriation in section 236 shall submit the amount of tuition
 19 and fees actually charged to a full-time resident undergraduate
 20 student for academic year ~~2025-2026~~**2026-2027** as part of the public
 21 university's higher education institutional data inventory (HEIDI)
 22 data. A public university shall report any revisions for any
 23 semester of the reported academic year to HEIDI within 15 days of
 24 being adopted.

25 (2) Payments under section ~~236d~~**236 for infrastructure,**
 26 **technology, equipment, maintenance, and safety** must be made only to
 27 a public university that certifies to the state budget director by
 28 the ~~first~~**last** business day of ~~November~~**August of** each year that
 29 its board did not adopt an increase in tuition and fee rates for



1 resident undergraduate students after September 1, ~~2024~~**2025**, for
 2 the ~~2024-2025~~**2025-2026** academic year and that its board will not
 3 adopt an increase in tuition and fee rates for resident
 4 undergraduate students for the ~~2025-2026~~**2026-2027** academic year
 5 that is greater than ~~4.5%~~**4.0%** or ~~\$735.00,~~**\$651.00**, whichever is
 6 greater. For the academic year ~~2026-2027,~~**2027-2028**, the tuition
 7 and fee restraint rate for resident undergraduate students is an
 8 increase of not greater than ~~4.0%~~**3.0%** or ~~\$651.00,~~**\$513.00**,
 9 whichever is greater. It is the intent of the legislature that in
 10 the next fiscal year, the tuition and fee restraint rate will be
 11 adjusted only for the subsequent academic year. As used in this
 12 subsection:

13 (a) "Fee" means any board-authorized fee that will be paid by
 14 more than 1/2 of all resident undergraduate students at least once
 15 during their enrollment at a public university, as described in the
 16 higher education institutional data inventory (HEIDI) user manual.
 17 A public university increasing a fee that applies to a specific
 18 subset of students or courses shall provide sufficient information
 19 to prove that the increase applied to that subset will not cause
 20 the increase in the average amount of board-authorized total
 21 tuition and fees paid by resident undergraduate students in the
 22 academic year to exceed the limit established in this subsection.

23 (b) "Tuition and fee rate" means the average of full-time
 24 rates paid by a majority of students in each undergraduate class,
 25 based on an unweighted average of the rates authorized by the
 26 public university board and actually charged to students, deducting
 27 any uniformly rebated or refunded amounts, for the 2 semesters with
 28 the highest levels of full-time equated resident undergraduate
 29 enrollment during the academic year, as described in the higher



1 education institutional data inventory (HEIDI) user manual.

2 ~~(3) Each public university shall certify to the state budget~~
3 ~~director by the first business day of November each year that it~~
4 ~~complies with all of the following requirements:~~

5 ~~(a) The public university participates in reverse transfer~~
6 ~~agreements described in section 286 with at least 3 community~~
7 ~~colleges in this state.~~

8 ~~(b) The public university does not and will not apply any of~~
9 ~~the following criteria when determining whether credits earned~~
10 ~~outside the public university by a student count toward a degree or~~
11 ~~certificate program offered by the public university:~~

12 ~~(i) Whether the credits were earned in a dual enrollment~~
13 ~~program that counted the credits toward high school graduation~~
14 ~~requirements.~~

15 ~~(ii) Whether the credits were earned in a course that was~~
16 ~~delivered in a high school classroom, community college classroom~~
17 ~~or campus, or another location.~~

18 ~~(iii) Whether the credits were earned in a course that was~~
19 ~~delivered online, in person, or hybrid.~~

20 ~~(iv) Whether other students enrolled in the course in which the~~
21 ~~credits were earned were enrolled in high school or counted the~~
22 ~~course toward high school graduation requirements.~~

23 ~~(c) The public university actively participates in and submits~~
24 ~~timely updates to the Michigan Transfer Network created as part of~~
25 ~~the Michigan Association of Collegiate Registrars and Admissions~~
26 ~~Officers transfer agreement.~~

27 **(3)** ~~(4)~~ The state budget director shall implement uniform
28 reporting requirements to ensure that a public university receiving
29 a payment under section ~~236d~~ **236** has satisfied the tuition



1 restraint requirements of this section. The state budget director
 2 has the sole authority to determine if a public university has met
 3 the requirements of this section. Information reported by a public
 4 university to the state budget director under this subsection must
 5 also be reported to the ~~house and senate appropriations~~
 6 ~~subcommittees on higher education and the house and senate fiscal~~
 7 ~~agencies.~~ **standard report recipients.**

8 Sec. 241e. (1) Payments under section 236 for operations
 9 increase must be made only to a public university that certifies to
 10 the state budget director by the last business day of August each
 11 year that it complies with the following:

12 (a) The institutional best practice described in subdivision
 13 (c).

14 (b) One or more of the institutional best practices described
 15 in subdivisions (d) to ~~(g)~~ (h).

16 (c) The public university accepts the Michigan Transfer
 17 Agreement, partners with the Michigan Transfer Network, and
 18 promotes clear transfer pathways for interested students by doing
 19 all of the following:

20 (i) Has a policy to help transfer or accept associate degrees
 21 from other accredited Michigan postsecondary education
 22 institutions.

23 (ii) Publishes the policy described in subparagraph (i) on the
 24 institution's website in an easily accessible way and in admissions
 25 materials.

26 (iii) Provides publicly available information on the Michigan
 27 Transfer Network, applicable transfer pathways, and financial aid
 28 available to transfer students, at no cost to the student.

29 (iv) Begins negotiations to increase the number of reverse



1 transfer agreements or articulation agreements and reports on the
2 progress toward completing the agreements to the state budget
3 director by the last business day in February.

4 (d) The public university requires all students to receive an
5 academic degree or certificate map that outlines required course
6 sequencing, program and institution requirements, declared minor
7 program academic requirements, and a recommended timeline within
8 which courses should be taken and in which specific semester or
9 term in order to satisfy all program requirements to allow the
10 student to graduate on time.

11 (e) The public university provides non-credit-bearing
12 developmental or remedial courses at a reduced cost to students.

13 (f) The public university provides each degree- or
14 certificate-seeking student with a designated, trained academic
15 advisor to support student retention, persistence, and completion.
16 The public university shall require students to meet with their
17 academic advisor at least once per semester or term.

18 (g) The public university provides employees during business
19 hours to assist prospective and current students ~~complete-in~~
20 **completing** the Free Application for Federal Student Aid.

21 **(h) The public university posts the costs of degree**
22 **attainment, separated by degree level, and the earnings associated**
23 **with degree attainment, separated by degree level.**

24 (2) The state budget director shall implement uniform
25 reporting requirements to ensure that a public university receiving
26 a payment under section 236 for operations increase has satisfied
27 the institutional best practices requirements of this section. The
28 state budget director has the sole authority to determine if a
29 public university has met the requirements of this section.



1 Information reported by a public university to the state budget
 2 director under this subsection must also be reported to the ~~house~~
 3 ~~and senate appropriations subcommittees on higher education and the~~
 4 ~~house and senate fiscal agencies.~~ **standard report recipients.**

5 (3) If a public university fails to comply with the
 6 certification requirements of this section, the state treasurer may
 7 withhold the monthly installments under section 241 to the public
 8 university until the report is submitted. If a public university
 9 does not comply with the certification requirements described in
 10 this section by the end of the fiscal year, the public university
 11 forfeits the amount withheld. Forfeited funds must lapse to the
 12 fund from which the funds were appropriated. The state budget
 13 director shall notify the ~~chairs of the house and senate~~
 14 ~~appropriations subcommittees on higher education~~ **standard report**
 15 **recipients** at least 10 days before withholding funds from any
 16 public university.

17 Sec. 241h. ~~It is the intent of the legislature that taxpayer~~
 18 **Taxpayer** funds appropriated under this article are to be used to
 19 educate public university students and continue maintenance of
 20 public university buildings and other assets. The goal of the
 21 legislature is that taxpayer funds not be used excessively for
 22 administration. Therefore, a public university that receives an
 23 appropriation under this article shall not spend more than 10% of
 24 that appropriation on administration. A sum of money spent in
 25 excess of the 10% cap described in this section by a public
 26 university results in a forfeiture of an amount equal to 50% of
 27 that sum from funds appropriated to that public university, not to
 28 exceed the total amount appropriated to that public university
 29 under this article. The auditor general may investigate allegations



1 of violations of this section. Funds forfeited under this section
2 must revert, to the extent permitted by law, to the general fund or
3 the state school aid fund. For the purpose of calculations under
4 this section, the amount spent by a public university on
5 administrative costs does not include costs associated with staff
6 working in the following roles: teachers, facilities, public
7 safety, technology, research, instruction, academic support,
8 student services, auxiliary services, or public service.

9 Sec. 247. (1) The funds appropriated in section 236 for
10 Michigan reconnect must be distributed and administered by the
11 department of lifelong education, advancement, and potential
12 pursuant to the Michigan reconnect grant act, 2020 PA 84, MCL
13 390.1701 to 390.1709, the Michigan reconnect grant recipient act,
14 2020 PA 68, MCL 390.1711 to 390.1723, and the department's
15 administrative procedures for Michigan reconnect.

16 (2) For fiscal year ~~2025-2026~~**2026-2027** only, the department
17 of lifelong education, advancement, and potential may use the funds
18 appropriated in section 236 for Michigan reconnect to support
19 students who are receiving awards under the temporary "ARP -
20 Michigan reconnect expansion to 21" program described in 2023 PA
21 119.

22 Sec. 248. (1) The funds appropriated in section 236 for
23 Michigan achievement scholarships must be distributed as provided
24 in this section and section 248a, pursuant to the administrative
25 procedures for Michigan achievement scholarships of the department.

26 (2) As used in this section:

27 (a) "Cost of attendance" means expenses for a student's
28 tuition, mandatory fees, and contact hours for the student's actual
29 program of study; books, supplies, and equipment required for



1 courses of instruction; housing and food costs; transportation
2 expenses; federal student loan fees; miscellaneous expenses,
3 including a reasonable amount for the documented cost of a personal
4 computer, allowance for child care, or allowance for other
5 dependent care; costs related to a disability; costs of obtaining a
6 license, certification, or first professional credential; and
7 reasonable costs for study abroad programs.

8 (b) "Department" means the department of lifelong education,
9 advancement, and potential.

10 (c) "Eligible institution" means a public university that
11 receives an appropriation in section 236, a community college that
12 receives an appropriation in section 201, a federally recognized
13 tribal college in this state, or an independent nonprofit college
14 or university in this state as described in section 1 of 1966 PA
15 313, MCL 390.991.

16 (d) "Gift aid" includes federal Pell grants under 20 USC
17 1070a, tuition incentive program benefits under section 256, state
18 tuition grants under section 252, awards received for minimum
19 payments awarded in subsection (4), higher education expenses paid
20 under the Michigan promise zone authority act, 2008 PA 549, MCL
21 390.1661 to 390.1679, and all other federal, state, local, or
22 institutional aid in the form of grants, scholarships, or discounts
23 applied toward tuition and mandatory fees. Gift aid does not
24 include student loans, work-study awards, qualified withdrawals
25 made from education savings accounts to pay higher education
26 expenses pursuant to the Michigan education savings program act,
27 2000 PA 161, MCL 390.1471 to 390.1486, or higher education expenses
28 paid under the Michigan education trust program pursuant to the
29 Michigan education trust act, 1986 PA 316, MCL 390.1421 to



1 390.1442.

2 (e) "High school equivalency certificate" means that term as
3 defined in section 4.

4 (f) "Last-dollar payment amount" means 1 of the following:

5 (i) For a student attending a community college or federally
6 recognized tribal college, an amount equal to the student's
7 tuition, mandatory fees, and contact hours for the student's actual
8 program of study, minus all gift aid received by the student.

9 (ii) For a student attending a public university or an
10 independent nonprofit college or university, or for a student
11 enrolled in a baccalaureate degree program described in section 121
12 of the community college act of 1966, 1966 PA 331, MCL 389.121, an
13 amount equal to the student's individual cost of attendance, minus
14 all gift aid received by the student.

15 (g) "Minimum payment" means a payment for any eligible cost
16 within the student's individual cost of attendance. The minimum
17 payment must be awarded as a separate payment not included in the
18 student's need-based financial aid. The minimum payment must not be
19 reduced.

20 (h) "SAI eligible student" means a student who has completed
21 the Free Application for Federal Student Aid and meets at least 1
22 of the following:

23 (i) For awards made during academic year 2023-2024, has an
24 expected family contribution of \$25,000.00 or less. An individual
25 is considered to have met the requirements of subsection (4) if the
26 individual received the Michigan achievement scholarship in
27 academic year 2023-2024, was determined to have an expected family
28 contribution of \$25,000.00 or less in academic year 2023-2024, and
29 has completed the Free Application for Federal Student Aid for the



1 subsequent award cycles.

2 (ii) For awards made during academic year 2024-2025 or a
3 subsequent academic year, has completed the Free Application for
4 Federal Student Aid and has a student aid index number of 1 of the
5 following, as applicable:

6 (A) For a student indicating on the student's Free Application
7 for Federal Student Aid that the student is the only member of the
8 student's household or the student's parents' household attending a
9 postsecondary institution during that academic year, \$30,000.00 or
10 less.

11 (B) For a student indicating on the student's Free Application
12 for Federal Student Aid that the student is not the only member of
13 the student's household or the student's parents' household
14 attending a postsecondary institution during that academic year,
15 the greater of the number described in sub-subparagraph (A) or
16 guidance determined by the department. For the purposes of this
17 sub-subparagraph, the department, in collaboration with the state
18 budget office and the house and senate fiscal agencies, may
19 calculate a student aid index number or may issue administrative
20 guidance for the student aid index eligibility of students with
21 more than 1 member of the student's household or the student's
22 parents' household attending a postsecondary institution during
23 that academic year. It is intended that the utilization of a
24 student aid index instead of expected family contribution does not
25 adversely impact the eligibility of students with multiple members
26 of the student's household or student's parents' household
27 attending postsecondary institutions. It is further intended that
28 the legislature and executive branch work collaboratively to use
29 Michigan achievement scholarship uptake and other relevant data to



1 establish a more permanent measure of financial need for the
 2 Michigan achievement scholarship for subsequent academic years.

3 (3) An individual must meet all of the following criteria each
 4 year to be eligible for a Michigan achievement scholarship awarded
 5 under this section:

6 (a) Maintain residency in this state, as determined for
 7 purposes of the Free Application for Federal Student Aid.

8 (b) Have **done 1 of the following:**

9 **(i) ~~graduated~~ Graduated** from high school in this state with a
 10 diploma or certificate of completion or achieved a high school
 11 equivalency certificate in 2023 or after.

12 **(ii) Completed an associate degree under the Michigan Reconnect**
 13 **Grant Program created in section 5 of the Michigan reconnect grant**
 14 **act, 2020 PA 84, MCL 390.1705, within the last 15 months.**

15 (c) Be a full-time undergraduate student at an eligible
 16 institution, as defined by that eligible institution, and be ~~a-1 of~~
 17 **the following:**

18 **(i) A** first-time enrollee in an eligible institution during the
 19 2023-2024 academic year, or a subsequent academic year, within 15
 20 months after high school graduation or attainment of a high school
 21 equivalency certificate or have received a Michigan achievement
 22 scholarship in a previous academic year. For the purposes of this
 23 ~~subdivision, subparagraph~~, participation in a dual enrollment,
 24 early college, or other similar program while attending high school
 25 does not disqualify a student from being considered a first-time
 26 enrollee.

27 **(ii) An individual who has completed an associate degree under**
 28 **the Michigan Reconnect Grant Program created in section 5 of the**
 29 **Michigan reconnect grant act, 2020 PA 84, MCL 390.1705, within the**



1 **last 15 months.**

2 (d) Maintain satisfactory academic progress, as defined by the
3 eligible institution in which the student is enrolled.

4 (e) Not be in default on a federal student loan.

5 (f) Apply for all available gift aid for each academic year in
6 which the individual applies for a Michigan achievement
7 scholarship.

8 (g) For a student who is enrolled at an eligible institution
9 that is a public university or an independent nonprofit college or
10 university, or who is enrolled in a baccalaureate degree program
11 described in section 121 of the community college act of 1966, 1966
12 PA 331, MCL 389.121, at an eligible institution, be an SAI eligible
13 student.

14 (4) The amount awarded to an eligible student at an eligible
15 institution must equal 1 of the following, as applicable:

16 (a) The amount awarded to an eligible student who is enrolled
17 at an eligible institution that is a community college or federally
18 recognized tribal college where the student is eligible for that
19 institution's in-district tuition rate must be equal to the sum of
20 the last-dollar payment amount. The amount awarded to an eligible
21 student who is eligible for a federal Pell grant under 20 USC 1070a
22 must include an additional amount of \$1,000.00.

23 (b) The amount awarded to an eligible student who is enrolled
24 at an eligible institution that is a community college or federally
25 recognized tribal college where the student is not eligible for
26 that institution's in-district tuition rate must be the lesser of
27 the last-dollar payment amount, or the in-district tuition rate.
28 The amount awarded to an eligible student who is eligible for a
29 federal Pell grant under 20 USC 1070a must include an additional



1 amount of \$1,000.00.

2 (c) The amount awarded to an eligible student who is enrolled
3 at an eligible institution that is a public university or is
4 enrolled in a baccalaureate degree program described in section 121
5 of the community college act of 1966, 1966 PA 331, MCL 389.121, at
6 an eligible institution must equal the sum of following:

7 (i) A minimum payment of \$2,500.00.

8 (ii) The lesser of \$3,000.00 or the student's last-dollar
9 payment amount.

10 (d) The amount awarded to an eligible student at an eligible
11 institution that is an independent nonprofit college or university
12 must equal the sum of the following:

13 (i) A minimum payment of \$2,500.00.

14 (ii) The lesser of \$3,000.00 or the student's last-dollar
15 payment amount.

16 (e) Money awarded under this subsection for a Michigan
17 achievement scholarship must be paid to the eligible institution
18 for credit to the student's account.

19 (5) Subject to section 248a(3)(f)(i), an eligible student may
20 receive a Michigan achievement scholarship award under this section
21 or section 248a for a maximum of 5 academic years, not more than 3
22 of which may be for attending eligible institutions that are
23 community colleges or federally recognized tribal colleges unless
24 the student is enrolled in a baccalaureate degree program described
25 in section 121 of the community college act of 1966, 1966 PA 331,
26 MCL 389.121. A student may not receive an award under this section
27 and section 248a(3)(f)(i) during the same academic year.

28 (6) The department shall work closely with participating
29 institutions to provide the highest level of participation and



1 ensure that all requirements of the program are met.

2 (7) From the funds appropriated in section 236(7) for the
3 Michigan achievement scholarships, the department may not use more
4 than \$10,000,000.00 for the purposes of outreach programs to raise
5 awareness of the Michigan achievement scholarship described in this
6 section and section 248a and shall ensure that Michigan achievement
7 scholarships are well publicized and that high school students are
8 provided information on the program. The department may receive and
9 expend funds received from outside sources for scholarships,
10 marketing, or other purposes related to the Michigan achievement
11 scholarship. The department shall provide the necessary funding and
12 staff to fully operate the program.

13 (8) The department shall convene a workgroup to consider and
14 advise the department on implementing policies for administering
15 the Michigan achievement scholarship. The workgroup shall include
16 participation from the Michigan Association of State Universities
17 and its institutional members, the Michigan College Access Network,
18 the Michigan Community College Association and its institutional
19 members, the Michigan Independent Colleges and Universities and its
20 institutional members, and any other interested stakeholders and
21 offices as determined by the department. The workgroup shall make
22 recommendations on packaging order, packaging structure,
23 definitions of terms not otherwise defined in statute, and other
24 administrative regulatory requirements as necessary to implement
25 the Michigan achievement scholarship.

26 (9) The following reporting obligations apply to the Michigan
27 achievement scholarship program:

28 (a) By February 15 of each year, the department shall provide
29 a written report, organized by eligible institution, to the ~~house~~



~~1 and senate appropriations subcommittees on higher education, the~~
~~2 house and senate fiscal agencies, and the state budget director~~
3 **standard report recipients** that includes the following information
4 for the previous academic year:

5 (i) The number of students who qualified for a Michigan
6 achievement scholarship.

7 (ii) The number of students who received a Michigan achievement
8 scholarship.

9 (iii) The average number of credits earned by students who
10 received a Michigan achievement scholarship.

11 (iv) The number of Michigan achievement scholarships that were
12 canceled due to failure to maintain satisfactory academic progress
13 as described in subsection (3)(d).

14 (v) The number of Michigan achievement scholarships that were
15 canceled due to a student ceasing attendance at an eligible
16 institution. The number must not include any known transfers to
17 another eligible institution.

18 (vi) The number of Michigan achievement scholarships that were
19 canceled due to a student's failure to maintain full-time status.

20 (vii) The average Michigan achievement scholarship award per
21 student, delineated by sector, including community colleges, tribal
22 colleges, public universities, independent colleges and
23 universities, and training institutions. As used in this
24 subparagraph, "training institutions" means training institutions
25 accepted to participate in the Michigan achievement scholarship
26 program under section 248a.

27 (b) Each eligible institution whose students receive awards
28 under this section shall cooperate with the department in a timely
29 manner to facilitate the creation of the report under subdivision



1 (a).

2 (10) By April 1 of each year, each eligible institution shall
3 submit a report to the department, the state budget office, and the
4 house and senate fiscal agencies providing information as to the
5 average amount of institutional grant aid awarded to full-time
6 first-time undergraduate students for the immediately preceding 2
7 institution fiscal years. If the average amount of institutional
8 grant aid awarded to full-time first-time undergraduate students in
9 fiscal year ~~2024-2025~~ **2025-2026** is less than the average amount of
10 institutional grant aid awarded to full-time first-time
11 undergraduate students in fiscal year ~~2023-2024~~, **2024-2025**, the
12 institution shall include in the report a description of any
13 changes to the institutional financial aid during the 2 immediately
14 preceding fiscal years. An institution's report of the average
15 amount of institutional grant aid awarded to full-time first-time
16 undergraduate students pursuant to this subsection must be
17 consistent with data most recently reported to the Integrated
18 Postsecondary Education Data System.

19 (11) For each fiscal year, an eligible institution shall
20 maintain and report its compliance with the following tuition
21 restraint requirements, as applicable:

22 (a) For an eligible institution that is a community college,
23 the tuition restraint described in section 217b.

24 (b) For an eligible institution that is a public university or
25 independent nonprofit college or university, the tuition restraint
26 described in section 241c.

27 (12) The state budget director shall implement reporting
28 requirements to ensure that an eligible institution has satisfied
29 the tuition restraint requirements of this section. The state



1 budget director has the sole authority to determine if an eligible
2 institution has met the requirements of this section.

3 (13) If an eligible institution exceeds the applicable tuition
4 restraint level for 2 consecutive years, the state budget director
5 may consider the institution ineligible for funding under this
6 section in the subsequent academic year.

7 (14) If an institution is considered ineligible for funding
8 under this section, the state budget director shall reevaluate the
9 status of the ineligible institution after 1 academic year.

10 (15) It is the intent of the legislature that an eligible
11 institution will not make reductive changes to scholarship or
12 financial aid programs offered by that eligible institution that
13 have the goal or net effect of shifting the cost burden of those
14 programs to the program described in this section.

15 Sec. 252. (1) The amounts appropriated in section 236e for the
16 state tuition grant program must be distributed pursuant to 1966 PA
17 313, MCL 390.991 to 390.997a.

18 (2) Tuition grant awards must be made to all eligible Michigan
19 residents enrolled in undergraduate degree programs who are
20 qualified.

21 (3) Pursuant to section 5 of 1966 PA 313, MCL 390.995, and
22 subject to subsections (6) and (7), the department of lifelong
23 education, advancement, and potential shall determine an actual
24 tuition grant award per student, which must be \$3,000.00, that
25 ensures that the aggregate payments for the tuition grant program
26 do not exceed the appropriation contained in section 236e for the
27 state tuition grant program. If the department determines that
28 insufficient funds are available to establish an award amount equal
29 to \$3,000.00, the department shall immediately report to the ~~house~~



~~1 and senate appropriations subcommittees on higher education, the~~
~~2 house and senate fiscal agencies, and the state budget director~~
3 **standard report recipients** regarding the estimated amount of
4 additional funds necessary to establish a \$3,000.00 award amount.
5 If the department determines that sufficient funds are available to
6 establish an award amount equal to \$3,000.00, the department shall
7 immediately report to the ~~house and senate appropriations~~
~~8 subcommittees on higher education, the house and senate fiscal~~
~~9 agencies, and the state budget director~~ **standard report recipients**
10 regarding the award amount established and the projected amount of
11 any projected year-end appropriation balance based on that award
12 amount. By February 18 of each fiscal year, the department shall
13 analyze the status of award commitments, shall make any necessary
14 adjustments, and shall confirm that those award commitments will
15 not exceed the appropriation contained in section 236e for the
16 tuition grant program. The determination and actions must be
17 reported to the state budget director and the house and senate
18 fiscal agencies no later than the final day of February of each
19 year. If award adjustments are necessary, the students must be
20 notified of the adjustment by March 4 of each year. Subject to
21 subsection (9), for the purposes of determining a student's
22 financial need under 1966 PA 313, MCL 390.991 to 390.997a, the
23 department of lifelong education, advancement, and potential shall
24 presume that a student who is eligible for the Michigan ~~tuition~~
~~25 grant~~ **achievement scholarship** for the first time during academic
26 year 2024-2025 or any subsequent year, has no need for a state
27 tuition grant under this section. It is the intent of the
28 legislature that 1966 PA 313, MCL 390.991 to 390.997a, will be
29 amended to end tuition grant eligibility of students enrolling in



1 college for the first time after the fiscal year ending on
2 September 30, 2024, ~~as these students may be~~ **if the student is**
3 eligible for the Michigan achievement scholarship.

4 (4) The department of lifelong education, advancement, and
5 potential shall continue a proportional tuition grant award level
6 for recipients enrolled less than full-time in a given semester or
7 term.

8 (5) If the department of lifelong education, advancement, and
9 potential increases the award per eligible student from that
10 provided in the previous fiscal year, it must not have the effect
11 of reducing the number of eligible students receiving awards in
12 relation to the total number of eligible applicants. Any increase
13 in the grant must be proportional for all eligible students
14 receiving awards for that fiscal year.

15 (6) The department of lifelong education, advancement, and
16 potential shall not award more than \$5,000,000.00 in tuition grants
17 to eligible students enrolled in the same independent nonprofit
18 college or university in this state. Any decrease in the grant must
19 be proportional for all eligible students enrolled in that college
20 or university, as determined by the department.

21 (7) The department of lifelong education, advancement, and
22 potential shall not award tuition grants to otherwise eligible
23 students enrolled in an independent college or university that does
24 not report, in a form and manner directed by and satisfactory to
25 the department of lifelong education, advancement, and potential,
26 by October 31 of each year, all of the following:

27 (a) The number of students in the most recently completed
28 academic year who in any academic year received a state tuition
29 grant at the reporting institution and successfully completed a



1 program or graduated.

2 (b) The number of students in the most recently completed
3 academic year who in any academic year received a state tuition
4 grant at the reporting institution and took a remedial education
5 class.

6 (c) The number of students in the most recently completed
7 academic year who in any academic year received a Pell grant at the
8 reporting institution and successfully completed a program or
9 graduated.

10 (8) By February 1 of each year, each independent college and
11 university participating in the tuition grant program shall report
12 to the ~~house and senate appropriations subcommittees on higher~~
13 ~~education, the house and senate fiscal agencies, and the state~~
14 ~~budget director~~ **standard report recipients** on its efforts to
15 develop and implement sexual assault response training for the
16 institution's title IX coordinator, campus law enforcement
17 personnel, campus public safety personnel, and any other campus
18 personnel charged with responding to on-campus incidents, including
19 information on sexual assault response training materials and the
20 status of implementing sexual assault response training for
21 institutional personnel.

22 (9) A student who received a scholarship under this section
23 prior to the academic year 2024-2025 may continue to receive a
24 tuition grant award under this section provided that the student
25 meets all other criteria required for the receipt of a tuition
26 grant award.

27 Sec. 256. (1) The funds appropriated in section 236 for the
28 tuition incentive program must be distributed as provided in this
29 section and pursuant to the administrative procedures for the



1 tuition incentive program of the department of lifelong education,
2 advancement, and potential.

3 (2) As used in this section:

4 (a) "Phase I" means the first part of the tuition incentive
5 program defined as the academic period of 80 semester or 120 term
6 credits, or less, leading to an associate degree or certificate.
7 Students must be enrolled in a certificate or associate degree
8 program and taking classes within the program of study for a
9 certificate or associate degree. Tuition will not be covered for
10 courses outside of a certificate or associate degree program.

11 (b) "Phase II" means the second part of the tuition incentive
12 program that provides assistance in the third and fourth year of 4-
13 year degree programs.

14 (c) "Department" means the department of lifelong education,
15 advancement, and potential.

16 (d) "High school equivalency certificate" means that term as
17 defined in section 4.

18 (3) An individual must meet the following basic criteria and
19 financial thresholds to be eligible for tuition incentive program
20 benefits:

21 (a) To be eligible for phase I, an individual must meet all of
22 the following criteria:

23 (i) Be less than 20 years of age at the time the individual
24 graduates from high school with a diploma or certificate of
25 completion or achieves a high school equivalency certificate or,
26 for students attending a 5-year middle college approved by the
27 Michigan department of education, be less than 21 years of age when
28 the individual graduates from high school, **or be considered a**
29 **special education pupil at the time the individual graduated from**



1 **high school as described in section 6(4) (l) (i) .**

2 (ii) Be a United States citizen and maintain residency in this
3 state, as determined for purposes of the Free Application for
4 Federal Student Aid.

5 (iii) Be at least a half-time student, earning less than 80
6 semester or 120 term credits at a participating educational
7 institution within 4 years of high school graduation or achievement
8 of a high school equivalency certificate. All program eligibility
9 expires 10 years after initial enrollment at a participating
10 educational institution.

11 (iv) Meet the satisfactory academic progress policy of the
12 educational institution attended by the individual.

13 (b) To be eligible for phase II, an individual must meet
14 either of the following criteria in addition to the criteria in
15 subdivision (a):

16 (i) Complete at least 56 transferable semester or 84
17 transferable term credits.

18 (ii) Obtain an associate degree or certificate at a
19 participating institution.

20 (c) To be eligible for phase I or phase II, an individual must
21 be financially eligible as determined by the department. An
22 individual is financially eligible for the tuition incentive
23 program if the individual was eligible for Medicaid from this state
24 for 24 months within any 36 months prior to completion of high
25 school or achievement of a high school equivalency certificate. The
26 department shall accept certification of Medicaid eligibility only
27 from the department of health and human services for the purposes
28 of verifying if a person is Medicaid eligible for 24 months within
29 any 36 months prior to completion of high school or achievement of



1 a high school equivalency certificate. Certification of eligibility
2 may begin in the sixth grade.

3 (4) For phase I, the department shall provide payment on
4 behalf of a person eligible under subsection (3). The department
5 shall only accept standard per-credit hour tuition billings and
6 shall reject billings that are excessive or outside the guidelines
7 for the type of educational institution.

8 (5) For phase I, all of the following apply:

9 (a) Payments for associate degree or certificate programs must
10 not be made for more than 80 semester or 120 term credits for any
11 individual student at any participating institution. The department
12 shall not do either of the following:

13 (i) Adopt or apply any total semester-credit or term-credit
14 maximum that is less than the 80 semester-credit or 120 term-credit
15 maximum provided in this subdivision.

16 (ii) Adopt or apply any per-semester or per-term credit maximum
17 for a student whose semester-credit or term-credit load will not
18 result in exceeding the total 80 semester-credit or 120 term-credit
19 maximum provided in this subdivision.

20 (b) For persons enrolled at a Michigan community college, the
21 department shall pay the current in-district tuition and mandatory
22 fees. For persons residing in an area that is not included in any
23 community college district, the out-of-district tuition rate may be
24 authorized.

25 (c) For persons enrolled at a Michigan public university, the
26 department shall pay lower division resident tuition and mandatory
27 fees for the current year.

28 (d) For persons enrolled at a Michigan independent, nonprofit
29 degree-granting college or university or a Michigan federal



1 tribally controlled community college, the department shall pay
2 mandatory fees for the current year and a per-credit payment that
3 does not exceed the average community college in-district per-
4 credit tuition rate as reported by the last business day of August
5 for the immediately preceding academic year.

6 (6) A person participating in phase II may be eligible for
7 additional funds not to exceed \$500.00 per semester or \$400.00 per
8 term up to a maximum of \$2,000.00 subject to the following
9 conditions:

10 (a) Credits are earned in a 4-year program at a Michigan
11 degree-granting 4-year college or university.

12 (b) The tuition reimbursement is for coursework completed
13 within 30 months of completion of the phase I requirements.

14 (7) The department shall work closely with participating
15 institutions to provide the highest level of participation and
16 ensure that all requirements of the program are met.

17 (8) The department shall notify students in an age-appropriate
18 manner of their financial eligibility for the program any time
19 after the student begins sixth grade.

20 (9) Except as otherwise provided in sections 13(c) and 17 of
21 the Michigan reconnect grant recipient act, 2020 PA 68, MCL
22 390.1713 and 390.1717, each institution shall ensure that all known
23 available restricted grants for tuition and fees are used before
24 billing the tuition incentive program for any portion of a
25 student's tuition and fees.

26 (10) The department shall ensure that the tuition incentive
27 program is well publicized and that eligible Medicaid clients are
28 provided information on the program. The department shall provide
29 the necessary funding and staff to fully operate the program.



1 (11) The department shall collaborate with the center to use
2 the P-20 longitudinal data system to report the following
3 information for each qualified postsecondary institution:

4 (a) The number of phase I students in the most recently
5 completed academic year who in any academic year received a tuition
6 incentive program award and who successfully completed a degree or
7 certificate program. Cohort graduation rates for phase I students
8 must be calculated using the established success rate methodology
9 developed by the center in collaboration with the postsecondary
10 institutions.

11 (b) The number of students in the most recently completed
12 academic year who in any academic year received a Pell grant at the
13 reporting institution and who successfully completed a degree or
14 certificate program. Cohort graduation rates for students who
15 received Pell grants must be calculated using the established
16 success rate methodology developed by the center in collaboration
17 with the postsecondary institutions.

18 (12) If a qualified postsecondary institution does not report
19 the data necessary to complete the reporting in subsection (11) to
20 the P-20 longitudinal data system by October 15 for the prior
21 academic year, the department shall not award phase I tuition
22 incentive program funding to otherwise eligible students enrolled
23 in that institution until the data are submitted.

24 Sec. 260. (1) The department of lifelong education,
25 advancement, and potential shall work with student and
26 postsecondary education groups, including the Michigan College
27 Access Network, the Michigan Association of School Counselors, the
28 Michigan Association of State Universities, the Michigan Community
29 College Association, and the Michigan Independent Colleges and



1 Universities, to provide and update an online informational
2 resource for students in grades 9 through 12 and prospective and
3 current students and families. The online informational resource
4 must be a website or a portion of an existing website titled
5 "Paying for College in Michigan" and designed and maintained by the
6 department of lifelong education, advancement, and potential that,
7 to the extent practicable, contains information, including, but not
8 limited to, all of the following:

9 (a) A list of public and private community support centers,
10 student debt clinics, and other organizations and their contact
11 information submitted by Michigan College Access Network that
12 provides free information and services for student loan borrowers
13 to help educate them about repayment options and to help them
14 access student loan programs or benefits for which they may be
15 eligible.

16 (b) Links to state and federal financial aid programs,
17 including FAFSA and College Scorecard.

18 (c) Links to each promise zone website and the financial aid
19 website to each community college, public university, and
20 independent college and university in this state.

21 (d) Benefits of federal student loans that may no longer be
22 available if a borrower refinances a loan.

23 (e) Direct links to net price calculators for each community
24 college receiving an appropriation in section 201 and each public
25 university receiving an appropriation in section 236.

26 (f) Definitions that clearly delineate the differences between
27 scholarships, grants, and loans.

28 (g) A description of net price calculators and how to use them
29 to create a personalized estimate of a student's out-of-pocket cost



1 for the coming year based on basic family and financial information
2 and likely financial aid eligibility.

3 (h) Information on the fundamentals of borrowing and
4 repayment, including, but not limited to, all of the following:

5 (i) A link to the federal Public Service Loan Forgiveness
6 Program or other state or federal loan forgiveness programs.

7 (ii) Deciding how much to borrow.

8 (iii) Creating a plan for borrowing and repayment.

9 (iv) Estimating how much borrowing is needed for a given school
10 year.

11 (v) Factors that affect total student loan costs.

12 (vi) Tips for graduating with less student loan debt.

13 (vii) A loan payment calculator or a link to a loan payment
14 calculator that can be used for different types of loans.

15 (viii) Links to federal student loan entrance and exit
16 counseling services and the FACT tool.

17 (ix) Student loan debt relief scams.

18 (i) Loan amortization information.

19 **(j) The costs of degree attainment, separated by degree level,**
20 **and the earnings associated with degree attainment, separated by**
21 **degree level.**

22 (2) A public university receiving an appropriation in section
23 236 shall place a prominent link to the website created under this
24 section on its website homepage.

25 (3) Independent colleges and universities in this state are
26 encouraged to place a link to the website created under this
27 section on their website homepages.

28 (4) By November 1 of each year, the department of lifelong
29 education, advancement, and potential shall inform each high school



1 in this state about the website described in this section and
 2 encourage them to distribute the information to all students in
 3 grades 9 through 12.

4 (5) The department shall audit the website not less than once
 5 every 6 months to ensure links continue to be accurate, active, and
 6 up-to-date for students and families.

7 Sec. 263a. (1) Not later than September 30 of each year,
 8 Michigan State University shall submit a report on MSU
 9 AgBioResearch and MSU Extension to the house and senate
 10 appropriations subcommittees on agriculture and on higher
 11 education, the house and senate standing committees on agriculture,
 12 ~~the house and senate fiscal agencies, and the state budget director~~
 13 **and the standard report recipients** for the preceding academic
 14 fiscal year.

15 (2) The report required under subsection (1) must include all
 16 of the following:

17 (a) Total funds expended by MSU AgBioResearch and by MSU
 18 Extension identified by state, local, private, federal, and
 19 university fund sources.

20 (b) A review of major programs within both MSU AgBioResearch
 21 and MSU Extension with specific reference to accomplishments ~~7~~
 22 ~~impacts, and a specific accounting of Project GREEN and the~~
 23 ~~Agricultural Climate Resiliency Program expenditures~~ and the impact
 24 of those expenditures. The program review for MSU AgBioResearch and
 25 MSU Extension should include the following:

26 (i) The number of agriculture and food-related firms
 27 collaborating with and using services of research and extension
 28 faculty and staff.

29 (ii) The number of individuals utilizing MSU Extension's



1 educational services.

2 (iii) External funds generated in support of research and
3 extension.

4 (iv) Efforts to improve access to healthy foods for Michigan
5 consumers.

6 Sec. 264. Included in the appropriation in section 236 for
7 fiscal year ~~2025-2026~~ **2026-2027** for Michigan State University is
8 \$80,000.00 for the Michigan Future Farmers of America Association.
9 This \$80,000.00 allocation must not supplant any existing support
10 that Michigan State University provides to the Michigan Future
11 Farmers of America Association.

12 Sec. 268. (1) For the fiscal year ending September 30, ~~2026,~~
13 **2027**, it is the intent of the legislature that funds be allocated
14 for unfunded North American Indian tuition waiver costs incurred by
15 public universities under 1976 PA 174, MCL 390.1251 to 390.1253,
16 from the general fund.

17 (2) By January 15 of each year, the department of lifelong
18 education, advancement, and potential shall annually submit to the
19 ~~state budget director, the house and senate appropriations~~
20 ~~subcommittees on higher education, and the house and senate fiscal~~
21 ~~agencies~~ **standard report recipients** a report on North American
22 Indian tuition waivers for the preceding academic year that
23 includes, but is not limited to, all of the following information:

24 (a) The number of waiver applications received and the number
25 of waiver applications approved.

26 (b) For each public university submitting information under
27 subsection (3), all of the following:

28 (i) The number of graduate and undergraduate ~~North-Native~~
29 American ~~Indian~~ students enrolled each term for the previous



1 academic year.

2 (ii) The number of North American Indian waivers granted each
3 term, including to continuing education students, and the monetary
4 value of the waivers for the previous academic year.

5 (iii) The number of ~~North~~**Native** American ~~Indian~~ students who
6 receive a granted waiver for the previous academic year.

7 (iv) The number of graduate and undergraduate students
8 attending under a North American Indian tuition waiver who withdrew
9 from the public university each term during the previous academic
10 year. For purposes of this subparagraph, a withdrawal occurs when a
11 student who has been awarded the waiver withdraws from the
12 institution at any point during the term, regardless of enrollment
13 in subsequent terms.

14 (v) The number of graduate and undergraduate students
15 attending under a North American Indian tuition waiver who
16 successfully transfer to a 4-year public or private university, or
17 complete a degree or certificate program, separated by degree or
18 certificate level, and the graduation rate for graduate and
19 undergraduate students attending under a North American Indian
20 tuition waiver who complete a degree or certificate within 150% of
21 the normal time to complete, separated by the level of the degree
22 or certificate.

23 (3) By January 1 of each year, a public university that
24 receives an appropriation in section 236, or a tribal college
25 receiving pass-through funds under section 269, 270, or 270c, shall
26 provide to the department of lifelong education, advancement, and
27 potential any information necessary for preparing the report
28 detailed in subsection (2), using guidelines and procedures
29 developed by the department of lifelong education, advancement, and



1 potential.

2 (4) The department of lifelong education, advancement, and
3 potential may consolidate the report required under this section
4 with the report required under section 223, but a consolidated
5 report must separately identify data for public universities and
6 data for community colleges.

7 Sec. 269. For fiscal year ~~2025-2026~~, **2026-2027**, from the
8 amount appropriated in section 236 to Central Michigan University
9 for costs incurred under the North American Indian tuition waiver,
10 ~~\$80,800.00~~ **\$96,700.00** must be paid to Saginaw Chippewa Tribal
11 College for the costs of waiving tuition for North American Indians
12 under 1976 PA 174, MCL 390.1251 to 390.1253. It is the intent of
13 the legislature that Saginaw Chippewa Tribal College provide the
14 department of lifelong education, advancement, and potential the
15 necessary information for the college to be included in the report
16 required under section 268.

17 Sec. 270. For fiscal year ~~2025-2026~~, **2026-2027**, from the
18 amount appropriated in section 236 to Lake Superior State
19 University for costs incurred under the North American Indian
20 tuition waiver, ~~\$498,800.00~~ **\$465,000.00** must be paid to Bay Mills
21 Community College for the costs of waiving tuition for North
22 American Indians under 1976 PA 174, MCL 390.1251 to 390.1253. It is
23 the intent of the legislature that Bay Mills Community College
24 provide the department of lifelong education, advancement, and
25 potential the necessary information for the college to be included
26 in the report required under section 268.

27 Sec. 270c. For fiscal year ~~2025-2026~~, **2026-2027**, from the
28 amount appropriated in section 236 to Northern Michigan University
29 for costs incurred under the North American Indian tuition waiver,



1 ~~\$105,700.00~~ **\$112,200.00** is to be paid to Keweenaw Bay Ojibwa
2 Community College for the costs of waiving tuition for North
3 American Indians under 1976 PA 174, MCL 390.1251 to 390.1253. It is
4 the intent of the legislature that Keweenaw Bay Ojibwa Community
5 College provide the department of lifelong education, advancement,
6 and potential the necessary information for the community college
7 to be included in the report required under section 268.

8 Sec. 275j. It is the goal of the governor ~~and legislature~~ to
9 ensure that 60% of Michigan's residents achieve a postsecondary
10 credential, high-quality industry certification, associate degree,
11 or bachelor's degree by 2030.

12 Sec. 291. To the extent allowable under section 53 of article
13 IV of the state constitution of 1963, the auditor general may
14 conduct performance audits of public universities receiving funds
15 in section 236 as the auditor general considers necessary **but no**
16 **less than once every 7 years.**

17 Enacting section 1. (1) In accordance with section 30 of
18 article IX of the state constitution of 1963, total state spending
19 on school aid under article I of the state school aid act of 1979,
20 1979 PA 94, MCL 388.1601 to 388.1772, as amended by 2025 PA 15 and
21 this amendatory act, from state sources for fiscal year 2025-2026
22 is estimated at \$18,704,213,800.00 and state appropriations for
23 school aid to be paid to local units of government for fiscal year
24 2025-2026 are estimated at \$17,243,232,600.00. In accordance with
25 section 30 of article IX of the state constitution of 1963, total
26 state spending on school aid under article I of the state school
27 aid act of 1979, 1979 PA 94, MCL 388.1601 to 388.1772, as amended
28 by this amendatory act, from state sources for fiscal year 2026-
29 2027 is estimated at \$19,119,121,700.00 and state appropriations



1 for school aid to be paid to local units of government for fiscal
2 year 2026-2027 are estimated at \$17,616,139,800.00.

3 (2) In accordance with section 30 of article IX of the state
4 constitution of 1963, total state spending from state sources for
5 community colleges for fiscal year 2026-2027 under article II of
6 the state school aid act of 1979, 1979 PA 94, MCL 388.1801 to
7 388.1830, as amended by this amendatory act, is estimated at
8 \$491,039,800.00 and the amount of that state spending from state
9 sources to be paid to local units of government for fiscal year
10 2026-2027 is estimated at \$491,039,800.00.

11 (3) In accordance with section 30 of article IX of the state
12 constitution of 1963, total state spending from state sources for
13 higher education for fiscal year 2026-2027 under article III of the
14 state school aid act of 1979, 1979 PA 94, MCL 388.1836 to 388.1891,
15 as amended by this amendatory act, is estimated at
16 \$2,158,716,700.00 and the amount of that state spending from state
17 sources to be paid to local units of government for fiscal year
18 2026-2027 is estimated at \$0.00.

19 Enacting section 2. Sections 11s, 11bb, 27k, 27l, 27m, 31p,
20 35e, 41b, 55, 61d, 65, 67f, 94e, 97k, 99, 99b, 99aa, 99ee, 99mm,
21 107a, 147g, 164j, 201f, 217c, 236d, 263, 263b, 275k, 275m, 276,
22 277, 278, 279, 280, 281, and 282 of the state school aid act of
23 1979, 1979 PA 94, MCL 388.1611s, 388.1611bb, 388.1627k, 388.1627l,
24 388.1627m, 388.1631p, 388.1635e, 388.1641b, 388.1655, 388.1661d,
25 388.1667f, 388.1694e, 388.1697k, 388.1699, 388.1699b, 388.1699aa,
26 388.1699ee, 388.1699mm, 388.1707a, 388.1747g, 388.1764j, 388.1801f,
27 388.1817c, 388.1836d, 388.1863, 388.1863b, 388.1875k, 388.1875m,
28 388.1876, 388.1877, 388.1878, 388.1879, 388.1880, 388.1881, and
29 388.1882 are repealed.



1 Enacting section 3. (1) Sections 11, 22a, 22b, 26a, 26d, 31c,
2 51a, 51c, 51e, 56, 62, 104, 147a, 147c, and 147e of the state
3 school aid act of 1979, 1979 PA 94, MCL 388.1611, 388.1622a,
4 388.1622b, 388.1626a, 388.1626d, 388.1631c, 388.1651a, 388.1651c,
5 388.1651e, 388.1656, 388.1662, 388.1704, 388.1747a, 388.1747c, and
6 388.1747e, as amended and section 18e of the state school aid act
7 of 1979, 1979 PA 94, as added by this amendatory act, if granted
8 immediate effect pursuant to section 27 of article IV of the state
9 constitution of 1963, take effect on enactment of this amendatory
10 act.

11 (2) Except as otherwise provided for those sections listed in
12 subsection (1), the remaining sections of this amendatory act take
13 effect October 1, 2026.